Avalon Technologies (AVALON)

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Call: Jun 2023

June 05, 2023

To: To:

Sirs,

Sub: Transcript of the Earnings Call for the year ended March 31, 2023.

This is further to our letter dated May 23, 2023 , whereby the company had submitted the link to the audio / video rec ording of the Earning Call held post announcement of the Audited Standalone Consolidated Financial Results for the Financial Y ear Ended March 31, 2023.

Pursuant to the Regulation 30 (6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), regulations 2015, Please find enclosed the Tra nscript of the said Earnings Call, for your information an d records.

The transcripts of the earnings call is also available on the Company's website:

https://www.avalontec.com/wp -content/uploads/2023/06/Avalon -Technologies -Limited -Q4FY23 -Earnings -Call-Transcript.pdf

You are requested to kindly take the above on records.
Yours sincerely,
For AVALON TECHNOLOGIES LIMITED

Name of the Person : Dr. V. Rajesh
Designation : Company Secretary
Membership Number: F9213
Date : 05.06.2023

BSE Limited
Corporate Relationship Department
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Dhalal Street,
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BSE SCRIP CODE : 543896 The Manager
Listing Department
The National Stock Exchange of India Limited
"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST),
Mumbai – 400051
NSE Symbol: AVALON

"Avalon Technologies Limited
Q4 FY '23 Earnings Conference Call "
May 29, 202 3

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR – AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON TECHNOLOGIES LIMITED
MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED

MR. MIKE ROBINSON – CHIEF OPERATING OFFICER ,
US OPERATIONS – AVALON TECHNOLOGIES LIMITED
MR. SURESH VR – HEAD OF CORPORATE PLANNING
AND INVESTOR RELATIONS – AVALON TECHNOLOGIES
LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Avalon Technologies Q4 FY ’23 Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your tou chtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you, ma'am.

Bhoomika Nair: Thanks, Arvind. Good evening, everyone. On behalf of DAM Capital, I would like to welcome everyone to the Q4 and FY ’23 earnings call of Avalon Technologies. Today we have the management being represented by Mr. Kunhamed Bicha , Chairman and Managing Director, Mr. Bhaskar Srinivasan, President, Mr. R M Subramanian , Chief Financial Officer, Mr. Michael Robinson, Chief Operating Officer for US Operations and Mr. Suresh VR, Head of Corporate Planning and Investor Relations. We will start off with Mr. Kunhamed Bicha giving a brief overview about the company followed by CFO Mr. R Subramania n giving remarks on the financial performance, post which we will open up the floor for Q&A.

Before I hand over the call to the management, please do bear in mind that any forward -looking statements made during this call are subject to potential risks and uncertainties, both known and unknown. Without any further delay, I turn over the call to Mr. Bicha , the CMD. Over to you, sir.

Kunhamed Bicha : Thank you, Bhoomika. Good evening, ladies and gentlemen. We extend a warm welcome to all of you from Avalon Technologies for our Q4 and FY ’23 earnings call. We appreciate your presence and participation today as this is our inaugural earnings call. We would like to give you a brief overview about our company, then provide an update on our resul ts. Avalon Technologies is one of India's leading players in electronic manufacturing services with a global delivery footprint. Our story started in 1997 as two aspiring entrepreneurs with a vision of bringing world -class electronics manufacturing to Indi a. At that time, outsourcing of software was coming to India and outsourcing of manufacturing was moving to China.

Today, India is at an inflection point and the world looks at India for its manufacturing requirements. We are one of the leaders in high-mix flexible volume manufacturing and are present in multiple industry verticals with a focus on complex integrated solutions with significant engineering content. These verticals include a right mix of established and long product life cycle industri es such as railways, aerospace and industrials and we have a clear focus on emerging industries like clean energy where we target customers in the solar, hydrogen and EV space. We have 12 manufacturing units located in India and United States and we are now adding two more manufacturing units in Chennai.

One of our core differentiators is that we offer vertically integrated solutions. Today, we are a one-stop shop offering true box -built solutions that involves PCB design, PCB assembly, new product developm ent, cable assembly, sheet metal, plastics, magnetics and finally we test and do the logistics. We do end -to-end development for PCB design to manufacturing of final

products. On PCB assembly, we make complex multi -layer assemblies that are used for missio n critical applications like railway signalling systems, roadway systems, vehicle tracking systems, medical equipment etc. On PCB design, we are one of the India's largest PCB design and analysis teams based out of Bengaluru.

On cables, we do complex cable assemblies and wire harnesses. On sheet metal and machining

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we make precision engineering products for mission critical applications and we have NA DCAP

approval for sheet metal fabrication and welding. On magnetics, we make different transfo rmers or different types that are specifically designed and manufactured for clean energy and other products. Plastics is a small and growing division where we have injection molding capabilities. Alongside this, we also manage supply chain and logistics t o have a complete offering to our customers. Each of these capabilities are helping Avalon towards delivering a true complex box - build solution.

All our divisions integrate and deliver to our customers and today, box -build contributes to around 47% of ou r revenues in FY 2023. In summary, our key differentiators are one, vertical integration is true sense enabling us to be focused as a box -build player. Two, global presence both in terms of manufacturing presence as well as customer base. Three, focusing on winning opportunities not only in the mainstream sectors but also emerging sectors like clean energy and high margin businesses like aerospace.

Now coming to business highlights, we have signed domestic and MNC customers in the past few months. To note a few key ones, we won a new business from one of the world's largest aerospace conglomerates including a factory transfer project to India. On clean energy, we have made progress to signing letters of intent and contracts with emerging industry players supporting them in their manufacturing. Given the high complexity, it takes us 6 to 12 months in delivering products at a sizable scale to our new customers and we expect this portion of the revenue will start from the latter part of FY ’24.

Our order book in creased from INR858 crores in March 2022 to INR1,231 crores in March 2023. This only includes firm purchase orders and does not include long -term contracts and letters of intent. We have a capex-light model, hence we have high asset turn of around 10.4X and high ROCE number. While 59% of our customer s are based out of the US, 72% of our manufacturing is done in India and we see our India customer base rapidly expanding. With our focus on clean energy segment, 25% of our revenues come from this vertical and is expected to increase in the next few years .

Now on the industry outlook, growth strategy and guidance, we see strong industry tailwinds pushing the bar of EMS manufacturing to the next level in India. EMS is a trillion -dollar market and India is at an inflection point. We have been waiting for thi s inflection point since we started the company. So far, China has been the beneficiary of this. Now India is eyeing a market share growth from 2.2% to 7%. India and US will be the fastest growth in the EMS market in the next five years . And we are well po sitioned to operate successfully in both these regions. We operate today by choice in high complex, high margin B2B space and not in the low margin, high volume segments.

Our growth strategy is predicated on building businesses that see an intersection of a 30% growth with a 13% plus operating margins over a longer period of time. Our focus in organization is about profitable growth. We are building businesses focused on long -term trajectory rather than short -term results. That's why we are focused on build ing a business of profitable growth in the long-term rather than growth at any cost in the short -term. We have a three -pronged growth strategy. One, optimal mix of customer base across India and US, optimal mix of today's established industries like indust rial mobility and communication and tomorrow's emerging industries like clean energy.

Optimal balance between profitability and growth. With the slowdown in US and onboarding of our customers in clean energy, we expect H2 to be stronger than H1. The comp onent shortage issue has been there for the l

ast two to three years but is easing now. On a conservative basis, we are looking to double our revenues in the next three years. For FY ’24, we are looking at a revenue growth of 25 % to 30% and operatin g margins are estimated to increase to 12 % to 13%.

Before I conclude, I want to emphasize that the paramount significance lies in fortifying our organization and ensuring its readiness for the next phase of growth.

I will now hand over the call to RMS, our CFO, to take you through the financials. Thank you.

R M Subramanian: Thank you, KB, and good evening to everybody and thanks for joining the call today. From the big picture which KB gave, I'll get on to the numb ers in terms of giving the specifics. I would like to start this conversation with a discussion on the last quarter gone by on Q4 FY ’23. In Q4 FY’23, our revenue from operations is at INR272 crores, an increase of 29.6% year -on-year and a 16.8% quarter -on-quarter. In terms of gross margin, it's at INR102 crores, up by 39% year -on- year and 26% quarter -on-quarter basis. So in terms of percentage, gross margin percentage is at 37.5%, an increase of 265 bps on a year on basis and about the similar on a sequenti al basis.

Look at EBITDA. EBITDA stands at INR41.1 crores, up about 74.2 % year-on-year and 103% on a quarter -on-quarter basis. EBITDA margin stood at 15.1% and an increase of 388 bps on a yearly basis and a 64 4 bps on a quarter -on-quarter basis. PAT stood at for the quarter at INR22.7 crores, up 113.1% year -on-year and a 296.18% quarter -on-quarter basis. PAT margin stood at 8.2 percentage . I would like to say that in terms of the quarter performance control, by saying Q4 is an examp le of higher throughput and an operating leverage impact kicking in and efforts are made to ensure that we replicate this for the whole year.

Now moving on to the whole financial year for FY ’23, our revenue from operations stood at INR44.7 crores, an incre ase of 12.4%. Gross margin is at INR338 crores and which increased about 17.9%. EBITDA stood at INR112.8 crores and growth of 15.6% against FY ’22. EBITDA margin stood at 11.9%, an increase of 34 bps year -on-year. PAT stood at INR 52.5 crores , up 10.6% yea r-on-year with PAT margin at 5.5%. This increase is compared against on a like -to-like basis for the previous year, removing the ext ernal item . Coming to our revenue mix, our revenue mix in terms of customer geography, KB talked about 59% of revenues was from US geography in FY ’23 and the balance came from India and other countries. Whereas manufacturing about 72% was manufactured in India and the balance in US.

Moving on in terms of IPO funds utilization, if you remember in terms of approved utilization, our debt repayment is about INR145 crores, working capital of INR90 crores and GCP of INR85 crores is approval utilization which totals up to INR320 crores. We are quite into it in terms of last two months. What we have done is using a mix of IPO and a company generated funds. Today we have repaid approximately about INR200 crores of outstanding debt in the Indian entities. As of today , at the group level, by end of this quarter, we will be left with approximately INR100 crore s of debt in our U S subsidiaries here now. Our Indian entities will be debt free. That's sort of at the end of the year.

Moving on , we have been using the balance of IPO funds in terms of working capital in general corporate purposes. Overall, it's been by end of thi s quarter, we should have completely used the IPO funds. Moving on to the balance sheet side, our working capital days was 148 days in FY ’23 comprising of 123 days of inventory, 80 days of receivables and 55 days of payables. Our net working capital has in creased in comparison to FY ’23 and mainly due to increase in inventory which is in turn due to supply chain issues. As the supply chain issue is ea

sing, we believe the
net working capital days should improve going forward.

The IPO has significantly strengt hened our working capital as we move now have the capacity to service contracts with a higher delivery cycle and requiring larger capex upfront and significantly shields us from supply chain issues which we witnessed in the past. We expect our net working capital days to reduce by 10 days to 15 days over the same time of control of inventory and receivables.

Moving on in terms of liquidity, our present cash and cash equivalent stands at approximately INR115 crores and we'll be deploying the same for the pla nned capex and funding our growth. Over and above that, we intend to maintain the working capital lines in India which will be to the tune of approximately about INR175 crores which should give the added cushion for us to aggressively bid for and execute l arge orders which are in the pipeline.

In summary, if we continue to operate with the levels as performed in Q4, the operating leverage will significantly kick in and ensure that operating and net margin profiles remain higher. Over and above that, reducing inventory and net working capital levels will release cash from the system, coupled with this and the leverage capacity available in the balance sheet will ensure that our growth is fully funded which is one of the key objectives of the IPO and we are on track for the same.

With this, I request KB for the closing remarks.

Kunhamed Bicha: Thank you, RMS . We are heartened by the strong support from our investors during our IPO in a tough market. We will strive to repose the faith that investors have placed on our company. I express my sincere gratitude for your unwavering support and confidence in our company. Together we are poised for an exceptional journey of profitable growth and success. With that, I would request the moderator to open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rahul Gajare from H aitong Securities. Please go ahead. Rahul Gajare, the line

for you has been unmuted.
Rahul Gajare: Thank you. Good evening, gentlemen, and congratulations for a good performance on the P&L. Now I have something specifically on working capitals that I will come to separately. Sir, if you could spend some time and explain to us what has happened in terms o f the significant uptick that we saw in the margin in this particular quarter ? And also , that ha d aided the overall full year margin also. That 's the first question. I have got a couple of more questions that I will come back to after that.
R M Subramanian: Yes, I will take that. In terms of gross margin for the quarter, as you know, it went up significantly. Basically, it 's a mix of a couple of factors. When compared to other companies where we produce the same product year -on-year, it can be a ttributed to a single factor. But for us, we do a service, a mix of customers. So , it's multiple factors which comes in, starting with the product mix, the type of product mix in that particular quarter. And also , one of the other key factors is also the freight cost. As you know, during COVID time, freight costs have gone up.
So subsequently, the freight cost has come out of the peak and that 's also aided in terms of using the margins improved because of that. Over and above that, some of the product mix which we talked about, we have some of new customers joining in. So , which at the early stages, typically we have prototypes orders which are more in the service in nature. So , again, margin does go up. Overall, all of these f actors did contribute about increase of both units.
Rahul Gajare: Okay, thanks. S ir, my second question is on the revenue front. We had a strong growth of about 30% in this particular quarter. An

d I understand it is aided by likes of communication and clea n energy. In the overall revenue, is it possible you can break it up between the segments that you cater to?
R M Subramanian: I don 't have for that particular quarter in terms of revenue. Maybe I can just…
Kunhamed Bicha: You can give it for the year.
R M Subramanian: For the year, I can talk about it. Clean energy is about 25%, industrial is about 29% and mobility is about 21%. This are the three major ones. Communication is about 10%, medical is about 7% and rest is others.
Rahul Gajare: And which is the area specifically you are seeing very strong traction in terms of inquiries or discussion with customers?
Kunhamed Bicha: Two specific areas. When we say mobility, there are three areas we work in mobility. One is the railway segment, the aerospace seg ment and the auto segment, which is the EV side. Where we are seeing a lot of traction is in the aerospace segment, though it takes time to come through. But we are happy to say that two or three projects have landed. We got the first set of POs to

start t hat and we believe these are much longer -term contracts and it sets us up for growth for the next five years.
Rahul Gajare: So, one of the concerns that one would have over here is, while certainly long term wise we see things are pretty positive in terms of more outsourcing happening over here. But is there any way we can quantify over the next five years, this is the kind of opp ortunity we are looking at. And if that can be broken up into the verticals, based on your discussion with clients. Is that something that we can have some color on?
Kunhamed Bicha : So, I can give you some of the top verticals. We see clean energy growing from 25% w hat it is today, it was around 20% last year. We see that g rowing north of 30 % to 35% in the next 12 to 18 months. That's where our growth will come from. We see the air segment, the aerospace where we do metals, cables and plasti cs. We see that growing at around 30 % to 40% year -over-year. That makes sense ? And the industrial and mobility will grow at the usual rate as we can see.
Rahul Gajare: So, my last question before I get back to the queue. Now in terms of guidance you talked about 25% to 30% revenue growth with 12 % to 13% margin for FY '24. What is the peak revenue that you can achieve based on your existing asset s? And therefore, what is the capex that you have in your mind, say in FY '25 or so?
Kunhamed Bicha: So, I'll address the first part of it. This is KB and I'll have RMS to address the second part of it. So, we believe we are operating at around 60 % to 65% capacity in our various factories. So , there is without anything required, at least a 40 % to 50% growth is easily achievable. Apart from that, we are also building two new facilities, around 160,000 square feet, getting ready for the future after that. RMS, you want to take the second part of the question?
R M Subramanian: Yes. In terms of the capex , our es timate is for FY '24, we estimate about INR30 crores to INR35 crores is what our spend will be on the buildings and the plant and machinery which KB talked about. And FY '20 will be in the range of INR40 crores to INR45 crores. This is again coming

from wher e our strategy has always been to work on a capitalized model. So , we are not looking at significant capex . That strategy will continue going forward.

Rahul Gajare: Thank you.

Moderator: Thank you. The next question is from the line of Prithvi Raj from Unifi Capital. Please go ahead.

Prithvi Raj: Sir, my first question is on the exports. So obviously among all the EMS companies, we have a higher share of exports and that would have impacted our revenue to a certain extent in the last few months. Just wan ted to get a sense from you, how are we seeing exports traction picking up? Are we seein

g higher order inflows or enquiries coming from clients? Could you just throw some light on that?

Kunhamed Bicha: Yes, Prithvi Raj. This is KB. So , what, in an ideal sc enario, we are seeing two areas. One, I will talk about exports initially. We do have a significant part of our business on the export side. We started off as, at 80% export and maybe 10 % to 20% local market a few years back. Today we

are around 38% in the local market and the rest as export. We see the trend continuing, but we also see that there's immense growth coming from India.

So, ideally, in a situation like where we are today, where you have recessionary trends in the export market in the Western world . We believe that we can get a lot of business in India to make sure that we meet the requirements. But saying that, a lot of our big orders and businesses as of today, especially in the aero and the clean energy space, is coming from expo rts.

Prithvi Raj: So, how are we seeing that exports, order enquiries, etc., is there any pickup in the inflows , or is it still we are seeing signs of slowdown?

Kunhamed Bicha: On the new projects where customers are long term, we are seeing ne w projects getting added. In fact, we've added four new projects in the last four or five weeks, which is significant because most of these projects run into multiple years. So new projects, we are seeing good traction, but on existing products, there is a couple of issues in the US. One is the recessionary trends, and two is after three years of consistent buying and supply chain challenges, some inventory correction is happening in the US, to be very frank and honest with you.

So, there will be little ups and downs in the next couple of quarters on existing customers, but the business is still there and they are coming back to a normal mode, where they will plan for inventory in a normal fashion and not with the supply chain challe nges. So , some correction is happening, but we are well equipped to deal with the new customers and new products chipping in.

Prithvi Raj: Got it. And one follow -up question on your domestic business comment. Here could you please help us in understanding which are the sectors that you are focusing on the domestic business side and where you are seeing some traction?

Kunhamed Bicha: Yes. So, where we are seeing a lot of traction on the EV side as well as the industrials. So that's been our key drivers in th e domestic market.

Prithvi Raj: And one final question from my side. Structurally, how do we see your EBITDA margin? I mean, I'm not saying about a couple of quarters, maybe two to three years down the line. Can we reach to 14 %-15% EBITDA margin because we have a higher share of value -added products or margins might remain at these levels?

R M Subramanian: Yes, I'll take it , this i s RMS here. So, today we've been operating about 12% EBITDA margins and guidance has been about 12 %-13% in terms of mo ving forward. What we believe is if you see consistent growth at 25 %-30% the way we expect and value addition in terms of vertical integration when the product stabilizes because when the early products comes in, it does take a bit of time for the margins to stabilize. There is always a possibility with the operating leverage impact, margins going about 13% plus. But that's more for the future in terms of going forward and the rest of the time, we will stick to the guidance of what we have given.

Prithv i Raj: Thank you, sir. That's all from my side.

R M Subramanian: Thank you, Pr ithvi Raj.

Moderator: Thank you. The next question is from the line of P ujan Shah from Congruence Advisors. Please go ahead.

Pujan Shah: Hi, sir. First question would be on the inventory side as you have told that the US is going for a de-inventorization. So

, I mean, holding a higher inventory than a usual one. So , what will be the
net working capital days we are looking into on a usual phase?
R M Subramanian: Okay, this is RMS here. L et me try and take it. In terms of inventory, okay, our receivables and payables are generally been under control. So , it's about inventory which we need to focus on. So, today is about 123 days and our belief is moving forward because supply cha in issues are behind us. We should be able to reduce in inventory by 10 days to 15 days by end of this year. So that's what we work towards it. And if you look at our pre -COVID days, the net working capital cycle is about 80 days to 90 days.
We are operating that range. So , in the long term, we should be able to reach that once sort of the many of the products are what we're getting in stabilizes because during the growth phase, inventory, holding inventory under control is particularly for new produ cts is difficult. But once they reach many of them reach the stability, that's something which we can aspire to in the long term. But for the current, this is the guidance what we like to stick to .
Pujan Shah: Okay, in terms of clean energy, are we seeing any domestic competition? I know that the majority of the revenue comes in from the US for the clean energy space. But even though if you look at the market, the Indian market is around INR600 crores. So , how is the competition evolving in the clean energy because everyone is going for traction for that specific business. So, how you are eyeing for that and how four, five years ahead of the line, what would be the thing which you have been expecting to?
Kunhamed Bicha: So, that's a very interesting question. So far, we have not seen too much of competition, not saying that we will, we'll for sure see that in the future. But the key elements for the clean energy is just not step and repeat of PCB assemblies. So , you need there's a lot of magnetics 30% of the bill of materials, magnetics and transformers, you have a lot of sheet metal, you have a lot of machining, you have a lot of cables. So , since our vertical integration model, which will, that is the reason why we are benefiting on that.
And then there's a second point, I'm not sure if we are aware that there's a bill in the U nited States called the infrastructure bill, which gives subsidies for manufacturing of the product in the US. So , our strategy has been that the labor intensive part will be done in India, the final assembly and test will be done in the US. So , a certain percentage of the manufacturing has to be done in India. We have planned this over the years. And that's why we have factories on both locations. So , I think it will play to our favor to get more business in this field because of the India US strategy.
Pujan Shah: So, on a larger space, the US, can you state what are the competitive, like which companies have been competitive for us in like for clean energy space?

Kunhamed Bicha: So, it's, I would, I won't name our competitors, but let me put it this way. T he projects we have won and what we are proud of, these are global majors who are $10 billion to $20 billion in size. And we have competed with them and won the business. And the other piece why we are successful doing this is that we engage with the customer around 12 to 18 months before the product is launched. So , we are doing the prototypes, w e are working with the customer to take products from engineering to production. So , these two help us get a foot in the door. We compete with the world's best to get it.
Pujan Shah: Okay, got it.
Moderator: Sir, one question. Sorry to interrupt, sir. We r equest you to please re -join the queue for follow up questions. The next question is from the line of Darsh il Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri: Hello. Good ev

ening, sir, and thank you so much for taking my question. Firstly, the
congratulations on a great set of results. So , I just want to know in our industry, is there some seasonality like that would, impact our revenue and subsequently the margin because Q4 has seen a higher revenue and that has given us leverage. So , will there be a seasonality going forward or there's a steady state of revenue?
Kunhamed Bicha: The revenue is there, the orders are there. The key for us is some of the product launches are later part of the year. So , in this year, we will see a slower H 1 than a much stronger H2. So , it's more not a seasonality, it is more of customer kick -ins. And we also had issues with component shortages in the past, which is more or less eased out now, but there's still some remnants of that.
Darshil Jhaveri: Okay, sir. So, sir, I just want to know, so then our change in margin that we've done, so we have done, we are giving for a conservative guidance or because we've been able to achieve this right now, so what is stopping us from achieving in our future? Because I know the things are , orders are kicking in also, so that will also help us.
Kunhamed Bicha: Okay. So , our mantra has always been not growth at all costs, but profitable growth. So , we, in fact, walked away from certain businesses because the margins were not there. So , we're a little

picky on that sense on how we think of our future. We are looking for, again, profitable growth and not growth at all costs. That's one of the reasons you see us not playing in high volume, low margin areas. If it is just the top line, that w ould have been the easiest way for us to get the top line.

R M Subramanian: So, RMS here, so just to add to the point of your Q4 and the margins you have seen and guidance for the year, so just to add to the factor about H1 or where KB talk ed about H2 being stronger than H1. So , taking all of this into account, we are given a guidance which is for the whole year. So, that's something we need to factor in.

Darshil Jhaveri: Okay, sir. And s ir if I may, so typically how much time do we take to complete our order book?

Kunhamed Bicha: So, there are two sets to the order book, one is the order book as we talk about or as we say is 12 to 14 months, but a lot of these orders have long -term contracts and some have LOIs where

the intention of the volume is to talk for the future. But what we normally talk or give guidance is for 100% orders on the books which are shippable in 12 to 14 months.

Darshil Jhaveri: Okay, sir. And if I may, sir, one more question. So , is there some part of service that are there that we might be focused on which would be margin a ccretive or that would be a different business that would be happening?

R M Subramanian: Yes, your question is on service business and whether we have any service business and is it margin acc retive . Is that the question, right?

Darshil Jhaveri: Yes, Yes.

R M Subramanian: So, we have a small company which has 150 engineers which is fully focused on design and services, number one. And number two for us, that ’s not so much about the margin, but it ’s also about being a funnel for bringing the new business to us. So , they add a lot of strategic value to us. And over and above that, as KB said earlier in the call, we do get engaged with the customers 12 to 18 months before the product launch. And most of the work during that period i s done on a fee basis rather than on a product because the product is evolving. So , that is what we call a new product development.

We help them to develop the new product which is done at a fee service basis. So , these two make the whole customer sticky w ith us where we help them to launch the product or reach the market. So that's how the whole service line of business works for us.

Moderator: Thank you. The next qu

estion is from the line of Pradyumna Choudhury from JM Financial. Please go ahead.

Pradyumn a Choudhury: Hi, sir. So , first question regarding the segment by demand, I might have missed it. I did hear a couple of lines separately, but if you could just take us through the demand across various segments. And secondly, regarding the revenue growth, I do understand previously also you'd mentioned that one of the reasons we haven't really grown as well is because of component shortage over the past couple of years.

But from that perspective, like even if I compare ourselves to our peers, they seem to have grown despite these component shortages. So , what are we doing now to ensure that such a situation doesn't reoccur? Because from what I see, we have a very healthy order book and executing just that would lead to a good growth. So , just trying to unde rstand what are we doing to ensure that we do not fall short on that side.

R M Subramanian: Yes. So let me take the first question, which is in terms of the segment revenues. This is for FY’23 where I said about 25% is from clean energy and 30% is from industrial and 20% is from mobility and the rest is spread across communication, medical and others. This is for FY ’23. So , moving forward, KB did talk about our clean energy is growing much faster and we expect the percentage of revenue to be much higher moving towards sort of the 30% range. So that's in terms of the segment revenues. And in terms of the growth in the order book, order book remains healthy.

One specific differentiating factor vis -a-vis our peers is we are highly focused on the exports and the export and US market has some amount of headwinds in terms of what they are seeing inventory correction, inflation, etc. , etc. So, that does have an impact on the immediate and existing customers. But what we are seeing is a continuing traction of new customers who are looking to switch or getting into EV, which is a growing space. So , that continues to be robust.

But the point about them is it does take a longer, what do you call, role in terms of trying to ramp up.
So, all of this is the one which is lead to a slower growth when compared to the rest of them coupled with a company shortage. So , this sort of explains the revenue vis -a-vis what the peers have done.
Kunhamed Bicha: And one more point is we have not, we had so many options to get into the consumer space. So , if you need top line growth, that's the easiest way to solve it. We by design have stayed out of it so far.
R M Subramanian: Taking the account , the order book, just if you allow me to complete, taking th e account the order book and the kind of traction what you're seeing in terms of the new business and enquiries, we believe the 25 % to 30% growth range for the next three years is something achievable. So , leaving aside the quarter -to-quarter differences, this is something which we are confident of.
Pradyumna Choudhury: All right. My question actually regarding the segment wise was more on the demand side. Like if, as per the segments, you can just give a hint on the demand side. I und erstand clean energy will grow very well, but how are you seeing the demand or weakness and demand in other segments?
Kunhamed Bicha: So, clean energy, this KB here again, clean energy by far will be our fastest growing segment and followed by mobility. Ok ay. Again, clean energy, we've seen tremendous growth, but it has to kick in. But once it kicks in, we are very confident on where it can go. Next i s mobility, like I said, and we are looking at the most profitable part of mobility, which is aerospace, to bank a lot of our growth on it. And we just are servicing multiple products now. Hopefully when it kicks in, it's going to be projects with very, very decent margins.
Pradyumna Choudhury: Understood, sir. Thank you.
Kunhamed B

icha: Thank you.
Moderator: Thank you. . The next question is from the line of Ankit Sa lgia from Vijit Global Securities Private Limited. Please go ahead.
Ankit Salgia: Hi, everyone. Congratulations, management, on a very good set of numbers. I have a question regarding the domestic business. So , I'm just trying to understand where the government of India is trying to push a lot of in -house in India production. Are we focusing on PLI schemes that are being coming from the government for like different sectors like white goods or IT hardware? So, I'm trying to see where we are trying to focus on what we have talked about other than those things, like on computer IT hardware variables or Internet of things.

R M Subramanian: Yes. So, to answer your question, we would love to participate in some of the PLI schemes, but we have not seen something coming for our industry. Let's say if it's mobility or let's say if it is for clean energy yet. But saying that, I'm pretty sure that the gove rnment will look into that in the future. What we do a lot is import substitution. We do all these railways signalling products, braking products, and there's no credit for that either. But we've always operated on a low cap ex asset turn model.
So, that is one of the reasons why our numbers are not based on PLI schemes. But saying that if the right scheme comes our way, we are more than happy to get into that. And I think the IT hardware has just come out 10 days back or so. We are sure looking into it and if something is a good fit for us there, we'll surely apply for that.
Ankit Salgia: Sounds good. Thanks a lot. And just follow -up to that, what kind of like particular sector in domestic market that we are focusing on right now for our revenues that we say we are doing like 30 % or so of our revenue? Other than like, the clean energy is more on exports. I'm just trying to understand more on domestic business where we are getting traction from.
Kunhamed Bicha: Lot of it is mobility without aerospace. Aerospace is export. Lot of it is mobility and industrials.
Ankit Salgia: Thank you. Thanks a lot.
Moderator: Thank you. The next question is from the line of Vivek N from Shanti Financial Services, Private Limited. Please go ahead. Vivek N?
Vivek N: So, congratulations for a good number. But …
Moderator: Sir sorry to interrupt. But the line for you sounds muffled.
Vivek N: It's better? Okay. Yes. So as a shareholder, I wanted to understand why the valuation at the time of IPO has still not been g ained by the company. And when I look at the financials, in spite of very good and promising future for the company, profits are, whatever, 5% maybe. Growth is around 15 -20%. Certainly not among the leading EMS players from within India. So , this is a chan ce for us to reflect on what possibly other things, the company could be doing to get the major end of the value, emanating from this industry. And where probably a strategy or execution can be different. Thank you.

R M Subramanian: Yes, RMS here. I'll try and attend and answer this question in terms of performance and strategy and share price. So, this is a company which has started about 20 years back. So , you go back and the history is about manufacturing India and catering to the glo bal market. And we have remained true to the strategy and we've been doing that. Today EMS industry is what they are trying to do. And some of the peer strategy is slightly different. So , what we've been doing is true to the strategy, we've been catering t o the high profitable segments and continue to do that. Even in the domestic market, we started sometime back with about less than 10% market share. Today our market share, our revenue share is about 30 %-40% and continue to grow as the Indian market grows . So, we continue to explore these options in terms of higher prof

itable growth

segments and we continue to work on the same. So as a strategy, this has been a strategy and we want to remain and wherever required in the c ourse correction, we continue to do the same in terms of that. And if you look at the performance, Q4 performance, that reflects in terms of how we have been able to do, sort of the right climate exist s.

And FY ’23, we have also explained the reasons in terms of the growth. So , as a compa ny, we are focused on performing and the traction what you are seeing in terms of the new business growth, we are confident of achieving the guidance in terms of doubling your revenue over three years is what KB talked about. So , on a share price performan ce, our firm belief is as long as you continue to remain core of strategy and build a company and work on the strategy of what we have communicated to investors, share price will reflect the fundamentals in the long run. That’s something which we don ’t wan t to com ment on day-to-day share price movements. Thank you.

Vivek N: Thank you.

Moderator: Thank you. The next question is from the line of P ujan Shah from Congruence Advisors. Please go ahead.

Pujan Shah: How much or a number of questions were on the basis of this quarter specific?

R M Subramanian: Can you repeat the question?

Pujan Shah: Okay. So, how much number of customers we have onboarded this quarter? Because we have , I think 81 customers initially from FY ’22, we can say that there was 81 cu stomers. So , in FY ’23, what could be the number of customers we have done total number of customers?

R M Subramanian: This is RMS here, let me try and answer this question. In terms of some significant customers and when KB talked about something in the aerospace and also in the mobility segment, in terms of the exact number of customers, something which I don ’t have, we can always get back to you in terms of the number of customers. Because there are some customers who just come on board just for prototy pe or few things, but they will gain traction as we move along. And I don ’t have the exact number of customers on board, new customers in that quarter. So , we can get back to you on that.

Pujan Shah: Okay. And sir, can you just give the revenue split by th e product wise for FY ’23 like design, PCB, box build? I know box build you have said 47% comes by revenue. How much would be the PCB? Because ultimately PCB and box build around the revenue contributions around 80%. So, can you just split for the PCB side?

R M Subramanian: In terms of the box build, I think we have given the number which is growing, but we really don’t get into segmenting beyond that specific thing. We give industry wise, which is number s have been given, the individual segment is something the number which we don ’t track or we don’t want to be getting into discussing that.

Kunhamed Bicha: A lot of the box build will also take the PCB.

Pujan Shah: Okay, right. Good. And last question would be the new capex which we are doing of 30, 35, so what are the lines we are adding, it is into metal sheet fabrication, cables or like somewhat , which line we are adding to or it is SMT lines?

Kunhamed Bicha: No, so lot of this, there ’s around 160,000 square feet coming online in the next six months. Out of that, the large portion of it is for big box builds. When we say big box builds, these are generator type boxes which are large in size. I do n’t want to mention the industry. So , we need space to make this product. So around 40, 000-50,000 square feet we’ll go for that. The second part of the expansion is for cable and harness assembly. We see tremendous growth in the cable

and harness space. So , they will be movi ng into this new factory and the existing space will be used by PCB assembly .
Apart fr

om that, we are renovating and moving a plastic department into our second building where we have seen lot of growth coming from the aero side and we need to have an upda ted and a state of art facility to cater to that. And the last bit which is going to be very interesting for us into the future is special processing of metal which is required for aero industry. Today we outsource a lot of that. So , we want to bring that in house and get NA DCAP approval. So that will set us in stream for larger orders from that segment and we outsource a lot of that today.
Did that answer your question?
Pujan Shah: Yes, sir. But sir cable and harness, if you look into the capacity, it will be around 60%. So , are we seeing any, like I am talking for F Y'22, in F Y'23, are we seeing any higher utilization for cables? That's why we have been establishing the new lines or how we are lookin g into, because the order book has been built so much that we are not being able to capacite or fulfil the order in the current production capacity.
Kunhamed Bicha: So, it is more in cable, it 's very capex -like as you very well know. It is a space requirem ent for our growth. It's not adding new machines or so. We need larger space to execute a larger part of the business. And we also need space for our PCB side of the business and the PCB will grow into where cable is today. It 's just moving of divisions fo r space.
Pujan Shah: Yes, so we did the capex for the space side and not for the machinery and all that, like building the new lines and all that stuff.
R M Subramanian: This is Subramanian here. Let me just add to that. Just one part number, approximately 50% of the capex will go into the refurbishment of the buildings and land and buildings part of it and the balance 50% will be the machinery part of it. So , that's a number you can look at.
Pujan Shah: Yes, okay. Thank you so much for your time. Thank you.
R M Subramanian: Thank you.
Moderator: Thank you. We have the next question from the line of Bismith Nayak from RW Advisors. Please go ahead.

Bismith Nayak: Yes, sir. One clarification. You said order book that is given in the investor presentat ion is executable over the next 12 to 14 months, correct?
Kunhamed Bicha: That's correct.
Bismith Nayak: Okay. And on working capital days, sir, when would we go back to pre -COVID level?
R M Subramanian: Today is about 140 days in terms of net working capi tal and the focus on looking at inventory 123 days and we have given the guidance about 10 to 15 days for this year. So , pre-COVID will take some time. My belief is more in the medium term rather than the short term.
Bismith Nayak: Understood. And on this space addition, sir, you said 1,60,000 square feet. So , this 50% I did not get that part. Can you please clarify it again?
Kunhamed Bicha: There are, I can, this is KB here, there are two facilities coming on board. One is around 130,000 square feet. Out of that 50% will go for cable and harness assembly and the 50% which is critical for us is for big box builds which take up a lot of space. I am talking of large boxes like a generator or a compressor or so. We are getting into doing large box builds. So that is the two areas that 130,000 square feet building will have. The other one is for plastics and special metal processing which we are introducing.
Bismith Nayak: Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last q uestion for today. I now hand the conference over to Ms. Bhoomika Nair for closing comments. Over to you, ma'am.
Bhoomika Nair: Yes, I would like to thank all the participants for being on the call and asking all the questions . And thank you to the management for giving us an opportunity to host the call and wishing you all the very best, sir. Sir, any closing remarks from your side?
Kunhamed Bicha:

The only thing I would like to add is for us it is not growth at all costs but it is profitable growth that's been our mantra and that 's what you want to deliver to the shareholders over a long period.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your l ines.
R M Subramanian: Thank you.

Call: Jun 2023

June 05, 2023

To: To:

Sirs,

Sub: Transcript of the Earnings Call for the year ended March 31, 2023.

This is further to our letter dated May 23, 2023 , whereby the company had submitted the link to the audio / video rec ording of the Earning Call held post announcement of the Audited Standalone Consolidated Financial Results for the Financial Y ear Ended March 31, 2023.

Pursuant to the Regulation 30 (6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), regulations 2015, Please find enclosed the Tra nscript of the said Earnings Call, for your information an d records.

The transcripts of the earnings call is also available on the Company's website:

https://www.avalontec.com/wp -content/uploads/2023/06/Avalon -Technologies -Limited -Q4FY23 -Earnings -Call-Transcript.pdf

You are requested to kindly take the above on records.
Yours sincerely,
For AVALON TECHNOLOGIES LIMITED

Name of the Person : Dr. V. Rajesh
Designation : Company Secretary
Membership Number: F9213
Date : 05.06.2023

BSE Limited
Corporate Relationship Department
PJ towers,
Dhalal Street,
Mumbai -400001
BSE SCRIP CODE : 543896 The Manager
Listing Department
The National Stock Exchange of India Limited
"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST),
Mumbai – 400051
NSE Symbol: AVALON

"Avalon Technologies Limited
Q4 FY '23 Earnings Conference Call "
May 29, 202 3

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR – AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON TECHNOLOGIES LIMITED
MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED

MR. MIKE ROBINSON – CHIEF OPERATING OFFICER ,
US OPERATIONS – AVALON TECHNOLOGIES LIMITED
MR. SURESH VR – HEAD OF CORPORATE PLANNING
AND INVESTOR RELATIONS – AVALON TECHNOLOGIES
LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Avalon Technologies Q4 FY ’23 Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your tou chtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you, ma'am.

Bhoomika Nair: Thanks, Arvind. Good evening, everyone. On behalf of DAM Capital, I would like to welcome everyone to the Q4 and FY ’23 earnings call of Avalon Technologies. Today we have the management being represented by Mr. Kunhamed Bicha , Chairman and Managing Director, Mr. Bhaskar Srinivasan, President, Mr. R M Subramanian , Chief Financial Officer, Mr. Michael Robinson, Chief Operating Officer for US Operations and Mr. Suresh VR, Head of Corporate Planning and Investor Relations. We will start off with Mr. Kunhamed Bicha giving a brief overview about the company followed by CFO Mr. R Subramania n giving remarks on the financial performance, post which we will open up the floor for Q&A.

Before I hand over the call to the management, please do bear in mind that any forward -looking statements made during this call are subject to potential risks and uncertainties, both known and unknown. Without any further delay, I turn over the call to Mr. Bicha , the CMD. Over to you, sir.

Kunhamed Bicha : Thank you, Bhoomika. Good evening, ladies and gentlemen. We extend a warm welcome to all of you from Avalon Technologies for our Q4 and FY ’23 earnings call. We appreciate your presence and participation today as this is our inaugural earnings call. We would like to give you a brief overview about our company, then provide an update on our resul ts. Avalon Technologies is one of India's leading players in electronic manufacturing services with a global delivery footprint. Our story started in 1997 as two aspiring entrepreneurs with a vision of bringing world -class electronics manufacturing to Indi a. At that time, outsourcing of software was coming to India and outsourcing of manufacturing was moving to China.

Today, India is at an inflection point and the world looks at India for its manufacturing requirements. We are one of the leaders in high-mix flexible volume manufacturing and are present in multiple industry verticals with a focus on complex integrated solutions with significant engineering content. These verticals include a right mix of established and long product life cycle industri es such as railways, aerospace and industrials and we have a clear focus on emerging industries like clean energy where we target customers in the solar, hydrogen and EV space. We have 12 manufacturing units located in India and United States and we are now adding two more manufacturing units in Chennai.

One of our core differentiators is that we offer vertically integrated solutions. Today, we are a one-stop shop offering true box -built solutions that involves PCB design, PCB assembly, new product developm ent, cable assembly, sheet metal, plastics, magnetics and finally we test and do the logistics. We do end -to-end development for PCB design to manufacturing of final

products. On PCB assembly, we make complex multi -layer assemblies that are used for missio n critical applications like railway signalling systems, roadway systems, vehicle tracking systems, medical equipment etc. On PCB design, we are one of the India's largest PCB design and analysis teams based out of Bengaluru.

On cables, we do complex cable assemblies and wire harnesses. On sheet metal and machining

,

we make precision engineering products for mission critical applications and we have NA DCAP approval for sheet metal fabrication and welding. On magnetics, we make different transfo rmers or different types that are specifically designed and manufactured for clean energy and other products. Plastics is a small and growing division where we have injection molding capabilities. Alongside this, we also manage supply chain and logistics t o have a complete offering to our customers. Each of these capabilities are helping Avalon towards delivering a true complex box -build solution.

All our divisions integrate and deliver to our customers and today, box -build contributes to around 47% of ou r revenues in FY 2023. In summary, our key differentiators are one, vertical integration is true sense enabling us to be focused as a box -build player. Two, global presence both in terms of manufacturing presence as well as customer base. Three, focusing on winning opportunities not only in the mainstream sectors but also emerging sectors like clean energy and high margin businesses like aerospace.

Now coming to business highlights, we have signed domestic and MNC customers in the past few months. To note a few key ones, we won a new business from one of the world's largest aerospace conglomerates including a factory transfer project to India. On clean energy, we have made progress to signing letters of intent and contracts with emerging industry players supporting them in their manufacturing. Given the high complexity, it takes us 6 to 12 months in delivering products at a sizable scale to our new customers and we expect this portion of the revenue will start from the latter part of FY ’24.

Our order book in creased from INR858 crores in March 2022 to INR1,231 crores in March 2023. This only includes firm purchase orders and does not include long -term contracts and letters of intent. We have a capex-light model, hence we have high asset turn of around 10.4X and high ROCE number. While 59% of our customer s are based out of the US, 72% of our manufacturing is done in India and we see our India customer base rapidly expanding. With our focus on clean energy segment, 25% of our revenues come from this vertical and is expected to increase in the next few years .

Now on the industry outlook, growth strategy and guidance, we see strong industry tailwinds pushing the bar of EMS manufacturing to the next level in India. EMS is a trillion -dollar market and India is at an inflection point. We have been waiting for thi s inflection point since we started the company. So far, China has been the beneficiary of this. Now India is eyeing a market share growth from 2.2% to 7%. India and US will be the fastest growth in the EMS market in the next five years . And we are well po sitioned to operate successfully in both these regions. We operate today by choice in high complex, high margin B2B space and not in the low margin, high volume segments.

Our growth strategy is predicated on building businesses that see an intersection of a 30% growth with a 13% plus operating margins over a longer period of time. Our focus in organization is about profitable growth. We are building businesses focused on long -term trajectory rather than short -term results. That's why we are focused on build ing a business of profitable growth in the long-term rather than growth at any cost in the short -term. We have a three -pronged growth strategy. One, optimal mix of customer base across India and US, optimal mix of today's established industries like indust rial mobility and communication and tomorrow's emerging industries like clean energy.

Optimal balance between profitability and growth. With the slowdown in US and onboarding of our customers in clean energy, we expect H2 to be stronger than H1. The comp onent shortage issue has been there for the l

ast two to three years but is easing now. On a conservative basis, we are looking to double our revenues in the next three years. For FY ’24, we are looking at a revenue growth of 25 % to 30% and operatin g margins are estimated to increase to 12 % to 13%.

Before I conclude, I want to emphasize that the paramount significance lies in fortifying our organization and ensuring its readiness for the next phase of growth.

I will now hand over the call to RMS, our CFO, to take you through the financials. Thank you.

R M Subramanian: Thank you, KB, and good evening to everybody and thanks for joining the call today. From the big picture which KB gave, I'll get on to the numb ers in terms of giving the specifics. I would like to start this conversation with a discussion on the last quarter gone by on Q4 FY ’23. In Q4 FY’23, our revenue from operations is at INR272 crores, an increase of 29.6% year -on-year and a 16.8% quarter -on-quarter. In terms of gross margin, it's at INR102 crores, up by 39% year -on-year and 26% quarter -on-quarter basis. So in terms of percentage, gross margin percentage is at 37.5%, an increase of 265 bps on a year on basis and about the similar on a sequenti al basis. Look at EBITDA. EBITDA stands at INR41.1 crores, up about 74.2 % year-on-year and 103% on a quarter -on-quarter basis. EBITDA margin stood at 15.1% and an increase of 388 bps on a

yearly basis and a 64 4 bps on a quarter -on-quarter basis. PAT stood at for the quarter at INR22.7 crores, up 113.1% year -on-year and a 296.18% quarter -on-quarter basis. PAT margin stood at 8.2 percentage . I would like to say that in terms of the quarter performance control, by saying Q4 is an examp le of higher throughput and an operating leverage impact kicking in and efforts are made to ensure that we replicate this for the whole year.
Now moving on to the whole financial year for FY ’23, our revenue from operations stood at INR44.7 crores, an incre ase of 12.4%. Gross margin is at INR338 crores and which increased about 17.9%. EBITDA stood at INR112.8 crores and growth of 15.6% against FY ’22. EBITDA margin stood at 11.9%, an increase of 34 bps year -on-year. PAT stood at INR 52.5 crores , up 10.6% yea r-on-year with PAT margin at 5.5%. This increase is compared against on a like -to-like basis for the previous year, removing the ext ernal item . Coming to our revenue mix, our revenue mix in terms of customer geography, KB talked about 59% of revenues was from US geography in FY ’23 and the balance came from India and other countries. Whereas manufacturing about 72% was manufactured in India and the balance in US.

Moving on in terms of IPO funds utilization, if you remember in terms of approved utilization, our debt repayment is about INR145 crores, working capital of INR90 crores and GCP of INR85 crores is approval utilization which totals up to INR320 crores. We are quite into it in terms of last two months. What we have done is using a mix of IPO and a company generated funds. Today we have repaid approximately about INR200 crores of outstanding debt in the Indian entities. As of today , at the group level, by end of this quarter, we will be left with approximately INR100 crore s of debt in our U S subsidiaries here now. Our Indian entities will be debt free. That's sort of at the end of the year.
Moving on , we have been using the balance of IPO funds in terms of working capital in general corporate purposes. Overall, it's been by end of thi s quarter, we should have completely used the IPO funds. Moving on to the balance sheet side, our working capital days was 148 days in FY ’23 comprising of 123 days of inventory, 80 days of receivables and 55 days of payables. Our net working capital has in creased in comparison to FY ’23 and mainly due to increase in inventory which is in turn due to supply chain issues. As the supply chain issue is ea

sing, we believe the
net working capital days should improve going forward.
The IPO has significantly strengt hened our working capital as we move now have the capacity to service contracts with a higher delivery cycle and requiring larger capex upfront and significantly shields us from supply chain issues which we witnessed in the past. We expect our net working capital days to reduce by 10 days to 15 days over the same time of control of inventory and receivables.
Moving on in terms of liquidity, our present cash and cash equivalent stands at approximately INR115 crores and we'll be deploying the same for the pla nned capex and funding our growth. Over and above that, we intend to maintain the working capital lines in India which will be to the tune of approximately about INR175 crores which should give the added cushion for us to aggressively bid for and execute l arge orders which are in the pipeline.
In summary, if we continue to operate with the levels as performed in Q4, the operating leverage will significantly kick in and ensure that operating and net margin profiles remain higher. Over and above that, reducing inventory and net working capital levels will release cash from the system, coupled with this and the leverage capacity available in the balance sheet will ensure that our growth is fully funded which is one of the key objectives of the IPO and we are on track for the same.
With this, I request KB for the closing remarks.
Kunhamed Bicha: Thank you, RMS . We are heartened by the strong support from our investors during our IPO in a tough market. We will strive to repose the faith that investors have placed on our company. I express my sincere gratitude for your unwavering support and confidence in our company. Together we are poised for an exceptional journey of profitable growth and success. With that, I would request the moderator to open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rahul Gajare from H aitong Securities. Please go ahead. Rahul Gajare, the line

for you has been unmuted.
Rahul Gajare: Thank you. Good evening, gentlemen, and congratulations for a good performance on the P&L. Now I have something specifically on working capitals that I will come to separately. Sir, if you could spend some time and explain to us what has happened in terms o f the significant uptick that we saw in the margin in this particular quarter ? And also , that ha d aided the overall full year margin also. That 's the first question. I have got a couple of more questions that I will come back to after that.
R M Subramanian: Yes, I will take that. In terms of gross margin for the quarter, as you know, it went up significantly. Basically, it 's a mix of a couple of factors. When compared to other companies where we produce the same product year -on-year, it can be a ttributed to a single factor. But for us, we do a service, a mix of customers. So , it's multiple factors which comes in, starting with the product mix, the type of product mix in that particular quarter. And also , one of the other key factors is also the freight cost. As you know, during COVID time, freight costs have gone up.
So subsequently, the freight cost has come out of the peak and that 's also aided in terms of using the margins improved because of that. Over and above that, some of the product mix which we talked about, we have some of new customers joining in. So , which at the early stages, typically we have prototypes orders which are more in the service in nature. So , again, margin does go up. Overall, all of these f actors did contribute about increase of both units.
Rahul Gajare: Okay, thanks. S ir, my second question is on the revenue front. We had a strong growth of about 30% in this particular quarter. An

d I understand it is aided by likes of communication and clea n energy. In the overall revenue, is it possible you can break it up between the segments that you cater to?
R M Subramanian: I don 't have for that particular quarter in terms of revenue. Maybe I can just…
Kunhamed Bicha: You can give it for the year.
R M Subramanian: For the year, I can talk about it. Clean energy is about 25%, industrial is about 29% and mobility is about 21%. This are the three major ones. Communication is about 10%, medical is about 7% and rest is others.
Rahul Gajare: And which is the area specifically you are seeing very strong traction in terms of inquiries or discussion with customers?
Kunhamed Bicha: Two specific areas. When we say mobility, there are three areas we work in mobility. One is the railway segment, the aerospace seg ment and the auto segment, which is the EV side. Where we are seeing a lot of traction is in the aerospace segment, though it takes time to come through. But we are happy to say that two or three projects have landed. We got the first set of POs to

start t hat and we believe these are much longer -term contracts and it sets us up for growth for the next five years.
Rahul Gajare: So, one of the concerns that one would have over here is, while certainly long term wise we see things are pretty positive in terms of more outsourcing happening over here. But is there any way we can quantify over the next five years, this is the kind of opp ortunity we are looking at. And if that can be broken up into the verticals, based on your discussion with clients. Is that something that we can have some color on?
Kunhamed Bicha : So, I can give you some of the top verticals. We see clean energy growing from 25% w hat it is today, it was around 20% last year. We see that g rowing north of 30 % to 35% in the next 12 to 18 months. That's where our growth will come from. We see the air segment, the aerospace where we do metals, cables and plasti cs. We see that growing at around 30 % to 40% year -over-year. That makes sense ? And the industrial and mobility will grow at the usual rate as we can see.
Rahul Gajare: So, my last question before I get back to the queue. Now in terms of guidance you talked about 25% to 30% revenue growth with 12 % to 13% margin for FY '24. What is the peak revenue that you can achieve based on your existing asset s? And therefore, what is the capex that you have in your mind, say in FY '25 or so?
Kunhamed Bicha: So, I'll address the first part of it. This is KB and I'll have RMS to address the second part of it. So, we believe we are operating at around 60 % to 65% capacity in our various factories. So , there is without anything required, at least a 40 % to 50% growth is easily achievable. Apart from that, we are also building two new facilities, around 160,000 square feet, getting ready for the future after that. RMS, you want to take the second part of the question?
R M Subramanian: Yes. In terms of the capex , our es timate is for FY '24, we estimate about INR30 crores to INR35 crores is what our spend will be on the buildings and the plant and machinery which KB talked about. And FY '20 will be in the range of INR40 crores to INR45 crores. This is again coming

from wher e our strategy has always been to work on a capitalized model. So , we are not looking at significant capex . That strategy will continue going forward.
Rahul Gajare: Thank you.
Moderator: Thank you. The next question is from the line of Prithvi Raj from Unifi Capital. Please go ahead.
Prithvi Raj: Sir, my first question is on the exports. So obviously among all the EMS companies, we have a higher share of exports and that would have impacted our revenue to a certain extent in the last few months. Just wan ted to get a sense from you, how are we seeing exports traction picking up? Are we seein

g higher order inflows or enquiries coming from clients? Could you just throw some light on that?
Kunhamed Bicha: Yes, Prithvi Raj. This is KB. So , what, in an ideal sc enario, we are seeing two areas. One, I will talk about exports initially. We do have a significant part of our business on the export side. We started off as, at 80% export and maybe 10 % to 20% local market a few years back. Today we

are around 38% in the local market and the rest as export. We see the trend continuing, but we also see that there's immense growth coming from India.
So, ideally, in a situation like where we are today, where you have recessionary trends in the export market in the Western world . We believe that we can get a lot of business in India to make sure that we meet the requirements. But saying that, a lot of our big orders and businesses as of today, especially in the aero and the clean energy space, is coming from expo rts.
Prithvi Raj: So, how are we seeing that exports, order enquiries, etc., is there any pickup in the inflows , or is it still we are seeing signs of slowdown?
Kunhamed Bicha: On the new projects where customers are long term, we are seeing ne w projects getting added. In fact, we've added four new projects in the last four or five weeks, which is significant because most of these projects run into multiple years. So new projects, we are seeing good traction, but on existing products, there is a couple of issues in the US. One is the recessionary trends, and two is after three years of consistent buying and supply chain challenges, some inventory correction is happening in the US, to be very frank and honest with you.
So, there will be little ups and downs in the next couple of quarters on existing customers, but the business is still there and they are coming back to a normal mode, where they will plan for inventory in a normal fashion and not with the supply chain challe nges. So , some correction is happening, but we are well equipped to deal with the new customers and new products chipping in.
Prithvi Raj: Got it. And one follow -up question on your domestic business comment. Here could you please help us in understanding which are the sectors that you are focusing on the domestic business side and where you are seeing some traction?
Kunhamed Bicha: Yes. So, where we are seeing a lot of traction on the EV side as well as the industrials. So that's been our key drivers in th e domestic market.
Prithvi Raj: And one final question from my side. Structurally, how do we see your EBITDA margin? I mean, I'm not saying about a couple of quarters, maybe two to three years down the line. Can we reach to 14 %-15% EBITDA margin because we have a higher share of value -added products or margins might remain at these levels?
R M Subramanian: Yes, I'll take it , this i s RMS here. So, today we've been operating about 12% EBITDA margins and guidance has been about 12 %-13% in terms of mo ving forward. What we believe is if you see consistent growth at 25 %-30% the way we expect and value addition in terms of vertical integration when the product stabilizes because when the early products comes in, it does take a bit of time for the margins to stabilize. There is always a possibility with the operating leverage impact, margins going about 13% plus. But that's more for the future in terms of going forward and the rest of the time, we will stick to the guidance of what we have given.
Prithv i Raj: Thank you, sir. That's all from my side.

R M Subramanian: Thank you, Pr ithvi Raj.
Moderator: Thank you. The next question is from the line of P ujan Shah from Congruence Advisors. Please go ahead.
Pujan Shah: Hi, sir. First question would be on the inventory side as you have told that the US is going for a de-inventorization. So

, I mean, holding a higher inventory than a usual one. So , what will be the
net working capital days we are looking into on a usual phase?
R M Subramanian: Okay, this is RMS here. L et me try and take it. In terms of inventory, okay, our receivables and payables are generally been under control. So , it's about inventory which we need to focus on.
So, today is about 123 days and our belief is moving forward because supply cha in issues are behind us. We should be able to reduce in inventory by 10 days to 15 days by end of this year.
So that's what we work towards it. And if you look at our pre -COVID days, the net working capital cycle is about 80 days to 90 days.
We are operating that range. So , in the long term, we should be able to reach that once sort of the many of the products are what we're getting in stabilizes because during the growth phase, inventory, holding inventory under control is particularly for new produ cts is difficult. But once they reach many of them reach the stability, that's something which we can aspire to in the long term. But for the current, this is the guidance what we like to stick to .
Pujan Shah: Okay, in terms of clean energy, are we seeing any domestic competition? I know that the majority of the revenue comes in from the US for the clean energy space. But even though if you look at the market, the Indian market is around INR600 crores. So , how is the competition evolving in the clean energy because everyone is going for traction for that specific business.
So, how you are eyeing for that and how four, five years ahead of the line, what would be the thing which you have been expecting to?
Kunhamed Bicha: So, that's a very interesting question. So far, we have not seen too much of competition, not saying that we will, we'll for sure see that in the future. But the key elements for the clean energy is just not step and repeat of PCB assemblies. So , you need there's a lot of magnetics 30% of the bill of materials, magnetics and transformers, you have a lot of sheet metal, you have a lot of machining, you have a lot of cables. So , since our vertical integration model, which will, that is the reason why we are benefiting on that.
And then there's a second point, I'm not sure if we are aware that there's a bill in the U nited States called the infrastructure bill, which gives subsidies for manufacturing of the product in the US. So , our strategy has been that the labor intensive part will be done in India, the final assembly and test will be done in the US. So , a certain percentage of the manufacturing has to be done in India. We have planned this over the years. And that's why we have factories on both locations. So , I think it will play to our favor to get more business in this field because of the India US strategy.
Pujan Shah: So, on a larger space, the US, can you state what are the competitive, like which companies have been competitive for us in like for clean energy space?

Kunhamed Bicha: So, it's, I would, I won't name our competitors, but let me put it this way. T he projects we have won and what we are proud of, these are global majors who are $10 billion to $20 billion in size.
And we have competed with them and won the business. And the other piece why we are successful doing this is that we engage with the customer around 12 to 18 months before the product is launched. So , we are doing the prototypes, w e are working with the customer to take products from engineering to production. So , these two help us get a foot in the door. We compete with the world's best to get it.
Pujan Shah: Okay, got it.
Moderator: Sir, one question. Sorry to interrupt, sir. We r equest you to please re -join the queue for follow up questions. The next question is from the line of Darsh il Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri: Hello. Good ev

ening, sir, and thank you so much for taking my question. Firstly, the
congratulations on a great set of results. So , I just want to know in our industry, is there some seasonality like that would, impact our revenue and subsequently the margin because Q4 has seen a higher revenue and that has given us leverage. So , will there be a seasonality going forward or there's a steady state of revenue?
Kunhamed Bicha: The revenue is there, the orders are there. The key for us is some of the product launches are later part of the year. So , in this year, we will see a slower H 1 than a much stronger H2. So , it's more not a seasonality, it is more of customer kick -ins. And we also had issues with component shortages in the past, which is more or less eased out now, but there's still some remnants of that.
Darshil Jhaveri: Okay, sir. So, sir, I just want to know, so then our change in margin that we've done, so we have done, we are giving for a conservative guidance or because we've been able to achieve this right now, so what is stopping us from achieving in our future? Because I know the things are , orders are kicking in also, so that will also help us.
Kunhamed Bicha: Okay. So , our mantra has always been not growth at all costs, but profitable growth. So , we, in fact, walked away from certain businesses because the margins were not there. So , we're a little

picky on that sense on how we think of our future. We are looking for, again, profitable growth and not growth at all costs. That's one of the reasons you see us not playing in high volume, low margin areas. If it is just the top line, that w ould have been the easiest way for us to get the top line.

R M Subramanian: So, RMS here, so just to add to the point of your Q4 and the margins you have seen and guidance for the year, so just to add to the factor about H1 or where KB talk ed about H2 being stronger than H1. So , taking all of this into account, we are given a guidance which is for the whole year. So, that's something we need to factor in.

Darshil Jhaveri: Okay, sir. And s ir if I may, so typically how much time do we take to complete our order book?

Kunhamed Bicha: So, there are two sets to the order book, one is the order book as we talk about or as we say is 12 to 14 months, but a lot of these orders have long -term contracts and some have LOIs where

the intention of the volume is to talk for the future. But what we normally talk or give guidance is for 100% orders on the books which are shippable in 12 to 14 months.

Darshil Jhaveri: Okay, sir. And if I may, sir, one more question. So , is there some part of service that are there that we might be focused on which would be margin a ccretive or that would be a different business that would be happening?

R M Subramanian: Yes, your question is on service business and whether we have any service business and is it margin acc retive . Is that the question, right?

Darshil Jhaveri: Yes, Yes.

R M Subramanian: So, we have a small company which has 150 engineers which is fully focused on design and services, number one. And number two for us, that 's not so much about the margin, but it 's also about being a funnel for bringing the new business to us. So , they add a lot of strategic value to us. And over and above that, as KB said earlier in the call, we do get engaged with the customers 12 to 18 months before the product launch. And most of the work during that period i s done on a fee basis rather than on a product because the product is evolving. So , that is what we call a new product development.

We help them to develop the new product which is done at a fee service basis. So , these two make the whole customer sticky w ith us where we help them to launch the product or reach the market. So that's how the whole service line of business works for us.

Moderator: Thank you. The next qu

estion is from the line of Pradyumna Choudhury from JM Financial.
Please go ahead.

Pradyumn a Choudhury: Hi, sir. So , first question regarding the segment by demand, I might have missed it. I did hear a couple of lines separately, but if you could just take us through the demand across various segments. And secondly, regarding the revenue growth, I do understand previously also you'd mentioned that one of the reasons we haven't really grown as well is because of component shortage over the past couple of years.

But from that perspective, like even if I compare ourselves to our peers, they seem to have grown despite these component shortages. So , what are we doing now to ensure that such a situation doesn't reoccur? Because from what I see, we have a very healthy order book and executing just that would lead to a good growth. So , just trying to unde rstand what are we doing to ensure that we do not fall short on that side.

R M Subramanian: Yes. So let me take the first question, which is in terms of the segment revenues. This is for FY'23 where I said about 25% is from clean energy and 30% is from industrial and 20% is from mobility and the rest is spread across communication, medical and others. This is for FY '23. So , moving forward, KB did talk about our clean energy is growing much faster and we expect the percentage of revenue to be much higher moving towards sort of the 30% range. So that's in terms of the segment revenues. And in terms of the growth in the order book, order book remains healthy.

One specific differentiating factor vis -a-vis our peers is we are highly focused on the exports and the export and US market has some amount of headwinds in terms of what they are seeing inventory correction, inflation, etc. , etc. So, that does have an impact on the immediate and existing customers. But what we are seeing is a continuing traction of new customers who are looking to switch or getting into EV, which is a growing space. So , that continues to be robust.

But the point about them is it does take a longer, what do you call, role in terms of trying to ramp up.
So, all of this is the one which is lead to a slower growth when compared to the rest of them coupled with a company shortage. So , this sort of explains the revenue vis -a-vis what the peers have done.
Kunhamed Bicha: And one more point is we have not, we had so many options to get into the consumer space. So , if you need top line growth, that's the easiest way to solve it. We by design have stayed out of it so far.
R M Subramanian: Taking the account , the order book, just if you allow me to complete, taking th e account the order book and the kind of traction what you're seeing in terms of the new business and enquiries, we believe the 25 % to 30% growth range for the next three years is something achievable. So , leaving aside the quarter -to-quarter differences, this is something which we are confident of.
Pradyumna Choudhury: All right. My question actually regarding the segment wise was more on the demand side. Like if, as per the segments, you can just give a hint on the demand side. I und erstand clean energy will grow very well, but how are you seeing the demand or weakness and demand in other segments?
Kunhamed Bicha: So, clean energy, this KB here again, clean energy by far will be our fastest growing segment and followed by mobility. Ok ay. Again, clean energy, we've seen tremendous growth, but it has to kick in. But once it kicks in, we are very confident on where it can go. Next i s mobility, like I said, and we are looking at the most profitable part of mobility, which is aerospace, to bank a lot of our growth on it. And we just are servicing multiple products now. Hopefully when it kicks in, it's going to be projects with very, very decent margins.
Pradyumna Choudhury: Understood, sir. Thank you.
Kunhamed B

icha: Thank you.
Moderator: Thank you. . The next question is from the line of Ankit Sa lgia from Vijit Global Securities Private Limited. Please go ahead.
Ankit Salgia: Hi, everyone. Congratulations, management, on a very good set of numbers. I have a question regarding the domestic business. So , I'm just trying to understand where the government of India is trying to push a lot of in -house in India production. Are we focusing on PLI schemes that are being coming from the government for like different sectors like white goods or IT hardware? So, I'm trying to see where we are trying to focus on what we have talked about other than those things, like on computer IT hardware variables or Internet of things.

R M Subramanian: Yes. So, to answer your question, we would love to participate in some of the PLI schemes, but we have not seen something coming for our industry. Let's say if it's mobility or let's say if it is for clean energy yet. But saying that, I'm pretty sure that the gove rnment will look into that in the future. What we do a lot is import substitution. We do all these railways signalling products, braking products, and there's no credit for that either. But we've always operated on a low cap ex asset turn model.
So, that is one of the reasons why our numbers are not based on PLI schemes. But saying that if the right scheme comes our way, we are more than happy to get into that. And I think the IT hardware has just come out 10 days back or so. We are sure looking into it and if something is a good fit for us there, we'll surely apply for that.
Ankit Salgia: Sounds good. Thanks a lot. And just follow -up to that, what kind of like particular sector in domestic market that we are focusing on right now for our revenues that we say we are doing like 30 % or so of our revenue? Other than like, the clean energy is more on exports. I'm just trying to understand more on domestic business where we are getting traction from.
Kunhamed Bicha: Lot of it is mobility without aerospace. Aerospace is export. Lot of it is mobility and industrials.
Ankit Salgia: Thank you. Thanks a lot.
Moderator: Thank you. The next question is from the line of Vivek N from Shanti Financial Services, Private Limited. Please go ahead. Vivek N?
Vivek N: So, congratulations for a good number. But …
Moderator: Sir sorry to interrupt. But the line for you sounds muffled.
Vivek N: It's better? Okay. Yes. So as a shareholder, I wanted to understand why the valuation at the time of IPO has still not been g ained by the company. And when I look at the financials, in spite of very good and promising future for the company, profits are, whatever, 5% maybe. Growth is around 15 -20%. Certainly not among the leading EMS players from within India. So , this is a chan ce for us to reflect on what possibly other things, the company could be doing to get the major end of the value, emanating from this industry. And where probably a strategy or execution can be different. Thank you.

R M Subramanian: Yes, RMS here. I'll try and attend and answer this question in terms of performance and strategy and share price. So, this is a company which has started about 20 years back. So , you go back and the history is about manufacturing India and catering to the glo bal market. And we have remained true to the strategy and we've been doing that. Today EMS industry is what they are trying to do. And some of the peer strategy is slightly different. So , what we've been doing is true to the strategy, we've been catering t o the high profitable segments and continue to do that. Even in the domestic market, we started sometime back with about less than 10% market share. Today our market share, our revenue share is about 30 %-40% and continue to grow as the Indian market grows . So, we continue to explore these options in terms of higher prof

itable growth

segments and we continue to work on the same. So as a strategy, this has been a strategy and we want to remain and wherever required in the c ourse correction, we continue to do the same in terms of that. And if you look at the performance, Q4 performance, that reflects in terms of how we have been able to do, sort of the right climate exist s.
And FY ’23, we have also explained the reasons in terms of the growth. So , as a compa ny, we are focused on performing and the traction what you are seeing in terms of the new business growth, we are confident of achieving the guidance in terms of doubling your revenue over three years is what KB talked about. So , on a share price performan ce, our firm belief is as long as you continue to remain core of strategy and build a company and work on the strategy of what we have communicated to investors, share price will reflect the fundamentals in the long run. That’s something which we don ’t wan t to com ment on day-to-day share price movements. Thank you.
Vivek N: Thank you.
Moderator: Thank you. The next question is from the line of P ujan Shah from Congruence Advisors. Please go ahead.
Pujan Shah: How much or a number of questions were on the basis of this quarter specific?
R M Subramanian: Can you repeat the question?
Pujan Shah: Okay. So, how much number of customers we have onboarded this quarter? Because we have , I think 81 customers initially from FY ’22, we can say that there was 81 cu stomers. So , in FY ’23, what could be the number of customers we have done total number of customers?
R M Subramanian: This is RMS here, let me try and answer this question. In terms of some significant customers and when KB talked about something in the aerospace and also in the mobility segment, in terms of the exact number of customers, something which I don ’t have, we can always get back to you in terms of the number of customers. Because there are some customers who just come on board just for prototy pe or few things, but they will gain traction as we move along. And I don ’t have the exact number of customers on board, new customers in that quarter. So , we can get back to you on that.
Pujan Shah: Okay. And sir, can you just give the revenue split by th e product wise for FY ’23 like design, PCB, box build? I know box build you have said 47% comes by revenue. How much would be the PCB? Because ultimately PCB and box build around the revenue contributions around 80%. So, can you just split for the PCB side?
R M Subramanian: In terms of the box build, I think we have given the number which is growing, but we really don’t get into segmenting beyond that specific thing. We give industry wise, which is number s have been given, the individual segment is something the number which we don ’t track or we don’t want to be getting into discussing that.
Kunhamed Bicha: A lot of the box build will also take the PCB.

Pujan Shah: Okay, right. Good. And last question would be the new capex which we are doing of 30, 35, so what are the lines we are adding, it is into metal sheet fabrication, cables or like somewhat , which line we are adding to or it is SMT lines?
Kunhamed Bicha: No, so lot of this, there ’s around 160,000 square feet coming online in the next six months. Out of that, the large portion of it is for big box builds. When we say big box builds, these are generator type boxes which are large in size. I do n’t want to mention the industry. So , we need space to make this product. So around 40, 000-50,000 square feet we’ll go for that. The second part of the expansion is for cable and harness assembly. We see tremendous growth in the cable

and harness space. So , they will be movi ng into this new factory and the existing space will be used by PCB assembly .
Apart fr

om that, we are renovating and moving a plastic department into our second building where we have seen lot of growth coming from the aero side and we need to have an upda ted and a state of art facility to cater to that. And the last bit which is going to be very interesting for us into the future is special processing of metal which is required for aero industry. Today we outsource a lot of that. So , we want to bring that in house and get NA DCAP approval. So that will set us in stream for larger orders from that segment and we outsource a lot of that today. Did that answer your question?
Pujan Shah: Yes, sir. But sir cable and harness, if you look into the capacity, it will be around 60%. So , are we seeing any, like I am talking for F Y'22, in F Y'23, are we seeing any higher utilization for cables? That's why we have been establishing the new lines or how we are lookin g into, because the order book has been built so much that we are not being able to capacite or fulfil the order in the current production capacity.
Kunhamed Bicha: So, it is more in cable, it 's very capex -like as you very well know. It is a space requirem ent for our growth. It's not adding new machines or so. We need larger space to execute a larger part of the business. And we also need space for our PCB side of the business and the PCB will grow into where cable is today. It 's just moving of divisions fo r space.
Pujan Shah: Yes, so we did the capex for the space side and not for the machinery and all that, like building the new lines and all that stuff.
R M Subramanian: This is Subramanian here. Let me just add to that. Just one part number, approximately 50% of the capex will go into the refurbishment of the buildings and land and buildings part of it and the balance 50% will be the machinery part of it. So , that's a number you can look at.
Pujan Shah: Yes, okay. Thank you so much for your time. Thank you.
R M Subramanian: Thank you.
Moderator: Thank you. We have the next question from the line of Bismith Nayak from RW Advisors. Please go ahead.

Bismith Nayak: Yes, sir. One clarification. You said order book that is given in the investor presentat ion is executable over the next 12 to 14 months, correct?
Kunhamed Bicha: That's correct.
Bismith Nayak: Okay. And on working capital days, sir, when would we go back to pre -COVID level?
R M Subramanian: Today is about 140 days in terms of net working capi tal and the focus on looking at inventory 123 days and we have given the guidance about 10 to 15 days for this year. So , pre-COVID will take some time. My belief is more in the medium term rather than the short term.
Bismith Nayak: Understood. And on this space addition, sir, you said 1,60,000 square feet. So , this 50% I did not get that part. Can you please clarify it again?
Kunhamed Bicha: There are, I can, this is KB here, there are two facilities coming on board. One is around 130,000 square feet. Out of that 50% will go for cable and harness assembly and the 50% which is critical for us is for big box builds which take up a lot of space. I am talking of large boxes like a generator or a compressor or so. We are getting into doing large box builds. So that is the two areas that 130,000 square feet building will have. The other one is for plastics and special metal processing which we are introducing.
Bismith Nayak: Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last q uestion for today. I now hand the conference over to Ms. Bhoomika Nair for closing comments. Over to you, ma'am.
Bhoomika Nair: Yes, I would like to thank all the participants for being on the call and asking all the questions . And thank you to the management for giving us an opportunity to host the call and wishing you all the very best, sir. Sir, any closing remarks from your side?
Kunhamed Bicha:

The only thing I would like to add is for us it is not growth at all costs but it is profitable growth that's been our mantra and that 's what you want to deliver to the shareholders over a long period.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your l ines.
R M Subramanian: Thank you.

Call: Aug 2023

"Avalon Technologies Limited Q1FY24 Earnings
Conference Call"

August 11, 2023

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR
MR. BHASKAR SRINIVASAN – PRESIDENT
MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER
MR. MIKE ROBINSON – CHIEF OPERATING OFFICER , US OPERATION S
MR. SURESH VR – HEAD OF CORPORATE PLANNING AND INVESTOR
RELATIO NS

MODERATOR : MR. DHRUV JAIN – AMBIT CAPITAL .

Moderator: Ladies and gentlemen, good day and welcome to Avalon Technologies Limited Q1FY24 Conference Call hosted by Ambit Capital.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call , please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Dhruv Jain from Ambit Capital. Thank you and over to you sir.
Dhruv Jain: Thank you. Hello, everyone, welcome to Avalon Technologies Q1FY24 Earnings Calls. From the management side , today we have with us Mr. Kunhamed Bicha – Chairman and Managing Director, Mr. Bhaskar Srinivasan – President, Mr. R M Subramanian – CFO of the company , Mr. Michael Robinson – the COO for US A business and Mr. Suresh VR – Head of Corporate Planning and Investor Relations.
Thank you and over to you sir for your opening remarks , post which we will then open the floor for Q&A. Thanks.
Kunhamed Bicha: Thank you Dhruv . On behalf of Avalon Technologies, we extend our sincere welc ome to a ll of you for our Q1FY24 Earnings Call .
We deeply appreciate the unwavering support we have garnered since our listing and we are committed to continue running your trust as we move ahead. Given that a comprehensive business overview was presented during our first earnings call, we intend to provide a condensed version for the benefit of those who are new to our discussion today.
Avalon Technologies is one of India 's leading players in electronic manufacturing services with a global delivery footprint. Our journey started in 1997 with two aspiring entrepreneurs with a vision of bringing world class electronics manufacturin g to India. We are one of the leaders in high mix flexible volume manufacturing, and are present across multiple industry verticals with a focus on complex integrated solutions with a significant engineering content. We have 12 manufacturing units located in India and United States and are now adding two more manufacturing units in Chennai. Our key differentiators are vertical integration in its true sense enabling us to be a focused box-build player , global presence, both in terms of manufacturing presence and customer base , and three, focusing on winning opportunities not only in mainstream sectors, but also on emerging sunrise sectors like clean energy, and high margin businesses like aerospace.
One of our core differentiators is that we offer vertical i ntegrated solutions. Today , we are a one stop shop offering box-build solution that includes PCB design, new product development, cable assembly, sheet metal, plastics, magnetics , testing and logistics. We do end to end development

from PCB design to manuf acturing of the final product. We proudly extend our services to a range of industries including clean energy, industrial, rail, aerospace, electric vehicles, medical and security infrastructure.
Moving to our business performance. Let me begin by acknowledging that our Q1 results have been comparatively subdued, however , in line with our past trends , industry comparisons and our previous communication , our second half is expected to be significantly stronger than our first half. Currently we are observing distinctive growth dynamics between the Indian and US markets in the near term. The Indian market displays remarkable buoyancy and the US market presents immediate short -term challenges . To share a perspective , in Q1 , 45% of our business is from India, and 55% is from the US. Notably , our Indian customer segment demonstrated robust growth, achieving a 50% i ncrease in revenue during Q1 FY 24 co mpared to the same

period in
FY23. As I anticipate , this growth is likely to b e around 35% on a full year basis. Conversely, revenue from our US custome rs remains relatively flat year -on-year in Q1. This trend is a consequence of current hurdles posed by a slowing US economy and inventory rebalancing steps taken by our customers fr om a 40 to 50-week lead time down to a 20 week lead time, which was there during pre COVID levels.
Throughout our journey , we have encountered intermittent short term decline often followed by periods of renewed market strength. While our US customers revenue grapples with immediate challenges, we also anticipate benefiting once the US market regain its strike . Avalon has always played the role of a partner rather than a vendor , and we continue to stand by our customers to serve our customers through all phases of the business cycles . The fact that we have not lost a customer during the slowdown is testimony to our partnership. We had earlier guid ed for 25% revenue growth in FY 24. As it stands , our Indian customer segment continues to outpace the industry growth. Yet, meeting our full year revenue growth guidance hinges on the US market resurgence . If I were to wear a conservative hat , the near-term revenue growth in FY 24 may range between 15 % to 25%. While macro conditions remain beyond our control, and we have spoken about the growth perspective , allow me to shift our focus to what we control - Our profitability. Our f inancial success is not solely tied to delivering high mix products , it is also rooted to a commitment to operational efficiency . Given the near-term challenges in the US , and as we strive to be operationally efficient, we are implementing two measures . One, optimizing production allocations - strategic relocation of some of our production activities from our US plant to our India plant . Two, rationalizing costs of the US operation – we have taken concrete steps in initiating a plan and optimizing our US operations, this process is already underway. The positive outcomes of these measures will become increasingly evident in the forthcoming quarters.
As we address some of our short-term challenges , what truly excites us as the multitude and scale of opportunities that are coming our way. We are witnessing India ’s emergence as an accepted manufacturing designation , coupled with rapid growth of domestic electronics manufacturing . Let me highlight some of the customer wins and opportunities.

We have made significant inroads in terms of customer breakthroughs, and geographies and new segments. To give some examples, we have added three new clean energy customers , with one of them being in the EV space . The ramp up of the same is expected in late ‘24, and ‘25. Furthermore, some of our previous wins are expected to transition into volume production in two to three quarters , with expansion accelerated in FY25.
We enter ed a new segment , receive d the first tooling orders for plastic parts for the use in interiors of commercial aircraft. We are also entering production of thermal blanket s and heat shield s inside the aircraft engines for our aero customers.
We have also entered a new geography for delivering complex PCB design and development in a strategic sense that can open up into revenue growth. It is not always about the near term , the business environment we are experiencing now is challenging outside India, we endeavor to build an organization that can win and deliver on these opportunities that are unfolding over the next decade. Towards that , we are proactively adding season ed senior management professionals across operations and business development , we are also expanding capacity by adding two new plants in Che nnai. With that, I would like to thank all of you for joining the call. I will hand it over to Mr. Subramanian , our CFO

for this detailed financial commentary .
R M Subramanian: Thank you KB and good evening to all. T hanks for joining the call today. I would like to start this conversation with a discussion on the last quarter gone by . In terms of numbers in Q1 FY 24, our revenue from operations is INR 235 crores , an increase of 19.9% year-on-year and a decrease of 14% quarter-on-quarter. Coming to gross margin , gross margin is about 77 crores , up by 9% year-on-year and a decrease of 2 5% on a quarter -on-quarter basis. , EBITDA was at 16.2 crore for the last quarter , up 17% year-on-year and a decrease of 6 1% quarter -on-quarter basis . If you look at EBITDA margin, that stood at 6.9% , a decrease of 307 basis points on a yearly basis and 823 basis points on quarter -on-quarter basis . PAT stood at 7 crores for the last quarter , down 24% year-on-year and 69% on a quarter -on-quarter basis. PAT margin stands at 2.9% for the last quarter.
Coming to IPO funds utilization :
We applied for Rs. 320 crores from IP O as a primary capital and our approved IPO fund utilization consists of debt repayment of 14 5 crores, working capital of 90 crores and general corporate purposes requirements of 64.4 crores post issue expenses . We have fully utilized all our IPO funds that have been made available to us. A small amount of IPO funds are left and post reconciliation with the BRLMs , the same will be utilized this quarter . Utilizing a mix of IPO and company generated internal accrual funds, we have repaid approximately 200 crore s of outstanding debt compared to pre-IPO levels in the Indian entities . As of today, at the group level , by end of this quarter we are left with approximately 100 crore of debt in our US subsidiaries Sienna . Our Indian entities are almost fully debt free now.
Moving on to the balance sheet side :

Working capita l days was at 151 days in Q1 FY 24, comprising of 108 days of inventory , 67 days of receivable and 24 days of payable . Encouragingly, we are witnessing initial indicators of decline in working capital demand as the supply chain situation gradually normalizes . The on ce upward trajecto ry of inventory which was seen in the last one year has reached stabilization points. Balancing the imperative of working capital efficiency alongside supporting the growth objectives presents a complex challenge . We will do our best in terms of managing it and maintain the balance without compromising growth . To add, while we are focused on growth , working capital cycle s may fluctuate in line with personal requirements, including strict delivery lines, facing new prototype to customers , et cetera . We continue to focus on reducing our working capital cycle and expect it to decrease by 10 to 1 5 days by end of FY24 as compar ed to FY23. As on 31st July, we have about INR 125 crores of cash , both from IPO as well as from internal accruals . Out of this , INR 40 crores is earmarked for investment in our US subsidiary Sienna to pre -pay cost disbursal funds and the balance 85 crores will be surplus meant as a reserve and growth capital. Additionally, we prefer to keep the existing working capital lines in India available , amounting to INR 175 crore . This additional cushion should allow us to aggressively bid for and execute significantly large orders which are in our pipeline , and also be open for any inorganic growth opportunities which present itself.
In summary :
Our Q1 performance was characterized by significant growth in domestic business and slowdown in US geography along with the related fixed cost, which will be seen in the reduction in the margins. But we believe the US customers should come back in H2 and coupled with our new business pipeline, we believe we can reach the guidance of the top line which our CEO gave for this financial year. W ith respect to the margin , in sp

ite of the headwinds , with saving interest
cost and optimization of our manufacturing operations and cost rationalization measures in US which our CEO talked about, we are confident of maintaining our FY24 margin at similar levels to that of FY23. Having talked about the past performance , we will move your attention to the market opportunities in the medium term . Avalon has been in the sector for more than 20 years selling the story of India manufacturing to the world. But we have not seen this level of new business that we see in terms of global customer interest, number of branch visits, customer audits and last but not the least, the support from Government of Indi a is very encouraging. These are the best times to be in the industry and as much as we are focusing on short term performance, we need to focus on building the organization for the future and exploit the industry tailwinds . We are cognizant of the substantial market opportunity in front of us and the early indications suggest that multinational firms and global firms are desirous of creating alternative supply chain s and diversifying their supply chain beyond China . I must highlight , nevertheless , that the EMS Industry is a long -term play predicated on customer relationship s and our performance . As a result , this China plus one strategy will evolve over a longer timeframe. One more aspect that I would like to share is that , we are engaging in organizations that can handle the end -to-end growth momentum. This is in terms of the right talent recruitment both of

senior and mid-levels , processes for production delivery and working capital management. We expect that by implementi ng these initiatives, we 'll be able to take advantage of expanding market opportunities and increase the long-term shareholder value.
With this, I request the moderator to open the floor for Q&A . Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The f irst question comes from the line of Rahul Gajare from Haitong S ecurities . Please go ahead.
Rahul Gajare: I have a couple of questions. You touched on some aspects of the question s that I had on the performance during the quarter. Now, I understand, performance has been impacted by softer US business, which you were expect ing. Therefore, H1 was expect ed to be soft, but incrementally for us to have a better understanding or better projection of financial s, when you are guiding for the revenue growth you could actually talk about India business and US business separately and the respective revenue level s so we have better predictability on the revenue side .
So, you talked about 35% growth that you are expecting this year for the India business, what is the kind of growth that you are expecting for the US business ? That's the first question.
Kunhamed Bicha: Okay, so the re are two or three aspects to this . One is we are signing multiple new customers in the US which are going to give us revenue in the later part of the year. That is greenfield coming in. Number two is on some of these larger customers who are rebalancing inventory . After four or five years of continuously building up inventory during the COVID times and then the supply chain issues, things have quietened down now in those two elements . They were at 40-to-50-week lead time who are now coming back to the pre -COVID levels of 20-week lead time . So them coming back itself will get us to normal levels along new customers coming in. And three, some of our clean e nergy customers who have had delayed starts, they are also supposed to cut in during the later part of this year. Does that answer your question Rahul?
Rahul Gajare: If you could quantify the kind of growth that you would expect?
Kunhamed Bicha: So that 's a little bit tricky to answer, because it will depend o

n when the customers will step back in, but we would see similar growth like last year.
Rahul Gajare: Okay. My second question is on profitability , you did talk about being able to maintain margins of between 12 % to 13% in FY24. Looking at the first quarter performance , obviously you would be expecting a bump up in profitability in the second half. Now, my question is, you talked about rationalizing cost of our US operation, could you touch upon how you intend to ultimately cut cost in the US and whether this 12 % to 13% margin is something that will be sustainable for a longer period of time ?
R M Subramanian: Yes, Subramanian here, so in terms of how we plan to achieve this, we said we want to maintai n the profitability at the PAT level and we are confident of ac hieving the same as FY23 levels.
That's point number one . In terms of the various measures we are doing , KB did talk about , starting with product -mix, leading to product optimization in terms of where we manufacture

and that leading to cost optimization at the US level. So that 's where, a t a very high level , we are going to work on . Considering the sensitivity of the matter , we would not like to get into the individual details of what we are doing , but these are the measure s which we have started . It will take some time to cut in , but coupled with the interest cost saving and these measures , we are confident of reaching the profitability levels and the bottom line.
Kunhamed Bicha: So, we won't be explain ing that in depth here.
R M Subramanian: Yes. A nd just to add to it in terms of the way our business is organized , basically about 75% of the manufacturing is done in India, and 25% is done in US , as on date . And if you look at it on an India manufacturing level , we've been able to maintain the profitability in terms of the last year levels for the Indian business . It is the US business where we have been impacted , and the reasons are very clear, it 's because of the US economic slowdown and the consequent top line impact with the fixed cost being what it is . Coupled with all of these measures in terms of cost rationalization , we should be able to achieve our guidance . That's how we want to do it in the long term as well . We want to try and keep the US front end , but focus manufacturing in India and try and service customers in the US, which is a high margin business. This will not dilute our focus on India business, which continues to grow at 50% or what KB said, and guidance has also been give n in terms of what we will end up with for the future.
Rahul Gajare: Yes, fair enough now . Just to take this point further. Now, the breakup of revenue has been pretty much like it was last time, where i ndustr ial was a large piece followed by mobility and then clean energy, which is the area where you actually faced headwinds on profitability side.
Something you can talk about that will be helpful.
R M Subramanian: We don 't give guidance specifically in terms of segment s. We are spread out across all sectors

and we are seeing significant growth opportunities and clean energy is growing better than the
rest of the sector s. In terms of profitability, we don 't track it at an individual segment level .
Moderator: Thank you. The next question comes from the line of Ravi Swaminathan from Spark Capital.
Please go ahead.
Ravi Swaminathan: My first question is with respect to the strong traction that we are seeing in the India market, which are the sectors that are driving this growth, if you can throw some light on it ?
Kunhamed Bicha: So a lot of it is coming from industrial and some of it is clean energy pass ing through to th e US . We are seeing our largest segment , railway s, pick up quite a bit compared to last year.
Ravi Swaminathan: Got it sir. A nd from a futuristic aspect in terms of t

he India business, are there any plans to get
into the high volume segments like auto , consumer durable , et cetera which can drive India business growth?
Kunhamed Bicha: So when we say clean energy, one of our largest customers is in the EV space. We hope to finalize and start work on that in the later part of this year, and that will be a high volume product.

Ravi Swaminathan: Okay . And durable space also? Any thoughts on t hat, is there plan to foray into those kind of categor ies?
Kunhamed Bicha: Ravi, it's not like we don 't like th at business , but our mindset needs to change for that. But in saying that, I would say in the future we will relook at it, but for sure not as of now.
Ravi Swaminathan: Got it sir. And in terms of working capital, how much scope is there for us to improve going forward , because if you end up reducing that, your return metrics can improve significantly ...
R M Subramanian: Yes, Subramanian here, I will try and answer this question. If you look at pre -COVID level in terms of inventory, which is where the real numbers have gone up , we were operating about 80 to 90 days levels, today we are significantly higher . So there is a good scope for us to look at it and we believe we can do about 10 to 15 days reduction on that si de. The only thing is , we need to keep balancing between the growth opportunities and efficiency. When you have a new customer kicking in, you cannot look at efficiency. But we will continue to manage this balance and work on working capital , once the customer stabilizes we definitely can improve this.
Moderator: Thank you. The n ext question comes from the line of Aadesh from Motilal . Please go ahead .
Aadesh: Sir, I just want ed to understand that with this slowdown in US, you mentioned that growth will be similar to what you did in last year. If only the domestic growth sustains , last year we did around 12 % to 15% top line growth, is that the number we are looking at?
Kunhamed Bicha: No, when I mentioned that, I thought I was asked based about US growth. So that 's the answer for the US growth, because we are seeing very flat lines now. We hope to have 12-15%, so that was the answer to the US growth when I was answering .
Aadesh: Okay , sir. And sir when we are talking about cost optimization in our US operations , does that imply somewhat of defocusing US, at least for the near term and putting more focus on the domestic front , where actually the growth and predictability is ?
Kunhamed Bicha: So, as you all are well aware, India is going through phenomenal growth phase compared to all the markets around the world . In the near term, a cost optimization is to make sure that we deliver what we have promised and we 'll rethink it six months down the road . But we are not stopping the process of optimizing cost in the US, with both transferring products to India, as well as looking at what we need not do there . In the same sense, we 're increasing our business development activities in the US .
Aadesh: Got it sir. And sir, I see Q -o-Q there is a slight dip in your order book. No w, obviously there would be some execution also, but has the run rate of order inflows also slowed down for you ?
Kunhamed Bicha: So there are two pieces to that . How we look at orders is what is executable in the next 12 to 14 months, the rest of it comes either in network inten ts or contracts, multiyear contracts. So you see our contracts piece actually increase , but on the negative side , coming in from the US

customer base especially , when you're rebalancing inventory , you don 't expect new orders to come in for the short term. So, it 's a combination of two where the order book is actually increasing in the longer term, but not in the 12 to 14 month term which is very much

covered
for this year.
Aadesh: Got it sir. So, we should see some moderation in your order book growth as well. And sir, can you throw some more light on this inventory normalization which is happening , in which segment is it happening, in US solar, US wind or US general industrial ?
Kunhamed Bicha: It is well diversified . So normally in COVID times when the aero business went to zero, it didn 't

affect us because something else picked up. But in this scenario, what we are seeing is that the overall optimism in the US has been there for too long and people are seeing monetary tightening there. This is happening across the board , it could be one clean energy, one auto , one healthcare. So it 's not just one industry or so. It is an across -the-board phenomenon with customers there and their mentality today . Normally they are the first to react either way , whether you want to increase or decrease they will react first, but unfortunately a lot of our customers are doing it together.

Moderator: Thank you. The next question comes from the line of Renu Baid Pugalia from IIFL S ecurities . Please go ahead.

Renu Baid Pugalia: Few questions from my side. First , I miss ed some of the initial comments , I'm not sure if you answered. Can we have some more updates on clean energy ? Last year we had a delay in the shipment for Anarca . So where are we this year in terms of the first shipment plus the rest of the volume ramp up ? And apart from that , how is the outlook for rest of the other segments ? While you did mention that the US is seeing a broad -based slowdown across diversified industries , there the government has been very aggressively giving incentives for some of the clean energy transition. So is it not that some of the clean energy segments would be growing at a much better pace from the startups compared to the rest of the economy or the industr y there . That's the first question.

Kunhamed Bicha: Renu, j ust repeat the first part of the question, it was two or three questions at once.

Renu Baid Pugalia: Okay. First update on how has been the optics for Anarca and the clearances that they were waiting for. When do we expect the shipment picking up for them ?

Kunhamed Bicha: So we believe that as of today, the first 100 sets or so with around 50 to 70 lakhs per set should start flowing out in the late part of Q3 and Q4 . So from what we know today , that has started and we also have LOI for 600 units for the next two years.

Renu Baid Pugalia: Yes, that 's the first part and the second part - In general , outlook on the clean energy on the US?

Kunhamed Bicha: So, absolutely there 's a lot of activity in the US and we have signed up two or three more customers , two in US and one locally in the clean energy space. And it is all in the hybrid

manufacturing model where labor intensive part is done in India, and the final assembly and the automated part is done in the US . So that is going strong and one of our other larger customers, we expect there been two delays in start. I know that will be your next question , so the latest info we have is that they would start in Q4 of this year , which is a substantial piece for us.

Renu Baid Pugalia: So, b roadly if we take a three year view in your sense , what should be the size of th is clean energy business portfolio given large customers which are in pipeline and products are on the way. So conservatively in your view, how could we see the size of the business three years do wn the line?

Kunhamed Bicha: So, the way we have always committed , 25% of our business in the next three to four years will come from the clean energy business, mostly out of the US geography with most of the manufacturing done in India, and the final assembly done in the US.

Renu Baid Pugalia: Sure. S ir secondly if you look at the railway

segment, so clearly government has been going very aggressively with up gradation of the old network, both rolling stock as well as the signaling telecom braking system. So can you share updates in terms of how are you looking at the pipeline from your customers for the domestic market building up and any global export opportunity of manufacturing for some of our Japanese customers, which was under discussion sometime back?

Kunhamed Bicha: Yes, as you will know it's already incr eased this quarter. And we were, I would say 20 % to 30% this quarter already in the railway side . We are expecting a lot more coming in the next two or three quart ers, depending on the government releases. But once the release s happen, immediate business which we already do, whether it 's braking or whether it is interlocking, is going to see a substantial increase. And some of our customers, Japanese and Indian , are getting into the new Kawach systems. But that 's not immediate, that 's in the longer term , and also in the metros into gates. Most of this is from Japanese and French customer s.

Renu Baid Pugalia: Partially yes. Can we quantify the addressable opportunity size for us over the next couple of years or say some three year , four year perspective , our addressable market , what size are we looking at?

Kunhamed Bicha: So it 's very interesting that you ask that , because I asked the same thing to our customers in Japan a couple of weeks back. And they said it 's all relative to the government releases. But they said get ready for a substantial increase, which is th ree or four times what we do, but they are not sure how much is released to them. But in our mindset, we can execute it fairly straightforward once it comes through because we 've been doing this for seven or eight years .

Renu Baid Pugalia: Correct. So when it get s ready , does that really mean that while on an average today we are working at 60% utilization levels, we may have to upgrade our capacity for rail segment of the market ?

Kunhamed Bicha: It's not that our buildings are getting built or getting finished in the next four or five months. For us the longest lead time is the building and the infrastructure. And we believe if we need enough

capacity in the short term, there 's always eight months, nine months lead tim e to get this thing going from our customer. So there is enough time to get equipment if required, which in the near term we are v ery much covered with the capacity which exists today.

Renu Baid Pugalia: Sure. And lastly, question is related to IT PLI, wh ile we know you are not directly there into IT products, but you also deal with customers on the communication and networking devices. So, you think the recent government initiative to drive localization and have import duties and restrictions on direct imports can drive substantial growth for you also in this business or this would not be one of the core areas for you ?

Kunhamed Bicha: There are some strategic elements we are doing which I cannot discuss on the call, but we are looking at two large entities or government bodies who we will be working with.

Moderator: Thank you. The next question comes from the line of Amar from Al f Accurate Advisors. Please go ahead.

Amar: Sir firstly on the growth guidance which we are talking about, what we are seeing is that India looks strong and when we are guiding for a 25% to 30% growth rate , ideally we are talking about a 24%, 25% growth rate even from the US business?

Kunhamed Bicha: Yes, that was initially , but with the slowdown we have little concerns on that , that's why we have rationalized and said 15% to 25%. So it 's not 25 % to 30%, as we initially was saying, but we very much hope that customers kick back in as well as the new projects kick off.

Amar: Okay . So we can do 25%?

Kunhamed Bicha: Betwee

n 15% to 25% .

Amar: And secondly sir, in terms of the margin guidance which we talked about , 12% to 13%. Like, in this quarter if I see our gross margin , all the pressure of EBITDA is largely from the gross margin. So what should we assume like going forward, is this a change in the product mix which led to this kind of gross margin?

R M Subramanian: Subramanian here , on the gross margin as you rightly said , the key reason is change in the product mix , in terms of the geographies as well and some of our high margin customers tend to be from US and they have slowed down. But as we see an uptick from the US customers moving forward, we should get a claw back , if not to the previous level , definitely 100, 200 bps increase is a possibility. And in terms of overall profitability, taking into account all the measures which we are taking in terms of cost optimization , product rationalization , at the bottom -line of the PAT level , we should be able to reach last year levels about 7% to 8%.

Amar: 7% to 8% at a PAT level ?

R M Subramanian: Yes.

Amar: Okay . So that means what like 12 %, 13% at the EBITDA level right?

R M Subramanian: Yes, you can work on the numbers, there 'll be saving on interest cost as well. So that 's how overall it comes down to that.

Amar: Okay. And s ir, on one side we are saying that second half is going to be stronger for us, because of the ne w customer signing which we are doing today. So then why are we becoming cautious on the US , because we already have a large pipeline of US customers which are going to become deliverables in the second half. And that was the story even earlier for us, and we always guided that first half will be muted and second half will be the strongest. And still, we were guiding about 30% kind of a growth rate. So what is changing here , that st ory remains same?

Kunhamed Bicha: Yes, the story remains the same , we may be talking about two different things. Even if it 's a US customer , 73% of what we do is done in Indi a and 27% in the US . The goal is to have an 80 :20 mix, historically we have said that . 80% of manufacturing is done in India, maybe the front end of 20% will be done in the US. So the rationalization there is to say if it slowed down for US manufacturing , that's the only thing which is getti ng affected ; Nothing to do with the 75% of what we do in India for the US market.

Moderator: The next question comes from the line of Neel Nadkarni from Dalal & Broacha . Please go ahead.

Neel Nadkarni: So, I just had a couple of questions. So you have mentioned that we have entered with a new segment that is the heat shield and we have received order for plastic components for the commercial aircraft business. So can you just give some color on this, like what is the market size and what is the opportunity size over here?

Kunhamed Bicha: So, to start off with, these are parts of the aircraft where you sit in the seat, you touch the plastic on top , so we 've got the tooling order , that 's a huge win for us, we 've been working on that for a couple of years. And it 's the start , if you look at it, it will take you 8 to 12 months to get started. But the start itself will be around $3 to $5 million a year, but just on one part. And we expect this to expand because we are getting into plastics in the interiors of aircrafts for the first time , we have been doing smoke detectors in planes before this.

Neel Nadkarni: And also, you have mentioned that we do a lot of work in the railway side also. So what is your market share for the railway category , in India especially ?

Kunhamed Bicha: I'm not exactly sure what our customers market share is, but it are a substantial shar in what is happening in interlocking . In the braking systems, it 's normally two to three vendors and we are one of the larger players and

we 've been doing this for 7 to 10 years .

Neel Nadkarni: And also sir, this time around, I believe our box-build share has gone up , now around 5 2% versus last year, it was around 47%. S ir, what do we expect box-build to be as part of our total revenue going ahead ? And what is the margin profile for this, is it reasonably higher compared to just the plain PCB and plastic?

Kunhamed Bicha: Yes, for any product , whether the product normally has cable , PCB , metal, we may start up with new commodity, but our endeavor is to get the whole product. It takes a few years to go there or sometimes it 's immediate. So our endeavor always is to increase our box-build capability where it's a total solution provided for the customer. Th ere was a secon d part of your question, I may have missed it. So, it's a good thing it goes up and it 's not a huge difference, two, three points were t here if you do a box -build more than just PCB o r plastic or so .

Neel Nadkarni: Okay . And lastly sir can you give some color on like how is the seasonality across the industry verticals through the year?

R M Subramanian: Sorry can you repeat the question please?

Neel Nadkarni: Sir, w hat is the seasonality across industry verticals across the year?

R M Subramania n: Generally as we look at our past , the H1 is generally lighter and H2 is stronger, that's the essential seasonality we have seen, otherwise it's spread across both US and Indian geographies, and we 're not seeing any specific seasonality's other than the H1, H2.

Moderator: Thank you. The next question comes from the line of Navid Virani from Bastion Research . Please go ahead.

Navid Virani: First one is on margins sir, so as far as my understanding goes , box-build and the export business has a relatively better margin than the others. So , if I try to correlate the increase in box -build percentage in our revenue and also export being a significant part of our revenue, I am finding it difficult to correlat e with the substantial margin hit which would have taken during the quarter. So your comments on that front initially will be very helpful .

R M Subramanian: So in terms of the box-build margin , what you say is true only if you look the box -build perspective, but there are also other factors playing in . The key factor which in terms of leading to the margin dip for us this quarter, is the way our business is organize d into the India business and US business . So, just to give an understanding , products of the India business are manufactured here. And t hat, if you look at the margins, the margins are similar to last year and we have been able to deliver on that . It's the US business where the top line has gone down, but the fixed cost s remain . That is where a bit of operating leverage in the reverse sid e has made the margin come down. So at a consolidated level, you 're seeing that impact , that's where the hit in the margin comes out. If you look at it on a standalone basis what you said, just for the box-build , what you say is true. But what is playing out for us is this factor because of which you are seeing a dip in the margins.

Navid Virani: Yes, that's very helpful. So, secondly we are saying that 75 % to 80% of our production is happe ning here in India, and the rest is happening in the US. But if I look at our employee cost, and just try to compare it with our peers, our employee cost seems to be substantially high. So just want to get your sense on how one should look at employee cost going forward ?

Kunhamed Bicha: So, you kind of nailed what our issue is today, because a lot of our employee cost is driven by the US cost , though there 's lower production out of US. So if you just look at the India costs, it'll be very similar to our peers , I wou

ld say a little higher. So because of the US -India model, of course we enjoy better margins, but there 's also a cost to it. And that is the rationale this quarter where the business didn 't come through. So the c osts have shown out . We've not seen a slowdown in the US like this before. So that is the fundamental issue , a lot of the higher cost is because of the US employee cost.

Navid Virani: And can you quantify understanding as to how this employee cost will look once the business becomes status quo ?
R M Subramanian: This is Subramanian, I'll try and answer this question. In terms of the employee side , KB did talk about what happened in Q1, our endeavor is to keep the US front end and the employe e cost minimal and our target ratio in terms of 80:20 . But mind you, our US market is a high value market for us. So we will continue to focus on that , India market is growing at a much faster pace, and we'll work on that also. In terms of the target market, we will be at 50:50 in the long run. And in terms of employ ee cost, our endeavor is to keep it minimum so that our profitability margins are maintained.
Navid Virani: Okay, that's helpful. And sir l astly, if you can give us the contribution of PCBA, wire harnessing and other segments for FY 23, as well as for this quarter it will be of great help.
R M Subramanian: Segment wise we don 't track it , so that is something which we don 't share . We track it at a consolidated level and in terms of segment as a box -build at a revenue level .
Moderator: Thank you. The next question comes from the line of Vishal Singh from Makrana Capital. Please go ahead.
Vishal Singh: Sir, I just wanted to understand , you mentioned something like the margin difference between a normal PCB and a box-build . Did I hear it correctly , it was 2%, 3%?
Kunhamed Bicha: I would say that Vishal.
Vishal Singh: Okay , thanks. Secondly, Indian market is growing very fast and I understand that there is a pickup in infr a in India, et cetera , there is a lot of CAPEX which is going on. But I want to understand basically , whatever the government is doing in terms of creating an electronic manufacturing ecosystem in India, in terms of import pushing for import substitution, how is that helping your company in terms of growth ?
Kunhamed Bicha: Personally, I 've been a big proponent of import substitution , for years we 've been doing that in India ; If you look at railway segments , a lot of that came from outside the country before and over the last few years that's been done. But today, it 's been very much formalize d and each segment is starting to see that , we only welcome that and that will lead to a lot of opportunities where you need to Make in India and that is where a lot of the China transfers will start

happening. And we are starting to see some of that already with some industrial majors we 've been working with, where the state government s wanted Made in India products and they are helping us transition from China to India.
Vishal Singh: Okay . So if I understood correctly, you are getting more and more business from the companies who are getting their businesses transfer red from China, and within India as well, people are giving more and more business to Indian EMS companies because of the government rule? Is that correct ?
Kunhamed Bicha: That is true across the industry , not just for us . There is an opportunit y, not only for the Indian market – what used to come from outside will happen in India and that 's our belief , and the ecosystem is trending towards that.
Moderator: Thank you. The next question comes from the line of Amar f rom Al f Accurate Advisors. Please go ahead.
Amar: Sir, as you are talking about this destocking issue in US, how much time will it take for the destocking issue to go away?
Kunhamed Bic

ha: To be honest we are hoping tomorrow, but that 's not the right way to look at it.
Amar: Any understanding from the customer side ?
Kunhamed Bicha: This is all fairly new , starting in the last few weeks. So, it could be that some of the customers may come back in a couple of months, so me may come back in five or six months ; we are hoping that they do come back faster, but different customers have different timeframes. As we get closer, we 'll know more . It's very difficult for us to predict because everybody is going through this at the same time, so we are hoping some of it will be resolved shortly.
Moderator: Thank you. This was the last question for today. I now hand the conference over to the management for closing comments.
Kunhamed Bicha: We are very heartened by the strong support of our investors during our journey as a listed company. We would strive to fulfil the faith that investors have placed in our company. I express my sincere gratitude for your unwavering support and confidence in Avalon. Together we are poised for an exceptional journey of profitable growth and success. Thank you so much.
Moderator: On behalf of Ambit Capital that concludes this conference. Thank you for joining us and you may now disconnect your lin es.

“Avalon Technologies Limited
Q2 FY '2 4 Earnings Conference Call ”
November 09, 202 3

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING
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MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON
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MR. SHRIRAM VIJAYARAGHAVAN – CHIEF OPERATING
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MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER
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MR. MIKE ROBINSON – CHIEF OPERATING OFFICER ,
US – AVALON TECHNOLOGIES LIMITED
MR. SURESH VR – HEAD OF CORPORATE PLANNING
AND INVESTOR RELATIONS – AVALON TECHNOLOGIES
LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Avalon Technologies Second Quarter Fiscal Year 2024 Earnings Conference Call hosted by D AM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I will now hand the conference over to Bhoomika Nair of DAM Capital. Please go ahead.
Bhoomika Nair: Yes, thanks, Alison. Good evening, everyone, and welcome to the Q2 FY24 Earnings Call of Avalon Technologies. We have the management today being represented by Mr. Kunhamed Bicha , Chairman and Managing Director, Mr. Bhaskar Srinivasan, President, Mr. S hriram Vijayarag havan, Chief Operating Officer Group, Mr. R. M. Subramania n, CFO, Mr. Michael Robinson, Chief Operating Officer, U.S. and Mr. Suresh V.R., Head, Corporate Planning and Investor Relations.
At this point, I'll hand over the, before I just hand ov er the call to Mr. Bi cha, I just want everyone to bear in mind that any forward -looking statements that are made during this call are subject to potential risk and uncertainty, both known and unknown. Without further delay, I now hand over the call to Mr. Kunhamed Bicha , CMD. Over to you, sir.
Kunhamed Bicha : Good evening to everyone on the call. Ladies and gentlemen, on behalf of Avalon Technologies, I extend a warm welcome to our Q2FY24 Earnings Call. I'd like to express our sincere gratitude for your continued trust and interest in our company during the past few months. Before we dive into the financials, let me provide a quick introduction to Avalon Technologies particularly for those who are joining us for the first time.
Avalon Technologies has established itself as a key player in electronic manufacturing services with a global reach. Our journey began in 1997 with a vision of introducing top -tier electronics manufacturing in India. Today, we take pride in our leadership in high -mix, flexible -volume manufacturing, serving a diverse range of industry verticals, especially in intricate integrated solutions that require significant engineering expertise. We currently operate across 12 manufacturing facilities in India and th e United States, we are also adding two new manufacturing units in India.
Our three key differentiators are,

(1) Vertical integration – We are a one stop shop offering a true box build solution – that involves PCB design, New Product Development, cable assembly, sheet metal, plastics, magnetics, testing and logistics. We do end -to-end development from PCB design to manufacturing of final product.
(2) Global presence – both in terms of manufacturing presence and customer base.

(3) Optimal mix of today's established industries like Industrial, Rail, Aerospace, Auto, Medical & Communication and tomorrow's emerging industries like clean energy.
Now, moving on to our business performance. In line with our prior discussions, our H1 results were tempered by the challenging economic conditions in the US, despite our robust domestic demand and the acquisition of marquee global customers. Our India gro wth story is promising with a 16% increase in revenue and a 26% expansion in our order book. In fact, our Indian manufacturing operations, constituting 75% of our business, achieved a robust 8.3% PAT during H1. However, the ongoing difficulties in the US m arket have resulted in a decline in our US operations, leading to losses that temporarily overshadow the strong performance of our Indian operations. Avalon excels in its global outreach, with over 50% of our revenue ori

ginating from
the US. This has allowed us to gain a deep understanding of operating in a globally interconnected economy. Our presence in export markets has given us a competitive edge historically, however it exposes us to regional economic headwinds, like what we are experiencing now. The Indian and US markets are currently operating in remarkably different environments, and their respective performances reflect that.
During H1, our Indian market revenue grew by 16% while our US market revenue declined by 14%. On that note, I would like to highlight the hybrid nature of our operations. Since inception, we have firmly believed in our ability to capitalize on a unique combination of Indian cost arbitrage and global margin profiles. At the same time, our US manufac turing presence plays a crucial role as it acts as a gateway to acquiring customers within the US market. Having said that, presently, approximately 75% of our revenues are derived from products manufactured in India and 25% of our revenues are derived from products manufactured in the US. This 75% India manufacturing segment continues to generate industry leading profitability, reporting around 8.7% PAT during H1 FY24. In contrast, 25% US manufacturing segment is dealing with the effects of the economic slowdown in the United States and is posting a loss. Current circumstances prompt us to seek greater efficiencies.
As highlighted in our last conference call, we have taken proactive steps in response to short -term challenges in the US market. These actions encompass two measures concerning our US operations (1) optimizing product allocation from our US plant to our In dia plant and (2) rationalizing costs within our US operations. We have been diligently working on these measures over the past few months and are already witnessing positive results. To illustrate, in terms of the rationalization of US costs, we have alre ady achieved over half of our targeted improvements and the remaining changes are expected within the next 3 -6 months. The outcomes of these measures will gradually become more apparent in the upcoming quarters.
While discussing our US operations, I would like to take some time to highlight the crucial function carried out by our US manufacturing presence. It functions as our "front end," streamlining customer onboarding and serves as a "Beachhead" to expand our m arket footprint. Additionally, it empowers us to position ourselves better from the perspective of Inflation Reduction Act in the US, a substantial $390 billion initiative advocating the adoption of clean energy utilization. These elements underpin the sig nificance of our US operations in the overarching narrative of Avalon's growth. While we are optimizing our US operating costs, our

organization is filled with enthusiasm as we recognize the significant decadal market opportunity that lies before us.
Now transitioning to an update on the new businesses we have secured, in summary, our order book stands at INR 1,244 Crores as of September 30, 2023, reflecting a 13% growth from June 2023. These orders are expected to be fulfilled over a span of 12 -14 mon ths. Additionally, we've also secured contracts and Letters of Intent (LoIs) worth an additional INR 750 Crores, with execution timelines spanning 2 -4 years. We're excited to share progress with our two significant

clean energy clients —one in the US solar inverter & battery system sector and the other in the hydrogen electrolyser domain. Both partnerships are on the verge of production, set to commence in Q4 FY24. Our aerospace wiper blade assembly project in India is advancing smoothly. We anticipate commencing product deliveries in the second quarter of the next fiscal year.
In terms of new customer acquisitions, we are excited to share that we have secured a large contract with one of India's

innovative EV manufacturer s who will entrust us with
manufacturing their charger and data transmission systems. Additionally, we have also had some major wins in the US. They are diversified across verticals. These include Video surveillance systems for Industrial applications, Grid flexibility systems for clean energy, Heat Transfer Products in the automotive sector, medical equipment & instruments, Residential ventilation solutions and Processing systems in the field of Agro technology. Our role as strategic partners to our customers is evident in our ability to retain all our customers in the US even during these trying times.
We are also excited to announce that CDAC has extended Avalon Technologies an opportunity to receive the Transfer of Technology (TOT) as part of the National Supercomputing Mission for Rudra -1, India's indigenous server program. Avalon Group has been a lon g-standing collaborator with CDAC within the National Supercomputing Mission and is actively contributed to the PCB design engineering of the Rudra -2 liquid -cooled server platform, currently in development at CDAC.
When we want to capitalize on these decadal opportunities, it is essential that we do not lose sight of the forest from the trees and plant the seeds for tomorrow. We are preparing our organization for the years of growth ahead. As a significant step in th is direction, we are pleased to introduce Mr. Shriram Vijayaraghavan as our new Group Chief Operating Officer. He brings valuable operational experience from his previous leadership roles at companies like Wheels India, Caterpillar, Hertz, as well as strat egic experience from his previous position at McKinsey.
We are also strengthening our business development team in the US by welcoming aboard three seasoned professionals, each boasting over two decades of experience in the EMS industry.
As previously highlighted, achieving our full -year revenue growth targets depends on the resurgence of the US market, while our performance in the Indian market remains robust.
Currently, we lean towards favouring the lower end of our Q1 guidance with a negative bias.
While we acknowledge short -term challenges, we maintain confidence in our strong underlying fundamentals and remain committed to achieving our stated long -term goal of 25 -30% revenue

CAGR over the next 3 years. To sum up, Avalon stands strong, navigating adversity with resilience and focusing on building a business of profitable growth in the long term rather than growth at any cost in the short term. Before I handover the floor to our CFO, we appreciate your continued trust and support as we work together to realize our vision.

R M Subramanian: Thank you, KB and good evening, everybody. Thanks for joining the call today. I would like to start this talking about the critical issues influencing the company's performance. These include the headwinds in the US economy, which have led to a significant decline in sales from the US market and o ur unique hybrid business model, which involves export -oriented sales with manufacturing facilities in both India and the USA. While our export -driven model typically yields higher margins and better profitability, the current market conditions pose substantial challenges, much like other export -focused industries such as IT. As a company, we are actively working on adjusting our business strategy to align with the current mar ket conditions. Our efforts include heightening our focus on the Indian market to achieve a 50:50 ratio between the USA and India, all the while maintaining our presence in the highly profitable US market and shifting more of our manufacturing operations to India and optimizing our US -based operations accordingly. It's important to note that this ongoing effort to realign our strategy and reduce business risks is a work in progress

and may take a couple of quarters to yield tangible results.
In the interim, it's crucial to view this quarter's performance within the context of the above -mentioned near -term challenges.
Now moving on to performance in last quarter in detail . In H1 FY24, our revenue from operations was Rs. 436 Crores, a decrease of 1% YoY. In Q2 FY24, our revenue from operations was Rs. 201 Crores, a decrease of 17.9% YoY and decrease of 14.5% QoQ. Gross Margin is Rs. 75 crores, down by 14% YoY and increase of 7% on a QoQ basis. Gross Margin stood at 37.2%,

an increase of 173 bps YoY and 303 bps QoQ. EBITDA is at Rs. 12.6 crores, down 56% YoY and decrease of 22% on a QoQ basis. EBITDA margin stood at 6.3% , a decrease of 541 bps on a yearly basis and 62 bps on QoQ basis. PAT stood at Rs. 7.3 Crores, down 51% YoY and an increase of 3% QoQ basis. PAT margin is at 3.5%, a decrease of 235 bps YoY, an increase of 59 bps QoQ basis.
Coming to IPO fund utilisation, our approved IPO funds utilisation consists of (1) Debt repayment of Rs 145 Cr, (2) Working capital requirements of Rs 90 Cr and (3) GCP requirements of Rs 63.5 Crs post issue expenses. We have fully utilized all our IPO fun ds that has been made available. GCP was Rs. 64.40 crore which was worked out based on estimated cost of issue of Rs. 20.6 crore. The BRLMs have reworked and earmarked Rs 21.57 crore for the issue expenses and transferred an amount of Rs. 298.43 crore int o the monitoring agency account. Utilizing a mix our IPO and company generated funds, we have repaid approximately Rs. 200 crores of our O/s Debt in the Indian entities, as of today at the group level, by the end of this quarter, we are left with approximately Rs 100 Cr of debt in our US subsidiary – Sienna. Our Indian entities are almost fully debt free.

Moving on to the balance sheet side, our working capital days was 151 days in Q2 FY24, comprising of 112 days of inventory, 65 days of receivables and 26 days of payables. Encouragingly, we are witnessing initial indicators of a decline in working capital demands, as the supply chain situation gradually normalizes. The once upward trajectory of inventory has reached a stabilization point. Balancing the imperative of working capital efficiency alongside our growth objectives presents a complex challenge. We will do our best to manage and maintain the balance without compromising growth. I must add while we are focused on growth, working capital cycles may fluctuate in line with customer requirements including strict delivery timelines, testing new prototypes for customers etc. We continue to focus on reducing our working capital cy cle and with the current headwinds in our key markets, we expect it to fluctuate in the short term and hope to achieve a reduction of 10 -15 days over next 6 to 12 months.
As on 31st October we have INR 125 (approx.) crores in cash. Out of this, INR 50 (approx.) crores is earmarked for investment in our US subsidiary, Sienna to prepay costlier source of funds and the balance Rs 75 (approx.) crores will be surplus meant as a reserve and growth capital. Additionally, we prefer to keep the existing working capital lines in India available, amounting to about INR 185 (approx.) crores. This additional cushion should allow us to aggressively bid for and execute significantly larg e orders which are in our pipeline and also be open for any inorganic growth opportunities.
In summary our Q2 FY24 performance was characterised by the significant growth in domestic business in spite of the US geography slowdown and the related fixed costs. We hope to achieve the lower end of the guidance with a cautious outlook, and it is based on the US market resurgence and our strong domestic market outlook. Thus, in terms of FY24, we expect that H2 will be stronger than H1. Regarding margins in the upcoming quarters, in sp

ite of the headwinds,
with measures like saving in interest costs, op timisation of our manufacturing operations and cost rationalisation in US which our CEO talked about, margins will be under pressure in the near term but we are hopeful of maintaining or achieving margins similar to that of our of FY23 levels. With this, I request the moderator to open the floor for Q&A.
Moderator: Thank you very much. Our first question today will come from Navid Virani of Bastion Research. Please go ahead.
Navid Virani: Thank you for the opportunity, sir. Firstly, it is encouraging to see a gross margin expansion. I wanted to understand around the sustainability part of this as well as what is expected to drive the same going forward adjusted element?
R M Subramanian: I will repeat the question. Subramanian here, you talked about the gross margins and you talked about sustainability of the gross margin. Is it right? That is the question?
Navid Virani: Right, right. That is what I wanted to understand.
R M Subramanian: Let me answer that. We have achieved a margin of about 37.5%, which is obviously good. This quarter has been characterized by good margins in terms of a couple of service business as well.
In the long run, I think we have been consistent in saying 33% to 35% is something which we

will look at the number in terms of the gross margin. This time has been much better, but we cannot take it as a long run average.
Navid Virani: That is helpful. The last question which I had was that the growth in the Indian business which we saw this time was around 1 6%. Now, if I see this in the context of the current industry positioning, this growth looks slightly on the lower side. Can you give us some understanding on this as well as how do you see the future outlook here? That is all. Thank you.
Kunhamed Bicha: Absolutely, Navid. This is Kunhamed. See historically, we have been an export business. If you go back three or four years, we were 70 -75% export and 25-30% India. To be honest, the potential of India was realized in the last 6 to 12 months. We are actively pursuing Indian customers in the longer term.
So that's why you are starting to see the growth actually grow significantly now and it will grow significantly as India is doing extremely well compared to the global economies. Did I answer your question, Navid? So, we started a little bit late to getting into the Indian market. We were primarily an export -driven business.
Navid Virani: Thank you, sir. Thank you for the understanding. I wish you all the best and a Happy Diwali.
Kunhamed Bicha: Happy Diwali to you too, Navid.
Moderator: Our next question today will come from Renu Baid of IIFL Securities. Please go ahead.
Renu Baid: Hi. Good afternoon, team. My first question is if you can split the financial performance between India and US. You did mention about revenue, but how was it at EBITDA and PBT level? So, what was the EBITDA loss from the US business in the console numbers and PBT loss?
R M Subramanian: In terms of India and US manufacturing business, that is something which we don't publish. But just a broad -brush number in terms of allocating cost based on that - The India manufacturing business EBITDA margin is about 12% to 13 % and P AT margin is about 9% to 10%. And we have achieved about a INR15 crores profit in terms of India manufacturing business in terms of the quarter.
Renu Baid: Sorry, I missed the number.
R M Subramanian: 15 crores.
Renu Baid: 15 crores of profit.
R M Subramanian: Yes. S o, in terms of the US manufacturing, as KB talked about and I also indicated, there is a drop in sales and the fixed cost is higher. So that's into losses. And what we are seeing is a net impact about INR 7.28 crores in terms of consolidated profit. Okay. So overall, I think the business in terms of both EBITDA and a

t PAT levels continue s to remain healthy and profitable.
And the business model, what we want to continue and sustain on, it's the US manufacturing business model that we need to focus on. And we have started work on that. It will take a couple

of quarters to yield results, but that's what we want to continue in terms of onboarding customers in the US and then moving on to India, which is where we should continue to make profit.
Renu Baid: Got it. And cumulatively for the first half of the year, what was the net loss from the US business?
R M Subramanian: Again, broadly, it's about INR 15 crores.
Renu Baid: Okay. Got it. May I g o ahead ?
R M Subramanian: Go ahead, please.
Renu Baid: So, this almost INR 7 crores to INR 8 crores kind of quarterly loss which this business is generating after the various cost out actions that you have undertaken in 2Q and which you plan to do in second half , what are your targeted guidelines for bringing down the losses in the next two quarters, assuming things in the US remain the way they are or may worsen in the third quarter?
R M Subramanian: Okay. So, I think we did talk about the measures which we are taking. The measures are at two levels. One is looking at the operating cost and fixed cost, perso nnel cost coming down, and also moving some of the production from the US to India. And as you know, moving production does take time in terms of a product. We need to work with the customer.
So, we have started the process, and the effect of that will be felt over next one to two quarters. On a consolidated basis, we hope to achieve the margins of what we have achieved last year, and that's what our target is in terms of moving forward.
Kunhamed Bicha: So, Renu, if I can add to it. What we're trying to do is optimize personnel cost, which is very high in the US. At the same time, move some of our existing customers to India, who have been there with us, and because the US costs are rising, not for us, for everybody in the US. So that transition is also happening.
So, it's twofold. One is reducing cost, and one is transfer of product. And we intend to keep only

clean energy product manufacturing in the US. 50% of our customers agree. The other 50 %, we are in the process of making them agree. Let's put it that way. So, it's a work in process.
Renu Baid: And what is the estimated reduction in cost for the US operations that we have in our mind? Which we are targeting?
Kunhamed Bicha: I don't want to give a number, but it's substantial.
Renu Baid: Got it. Surely. Second, while you've highlighted entry into automotive EV business, can you share a bit more details in terms of what applications are we getting within the EV portfolio? You mentioned about charging solutions for the EV major. And by when do we see revenues kicking in from this customer? And will this be part of the clean energy segment or the industrial business for us?

Kunhamed Bicha: I'll answer the last bit initially, if that's okay, Renu. It will be part under our clean energy business because we've been doing that. If it's EV, we are doing that. We are actually doing all the pieces for the vehicle. So any electronics part, it's an e nd-to-end solution with three or four different products going into the vehicle. And we hope to start the initial runs in Q4. And we have secured orders for the next 12 months.
Renu Baid: So, when you mentioned you're doing everything, is everything relating to the powertrain or also other electronics, including in fotainment , lighting and other solutions for the four -wheeler?
Kunhamed Bicha: Okay, I don't want to say the four, three or two -wheeler, but it's three or four different boxes for the vehicle.
Renu Baid: Got it. And this is all on a box -built basis?
Kunhamed B

icha: Exactly. All of it is box -built.
Renu Baid: Thirdly, on the CDAC development which you have shared, so just trying to understand the revenue potential from this initiative of Make in India. And recently, one of the other leading EMS companies had also announced getting approvals with CDAC for one o f the supercomputing machines under the same mission of localizing these computing machines in India. So just want to understand Avalon's role here, the opportunity, addressable market. And in your view, how many other vendors are working with CD AC for the same solution?
Kunhamed Bicha: From what I understand, I cannot speak for CDAC, it's only going to be three vendors, and you know the other two, is what we understand. We've been working with CDAC for the last four years. Since our entry aggressively into the Indian market has been in t he last year, the target number is all over the place. I cannot pin to a number. You may have a better number on it, but it could be a three -way split in that case, or it could be three vendors trying to support what they can.
Renu Baid: But can this become like a 5 billion business portfolio for us in the next three to four years?
Kunhamed Bicha: That's a difficult question to answer .
Renu Baid: What is the utility of this IT product vertical for us?
Kunhamed Bicha: So, because it's servers and it's higher end, that's why our interest . And since we are vertically integrated, we do a lot of the pieces internally. And we have done for Rudra 1, apart from the PCB, we have done all the parts for them internally.
Rudra 2 is coming up, I think that's where the scale is going to come. So, I'm hoping that we get a better understanding on the scale and scope as the government decides what they want to do with it. Because the whole IT policy is in different stages today. Once the clarity comes is when they make in India . I don't think it's going to be a $5 billion opportunity, to be honest.
Renu Baid: Million -rupee opportunity, sir, not dollars. Sorry.

Kunhamed Bicha: It could be. When you said 5 million, I apologize for that.
Renu Baid: Yes. 5 million is a very realistic number, I thought so.
Kunhamed Bicha: Okay. That could be, I would say, yes, that's possible. I heard it was a million for some reason.
Renu Baid: No, no, I'm not talking in dollar terms. Sorry for that. And lastly, while we spoke about all the new opportunities and the restructuring underway in the US, what would you like to comment in terms of the revised guidance for fiscal 24? Net margins you ha ve mentioned you want to target same levels as last year, but in terms of revenue growth, how should we look at the year - end EBITDA margins?
Kunhamed Bicha: See, our focus is a three -year journey, and ‘25 and ‘26 are looking really strong today. Apart

from this, we have added another seven customers, one in the r ail segment, two in the industrial segment, and one more division of one of our existing customers in the aero s egment. So, we feel very confident of the future.
The immediate question mark for us is how soon will the US market come back? There are different views on it, and we believe that some of the inventory correction that's happening is very much underway, and we may possibly see all these customers come back in the near term, but it's a toss of a coin when they're going to come back. So I believe that that is the crux of where the range will be.
That's why I said we are on the lower end of our guidance, with a little negative bias that could change drastically if one of our customers is back in production. And saying all this, we believe we have not lost any customer through this whole process. It's just wait and watch for the business to come back. And these customers are very cons istent with us for the last five or six years.
Renu Baid: Sure, and just if you can r

emind us of what has been the lower end of the guidance. Maybe I've missed that number.
R M Subramanian: Yes, Renu, this is Subramanian here. In terms of the revenue guidance, we have talked about 15% to 25%. And as our CEO said, we are hopeful of achieving the lower end of the guidance.
Again, the key thing has to be when the U.S. market comes back, because we continue to be focused on the export -focused markets.
Renu Baid: Got it. So maybe 10 to 15 may be a more realistic number to expect for the current year.
R M Subramanian: The U.S. economic macro conditions are difficult under pressure. So this is what I hope and we are working towards it.
Moderator: Our next question today will come from Meet Jain of Motilal Oswal. Please go ahead.
Meet Jain: I just want to understand the end of the mix right now. Clean energy mix has been going down and the Q1 also has witnessed sluggishness. So earlier in a phone call, we said that our clean

energy mix is going at a very fast pace and will always be around 35%. This 35% is including the new orders of EV, I guess, you're thinking about, or it is entirely the US orders?
Kunhamed Bicha: So, Meet, it's a mix. So, we have two of our larger EV customers where we predicted that it's going to go to 35%. We still believe over a period of time, it's going to go to 35%. And the EV is an additional part to that. Does that answer that question?
Meet Jain: Yes. And next is on the aerospace part. So, standing with the ballpark growth, how did the aerospace division build in this quarter and the first half? And the new orders which we talked about, the factory transfer and the plastic tooling, how are they pr ogressing?
Kunhamed Bicha: So, the usual aerospace business is going relatively the same. The wiper blade, as we have started the processes to get that into production, we see that coming on board in Q2 of next year. And the number of wiper blades, I think it's close to 200. The fir st set will start to go through in the early part of next year. The other good opportunity we have is in, not opportunity, we have already, FI I has approved for cables and planes. And these are in the cabin space.
And secondly, a new customer, a different division of one of our customers has also given us particles to be approved for cable. And these will be a substantial piece once the approvals come through. So, for metal, we went to plastics, and now we are in cables, mostly in the cabin and some part in the engine.
Meet Jain: Understood, understood. And the last question is on the industrial side. Industrial and the order book side. So, current order book of almost INR 200 crores. Can you provide a broad mix of how much is for US and the Indian business?
Kunhamed Bicha: See, our goal always has been going to the future to do 50% India and 50% US because of the reasons you see today, the economic changes on both sides. So, we want to capture both. So, our intention will always be to get to the 50 -50 mix. In the last quarter, I think the orders from India are much larger in comparison to the US. But again, we are getting six or seven new customers coming in in the US. And though the eco nomy is slow, we are acquiring customers.
We are also invested in three new regions for our sales folks with new hires on business development. And though, we are reducing costs, optimizing costs in other regions, we are still investing in business development. We are a firm believer when the US e conomy comes back, we will have much more to deliver.
Meet Jain: Okay. Thanks a lot, sir. Thank you.
Kunhamed Bicha : You're welcome.
Moderator: Our next question today will come from Karan Sanwal of Niveshaay. Please go ahead.
Karan Sanwal: Yes, thanks for the opportunity. I have a couple of questions. The first question would be, there is an increase on the working capital side, there's

an increase in inventory days and there's a
reduction in payable days which is causing our net working capita l to go up. So, I wanted to

understand, like, when do we expect them to stabilize and what will be the targeted level of net working capital days that we are internally targeting?
R M Subramanian: Yes. Subramanian here. And I'll take that. In terms of, as you rightly said, net working days is broadly flat between last quarter and this quarter. In terms of guidance, we wanted to look at a reduction of about 10 days to 15 days in terms of working capital . But considering the market condition in terms of US pressure and also the customer push out in terms of or ders, it remained broadly flat.
But we continue to be hopeful of achieving what the guidance gave in terms of reduction by 10 to 15 days in the next 6 to 12 months , which will be essentially led by reduction in inventory days and also pushing up for payable days a little more. In the long run, we hope to achieve 120 days, which is what we were pre -COVID and in the medium term, not in the short term, medium term, we hop e to achieve the same as well.
Karan Sanwal: Okay. And also, continuing on the question that the last participant asked, I wanted to understand the mix of order book between segments. If you could broadly highlight which segment is contributing more to the order book, the current order book?
Kunhamed Bicha : Today, I would believe it will be clean energy and followed by industrial.
Karan Sanwal: If you could give a ballpark number, how much portion would it contribute, the clean energy and the industrial part?
Kunhamed Bicha: I would say these two will be north of 60% together.
Karan Sanwal: Okay. Thanks for the clarity. And one last bit of question. I understand that many participants have already highlighted, but just wanted to understand when we ’re saying that we ’re targeting an EBITDA margin similar to the last year, we actually need to do around 15%, 16% EBITDA margin for the H2 as compared to H1. So, just wanted to like, are we confident enough to achieve that target for the next half of the financial year?
R M Subramanian: Subramanian here. And I ’ll take that as you said, yes. So, in terms of our focus is on achieving the bottom line in terms of the PAT and the profit margins. So, our focus and endeavor will be to achieve the same and typically our H2 is stronger than H1. So, what we believe is the market should come back, tho ugh we cannot predict the exact time, the market should come back. And we’re also working on reduction in cost in terms of personal cost and moving some of the operations into India.
So, all of that should give some more savings in terms of the cost, coupled with savings and interest costs, we are hopeful of achieving the bottom line in terms of what we achieved last year. And H2 has to be stronger than H1, as rightly said.
Karan Sanwal: Just a last question. What you are saying that the Indian market is contributing to the growth. So, I just wanted to understand which are the main drivers of growth in the Indian market as of now?

Kunhamed Bicha So if I can take that. Yes, so the Indian manufacturing, when you say 75% of Indian manufacturing, it is some of the export as well as the Indian market. Okay, together. So, from the manufacturing standpoint, the growth is going to come from clean energy as well as the industrial side . As you very well know, we've been in the rail industry for quite some time. We are seeing substantial projects from our existing customers, as well as we have signed a new global major in the rail segment. So, we hope as India's growth story in rail s treams ahead, we'll be a very, very strong part of it in the future.
Karan Sanwal: Okay, great. Thank you so much and all the ve

ry best for the next, yes, thank you.
Moderator: Our next question is from Neel Nadkarni of Dalal & Broacha. Please go ahead.
Neel Nadkarni: Yes, thank you for the opportunity, sir. So, most of my questions are answered. So, I have a couple of questions over here. So, you just now mentioned that the rail industry, you believe that will become the substantial part of your business going ahead that should grow. So, do you expect this also to be in the 10% to 20% or how do you ex pect this? Can you throw some color on that?
Kunhamed Bicha: So, historically, we look at mobility, which is auto, air and rail, but EVs we count in clean energy, just for the groupings. So, we believe rail today is a substantial portion of what we do.

And with the India growth story, rail will continue to be a subs tantial portion of what we do. We are in railway interlocking signaling, we are in braking, we are hopefully getting into KAVACH and as well as parts for our customers for the Vande Bharat.
Neel Nadkarni: Thank you, sir. And the second question is, historically, sir, what has been your trend like H1 and between H1 and H2? Can you just clarify that?
R M Subramanian: H1, again, it varies, but broadly in the range about 45 % & 55%. But typically, if there is a boost in decision making , it can be much stronger, but that's the normal number.
Neel Nadkarni: Right. And the recent customer acquisition, which have been made in the US or made in India. So, majorly, when do you expect these customers to ramp -up and contribute a significant portion, like how much time generally it takes for them to ramp -up?
Kunhamed Bicha: So, ideally, it's four months to six months. In the air sector, it's a bit longer. Air and the rail sector is a bit longer. If it's an industrial/communication, and I believe in the EV side, we should be in production four months to six months. So, I would say, late part of Q4. And primarily, a lot of these projects will kick in full stream in '25.
Neel Nadkarni: Thank you so much, sir.
Kunhamed Bicha: You're welcome.
Moderator: Our next question today will come from Ashish Rawat of M S Klebstoffe. Please go ahead.
Ashish Rawat: Hi, sir. Good afternoon. Sir, my first question is regarding the equity, which went down from 71% to 50%. So, what was the reason, sir, and where we utilized that money? This is the first.

Sir, my second question is regarding hydrogen electrolyzer. You have mentioned in your opening remarks. I want to know about this particular segment about product. In terms of number, in future, how big this concept is, sir? I have two questions, sir. Plea se.
R M Subramanian: So, on the equity part, I'll take it. I think you are referring to usage of OFS money, okay, which got used between June and September. Basically, this remained in our bank account, and then subsequently paid off to the selling shareholders. Okay. But othe rwise, in terms of equity, there's no reduction.
Ashish Rawat: Okay.
Kunhamed Bicha: So, we've been working on the hydrogen project for the last two years, doing various components. It's a fairly large system, and it's a very expensive system in our normal running into lags. So, we're building the first 100 units this year, maybe 60 to 100 units this year, and the projections are anywhere from 300 units to 600 units the following years.
Ashish Rawat: Sir, we have seen you recently participate in India Mobile Congress. Sir, what is our contribution in 5G and 6G networks?
Kunhamed Bicha: Yes, we've been working with various, like I mentioned earlier in the call, the last six months to a year is when we have truly entered the Indian market. We are very focused outside the country , when export was the key. And with the Indian economy booming and Indian market expanding, with China Plus One and things, we believe we have worked with various custo

mers on 5G,
especially getting them from PCB layout to prototype. And we've never taken a company completely into production as it's evolving today. We see a big opportunity in certain parts of 5G. That is why we were in the conference. It is multifaceted, and I hope that will bear fruit in the future.
Ashish Rawat: All right, sir. Thank you so much.
Kunhamed Bicha: You're welcome.
Moderator: Our next question today will come from Rahul Gajare of Haitong Securities. Please go ahead.
Rahul Gajare: Good evening and thanks for the opportunity. I'm not sure if you answered this question earlier on profitability. So, I want to understand, the drop in EBITDA margin in this particular quarter, is this all mainly because of the US operations or are there sectors of segment contribution which has impacted your overall profitability?
R M Subramanian: Subramanian here, Rahul. If you look at the gross margin, it has gone up. So essentially it's not a problem with the margins of the customers. It's been essentially led by the operating leverage impact, which is drop in the top line and the fixed cost being there, wh ich automatically leads to the drop in EBITDA. So, it's not to do with specific customers. It's more to do with the operations and the higher fixed cost. And it's dominated by the US market where the top line did go down, but the fixed cost remained higher. So that's been the pressure on.

Rahul Gajare: You did talk about the growth. Is it possible you can give us a contribution of US revenue in the INR 200 crores that you've done in this quarter?
R M Subramanian: Sorry, can you repeat the question?
Kunhamed Bicha: No, US revenue. So as of now, we do 75% of our production is done in India and 25% is done in the US, if that answers your question.
Rahul Gajare: Okay, great. Thank you very much.
Moderator: As there are no further questions. I would now like to hand the conference back over to Bhoomika Nair for closing comments.
Bhoomika Nair: Yes, thank you to all the participants and particularly the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best.
Kunhamed Bicha: Happy Diwali to all. And thank you very much for the opportunity to talk to all of you. And wish you a very good evening. Thank you.
R M Subramanian: Thank you.
Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

“Avalon Technologies Limited
Q3 FY'2 4 Earnings Conference Call ”
February 02 , 202 4

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MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON TECHNOLOGIES LIMITED
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MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED
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MR. SURESH V.R. – HEAD OF CORPORATE PLANNING AND INVESTOR RELATIONS – AVALON TECHNOLOGIES LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Avalon Technologies Q3 FY24 Earnings Conference Call hosted by DAM Capital Advisors L imited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you ma'am.

Bhoomika Nair: Yes, good afternoon everyone and a warm welcome to the Q3 FY24 earnings call of Avalon Technologies. I have with me the management being represented by Mr. Kunhamed Bicha, Chairman and Managing Director, Mr. Bhaskar Srinivasan, President, Mr. Shriram Vijayaraghavan, Chief Operating Officer, Group, Mr. R. M. Subramanian, CFO, Mr. Michael Robinson, COO, U.S. and Mr. Suresh V.R., Head, Corporate Planning and Investor Relations .

At this point, I would like to hand over the floor to Mr. B icha for his initial remarks post which we'll open up the floor for Q&A. Over to you, sir.

Kunhamed Bicha: Ladies and gentlemen, on behalf of Avalon Technologies, I extend a warm welcome to our Q3 FY24 earnings call. I'd like to express our sincere gratitude for your continued trust and interest in our company during the past few months. Before we dive into the financials, let me provide a quick introduction to Avalon Technologies, particularly for those who are joining us for the first time.

Avalon Technologies was established as a key player in electronics manufacturing services with a global reach. Our journey began in 1997 with the vision of introducing top -tier electronics manufacturing to India. Today, we take pride in our leadership in h igh-mix, flexible volume manufacturing, serving a diverse range of industry verticals, especially in integrated solutions that require significant engineering expertise.

We currently operate across 12 manufacturing facilities in India and the United States and we are also adding two new manufacturing facilities in India. Our three key differentiators are ' One, vertical integration. We are a one -stop shop offering a true box -built solution that involves PCB design, new product development, cable assembly, sheet metal, plastics, magnetics, fitting, and logistics. We do end -to-end development from PCB design to manufacture of final product. Global presence, both in terms of manufacturing and customer base ; Three, optimal mix of established industries like ; industrial, rail, aerospace, auto, medical and emerging industries like clean energy.

Now, turning to our business performance, as previously discussed our operations in Indian market is on a positive trajectory. We have seen a 12% year -on-year revenue growth for the

nine-month period ending December 2023. Importantly, our Indian manufacturing, which represents 77% of our business, remains highly profitable with operating margins of 12.8% and PAT margins of 8.7% during the nine -month period ending December 2023.

We are consistently attracting new customers and expanding our clientele across diverse sectors, including power, clean energy, EVs, industrials, automotive and medical. With increasing demand from our clients, we are focusing on enhancing our capabilities . We are nearing completion of two new plants in Chennai with one expected to be fully operational by Q1, FY25 and the other to kick into gear over the next fiscal year.

Coming to our U.S. business, we continue to win new opportunities from our U.S. customers that will be manufactured in India . U.S. plants have begun productions for contracts that were previously on hold due to f

actors like inventory rebalancing and macro uncertainties. We anticipate the recovery of the U.S. market comments in H1 , FY2025 and gain significant momentum in H2 2025.

Having said this, it is crucial to acknowledge that the performance of our U.S. business has been challenging and our assumptions regarding the recovery timelines were somewhat optimistic. Despite the anticipation of improved market conditions this quarter , the U.S. remains volatile. Persistent challenges in the U.S. operation have led to losses of INR22 crores over the nine -month period, ending in December 2023. These losses in the U.S. operations are temporarily overshadowing the strong performance of our Indian operations and impacted our overall results.

In our ongoing effort to enhance efficiency amid challenging times in our U.S. operations, we are actively addressing short -term challenges in the U.S. , these initiatives involve two specific measures. One, optimizing production allocation from our U.S. plant to our India plant, rationalizing costs with our U.S. operations , we believe the results of these initiatives will be more visible in FY25 performance.

Despite these measures, it is critical to highlight the pivotal role played by our U.S. manufacturing presence that serves as our front end. It facilitates customer on -boarding and strategically acts as a beachhead to expand our market reach. Additionally, it allows us to enhance our positioning in alignment with the Inflation Reduction Act in the U.S. .

As highlighted in our earlier call, our strength lies in our global outreach. With over 50% of revenues originating from the U.S., this has allowed us to gain deep understanding and complexities of operating a globally interconnected economy. Like any expo rt-dependent business, we are currently navigating the near -term economic headwinds emanating from the U.S., while our diversified customer base across U.S. and India, coupled with our hybrid operations, has historically been advantageous, it also exposed us to prevailing global trends that purely go straight to the U.S. market. The Indian and U.S. markets are currently operating in remarkably different environments and their respective performance , reflect that.

For the full financial year 2023 -2024, we expect our overall business to report a degrowth of 8% to 10% on a year -on-year basis. Although our previous expectations for higher consolidated growth have been assisted due to uncertain demand environment in the U.S., it is important to note that the execution timelines of these contracts have been ex tended and we have not lost any customers.

Our margins directly correlate with the throughput from our revenues and therefore we anticipate subdued operating margins of around 7% to 8% for FY24. As revenues increase, we expect a proportional rise in operating and profit margins. The gross margin of 36% for nine months ending December 2023 indicates that we remain highly value -adaptive, delivering complex box - builts and maintaining our premium standards to uphold our position as key partners to our customers.

Despite the challenges we face in FY '24, our organization is filled with enthusiasm as we recognize the significant decadal market opportunity that lies before us. Transitioning to an update on the new businesses in the order book, in summary, our order book stands at INR1,275 crores as of December 31, 2023, with an executable timeline of 12 mo nths to 14 months.

Additionally, we hold long -term contracts amounting to INR843 crores, which are set to be executed over the next 2 to 3 years.
Now let me give you a brief on a few of our select ways. For a US Clean Energy customer, the commercial production is set to start from late H1, and ramp -up production is expected to start in early H2. In the aerospace wiper blade assembly project, we are happy to sh

are that we have
successfully delivered the first wiper blade assembly samples, marking a key milestone in our aerospace segment, and we anticipate commercial production in the second half of next year.
The server vertical, we are proud to announce Avalon is now a strategic manufacturing partner for C -DAC, playing a pivotal role in advancing India's capabilities in high -performance computing through the Rudra program. We have been involved in the process of Rudra through providing advanced PCB designs and prototypes. We'll have more details on this opportunity site and timeframe in the coming quarters.
In the mobility segment, we are working on – with one of India's innovative EV manufacturers, and we expect production to commence in the first half of the next fiscal year. Additionally, we also have some major wins in the US and India. These include cus tomer wins across verticals, such as rail, power, industrial, clean energy.
Our role as a strategic partner to our customers is evident in our ability to retain all our customers in the US even during these difficult times. In summary, our recent emphasis and execution in the Indian market has yielded positive results, and we ant icipate sustaining this momentum. Furthermore, we expect our US business to recover in H1 FY '25 and gain traction in the second half of '25.

It is essential not to lose sight of the long -term vision and opportunities while dealing with short -term challenges. We are preparing our organization for years of growth ahead. Avalon stands strong, navigating adversity with resilience and focusing on bu ilding a business of profitable growth in the long term rather than growth at any cost in the short term.
I will now hand over the call to our CFO to walk you through the financial performance in detail. Thank you.
R M Subramanian: Thank you, KB, and good evening, everybody. Thanks for joining the call today. I would like to start by reiterating the critical factors influencing the company's performance that remind the same as mentioned in the previous call, and this includes the cha llenges faced by the US economy have resulted in a significant drop in sales within the US market.
To point number two, our distinctive hybrid business approach includes export -focused sales and manufacturing facilities situated both in India and the USA. While our export -driven model yields higher margins and better profitability, the current condition s pose substantial challenges, much like other export -focused industries such as IT.
The volatile US market conditions are still prevalent longer than we anticipated a few months ago, and we see the execution time being delayed as a result of this. While we continue to retain all our customers and actually grow our order book, we now expec t FY '24 to perform below our earlier expectations.
As a company, we are actively working on adjusting our business strategy to align with the current market conditions. Our efforts include, one, heightening our focus on the Indian market to achieve a 50 -50 ratio between the USA and India, and all the whil e maintaining our presence in the highly profitable US markets.
Two, shifting more of our manufacturing operations to India and optimizing our US -based operations accordingly. Three, adjusting our manufacturing rate gradually towards a ratio of 85 -50 15 between India and US. While we are noticing improvements in all the three fronts, please note this is an ongoing effort to realign our strategy and reduce business risk. It is a work in progress and may take a couple of quarters to yield tangible results. In the interim, it is crucial to view this quarter's performance w ithin the context of the above -mentioned near -term challenges.
Now, moving on to the performance in the last quarter in detail, in Q3 FY '24, our revenue from operations is INR214

crores, a decrease of 7.9% year -on-year, and an increase of 6.6% quarter -
on-quarter. In nine months FY '24, our revenue from operations is INR650 crores, a decrease of 3.4% year -on-year. Gross margin is INR79 crores, down by 5.3% year -on-year, and an increase of 6% quarter -on-quarter basis.
Gross margin as a percentage should have 37% and increase of 104 bps year -on-year, and a decrease of 21 bps quarter -on-quarter. EBITDA is at INR16.5 crores, down 18% year -on-year,

and an increase of 31% quarter -on-quarter basis. EBITDA margins stood at 7.7%, a decrease of 96 basis points on a yearly basis, and an increase of 145 basis points quarter -on-quarter basis. PAT stood at INR6.6 crores, up by 14.7% year -on-year, and a decrease of 9.6% quarter -on-quarter basis. PAT margins at 3%, an increase of 59 basis points year -on-year, and a decrease of 50 basis points quarter -on-quarter basis. Coming to IPO fund utilizatio n, our approved IPO fund utilization consists of debt repayment of INR145 crores, working capital requirements of INR90 crores, and general corporate purpose requirements of INR64.57 crores, post -issue expenses. We have fully utilized all our IPO funds that have been made available post -issue expense, and we have now applied for the release of bank guarantee with SEBI and expect to carry out soon. This will bring the IPO process to a close. Utilizing a mix of IPO and company -generated funds, we have repaid our debt in Indian Companies balance sheet completely, and are left with approximately INR100 crores of debt in our US subsidiary.

Moving on to working capital management, working capital days were 155 days in Q3 FY '24, compromising of 124 days of inventory, 68 days of receivables, and 37 days of payables. The increase in inventory days can be attributed to accumulating inventory, h olding to assign new customers, and initiating the production process for the sale. Our supply chain is almost normalized, and we will derive the benefits from the subsidy going forward.

While we had earlier anticipated a sharper improvement in working capital, we now expect to take a longer time frame due to the reasons mentioned above. We continue to improve our payable days, and are aspiring to reduce our working capital cycle by 10 da ys to 15 days over the next 6 to 12 months.

As of the end of Q3 FY '24, we have a surplus cash of approximately INR103 crores in the form of short -term investments, out of which INR50 crores is earmarked for debt repayments in our US subsidiary. To prepay costlier source of funds and the balances fo r the purpose of reserve and funding the growth.

Additionally, we prefer to keep the existing working capital lines in India available, amounting to about INR185 crores. The open working capital lines have markedly improved our ability to bid for larger orders aggressively, which will reflect in the upco ming quarters.

In summary, our Q3 FY '24 performance was characterized by significant growth of domestic business in spite of the US job -related slowdown and the related fixed costs. While we had earlier anticipated the revival of US business to begin in Q4 FY '24, we n ow see production timelines extended by 3 to 6 months. We will see a gradual ramp -up in H1 FY '2 5, and expect to strongly continue in H2 FY '25.

In spite of lower than expected operating margins for FY '24 at consolidated level, the healthy profitability parameters of the Indian manufacturing part of the business, transforms the fundamentals of our manufacturing operations in one impact. Further, I would like to mention that we are beginning to see the effects from our efforts to optimize operations.

Additionally, we continue to win customers and maintain our premium brand value with industry -leading growth margins. While F

Y '24 might have been a difficult year for us, I have no doubt that upcoming years will be very fruitful for Avalon.

Thank you for all your support. Bhumika, over to you.

Moderator: Thank you. Shall we begin with the question -and-answer session?

Navid Virani: Yes, we can.

Moderator: We will now begin with the question -and-answer session. The first question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: For domestic market, our growth is 14% and when we see the overall industry growth and other companies' growth is higher double digit. So I can understand the US market is facing challenges. why are we not growing at higher double digit in domestic market ? what are the key strategic decisions, manpower recruitment and product development? What are we doing to accelerate the growth in the domestic market?

Kunhamed Bicha: Sumant, thank you for the question. Just to remind our investors that we were primarily, if you look at us, three years back, a very export oriented business. We were around 70% export and only 30% India. It is in the last 12 to 18 months where we have rea lly worked on getting deeper

into the Indian manufacturing environment. At the same time, India's manufacturing environment has grown and we are starting to see the initial growth.
And i n the coming few quarters, you will see these numbers looking a lot better as we capture some of the potential of what is coming out of India. And I think for us, we are late entrants into the Indian market and we are seeing a good resurgence for us with t he growth in India. If you look at us today, we are 53% export and starting around 47% India. Three years back, like I said initially, we were 70% export and 30% India.
So our growth story in India is beginning now. And we can see that happen across multiple industries, whether you take EV, whether you take rail, whether you take industrial. We are starting to see the orders come in and the contracts, which will expand t o the rate which you just mentioned in the coming years. Did I answer that question, Sumant?
Sumant Kumar: Yes. Now, talking about the US business, what are the indications we are getting? Is there a possibility of the capex cycle revival on rate cut or any clean energy side we see huge opportunity? What are the challenges currently happening and when we can ex pect, you were saying, but what are the key challenges and what are the indications you are getting from your clients?
Kunhamed Bicha: So a primary challenge, if you look at it, I think putting it simple, there were two challenges. One was the inventory correction coming out of the supply chain challenges and before that COVID. Customers operated at a 40 -week inventory time. And when things – interest rates went

up and things were tightening in the US, everybody wanted to go back to the 16 -week lead times, which was prevalent during pre -COVID times. So a lot of that is getting cleared.
We are seeing some of our customers come back with at least 50% of their products, which is a good thing. We have not lost any customers in this process. So I think we are in the beginning stages of seeing the revival of the inventory correction happening. And interest rate cuts is everybody's guess, which direction it's going to go. And I think it's going to go downwards.
That's a personal thought into the future. And that will make things better for us. We are seeing a lot of customer traction in the US, whether it's auto, whether it's industrial. Some of the initial prototyping and some of the initial production is starti ng, but it will all play out into the next few quarters.
Moderator: Thank you. The next question is from Meet Jain from Motilal Oswal. Please go ahead.
Meet Jain: Just following up on the previous participant's question, in terms of the mix you mentioned, currently

we are 50% each, of which 47% of India and USA. This is just because the USA business is not performing. However, if our target is to reach 50%, our Indi a business needs to grow at a very strong pace. Which segments are you focusing on right now in the India business, where we can get a good comfort from the growth perspective?
Kunhamed Bicha: Sorry, I didn't get the last part of the question. It didn't come out clearly.
Meet Jain: Which all segments are you focusing on, where we can get a good comfort for the growth we are anticipating from the India business?
Kunhamed Bicha: One of the key areas for us is rail. We've been in rail for the last 10 or 12 years. We are seeing big opportunities. Of course, we've been in signalling, we have been in braking. Now our main customer has got into Kavach, got approved for Kavach. We're jo intly developing certain product, as well as working with them to get it ready for the Kavach program to launch.
And in the Vande Bharat, we have certain customers of ours who are part of that, who are existing customers. Sometimes they've got a good piece of the Vande Bharat business. We anticipate rail to be one of our fastest growing sectors. Saying that, the nex t sector in the market we are looking at is industrials, whether it's clean air, monitoring.
And these are for some international companies getting into India, as well as energy sector. We are working with a few of our customer partners. We've already started shipping, but the volumes will kick in in the next I would say the next second half or t he early, late first half of next year, when the rail volumes kick in.
Then on the EV side, on the vehicle, we have multiple products on the same vehicle, on the electronics, which go into the vehicle, four or five different products. That we expect to have the launch, or the volume kicking in the first half of next year. These are just to explain that customers are coming from different places.

And then like the world is seeing India as the brightest spot where growth is happening, and we are playing right into that.
Meet Jain: And on the other part, I understand we are a very good client base on the US market, and that some part of US clients are also getting into the Indian market. So how much percent of mix do we have that are getting to both the Indian market and the US market, wh ere we can leverage their relationship and grow in the Indian market?
Kunhamed Bicha: That's a very good question. Most US customers today want to be in the Indian market. When some of the products, we are talking to them, making it in the SEZ, which is for export, and also working with customers. Of course, the Indian market is a little bit on cost s ide. We are working with customers to indigenize some of the products to sell through our DTA unit.
So it's a mixed bag of good things, where if you're already making a certain product, customers are looking to sell that in India, too.
Meet Jain: Okay. Last question is on the US. We mentioned we're facing challenges in the form of inventory correction, and what about demand slowdown? Is there a demand slowdown? Because there has been a good infrastructure build on the clean energy part, and the go vernment there also is pushing on having a rooftop solarization, what recently the Indian government also has mentioned.
So are we seeing a recovery, I don't understand the basic scenario of the market there. If there is a demand and government push, what is the main challenge in terms of our order book?
Kunhamed Bicha: We have not lost any orders. the orders have been pushed out, and we believe the growth is still there with the existing customers. But when you look at us, you have to look at -- we have three engines of growth. One is, like you mentioned, our existing customers coming back to full -scale production, our US customers

.
Second engine of growth for us is the new customers who are kicking in, both in India and US. And we have got substantial headway into that. And three is the Indian market itself is, I would say, the most dynamic market we can see today. And we are excited that we're hoping two or three, or all three will kick. I mean, that's what we're looking into the future.
Meet Jain: Okay, okay. Thanks a lot, sir, for the answer. I'll join with you for the follow -up questions.
Management: Thank you, Meet.
Moderator: Thank you. Next question is from Neel Nadkarni from Dalal & Broacha . Please go ahead.
Neel Nadkarni: Yes, thank you. Thank you for the opportunity. So, my question was regarding the latest partnership with C -DAC. What could be the opportunity size over here? And what kind of margins do we expect? And also, does this allow us to compete in the supercomputing market going ahead also?

Kunhamed Bicha: So, Neel, deal we have signed the transfer technology with C -DAC. So that means we can resell the product anywhere if we choose the technology. Apart from the requirements which C -DAC have themselves, the quantum is still not there. Once we know the quantum, what the C -DAC requirements are, we're going to come out and say that. And I think the three players who have been approved, I think the size is big enough for all three. So we are excited about the program. But the quantum in size which is coming out of the government , I believe it is tied to the budget. But we are excited that we are in with them. We have worked around two and half to 3 years with them in prototyping and the PCB design of the various products going into this . And ultimately, we will see a sizable chunk coming out of there. So, to be honest, we don't know the exact numbers, but it will be between the three TOT partners for C -DAC.
Sumant Kumar: Yes. Thank you, sir.
Moderator: Thank you. The next question is from Navid from Bastion. Please go ahead.
Navid: Hello.
Moderator: Yes, go ahead with the question, please.
Navid: Yes, hi. Thank you for the opportunity. I have two questions. Yes. The first one is on the employee cost. So our employee cost continues to be very high and also growing despite, more and more manufacturing taking place in India now. So I just wanted to understand a bit on how are we, planning and deploying manpower ? So if you can give a sense as to how it used to happen, let's say, pre the slowdown, which we are looking at in the US ? And how are we trying to change it right now? And how could one lo ok at maybe in the mid to long term? If you can give a sense on this.
R M Subramanian: Yeah, I'll take that. This is Subramanian here. In terms of employee cost, as outlined in the earlier talk, we are taking multiple measures, I think, which is trying to realign the US operations.
Firstly, we are trying to move production from the US to India, which is ongoing the customer

end and then move to India. So that's one initiative.
Other is also trying to relook at operations in the cost, fixed cost corresponding to that. So this being a personal cost in terms of the way it plays out, it does take time in terms of taking that. Then what we need to do is to make sure that the ongoing operations are not disturbed. So we are working on both initiatives.
The long run, our target is to keep about 85% of the operations in India and keep the US operations and the front end the minimum . So as you said in outline in our speech, we want to do manufacturing in the ratio of 85 to 15, because US does have significant strategic advantage having a front end there. And this initiative, what we are taking, will play out in the future. And we'd like to maintain this scale of operations so that as the sales kick in, it will flow down to the bottom line.

Kunhamed Bicha: If I can add to this, what we are truly trying to do is that with the transfer of products from US to India for my existing customers in the US plant to India plant, there's going to be a timeframe where the products have to be approved in India plant and then the customer has given us the approval to move it. So that's taking time. But saying that, we are halfway through our cost optimization exercise in the US. So you will see, like RMS said, a lot of results showing up in the first half o f next year.
Navid: Okay, that's helpful. So, again, asking from a mid to long term standpoint, can we, I know, estimate a significant rationalization in our employee cost to take place? I mean, not asking you to give a number, but just to give a sense as to what one should, how one should look at given substantial realignment in production which is taking place for us ?
Kunhamed Bicha: Navid, the direction you're taking is possibly very correct.
Navid: Okay, okay, that's helpful. So, the second and the last question is on the working capital situation. So the working capital situation continues to , be difficult for us. Inventory, especially, is continuing to climb . So are we stocking more inventory in terms of better demand, which we are anticipating in the future or how is it shaping up right now?
R M Subramanian: Yeah, I'll take that. If you look at a couple of years back, just pre -COVID, we were operating at about 120 days net working capital and inventory in a similar range , okay . Today, we are above, essentially, on inventory in terms of slightly above the average of what we'd like to be. And we did anticipate a reduction of about 10 to 15 days, which has not happened.
But we are working on the same, and, as I explained in our earlier speech, due to onboarding of some of the new customers, which is happening. And when you have to balance between the working capital efficiency and growth, this is a delicate balance which we need to maintain and we are working on. But as we move along further quarter , we are confident that we should go back to what we've been operating earlier.
Navid: Okay, okay, thank you. Thank you, and all the best.
R M Subramanian: Thank you.
Moderator: Thank you. The next question is from Nikhil Kandoi from Phillip Capital . Please go ahead.
Nikhil Kandoi: Thank you for the opportunity. Can you define how basis the Kavach opportunity and how can Avalon take participating in this Kavach opportunity because other players are saying that they will go into Kavach and explore the opportunity. So how confidence is Avalon that Kavach opportunity will flow to Avalon?
Kunhamed Bicha: To say that I'm correct, there were three Indian players approved for Kavach a couple of years back. In the last two or three months, last quarter, I don't remember the exact date, there were two international companies also approved for the Kavach . We are working with one of them to

get the Kavach program going. It will take some time, but we're jointly developing it for the part of the system for the Indian market.
Nikhil Kandoi: Got it. Sir, can - sorry, continue. Can I continue?
Kunhamed Bicha: Yes, please.
Nikhil Kandoi: Sir, can we expect from Q4 FY'25 orders of Kavach coming in?
Kunhamed Bicha: No, I think it will take a bit longer, a few more quarters down the road. There's a lot of work for them to get approved, right? So they've been approved by the government, the product has to get approved. So it's not something which is kicking in now. But with the budgets and things

that way, we may be able to speed it up.
Nikhil Kandoi: Got it. And sir, any idea on how much will railway contribute to the overall segment going ahead? In FY'23, I think it was 29% to 30%, if I'm not wrong. Going ahead, what percentage can we expect over t

here?
Kunhamed Bicha: I think in today's context, till all this plays out, we would say we will still grow at 20% to 30% range.
Nikhil Kandoi: And sir, one last question from myself. Sir, in this quarter, we have seen that US operations have been not performing well. But when we look at green energy, which is mainly US operation led, that has grown 100% Q -on-Q. And industry has grown around 67% Q-on-Q. So any comments on that from your side?
Kunhamed Bicha: So I don't think that growth is there. We are seeing an overall slowdown in the US, whether it is auto, whether it is medical, whether it is clean. But the potential of green for us is fairly large. So you will see that play out in the future. But we are s eeing an overall slowdown. It's not industry specific. If it is industry specific, we could have easily managed that.
Nikhil Kandoi: Okay, sir. Understood.
Moderator: Thank you. The next question is from Rutuja Thamankar from Asit C Mehta . Please go ahead.
Rutuja Thamankar: Thank you for the opportunity. But one of your competitors is trying to backward integrate into the OSAT and PCB manufacturing segment. So what are your thoughts? And are you also thinking along the same lines?
Kunhamed Bicha: So for us, we believe that there is enough opportunity in what we are doing. And with the slowdown in the US, we are not looking at it right away. But to say that in a few couple of quarters down the road, when our US side is back, we will for sure look at it. So as of now, we have looked at the metrics, but we have not taken any decision.
Rutuja Thamankar: Okay. Thank you.

Moderator: Thank you. The next question is from Hrithik from Beyond Capital. Please go ahead.
Hrithik: Thank you for the opportunity, sir. I have a question on the order book. Can you give me the breakup of the order book and also break up between domestic and export relating to the order book?
Kunhamed Bicha: So usually, we don't give the break up. But in general terms, I would say it is equally spread. So historically, we said 70 -30 most of the orders will be exported. But now the fastest side of our order growth is from India.
Hrithik: Okay. What will be our capex expenditure for the next year?
Kunhamed Bicha: So for the next…
R M Subramanian: We talked about in terms of earlier our capex spend. Expected capex spend is about INR25 crores to INR30 crores per annum in terms of what we do. We have the buildings which are coming up for completion in next year. So that's part of the cap ital expenditure. Over and above that, we will have regular plant and machinery which will get added as we go along.
Kunhamed Bicha: And just to add to that, we always look to have asset turns over 9x. And we continue to do that. In that sense, like RMS has said, it's INR35 crores to INR40 crores every year.
Hrithik: Okay. Thank you. That's all from my side.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Yes, sir. So just one or two questions. If I look at the industrial segment for 3Q '24, there's been a fairly steep decline. And as a percentage of sales for the last couple of years and also for quarters, we've been around the 30% -35% range. But this quar ter, I think it mentions about 11 - odd-percent. So what has happened for the industrial segment to kind of see a sharp decline this quarter where the inventory wind -down has been happening for the last couple of quarters? So has there been so me specific issue which has happened in the particular quarter?
Kunhamed Bicha: No, on the industrial, I don't see us having a sharp drop.
Bhoomika Nair: Because the share is falling down with the funding?
Kunhamed Bicha: The share is on the medical side.
Bhoomika Nair: Okay. Sir, the other thing was in terms of the outlook, we've kind of toned

down our guidance
from 30% to 20% -25%. We are obviously working on a lot of domestic initiatives with a lot of things in the pipeline. Plus, we are looking at some new client additions in the US, etcetera, not to mention some scale -up of the current order backlog itself, which provides decent visibility. So is it that the improvement has kind of changed a lot? Or the kind of scale -up which was

expected is moving very slow? What is really happening? Because I thought we had much more in pipeline in terms of the client aspect of it.
Kunhamed Bicha: Bhoo mika, most of what is happening in India is starting to happen. And a lot of the wins have been in Q2, Q3 of this year. And we'll see a lot of the traction happen in H1 on the India side.
The US side, of course, some of the big ones, which we don't want to overcommit it, is in process.
We will start commercial production in H1 and ramp up in H2. So we are confident of both. And in that sense, we are hoping that both India and US kick in. We are ready to take on both as they kick in.
Bhoomika Nair: Right. So, if actually things pan out, then the growth can be on the higher end. We're just being cautious in our guidance to that number. Is that the way one should think about it?
Kunhamed Bicha: Yeah, I think you should think about it. And we are also learning as we go. I mean, the expectation of the U.S. slowing down was not there three quarters back. And we thought we'd come back earlier than what is happening today. But the silver lining is not hing is lost. And some of the customers are kicking back in.
Bhoomika Nair: Sure. Other thing was in terms of the inventory levels and, working capital, which has seemingly gone up in this current quarter. So, how do we see that moving? And can we expect a reduction as one moves ahead?
Or, because the shift is happening to India for manufacturing for some of these U.S. clients, will there be an increase in inventory and really not really a meaningful reduction in the working capital as things are planned?
R M Subramanian: Bhoomika, I'll take that. If you see on the trade tables, already we have seen an improvement.
On inventory, I think this quarter has been a slight increase due to the new customer sign up.
So, as I said, it's always a delicate balance. And we need to make sure that when somebody is on board with the required inventory, and their schedules are also a little not clearly defined. So that's the stuff. But overall, I think we should get back, even if it's pushed out by a quarter or so.
But our inventory will go down because it's definitely on the high side. We will go down. But it's taking a little more time than expected.
Bhoomika Nair: Okay. Sir. Thank you.
Kunhamed Bicha: Thank you, Bhoomika. Any more questions?
Moderator: The next question is from the line of Neel Nadkarni from the Dalal & Broacha. Please go ahead.
Neel Nadkarni: Sir, thanks for providing the opportunity again. Sir, I just had a couple of bookkeeping questions.
Sir, our debt reduction going ahead, do we expect that to come down further from our current, I think, INR100 crores debt is remaining?

And going ahead, do we expect our finance cost to remain in this current range? Or do we expect that to come down? And another one was on the tax rate. What tax rate going ahead do we expect?
R M Subramanian: Yes. Okay. So, I'll answer this question. In terms of debt, as we told today, the debt is about INR100 crores, all in Sienna, which is our US subsidiary books. What we are looking forward to repay some of the higher costs that's there in the US. So, about 50% of that will come down.
And interest costs will come down corre spondingly . But already interest cost is lower. But it will probably get lower to that extent.
Neel Nadkar

ni: Tax rate.
R M Subramanian: Okay. Tax rate is, I think, overall weighted average rate. I'd say it's more about like 27.5 is something which is a good number to look at. Or at a consolidated level. But at individual entity level, it will vary. But as you know, tax is done at entity level. At a consolidated level, you can look at that number.
Neel Nadkarni: And, sir, just a clarification. What was the revised guidance? And going ahead on a medium to long term, what do you expect? Can we achieve a n industry growth of 25% to 30% ?
Kunhamed Bicha: So, we are seeing a lot of activity from our different customers. Of course, we are coming from a position of weakness in the US and growth in India. So, we are going through a budgeting process now.
And probably the next call, we can give you a very reliable number. So, we're just keeping that for the next call as we are going through a whole budgeting process. And to make sure that the growth rate which is expected and what we look forward is there.

Neel Nadkarni: Sure, sir. Thank you.
Kunhamed Bicha: Thank you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference back to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair: Yes, sir. Thank you very much for giving us the opportunity to host the call. Wishing you all the very best. And thanks to all the participants for being there. Thank you very much.
Kunhamed Bicha: Yes. From the company side, we are heartened by the strong support from our investors in tough market conditions. We will strive to reinforce the faith that investors have placed in our company.
I express my sincere gratitude for your unwavering support and confidence in our company.
Together, we are poised for an exceptional journey of profitable growth and success. Thank you to all attending this call.

R M Subramanian: Thank you.
Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2024

"Avalon Technologies Limited Q4 FY-24 Earnings
Conference Call"

May 17 , 202 4

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR , AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT , AVALON TECHNOLOGIES LIMITED
MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER , AVALON TECHNOLOGIES LIMITED
MR. SHRIRAM VIJAYARAGHAVAN – GROUP CHIEF OPERATING OFFICER
MR. VENKY VENKATESH – GROUP CHIEF SALES OFFICER
MR. MIKE ROBINSON – CHIEF OPERATING OFFICER , US OPERATIONS , AVALON TECHNOLOGIES LIMITED
MR. SURESH VR – HEAD (CORPORATE PLANNING & INVESTOR RELATIONS), AVALON TECHNOLOGIES LIMITED .
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

Moderator: Ladies and Gentlemen, Good Day and Welcome to Avalon Technologies Limited Q4 FY'24 Earnings Conference Call hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded and now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you and over to you, Ms. Nair.
Bhoomika Nair: Thanks, Nirav. Good afternoon, everyone, and a warm welcome on behalf of DAM Capital for the Q4 & FY'24 Earnings Call of Avalon Technologies.
We have with us today from the management, Mr. Kunhamed Bicha – Chairman and Managing Director, Mr. Bhaskar Srinivasan, President, Mr. R M Subramanian – CFO, Mr. Shriram Vijayaraghavan, Group Chief Operating Officer, Mr. Venky Venkatesh, Group Chief Sales Officer, Mr. Mike Robinson, Chief Operating Officer for US and Mr. Suresh VR, Head of Corporate Planning, and Investor Relations.
Mr. Kunhamed Bicha will give a brief overview of the business performance and that will be followed up by the CFO, Mr. R M Subramanian's remark on the financial performance, post which will open up the floor for Q&A.
As we move forward, it is important to bear in mind that any forward -looking statements made during this call are subject to potential risks and uncertainties, both known and unknown.
Without further delay, I now hand over the floor to Mr. Kunhamed Bicha w ill give for his initial remarks, post which will open up the floor for Q&A. Over to you, sir.
Kunhamed Bicha: Thank you, Bhoomika. Ladies and gentlemen, on behalf of Avalon Technologies, I extend a warm welcome to our Q4 and FY'24 Earnings Call. As we conclude our first financial year as a listed company, I sincerely thank you for your ongoing support.
Before we dive into financials, we would like to highlight key differentiators of Avalon Technologies, especially for those who are joining us for the first time.
Avalon Technologies established itself as a key player in electronic manufacturing services with a global reach. We take pride in our leadership, in high mix, flexible volume manufacturing, servicing a diverse range of industry verticals in complex integra ted solutions that require

significant engineering expertise. We currently operate across 12 manufacturing facilities in India and United States. We are also adding two new manufacturing units in India.
Our three key differentiators are, one vertical integration. We are a one -stop-shop offering a true Box-Build from PCB design to manufacturing, that involves PCB design, new product development, cable assembly, sheet metal, plastics, magnetics. testing and logistics.

Two, global presence, both in terms of manufacturing facilities and customer base.
Three, optimal mix of established industries like industrial, rail, aerospace, medical, communication and emerging industries like clean energy.
There are many positive updates I would like to share about FY'25, but first let me begin by reflecting on FY'24. FY'24 presented a mix of challenges with significant shifts in the US macro environment. Despite our initial optimism, we had to adjust our estimates in late Q1 FY'24 as our customers across various industry verticals reduce d their inventories. Consequently, we took a more cautious approach in the latter half of the year and projected a 8% to 10% year -on-year revenue decline. Ultimately, we ended up with an 8% decline primarily due to a 16% year -over-year decrease in our US re venue.
Our high fixed cost negatively impacted our operating leverage, further re

ducing profits.
However, our Indian manufacturing which serves both our Indian and global customers, representing 77% of our business remains highly profitable with operating margins of 12.7% and PAT margins of 8.5% during the year of FY'24.
Now, transitioning to FY'25, our earlier expectations of a recovery in H1 and significant momentum in H2, seems to be materializing as anticipated. We are seeing positive signs and believe FY'25 will be a pivotal year for us.
Here are a few highlights to underscore our optimism. Our order book witnessed a year -over-year growth, 11% to Rs.1,366 crores with an execution period over an average period of 12 -to-14 months. Long -term contracts in addition to the order book and executa ble over the two to three years grew year -on-year by 58% to 949 crores, though our concentrated efforts on inventory management, absolute inventory levels decreased by 10% from December '23 to March '24.
We remain on track to reduce our net working capital days by at least 10 to 15 days in the next 9 to 12 months.
Importantly, we categorize our business focus areas as three growth engines: All of which are regaining momentum in FY'25 after encountering challenges in the previous year.
Now, let's delve with each of our growth engines. First growth engine. New customers in the US. Starting with our major clean energy customer that we previously discussed, we are pleased to share that long pending product compliance certification for the home electrifying system has finally been approved. This is a significant milestone and in line with our earlier communication, the commercial launch is expected in late Q2 FY'25 with production ramp up anticipated in H2 FY'25. The scale up of this business is expected to be significant in '26.

We are also happy to report several major new wins with industry leading companies in the industrial and automotive segments. For some, we have secured Box -Build contracts while for others, we will begin with PCB and Cable Assemblies.
We have received prototype orders now with commercial production expected in H2 of FY'25. These are existing products with established companies, and we believe they can significantly scale up in FY'26 and has the potential to become some of our top 10 customers, for example, one of them is a market leader in motion control system in the mobility segment, another is a major backup power generation products for residential and industrial markets. We will provide more updates on the same in the coming quarter s.
With the Inflation Reduction Act bolstering clean energy manufacturing in the US and India emerging as a significant beneficiary of the China Plus One strategy, we are confident that our presence in both regions position us for winning new sizable opportun ities.
Second engine of growth, existing customers in the US. These are industry -leading well -established companies across various industry verticals with whom we have partnered for many years. Last year, this growth area faced a significant challenge due to fact ors such as inventory destocking and macro uncertainties. We now believe that the inventory destocking cycle has bottomed out. The restocking cycle has begun for our US customers, albeit at varying rates.
Our efforts last year to gain wallet share with certain customers are also proving beneficial, in a sense, we believe the shift from destocking to restocking has begun and we become more

prominent in H2 FY'25.
With respect to aerospace customers, we have entered the cable harness and lighting products and we have also signed a 15 -year master term agreement with one of the global aerospace majors. We also expect recent order wins in aerospace segment to commence execution in Q4 of FY'25 and ramp significantly FY'26.
Third growth engine, India customers. Looking back at our business five years ago, we were predominan

tly an export -focused company with nearly 75% of our revenues generated outside India. However, over the last 18 -months, we have actively started focusing on the India market. We have made significant inroads in the industrial, rail, defense, and EV verticals. Today, revenue generated from our India customers contributes 46% of an overall revenue.
Speaking of major wins in Indian markets, let us start with rail. One of our major Japanese customers from the railway vertical has recently been approved by Indian Railways for an advanced version of a signaling and interlocking system they currently supp ly. This represents a better value proposition for Indian Railways, and we expect to learn more about this development in the coming quarter. Additionally, th is customer is also approved for the Kavach system in Indian Railways, and we are actively collabo rating with them on this initiative. This further strengthens our relationship with them and augments our business growth potential with the railways segment.

We are also delighted to announce major wins with some industry -leading customers in the industrial and energy s egments . We have secured prototype orders with them and expect ramp production in FY'25. These partnerships have the potential of becoming significant revenue contributors in the late part of FY'25 and FY'26.
While we have made progress in the defen ce sector and communications markets, we anticipate more meaningful order bookings to occur in H2 FY'25, with the execution expected in FY'26.
Transitioning from a detailed overview, we see all three of our growth engines are gaining momentum at different stages, fueling our confidence, and significantly scaling our revenue over the next three years.
While we believe we can comfortably double our revenues in this period, we want to remain cautiously optimistic for FY'25, projecting a14% to 18% revenue growth.
In continuation of our earlier discussion on preparing our organization for years of growth, we are pleased to announce the appointment of our new Chief Sales Officer, Mr. Venky Venkatesh. Venky brings over 30 years of experience leading high performing global sales teams and closing large deals in our target verticals.
On the infrastructure front, we are in the final stages of completing a new factory in Chennai, which will be operational this quarter. This plant will cater to our export demand.
Additionally, to meet our anticipated domestic demand, phase one of our Brownfield plant expansion in Chennai is expected to go live in Q1, with phase two following in H2.
With the revenue growth we anticipate in the coming years, combining our team and infrastructure in place, we expect the operational leverage will play a significant role in our favor. Profit growth is expected to outpace revenue growth. This is underpinne d by the following reasons:
One, we maintain industry -leading gross margins and we have not pursued low margin businesses. We expect to sustain our gross margins depending on product mix and ramp up.
Two, majority of our costs below the material costs are fixed in nature, allowing operating leverage to flow through as revenue ramps up in H2. Three, our dedicated focus on improving working capital will help us release some cash, further supporting our g rowth and profitability.
In summary, it is evident that we have navigated a challenging year, and we anticipate a recovery in H1 followed by momentum in H2. The coming years appear promising with FY'25 being pivotal for our growth trajectory. I would like to stay consistent with the message that is essential for us not to lose sight of the long -term vision and opportunities while dealing with short -term macro challenges. Notably, the US market is transitioning from destocking to restocking, which will positively impact our growth. We are preparing our organization for

years of growth ahead.

Avalon stands strong, building a business that is focused on long -term profitable growth rather than growth at any cost in the short -term. Thank you. Our CFO, R M Subramanian, will talk on the Financials.

R M Subramanian: Thank you and good evening, everybody. Thanks for joining the call today. As we come close to FY'24, I would like to thank the entire Avalon team and all our stakeholders for the confidence they have placed in us. I believe we are uniquely positioned with our hybrid business model, vertical integration, and diverse sector mix to benefit from one of the greatest industry moments that India has seen in the recent years.

FY'24 was a tough year for us with several macro challenges, primarily around the demand scenario for our US customers, largely driven by muted macro and decisional headwinds. Despite this, we continue to grow our order book by growing our existing customers and winning new customers and making deep inroads into our business segments.

While we believe we are past the lows and are beginning to see the green shoots of recovery, we continue to reiterate that the products we make and the industries we are present in are fairly complex and our ramp -up period is generally of 6 to 9 months. Given this, some of the wins we had in FY'24 will take time to ramp up and we expect to see the momentum picking up in H2 FY'25.

For the full FY'25, we do expect to see revenue growth of around 14% to 18% year -on-year, primarily driven by H2. Since our profit is strongly tied to our scale of production and revenues, we accordingly expect H2 to be much more profitable for us than H1 and FY'25 as a whole to be significantly better than FY'24.

Now, moving on to performance in FY'24 in detail. Our revenue from operations was Rs.867 crores, a decrease of 8.2% year -on-year. This is in alignment with the revised guidance we have given in Q3 FY' 24, and we expect to see improvement here on out. Gross profit was Rs.315 crores, down by 9. 5% year -on-year. Our gross margin stands at 36.3% and we were able to maintain it around near FY'23 levels. We continue to maintain industry -leading gross margins as a factor of our unique hybrid business model and premi um quality of products. We are also selective in terms of pursuing profitable growth rather than growth at all costs.

EBITDA was at Rs.62 crores, down 4 4.5% year -on-year. EBITDA margin stood at 7.2% and decrease of 472 basis points on yearly basis.

As mentioned earlier, we continue to have a fair share of fixed expenses and the muted revenues accordingly result ed in lower operating profit.

PAT stood at Rs.28 crores, down by 46.7% year -on-year and PAT margin was at 3.2%, a decrease of 230 basis points year -on-year.

Revenue from our India manufacturing side that serves both the Indian and global customers is around 77% of the total revenue. The EBITDA and PAT percentage pertain with India manufacturing are 12.7% and 8.5% respectively. We continue to be among the forer unners in terms of margins in this business.

The US manufacturing reported a post -tax loss of INR30 crores for the FY"24. We expect this to improve in H2 FY'25. In line with the cost optimization exercises, there is progress at our US entity and the employee cost has been consistently improving.

Regarding the transfer of production from our US plant to our India plant, we have received approval to shift production for nearly 50% of our existing US manufacturing customers during FY'25. We have already begun the production transfer for approximately 30% to 35% of the customers.

Moving on to the balance sheet side, our net working capital days were at 161 days as on March '24, comprising of 118 days of inventory, 79 days of receivables and 36 days of payables. We have managed to bring

down our inventory levels by around 10% on an absolute level owing to our customer demand recover ing in the US and our rationalization efforts there. Our supply chain has normalized, and we will derive benefits from this stability going forward.

While we had earlier anticipated a sharper improvement in working capital, we expect to take a longer timeframe due to our larger customer base and signing up of new larger deals.

We continue to improve our payable days and are aspiring to reduce our net working capital cycle by 10 to 15 days over the next 9 to 12 months.

Because of all the efforts we have taken, it may be noted that for FY'24, cash flow from operations post working capital changes was positive at Rs.17 crores.

As at the end of FY'24, we have liquid cash in terms of investments and FD's are approximately of 118 crores, out of which INR50 crores is earmarked for debt repayment in our US subsidiary and the surplus will serve as a reserve and growth capital. Additionally, we prefer to keep the existing working capital lines in India available amounting to INR185 crores.

The open working capital lines have markedly improved our ability to bid for larger orders which will reflect in the upcoming quarters.

In summary, our FY'24 performance was characterized by lower top line, largely due to inventory rebalancing, challenging macro environment in the US and a focus on optimizing our cost structure. However, we believe we have reached the bottom and have begun witnessing green shoots of revival. We have successfully moved some of the products to India for manufacturing and optimized our fixed cost in US in alignment with our strategic plan. Additionally, we have strengthened our senior leadership team through l ateral hires at the CXO level.

We have utilized this difficult period to focus on building up of the organization and we expect to see the results of these efforts with the ramp up beginning in H1 FY'25 and continuing strongly into H2 FY'25.

Throughout this process, we will continue to focus on winning quality customers and maintaining our brand equities while upholding industry -leading margins.

In conclusion, I believe that we have reached the end of the tunnel and are now poised to scale up our business in FY'25 and beyond. Thank you.

Moderator : We will now begin the question -and-answer session. The first question is from the line of Arafat Saiyed from InCred Research . Please go ahead.

Arafat Saiyed : My first question is on new client addition and new sectors. Let's say we are not doing well, especially in the US and how is the situation there if you can guide me something on that like what's your outlook?

Kunhamed Bicha: To answer your question, clean energy is a temporary slowdown, so we anticipate the same rate of growth as we go into the future because some of the key wins we have had, have come from clean energy and if you take an example of our home electrification system, the project had been delayed. Now, we are certified. The customer is certified for all the compliances, and we have started the prototypes, and we see a major ramp of that in the Q2 of this year and full production in H2. So, we are n ot seeing a decrease in that. Over a three -year period that should grow much faster than the rest of our industries. But the destocking of our existing customers have also affected that.

Arafat Saiyed : My next question is on your aerospace and defen ce, you recently added and you're saying you got a big client name also you added. So, can just throw some light on that, let's say what's kind of goal we're looking in this space for the next three to five years?

Kunhamed Bicha: The aerospace has been a focus area for Avalon. And as you're well aware, it takes a lot of time to get in and once you're in, you're there for a long period of time. So, usually historically, we would

have five-year agreements. Now with the global major, we have signed a 15 -year LTA which means the forecast for next 15 -years. So, multiple segments, we are there in lighting now, we were never in cables, that launch is happening this quarter and of course, previously we've talked about wiper blades, the first 2 -3 prototypes have already shipped and there are 153 type of wiper blades we're getting the production in the next 12 to 18 months and this is a substantial piece growing into the next 10 to 15 years.

Arafat Saiyed : Last question is which you are looking for a shift from US to manufacture to India. So, what is the status on that when you're reaching that level?

Kunhamed Bicha: So, the last year we've talked to customers and a good time to talk to them when their numbers are coming down with the destocking. So, around 55% to 60% of our customers agreed to move

to India and they are at various stages, some of it is already in production, but the big pieces are getting transferred back here, I think this will be complete in the next one to two quarters. So, around 60% of our existing business will move to India, but anything which is of clean energy, and which has the Inflation Reduction Act benefit, lot of customers do still want to keep that in the US in the near -term and we are of a firm belief that in the longer -term the cost factors will play and there's a goo d possibility that be a part of that could be moved to India.

Moderator : Next question is from the line of Homeyar from High Growth Fund. Please go ahead.

Homeyar : You have been keeping on saying that there's been a slowdown in the US, but yours is not the only stock I have invested in, I've invested in several companies, they have never said that. And I have relatives in the US, either there has been no economic slowdown. So, on what basis have you been saying that there has bee n a slowdown in the US?

Kunhamed Bicha: I'm not an economist, but I can try to answer your question. What I would say on the consumer side, you're not seeing a slowdown but of late there's some slowdown. The consumer spending is strong. The US economy looks strong from the outside. Most people a re confused though inflation is high. But what we are seeing is that, see, we went through COVID and supply chain challenges for four years. Last year is when we , customers , apart from different industries, not consumers, we are industrial, we are in aero space , we are in medical, we are in auto. We saw across the board because before June, April timeframe, the lead time for products were 40 to 50 weeks. Either we kept inventory, customer kept inventory, there was 50 -weeks later. So, when things slow down, the availability of components came back, they wanted to go back to pre - COVID levels of 16 to 20 -weeks, which is the normal lead time we all deal with before this, and now today the component lead times have come to that. So, there's no supply chain challenges as you say. So, now that's why we said, customers destock for five to six months and now we are seeing the restocking happening and then coming back at variable rates into the normal run rates they had. And these are customers w ho have been with us for 7 -8 years, nine years in some cases. So, it's not like it's a new customer, these are Fortune 500 companies, a lot of them working with us over a number of years. So, it is more of a destocking, restocking. So, in India we're seeing a phenomenal growth, the whole country is seeing growth. But in the US, there is a slowdown, but that's possibly the largest market also. So, you have to be wary of that only.

Homeyar : With regards to the aerospace, you make all those sheet metal parts. You also have a competitor I think in Sansera Engineering. They also have started making sheet metal parts for aerospace. So, how do you go against that? And has the slowdown on

aerospac e something to do with the issue with Boeing?

Kunhamed Bicha: Of course, the slowdown in aerospace, we do around 400 to 500 different parts for planes, and of course there's those issue with slow down on certain models we do see that. But for us, the bigger pieces are forward -looking where we are tooling up and doing. Sansera does a lot of machining and they've been doing that for years. And for c ertain customers, we are the only vendor of choice for fabrication and it's a completely two different models. So, Sansera is into

high end machining, and they've been there for years. And they've just invested in a larger project, that's what you probably are referring to.

Moderator: Next question is from the line of Samit from Niveshaay Investment Advisory . Please go ahead.

Samit: My first question is what are the major reasons for decreasing EBITDA margin? Is it due to decline in revenue because our gross margins are intact?

R M Subramanian : So, in terms of decrease in EBITDA margin if you look at quarter -on-quarter it's at a similar level. But if you look at comparing the previous year, it's come down and mainly due to the sales coming down and below the gross margins, about majority 50% of cost are fixed in nature. So, that has a negative operating leverage effect which has led to the slowdown. But in quarters where we have good sales, which is like Q4 last year, you will see that flowing down into EBITDA and we are at a mid to higher teens in terms of EBITDA margins. So, that's how is the nature of our business, and we are confident of reaching this as we move forward.

Samit : The second question I have is, what are the reasons for decreasing revenue from clean energy and our customers delaying order due to some reason?

Kunhamed Bicha In a lot of cases the orders are there to say that some of it has been with the destocking situation with the existing customers. But our larger customer projected is starting to ramp only now which is delayed by at least 12 months. So, that is one of the true reasons and we anticipate in a 3-year period, this is going to be our fastest growing segment for sure.

Samit : What is the percentage range cost of PCB in product sector, and it go up to like 70% to 80% in sectors like aerospace and Defense ?

R M Subramanian : We are a little bit different. If you look at the different sectors. For example, you mentioned aerospace. We don't do PCB in aerospace. We do cables, we do metals, we do plastics in aerospace. So, we are not a completely PCB oriented company. Saying that a larger portion of our revenue comes from PCB and Box-Build.

Samit : What is the percentage cost in general if we consider of PCB?

Kunhamed Bicha: So, different industries to be honest have different margins you can command. If you look at the consumer space, it will be lower margins. If you look at the industrial space, it will be midlevel margins. If you look at some of the clean energy space, it will be a bit higher than the industrial. And it truly depends on the complexity of the work and how much engineering is involved rather than the automation piece. Because if you look at the consumer piece, a lot of it is automated. If you look at, if we a re taking interlocking system, it is a 1 crore to 2 crores system. There's a lot of labor and a lot of verticals going into it, not only PCB, cable, plastics metal. So, it's very difficult to say by industry, you can say you know the material margins diffe r.

Samit : What is your outlook for the revenue and margins and also for the US operations?

R M Subramanian : In terms of our strategy which we talked about our US operations, in terms of the existing customer we did talk about trying to move them and then we have had good success in terms of trying to move out here. That's in terms o

f the existing customers. As ou r MD talked about it,
for some of our clean energy customers who gets our IRA benefits, it will continue to be manufactured in US. So, moving forward our focus will continue to remain on the market, US market is one of the largest and the most profitable market. We'll continue to focus on that and onboard the customers and as we move along our efforts will be to try and move to India. And that's our strategy and that's playing out and continue to work on it. Margins will vary depending on the type of product and the complexity of the product and where we manufa cture. Of course, if you try to manufacture in US, the margin has to be higher to justify the higher labor cost.

Samit : So, can you give a ballpark number for revenue and margins?

R M Subramanian : In terms of the revenue with respect to, we talked about the long run, we want to keep the mix as 50 -50 in terms of US to India. That's what we work on, and it does vary between a quarter to quarter.

Moderator: Next question is from land of Darshil Jhaveri from Crown Capital Partners.

Darshil Jhaveri: I just wanted to ask regarding our growth and order book. So, could you just help me out? So, we are saying that we have an order book of 1,300 crores, that's executed over 14 months. And then there's another long -term contract, so is the long -term contract included in the order book? How much part of it is, could you just help us out in that?

Kunhamed Bicha: So, we break our order book into two pieces. The long -term contracts and immediate shippable orders. So, when we say 1,366 crores, it is what is executable in the next 12 to 14 months. When we say long term contracts which is actually grown by 58% to 949 crores , if you look at it from last year is what can happen between 12 to 14 months to 3 years. So, where we have contracts, we count that separately. If that explains that to you? They're not the same.

Darshil Jhaveri: They're completely different. So, on that rate our growth should be much higher than what we are guiding for sure. Because if we are going to execute around, we should be able to execute this in 12 months and we are currently. So, just I wanted to ask if t his 1,300 crores you want to execute over a period of 12 months then, is it possible that you know our revenue guidance is a bit conservative?

Kunhamed Bicha: Like I mentioned Darshil. So, when we gave this guidance, once bitten twice shy. Last year we were off our guidance a little bit. Like I mentioned we remain on track but for a 3 -year period. But this is a very conservative guidance from what we can see th ings can change positively and we will confirm that in the ongoing quarters.

Darshil Jhaveri: And so just wanted to ask regarding margins. So, currently we were impacted by negative operating leverage but as you had mentioned that in like Q4 FY23, we could even touch 15% margin with our revenue going to 270Cr . Now going forward as we recover our margin

trajectory, if we are above 250 -260 crores we should go back to our historical margin. Would that be a fair assumption?

Kunhamed Bicha: Yes, absolutely. What we believe is, we have set up for a huge growth and there's an unfortunate slowdown in ‘24. So, we're going to see us go back to where we were or even better in the future for sure. It's a, operating leverage. RMS you want to add something to that?

R M Subramanian : Just to add to what MD said, in terms from a capacity perspective, we are what you call designed for a much larger thing. And as our sales pipeline comes, gross margins we have been able to maintain sort of the industry best standards and with the current fixed cost the margins should flow automatically into EBITDA and PAT, and we have done that in the past and we are confident of doing that in the future as well.

Darshil Jhaveri: So, a 12% margin is possible for FY

25 as a lot of our manufacturing also shifting to India which
is already doing a 20% margin?

Subramanian: I don't want to be getting this specific in terms of numbers in terms of what we need to achieve. I think from a guidance perspective on sales, we have done, and we have talked about the mechanism of how it works. I'm sure you can work the numbers also.

Darshil Jhaveri: Just wanted to ask regarding our shift of manufacturing of a lot of customers to India, will that be margin accretive and if yes by how much?

Kunhamed Bicha: We believe moving to India will be more profitable for the company because there is a cost which we are trying to reduce in the US, a combination of this will have a very positive effect. Did that answer your question?

Moderator: Next question is from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: I wanted to understand in terms of the direction where we are going as far as the US operations are concerned. In this particular year you did indicate that you did well on the EBITDA side. But at the bottom line there was a loss. What is your roadmap on turning the US business completely and becoming profitable over there? Do you think that's a 3 -year journey or how much time will

that take? That's the first part because that will have a huge impact on the consolidated financials.
Kunhamed Bicha: You're absolutely right Rahul. And that's what we've been struggling through last year. And the first time we've had this kind of slowdown in the US. But saying that US is the largest market and we also need that as a beachhead because we deal with some of our clients who have complex systems. They like to see some operation in the US and also saying that we would have a smaller operation once a lot of these products mov ed to India and that journey has started 4 -5 months back. Some of it is moved and some of them in motion. But any of the clean energy products if we need to play in the US, we need to be there because of the IRA benefits the customer gets. So, that is the question we are trying to answer. So, anything which does not have an IRA benefit we are moving or convincing customers to move. And we've been very successful

in doing that. It's taking a little bit longer than we expected but the choice is the IRA benefit is going to be there for some time and we are hoping once it gets started some of the sub components can move to India.
Rahul Gajare: Assuming that you know we are looking at a 50 -50 share between the US and India even if clean energy were to be about 25% to 30% of the total revenue which is profitable, the US business is more profitable. Do you think the profit of the US, the EBITDA mar gin of the US can higher than that of the Indian operations?
Kunhamed Bicha: No, I don't think. As we see it now of course we raise prices we can get the US to be higher. But as we see now our core business, our most powerful business is the US customer making in India. And that is our core target. And for clean energy, we are givi ng a pathway to the customer to start in the US and then bring subsystems into India, so they get the IRA benefit.
Rahul Gajare: I wanted to also ask you about, I think you just fleetingly talked about having enough capacity. Do you see the company needing more CAPEX in order to support future growth?
Kunhamed Bicha: We've always maintained a different model. As we have spoken in the past, we usually strive for a 10X asset turn. And over the next 3 years we believe, our investments in the facilities or the larger factories are done, and we'll have a 35 to 45 crores every year to maintain growth because we are also looking at labor arbitrage because of the US customers. So, we would look ,like to answer your question 40 to 45 crores every year for the next 3 years.
Rahul Gajare: And I'm not too sure if I missed this. You talked about

a revenue guidance about 14% to 18%. I understand your conservative based on all the numbers over here, did you talk about a specific EBITDA number? I don't know if I missed that, or you did not give that guidance.
Subramanian: On guidance we stuck to the top line, and we've not given in specifics in terms of profit margins.
Moderator: Next question is from the land of Neel Nadkarni from Dalal & Broacha Stock Broking.
Neel Nadkarni: I just had couple of questions. The first one is regarding the new plants that you are getting online in India. So, majorly what capabilities are you adding over there and are you targeting some other geographies apart from US over there also?
Kunhamed Bicha: Yes. See, these facilities will be mixed plants with I think the new one coming up is where we are seeing the fastest growth. PCB , cable, plastics, it will be a mix. It's 160,000 square feet facility, 3.5 acres and we have got room to build more. In India we do have the Bangalore factory. So, the larger Box-Build will be done in the new plant we believe the first part will come through this earlier next quarter and the larger plant will start construction once this is done. And so, it will be a mixed bag. It's just not a certain category of parts. So, we try t o utilize our space in the best way possible. And we believe the longest lead time to get production going, it's not the machines and it's the factories and facilities.

Neel Nadkarni : And in the geographies front, are you targeting some other geographies also?
Kunhamed Bicha: Yes, of course. Europe, we've been trying to get there. We have a few customers, but none of the larger pieces, but a lot of our European customers when they come to India, they use us quite a bit. It's not going back to Europe. It's like what we say in 24 % of our business from right, I don't know this quarter comes from Japanese customer.
Neel Nadkarni : And also, last quarter you had mentioned that you were planning to repay around 50% of your debt in Sienna also. So, is that still on track for FY25 and also what are your CAPEX targets if I am not wrong, it was around 40 crores to 45 crores for next three years, right?
R M Subramanian : Subramanian here. I will try and answer that question. In terms of Sienna, we have not completed the transaction. We are hoping that we'll be completing in next quarter in terms of repaying the debt and we have a working capital at about $9 million to $10 million there. We will do that. And in terms of CAPEX as our MD said we will be on an average doing about 35 crores to 45 crores annually.

Neel Nadkarni : And last question on a long -term perspective, let us say over the next 2 -3 years, are we still targeting that 30% to 35% kind of industry growth or on the top -line side?
Kunhamed Bicha: Because of our customer mix and because of our US -India mix so what we are saying is in the next three years, we are comfortable to say we are going to double our revenues from today, but it may come in spurts. But if you look at us over the three -year per iod, we look at our business over three -year period, we are very comfortable to double our revenues.
Moderator: Thank you very much. Next question is from the line of Uttam Kumar from Avendus Spark. Please go ahead.
Uttam Kumar: Just two questions from my end. The first one is more clarity, with regards to the initial statement which you had made on the growth engine where we had stated that the new customers in USA regarding the clean energy space, could you give us more clarity on what exactly we had received because I could not clearly get it. And also, there was an excellent commentary where customer will be going for a significant revenue from FY26 onwards. So, what could be the revenue composition which this particular custom er can account for over the next say three to five years down the line f

or the company?
Kunhamed Bicha: So, the first part of your question I missed.
Uttam Kumar: The first growth engines you had mentioned that there has been a new customer addition in clean energy space, and we had the approvals, etc. I happened to miss the commentary so if you can.
Kunhamed Bicha: So, the so it's a new customer, it has been a customer for a year in the sense we were stopped from making product because the compliance s for the customer and engineering design issues and that has been completed so that we are ready to go. We are into prototype now and we are

ready to go into full production in the second half of this year and some revenue in Q2. It's going to be a substantial piece. I will let it play out because huge numbers have been promised to us. So, we just want to be more comfortable in giving guidance on the size of it, but it is fairly large.
Uttam Kumar: The second one is on the domestic the aspiration of the company is also that overtime you would want to maintain a 50:50 mix between both India and international revenue. So, in that context, so which segments are we looking to grow because right now we s ee that certain peers are performing well be in the industrial category or the medical category whereas we are still struggling to grow the business there. So, what are we focusing on? What are our focus areas? Is the company planning to get i nto some newer categories or tap into some PLI opportunities, more color on that will be helpful.
Kunhamed Bicha: I will just rephrase. See India to us 3 -4 years back was around 20% to 25% of our business. It has become a focus for us in the last 18 months as the growth engine has started and we want to be a fair part of it. So, a lot of our focus historically has been in Rail, which is growing for us and will grow into the future. Industrial infrastructure, again, some global majors for the supply into India have signed up with us and we also have two fairly large China transfer p rojects moving from China to us for Fortune 100 companies at various stages for the India market coming in. But these companies, it's not an overnight story. It takes some time. So, we believe the Railways, Infrastructure and entry into EV are going to be large, Two -Wheeler players will happen in the later part of the year where we have signed significant orders.
Moderator: Thank you. Next question is from the line of Ashutosh Paraskar from Mirabilis Investment Trust. Please go ahead.
Vipin Goel : Vipin Goel this side. Sir. I had this question on the growth part of the business, you indicated some 14% to 18% growth for the next year. So, could you talk about the kind of products, the first ones to drive this growth for the next year and if you had to break it down between the new customers versus the existing customers or the new products versus existing products so how would this basically kind of pan out in the next one or two years?
Kunhamed Bicha: So. If you look at most of our customers, even last year around 80% of our revenue came from existing customers. They will grow at. 10% to 15% and what we are seeing is the revenue coming from new customers, which is where our larger part of the growth will be at a much higher rate.
Vipin Goel : Sir, if. I look at the order intake for the quarter, so there's an improvement in the ordering so anything you would like to highlight here on what kind of segments has led to this growth or on the product side if we were to bifurcate that into products s o is there any particular product that led to this improvement?
Kunhamed Bicha: A lot of it is broad based and a lot of it is a good mix I would say between our US customers and India customers. What we see come back with the US is growing a little bit faster into the future that's why we are very positive and that's been our core bus iness and India businesses where

we

doing a lot of prototyping for these industrial giants and we are seeing that play out in the next two quarters and these are substantial revenues which are supposed to come.
Vipin Goel : And then coming back to this some of the domestic customers. So, earlier we were doing some surveillance system for one of the industrial customers and then there's this domestic EV Two - Wheeler customer, which we were trying to get orders from this year. So, how's the development there? Any developments there?
Kunhamed Bicha: EV , we do have the orders for the next 12 to 18 months. And we expect launch late part of Q2. And that's a substantial piece.
Vipin Goel : So, again, like coming back to that existing product part, you said 10% to 15% growth in the existing product portfolio, so a large part of this would still be mobility and then some bit of industrial, is that the right understanding?
Kunhamed Bicha: No, because a lot of our clean energy destocking to restocking happening also there was a slow down there. So, fairly broad based and then the a erospace side also had a tremendous slowdown which we are seeing coming back to actually four year back 2020 where we were at the peak at that point of time. So, we are seeing it broad based and of course industrial is a large piece of our portfolio. So, we see th at largest industrial customers coming back to where they were before the destocking whi ch is around 8 months back. Did I answer your question Vipin?
Vipin Goel : Yes, I got some clarity on it. So, this on the debt front, last quarter we had alluded that we will be paying some part of the high -cost debt that was sitting on the balance sheet. So, could you talk about what has happened there and then last one on the US headcount, if you can get the number, how that has moved?
R M Subramanian : I will take it on the debt side. Today, most of the India is debt free though we took some debt in the end of March in terms of about Rs. 30 crores come down. There is more working capital and contextual but otherwise today the key debt is in US, which is about $15 million and that is what we are looking to rationalize. We hope to complete the transaction in Q1 -Q2, in terms of bringing the debt down there. Moving some other surplus cash from India to US and then paying it down.
Kunhamed Bicha: So, we have reduced debt down.
Vipin Goel : And on the headcount in US.
Kunhamed Bicha: So, we have reduced headcount. I don't want to give the exact numbers out, but there's a substantial reduction in headcount.
Moderator: Thank you, Vipin. I will request you to come back for a follow up question. Next question is from land of Raghav Gupta from Nomura. Please go ahead.

Raghav Gupta: I am just asking about the segmental revenue split for PCB, ODM and other electronic components for Box-Build I guess it's 50% this year what about other segments?
Kunhamed Bicha: So, I would put it this way in a simplistic manner around 65% is Box-Build and PCB together. That means Box-Build has PCB and as the other pieces also. And if you're doing direct parts or something like that.
Raghav Gupta: And ODM and other electronics remains the same I guess.
Kunhamed Bicha: Yes, you can say that.
Moderator: Thank you. Next question is from Harshil Sethia from Renaissance investment managers. Please go ahead.
Harshil Sethia : With the new Chennai facility, what kind of capacity will we have in hand and how much have we spent on the Chennai facility? If you can just highlight. I just missed the initial comments from you?
R M Subramanian : On the Chennai facility, that's about 1.5 lakh square feet of space and about 3 acres of land that's within the SEZ. It has existing building, and we are doing the refurbishing. I think all put together, it will be about 30 crores in terms of

including t he cost of the building and the refurbishment. This is all -in cost I am talking about.
Kunhamed Bicha: A lot of that has been accomplished.
R M Subramanian : As we earlier said in the speech, we should be commissioning the building in this quarter.
Harshil Sethia : And the 35 crores to 40 crores that we are planning to spend each and every year for CAPEX will be for Chennai and Bangalore both.
R M Subramanian : This is group as a whole we are talking about, which will have both buildings and the machinery. So, all of these projects are spread over years, it doesn't get executed in one year.
Harshil Sethia : And Sir, so three years ago we might be having a gross block of around 280 crores. Do we expect to maintain the same level of asset turns that we are doing as of today.
Kunhamed Bicha: RM you want to answer that?
R M Subramanian : In terms of our model, as we earlier said, we have an asset -light model. We continue to do that and there may be few blips here and there in terms of quarter -on-quarter but in the long run, our

business model continues to aim for achieving that asset turns.
Harshil Sethia : I am just asking from a longer -term time frame, not on quarter -on-quarter frame.
R M Subramanian : Absolutely, we'll be able to. Maintain that.

Harshil Sethia : Which is around 7x which are which net -net which you have generally been doing.
R M Subramanian : No, it may be much higher also.
Kunhamed Bicha: We target 10x turn usually.
Harshil Sethia : You said that the facility will be up and running in a phased manner. So, you said that in Q1 there will be a bit of commissioning and then the Phase -2 might start from H2 FY25, correct?
Kunhamed Bicha: No. So, there are two facilities, one is in the export zone, which will be fully commissioned late this quarter and the beginning of next quarter, which most of the work is done that is for export.
The second facility as our India business is growing so we have a Brownfield project a part of it will be live end of this quarter and new construction which we already have, the land will start I would say in the second half of this year to cater to the Indian market in the future.
Moderator: Thank you very much. Ladies, gentlemen, we will take that as a last question. I will now hand the conference over to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair : I would like to thank all the participants for being on the call and the Management for patiently answering all the queries, very much appreciate d. And thank you very much for giving us an opportunity to host your call, wishing you all the very best, Sir. Any closing remarks from your side, Sir?
Kunhamed Bicha: I will just add a couple of lines if that's okay. We are encouraged by the robust support for my investors despite challenging market conditions. We are committed to reinforcing the trust that the investors have in our Company. I sincerely appreciate your steadfast support and confidence in Avalon Technologies. Together we are set for a remarkable journey of profitable growth and success. Thanks to everyone for attending the call. Thank you, Bhoomika. Thank you.
Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

"Avalon Technologies Limited Q4 FY-24 Earnings
Conference Call"

May 17 , 202 4

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MR. BHASKAR SRINIVASAN – PRESIDENT , AVALON
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MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER ,
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MR. SHRIRAM VIJAYARAGHAVAN – GROUP CHIEF
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MR. VENKY VENKATESH – GROUP CHIEF SALES
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MR. MIKE ROBINSON – CHIEF OPERATING OFFICER ,
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MR. SURESH VR – HEAD (CORPORATE PLANNING &
INVESTOR RELATIONS), AVALON TECHNOLOGIES
LIMITED .
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

Moderator: Ladies and Gentlemen, Good Day and Welcome to Avalon Technologies Limited Q4 FY'24 Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded and now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you and over to you, Ms. Nair.

Bhoomika Nair: Thanks, Nirav. Good afternoon, everyone, and a warm welcome on behalf of DAM Capital for the Q4 & FY'24 Earnings Call of Avalon Technologies.

We have with us today from the management, Mr. Kunhamed Bicha – Chairman and Managing Director, Mr. Bhaskar Srinivasan, President, Mr. R M Subramanian – CFO, Mr. Shriram Vijayaraghavan, Group Chief Operating Officer, Mr. Venky Venkatesh, Group Chief Sales Officer, Mr. Mike Robinson, Chief Operating Officer for US and Mr. Suresh VR, Head of Corporate Planning, and Investor Relations.

Mr. Kunhamed Bicha will give a brief overview of the business performance and that will be followed up by the CFO, Mr. R M Subramanian's remark on the financial performance, post which will open up the floor for Q&A.

As we move forward, it is important to bear in mind that any forward -looking statements made during this call are subject to potential risks and uncertainties, both known and unknown.

Without further delay, I now hand over the floor to Mr. Kunhamed Bicha w ill give for his initial remarks, post which will open up the floor for Q&A. Over to you, sir.

Kunhamed Bicha: Thank you, Bhoomika. Ladies and gentlemen, on behalf of Avalon Technologies, I extend a warm welcome to our Q4 and FY'24 Earnings Call. As we conclude our first financial year as a listed company, I sincerely thank you for your ongoing support.

Before we dive into financials, we would like to highlight key differentiators of Avalon Technologies, especially for those who are joining us for the first time.

Avalon Technologies established itself as a key player in electronic manufacturing services with a global reach. We take pride in our leadership, in high mix, flexible volume manufacturing, servicing a diverse range of industry verticals in complex integra ted solutions that require significant engineering expertise. We currently operate across 12 manufacturing facilities in India and United States. We are also adding two new manufacturing units in India.

Our three key differentiators are, one vertical integration. We are a one -stop-shop offering a true Box-Build from PCB design to manufacturing, that involves PCB design, new product development, cable assembly, sheet metal, plastics, magnetics. testing and logistics.

Two, global presence, both in terms of manufacturing facilities and customer base.

Three, optimal mix of established industries like industrial, rail, aerospace, medical, communication and emerging industries like clean energy.

There are many positive updates I would like to share about FY'25, but first let me begin by reflecting on FY'24. FY'24 presented a mix of challenges with significant shifts in the US macro environment. Despite our initial optimism, we had to adjust our estimates in late Q1 FY'24 as our customers across various industry verticals reduce d their inventories. Consequently, we took a more cautious approach in the latter half of the year and projected a 8% to 10% year -on-year revenue decline. Ultimately, we ended up with an 8% decline primarily due to a 16% year -over-year decrease in our US re venue.

Our high fixed cost negatively impacted our operating leverage, further re

ducing profits.

However, our Indian manufacturing which serves both our Indian and global customers, representing 77% of our business remains highly profitable with operating margins of 12.7% and PAT margins of 8.5% during the year of FY'24.

Now, transitioning to FY'25, our earlier expectations of a recovery in H1 and significant momentum in H2, seems to be materializing as anticipated. We are seeing positive signs and believe FY'25 will be a pivotal year for us.

Here are a few highlights to underscore our optimism. Our order book witnessed a year -over-year growth, 11% to Rs.1,366 crores with an execution period over an average period of 12 -to-14 months. Long -term contracts in addition to the order book and executa ble over the two to three years grew year -on-year by 58% to 949 crores, though our concentrated efforts on inventory management, absolute inventory levels decreased by 10% from December '23 to March '24.

We remain on track to reduce our net working capital days by at least 10 to 15 days in the next 9 to 12 months.

Importantly, we categorize our business focus areas as three growth engines: All of which are regaining momentum in FY'25 after encountering challenges in the previous year.

Now, let's delve with each of our growth engines. First growth engine. New customers in the US. Starting with our major clean energy customer that we previously discussed, we are pleased to share that long pending product compliance certification for the home electrifying system has finally been approved. This is a significant milestone and in line with our earlier communication, the commercial launch is expected in late Q2 FY'25 with production ramp up anticipated in H2 FY'25. The scale up of this business is expected to be significant in '26.

We are also happy to report several major new wins with industry leading companies in the industrial and automotive segments. For some, we have secured Box -Build contracts while for others, we will begin with PCB and Cable Assemblies.

We have received prototype orders now with commercial production expected in H2 of FY'25. These are existing products with established companies, and we believe they can significantly scale up in FY'26 and has the potential to become some of our top 10 customers, for example, one of them is a market leader in motion control system in the mobility segment, another is a major backup power generation products for residential and industrial markets. We will provide more updates on the same in the coming quarter s.

With the Inflation Reduction Act bolstering clean energy manufacturing in the US and India emerging as a significant beneficiary of the China Plus One strategy, we are confident that our presence in both regions position us for winning new sizable opportun ities.

Second engine of growth, existing customers in the US. These are industry -leading well -established companies across various industry verticals with whom we have partnered for many years. Last year, this growth area faced a significant challenge due to fact ors such as inventory destocking and macro uncertainties. We now believe that the inventory destocking cycle has bottomed out. The restocking cycle has begun for our US customers, albeit at varying rates.

Our efforts last year to gain wallet share with certain customers are also proving beneficial, in a sense, we believe the shift from destocking to restocking has begun and we become more

prominent in H2 FY'25.
With respect to aerospace customers, we have entered the cable harness and lighting products and we have also signed a 15 -year master term agreement with one of the global aerospace majors. We also expect recent order wins in aerospace segment to commence execution in Q4 of FY'25 and ramp significantly FY'26.
Third growth engine, India customers. Looking back at our business five years ago, we were predominan

tly an export -focused company with nearly 75% of our revenues generated outside India. However, over the last 18 -months, we have actively started focusing on the India market. We have made significant inroads in the industrial, rail, defense, and EV verticals. Today, revenue generated from our India customers contributes 46% of an overall revenue.
Speaking of major wins in Indian markets, let us start with rail. One of our major Japanese customers from the railway vertical has recently been approved by Indian Railways for an advanced version of a signaling and interlocking system they currently supp ly. This represents a better value proposition for Indian Railways, and we expect to learn more about this development in the coming quarter. Additionally, th is customer is also approved for the Kavach system in Indian Railways, and we are actively collabo rating with them on this initiative. This further strengthens our relationship with them and augments our business growth potential with the railways segment.

We are also delighted to announce major wins with some industry -leading customers in the industrial and energy s egments . We have secured prototype orders with them and expect ramp production in FY'25. These partnerships have the potential of becoming significant revenue contributors in the late part of FY'25 and FY'26.
While we have made progress in the defen ce sector and communications markets, we anticipate more meaningful order bookings to occur in H2 FY'25, with the execution expected in FY'26.
Transitioning from a detailed overview, we see all three of our growth engines are gaining momentum at different stages, fueling our confidence, and significantly scaling our revenue over the next three years.
While we believe we can comfortably double our revenues in this period, we want to remain cautiously optimistic for FY'25, projecting a14% to 18% revenue growth.
In continuation of our earlier discussion on preparing our organization for years of growth, we are pleased to announce the appointment of our new Chief Sales Officer, Mr. Venky Venkatesh. Venky brings over 30 years of experience leading high performing global sales teams and closing large deals in our target verticals.
On the infrastructure front, we are in the final stages of completing a new factory in Chennai, which will be operational this quarter. This plant will cater to our export demand.
Additionally, to meet our anticipated domestic demand, phase one of our Brownfield plant expansion in Chennai is expected to go live in Q1, with phase two following in H2.
With the revenue growth we anticipate in the coming years, combining our team and infrastructure in place, we expect the operational leverage will play a significant role in our favor. Profit growth is expected to outpace revenue growth. This is underpinne d by the following reasons:
One, we maintain industry -leading gross margins and we have not pursued low margin businesses. We expect to sustain our gross margins depending on product mix and ramp up. Two, majority of our costs below the material costs are fixed in nature, allowing operating leverage to flow through as revenue ramps up in H2. Three, our dedicated focus on improving working capital will help us release some cash, further supporting our g rowth and profitability.
In summary, it is evident that we have navigated a challenging year, and we anticipate a recovery in H1 followed by momentum in H2. The coming years appear promising with FY'25 being pivotal for our growth trajectory. I would like to stay consistent with the message that is essential for us not to lose sight of the long -term vision and opportunities while dealing with short -term macro challenges. Notably, the US market is transitioning from destocking to restocking, which will positively impact our growth. We are preparing our organization for

years of growth ahead.

Avalon stands strong, building a business that is focused on long -term profitable growth rather than growth at any cost in the short -term. Thank you. Our CFO, R M Subramanian, will talk on the Financials.

R M Subramanian: Thank you and good evening, everybody. Thanks for joining the call today. As we come close to FY'24, I would like to thank the entire Avalon team and all our stakeholders for the confidence they have placed in us. I believe we are uniquely positioned with our hybrid business model, vertical integration, and diverse sector mix to benefit from one of the greatest industry moments that India has seen in the recent years.

FY'24 was a tough year for us with several macro challenges, primarily around the demand scenario for our US customers, largely driven by muted macro and decisional headwinds. Despite this, we continue to grow our order book by growing our existing customers and winning new customers and making deep inroads into our business segments.

While we believe we are past the lows and are beginning to see the green shoots of recovery, we continue to reiterate that the products we make and the industries we are present in are fairly complex and our ramp -up period is generally of 6 to 9 months. Given this, some of the wins we had in FY'24 will take time to ramp up and we expect to see the momentum picking up in H2 FY'25.

For the full FY'25, we do expect to see revenue growth of around 14% to 18% year -on-year, primarily driven by H2. Since our profit is strongly tied to our scale of production and revenues, we accordingly expect H2 to be much more profitable for us than H1 and FY'25 as a whole to be significantly better than FY'24.

Now, moving on to performance in FY'24 in detail. Our revenue from operations was Rs.867 crores, a decrease of 8.2% year -on-year. This is in alignment with the revised guidance we have given in Q3 FY' 24, and we expect to see improvement here on out. Gross profit was Rs.315 crores, down by 9. 5% year -on-year. Our gross margin stands at 36.3% and we were able to maintain it around near FY'23 levels. We continue to maintain industry -leading gross margins as a factor of our unique hybrid business model and premi um quality of products. We are also selective in terms of pursuing profitable growth rather than growth at all costs.

EBITDA was at Rs.62 crores, down 4 4.5% year -on-year. EBITDA margin stood at 7.2% and decrease of 472 basis points on yearly basis.

As mentioned earlier, we continue to have a fair share of fixed expenses and the muted revenues accordingly result ed in lower operating profit.

PAT stood at Rs.28 crores, down by 46.7% year -on-year and PAT margin was at 3.2%, a decrease of 230 basis points year -on-year.

Revenue from our India manufacturing side that serves both the Indian and global customers is around 77% of the total revenue. The EBITDA and PAT percentage pertain with India manufacturing are 12.7% and 8.5% respectively. We continue to be among the forer unners in terms of margins in this business.

The US manufacturing reported a post -tax loss of INR30 crores for the FY"24. We expect this to improve in H2 FY'25. In line with the cost optimization exercises, there is progress at our US entity and the employee cost has been consistently improving.

Regarding the transfer of production from our US plant to our India plant, we have received approval to shift production for nearly 50% of our existing US manufacturing customers during FY'25. We have already begun the production transfer for approximately 30% to 35% of the customers.

Moving on to the balance sheet side, our net working capital days were at 161 days as on March '24, comprising of 118 days of inventory, 79 days of receivables and 36 days of payables. We have managed to bring down our inventory levels by around 10% on an absolute level owing to our customer demand recover ing in the US and our rationalization efforts there. Our supply chain has normalized, and we will derive benefits from this stability going forward.

While we had earlier anticipated a sharper improvement in working capital, we expect to take a longer timeframe due to our larger customer base and signing up of new larger deals.

We continue to improve our payable days and are aspiring to reduce our net working capital cycle by 10 to 15 days over the next 9 to 12 months.

Because of all the efforts we have taken, it may be noted that for FY'24, cash flow from operations post working capital changes was positive at Rs.17 crores.

As at the end of FY'24, we have liquid cash in terms of investments and FD’s are approximately of 118 crores, out of which INR50 crores is earmarked for debt repayment in our US subsidiary and the surplus will serve as a reserve and growth capital. Additionally, we prefer to keep the existing working capital lines in India available amounting to INR185 crores.

The open working capital lines have markedly improved our ability to bid for larger orders which will reflect in the upcoming quarters.

In summary, our FY'24 performance was characterized by lower top line, largely due to inventory rebalancing, challenging macro environment in the US and a focus on optimizing our cost structure. However, we believe we have reached the bottom and have begun witnessing green shoots of revival. We have successfully moved some of the products to India for manufacturing and optimized our fixed cost in US in alignment with our strategic plan. Additionally, we have strengthened our senior leadership team through l ateral hires at the CXO level.

We have utilized this difficult period to focus on building up of the organization and we expect to see the results of these efforts with the ramp up beginning in H1 FY'25 and continuing strongly into H2 FY'25.

Throughout this process, we will continue to focus on winning quality customers and maintaining our brand equities while upholding industry -leading margins.

In conclusion, I believe that we have reached the end of the tunnel and are now poised to scale up our business in FY'25 and beyond. Thank you.

Moderator : We will now begin the question -and-answer session. The first question is from the line of Arafat Saiyed from InCred Research . Please go ahead.

Arafat Saiyed : My first question is on new client addition and new sectors. Let's say we are not doing well, especially in the US and how is the situation there if you can guide me something on that like what's your outlook?

Kunhamed Bicha: To answer your question, clean energy is a temporary slowdown, so we anticipate the same rate of growth as we go into the future because some of the key wins we have had, have come from clean energy and if you take an example of our home electrification system, the project had been delayed. Now, we are certified. The customer is certified for all the compliances, and we have started the prototypes, and we see a major ramp of that in the Q2 of this year and full production in H2. So, we are n ot seeing a decrease in that. Over a three -year period that should grow much faster than the rest of our industries. But the destocking of our existing customers have also affected that.

Arafat Saiyed : My next question is on your aerospace and defen ce, you recently added and you're saying you got a big client name also you added. So, can just throw some light on that, let's say what's kind of goal we're looking in this space for the next three to five years?

Kunhamed Bicha: The aerospace has been a focus area for Avalon. And as you're well aware, it takes a lot of time to get in and once you're in, you're there for a long period of time. So, usually historically, we would

have five-year agreements. Now with the global major, we have signed a 15 -year LTA which means the forecast for next 15 -years. So, multiple segments, we are there in lighting now, we were never in cables, that launch is happening this quarter and of course, previously we've talked about wiper blades, the first 2 -3 prototypes have already shipped and there are 153 type of wiper blades we're getting the production in the next 12 to 18 months and this is a substantial piece growing into the next 10 to 15 years.

Arafat Saiyed : Last question is which you are looking for a shift from US to manufacture to India. So, what is the status on that when you're reaching that level?

Kunhamed Bicha: So, the last year we've talked to customers and a good time to talk to them when their numbers are coming down with the destocking. So, around 55% to 60% of our customers agreed to move

to India and they are at various stages, some of it is already in production, but the big pieces are getting transferred back here, I think this will be complete in the next one to two quarters. So, around 60% of our existing business will move to India, but anything which is of clean energy, and which has the Inflation Reduction Act benefit, lot of customers do still want to keep that in the US in the near -term and we are of a firm belief that in the longer -term the cost factors will play and there's a goo d possibility that be a part of that could be moved to India.

Moderator : Next question is from the line of Homeyar from High Growth Fund. Please go ahead.

Homeyar : You have been keeping on saying that there's been a slowdown in the US, but yours is not the only stock I have invested in, I've invested in several companies, they have never said that. And I have relatives in the US, either there has been no economic slowdown. So, on what basis have you been saying that there has bee n a slowdown in the US?

Kunhamed Bicha: I'm not an economist, but I can try to answer your question. What I would say on the consumer side, you're not seeing a slowdown but of late there's some slowdown. The consumer spending is strong. The US economy looks strong from the outside. Most people a re confused though inflation is high. But what we are seeing is that, see, we went through COVID and supply chain challenges for four years. Last year is when we , customers , apart from different industries, not consumers, we are industrial, we are in aero space , we are in medical, we are in auto. We saw across the board because before June, April timeframe, the lead time for products were 40 to 50 weeks. Either we kept inventory, customer kept inventory, there was 50 -weeks later. So, when things slow down, the availability of components came back, they wanted to go back to pre - COVID levels of 16 to 20 -weeks, which is the normal lead time we all deal with before this, and now today the component lead times have come to that. So, there's no supply chain challenges as you say. So, now that's why we said, customers destock for five to six months and now we are seeing the restocking happening and then coming back at variable rates into the normal run rates they had. And these are customers w ho have been with us for 7 -8 years, nine years in some cases. So, it's not like it's a new customer, these are Fortune 500 companies, a lot of them working with us over a number of years. So, it is more of a destocking, restocking. So, in India we're seeing a phenomenal growth, the whole country is seeing growth. But in the US, there is a slowdown, but that's possibly the largest market also. So, you have to be wary of that only.

Homeyar : With regards to the aerospace, you make all those sheet metal parts. You also have a competitor I think in Sansera Engineering. They also have started making sheet metal parts for aerospace. So, how do you go against that? And has the slowdown on

aerospac e something to do with the issue with Boeing?

Kunhamed Bicha: Of course, the slowdown in aerospace, we do around 400 to 500 different parts for planes, and of course there's those issue with slow down on certain models we do see that. But for us, the bigger pieces are forward -looking where we are tooling up and doing. Sansera does a lot of machining and they've been doing that for years. And for c ertain customers, we are the only vendor of choice for fabrication and it's a completely two different models. So, Sansera is into

high end machining, and they've been there for years. And they've just invested in a larger project, that's what you probably are referring to.

Moderator: Next question is from the line of Samit from Niveshaay Investment Advisory . Please go ahead.

Samit: My first question is what are the major reasons for decreasing EBITDA margin? Is it due to decline in revenue because our gross margins are intact?

R M Subramanian : So, in terms of decrease in EBITDA margin if you look at quarter -on-quarter it's at a similar level. But if you look at comparing the previous year, it's come down and mainly due to the sales coming down and below the gross margins, about majority 50% of cost are fixed in nature. So, that has a negative operating leverage effect which has led to the slowdown. But in quarters where we have good sales, which is like Q4 last year, you will see that flowing down into EBITDA and we are at a mid to higher teens in terms of EBITDA margins. So, that's how is the nature of our business, and we are confident of reaching this as we move forward.

Samit : The second question I have is, what are the reasons for decreasing revenue from clean energy and our customers delaying order due to some reason?

Kunhamed Bicha In a lot of cases the orders are there to say that some of it has been with the destocking situation with the existing customers. But our larger customer projected is starting to ramp only now which is delayed by at least 12 months. So, that is one of the true reasons and we anticipate in a 3-year period, this is going to be our fastest growing segment for sure.

Samit : What is the percentage range cost of PCB in product sector, and it go up to like 70% to 80% in sectors like aerospace and Defense ?

R M Subramanian : We are a little bit different. If you look at the different sectors. For example, you mentioned aerospace. We don't do PCB in aerospace. We do cables, we do metals, we do plastics in aerospace. So, we are not a completely PCB oriented company. Saying that a larger portion of our revenue comes from PCB and Box-Build.

Samit : What is the percentage cost in general if we consider of PCB?

Kunhamed Bicha: So, different industries to be honest have different margins you can command. If you look at the consumer space, it will be lower margins. If you look at the industrial space, it will be midlevel margins. If you look at some of the clean energy space, it will be a bit higher than the industrial. And it truly depends on the complexity of the work and how much engineering is involved rather than the automation piece. Because if you look at the consumer piece, a lot of it is automated. If you look at, if we a re taking interlocking system, it is a 1 crore to 2 crores system. There's a lot of labor and a lot of verticals going into it, not only PCB, cable, plastics metal. So, it's very difficult to say by industry, you can say you know the material margins diffe r.

Samit : What is your outlook for the revenue and margins and also for the US operations?

R M Subramanian : In terms of our strategy which we talked about our US operations, in terms of the existing customer we did talk about trying to move them and then we have had good success in terms of trying to move out here. That's in terms o

f the existing customers. As ou r MD talked about it,
for some of our clean energy customers who gets our IRA benefits, it will continue to be manufactured in US. So, moving forward our focus will continue to remain on the market, US market is one of the largest and the most profitable market. We'll continue to focus on that and onboard the customers and as we move along our efforts will be to try and move to India. And that's our strategy and that's playing out and continue to work on it. Margins will vary depending on the type of product and the complexity of the product and where we manufa cture. Of course, if you try to manufacture in US, the margin has to be higher to justify the higher labor cost.
Samit : So, can you give a ballpark number for revenue and margins?
R M Subramanian : In terms of the revenue with respect to, we talked about the long run, we want to keep the mix as 50 -50 in terms of US to India. That's what we work on, and it does vary between a quarter to quarter.
Moderator: Next question is from land of Darshil Jhaveri from Crown Capital Partners.
Darshil Jhaveri: I just wanted to ask regarding our growth and order book. So, could you just help me out? So, we are saying that we have an order book of 1,300 crores, that's executed over 14 months. And then there's another long -term contract, so is the long -term contract included in the order book? How much part of it is, could you just help us out in that?
Kunhamed Bicha: So, we break our order book into two pieces. The long -term contracts and immediate shippable orders. So, when we say 1,366 crores, it is what is executable in the next 12 to 14 months. When we say long term contracts which is actually grown by 58% to 949 crores , if you look at it from last year is what can happen between 12 to 14 months to 3 years. So, where we have contracts, we count that separately. If that explains that to you? They're not the same.
Darshil Jhaveri: They're completely different. So, on that rate our growth should be much higher than what we are guiding for sure. Because if we are going to execute around, we should be able to execute this in 12 months and we are currently. So, just I wanted to ask if t his 1,300 crores you want to execute over a period of 12 months then, is it possible that you know our revenue guidance is a bit conservative?
Kunhamed Bicha: Like I mentioned Darshil. So, when we gave this guidance, once bitten twice shy. Last year we were off our guidance a little bit. Like I mentioned we remain on track but for a 3 -year period. But this is a very conservative guidance from what we can see th ings can change positively and we will confirm that in the ongoing quarters.
Darshil Jhaveri: And so just wanted to ask regarding margins. So, currently we were impacted by negative operating leverage but as you had mentioned that in like Q4 FY23, we could even touch 15% margin with our revenue going to 270Cr . Now going forward as we recover our margin

trajectory, if we are above 250 -260 crores we should go back to our historical margin. Would that be a fair assumption?
Kunhamed Bicha: Yes, absolutely. What we believe is, we have set up for a huge growth and there's an unfortunate slowdown in ‘24. So, we're going to see us go back to where we were or even better in the future for sure. It's a, operating leverage. RMS you want to add something to that?
R M Subramanian : Just to add to what MD said, in terms from a capacity perspective, we are what you call designed for a much larger thing. And as our sales pipeline comes, gross margins we have been able to maintain sort of the industry best standards and with the current fixed cost the margins should flow automatically into EBITDA and PAT, and we have done that in the past and we are confident of doing that in the future as well.
Darshil Jhaveri: So, a 12% margin is possible for FY

25 as a lot of our manufacturing also shifting to India which
is already doing a 20% margin?
Subramanian: I don't want to be getting this specific in terms of numbers in terms of what we need to achieve. I think from a guidance perspective on sales, we have done, and we have talked about the mechanism of how it works. I'm sure you can work the numbers also.
Darshil Jhaveri: Just wanted to ask regarding our shift of manufacturing of a lot of customers to India, will that be margin accretive and if yes by how much?
Kunhamed Bicha: We believe moving to India will be more profitable for the company because there is a cost which we are trying to reduce in the US, a combination of this will have a very positive effect. Did that answer your question?
Moderator: Next question is from the line of Rahul Gajare from Haitong Securities.
Rahul Gajare: I wanted to understand in terms of the direction where we are going as far as the US operations are concerned. In this particular year you did indicate that you did well on the EBITDA side. But at the bottom line there was a loss. What is your roadmap on turning the US business completely and becoming profitable over there? Do you think that's a 3 -year journey or how much time will

that take? That's the first part because that will have a huge impact on the consolidated financials.
Kunhamed Bicha: You're absolutely right Rahul. And that's what we've been struggling through last year. And the first time we've had this kind of slowdown in the US. But saying that US is the largest market and we also need that as a beachhead because we deal with some of our clients who have complex systems. They like to see some operation in the US and also saying that we would have a smaller operation once a lot of these products mov ed to India and that journey has started 4 -5 months back. Some of it is moved and some of them in motion. But any of the clean energy products if we need to play in the US, we need to be there because of the IRA benefits the customer gets. So, that is the question we are trying to answer. So, anything which does not have an IRA benefit we are moving or convincing customers to move. And we've been very successful

in doing that. It's taking a little bit longer than we expected but the choice is the IRA benefit is going to be there for some time and we are hoping once it gets started some of the sub components can move to India.
Rahul Gajare: Assuming that you know we are looking at a 50 -50 share between the US and India even if clean energy were to be about 25% to 30% of the total revenue which is profitable, the US business is more profitable. Do you think the profit of the US, the EBITDA mar gin of the US can higher than that of the Indian operations?
Kunhamed Bicha: No, I don't think. As we see it now of course we raise prices we can get the US to be higher. But as we see now our core business, our most powerful business is the US customer making in India. And that is our core target. And for clean energy, we are givi ng a pathway to the customer to start in the US and then bring subsystems into India, so they get the IRA benefit.
Rahul Gajare: I wanted to also ask you about, I think you just fleetingly talked about having enough capacity. Do you see the company needing more CAPEX in order to support future growth?
Kunhamed Bicha: We've always maintained a different model. As we have spoken in the past, we usually strive for a 10X asset turn. And over the next 3 years we believe, our investments in the facilities or the larger factories are done, and we'll have a 35 to 45 crores every year to maintain growth because we are also looking at labor arbitrage because of the US customers. So, we would look ,like to answer your question 40 to 45 crores every year for the next 3 years.
Rahul Gajare: And I'm not too sure if I missed this. You talked about

a revenue guidance about 14% to 18%. I understand your conservative based on all the numbers over here, did you talk about a specific EBITDA number? I don't know if I missed that, or you did not give that guidance.
Subramanian: On guidance we stuck to the top line, and we've not given in specifics in terms of profit margins.
Moderator: Next question is from the land of Neel Nadkarni from Dalal & Broacha Stock Broking.
Neel Nadkarni: I just had couple of questions. The first one is regarding the new plants that you are getting online in India. So, majorly what capabilities are you adding over there and are you targeting some other geographies apart from US over there also?
Kunhamed Bicha: Yes. See, these facilities will be mixed plants with I think the new one coming up is where we are seeing the fastest growth. PCB , cable, plastics, it will be a mix. It's 160,000 square feet facility, 3.5 acres and we have got room to build more. In India we do have the Bangalore factory. So, the larger Box-Build will be done in the new plant we believe the first part will come through this earlier next quarter and the larger plant will start construction once this is done. And so, it will be a mixed bag. It's just not a certain category of parts. So, we try t o utilize our space in the best way possible. And we believe the longest lead time to get production going, it's not the machines and it's the factories and facilities.

Neel Nadkarni : And in the geographies front, are you targeting some other geographies also?
Kunhamed Bicha: Yes, of course. Europe, we've been trying to get there. We have a few customers, but none of the larger pieces, but a lot of our European customers when they come to India, they use us quite a bit. It's not going back to Europe. It's like what we say in 24 % of our business from right, I don't know this quarter comes from Japanese customer.
Neel Nadkarni : And also, last quarter you had mentioned that you were planning to repay around 50% of your debt in Sienna also. So, is that still on track for FY25 and also what are your CAPEX targets if I am not wrong, it was around 40 crores to 45 crores for next three years, right?
R M Subramanian : Subramanian here. I will try and answer that question. In terms of Sienna, we have not completed the transaction. We are hoping that we'll be completing in next quarter in terms of repaying the debt and we have a working capital at about $9 million to $10 million there. We will do that. And in terms of CAPEX as our MD said we will be on an average doing about 35 crores to 45 crores annually.

Neel Nadkarni : And last question on a long -term perspective, let us say over the next 2 -3 years, are we still targeting that 30% to 35% kind of industry growth or on the top -line side?
Kunhamed Bicha: Because of our customer mix and because of our US -India mix so what we are saying is in the next three years, we are comfortable to say we are going to double our revenues from today, but it may come in spurts. But if you look at us over the three -year per iod, we look at our business over three -year period, we are very comfortable to double our revenues.
Moderator: Thank you very much. Next question is from the line of Uttam Kumar from Avendus Spark. Please go ahead.
Uttam Kumar: Just two questions from my end. The first one is more clarity, with regards to the initial statement which you had made on the growth engine where we had stated that the new customers in USA regarding the clean energy space, could you give us more clarity on what exactly we had received because I could not clearly get it. And also, there was an excellent commentary where customer will be going for a significant revenue from FY26 onwards. So, what could be the revenue composition which this particular custom er can account for over the next say three to five years down the line f

or the company?
Kunhamed Bicha: So, the first part of your question I missed.
Uttam Kumar: The first growth engines you had mentioned that there has been a new customer addition in clean energy space, and we had the approvals, etc. I happened to miss the commentary so if you can.
Kunhamed Bicha: So, the so it's a new customer, it has been a customer for a year in the sense we were stopped from making product because the compliance s for the customer and engineering design issues and that has been completed so that we are ready to go. We are into prototype now and we are

ready to go into full production in the second half of this year and some revenue in Q2. It's going to be a substantial piece. I will let it play out because huge numbers have been promised to us. So, we just want to be more comfortable in giving guidance on the size of it, but it is fairly large.
Uttam Kumar: The second one is on the domestic the aspiration of the company is also that overtime you would want to maintain a 50:50 mix between both India and international revenue. So, in that context, so which segments are we looking to grow because right now we s ee that certain peers are performing well be in the industrial category or the medical category whereas we are still struggling to grow the business there. So, what are we focusing on? What are our focus areas? Is the company planning to get i nto some newer categories or tap into some PLI opportunities, more color on that will be helpful.
Kunhamed Bicha: I will just rephrase. See India to us 3 -4 years back was around 20% to 25% of our business. It has become a focus for us in the last 18 months as the growth engine has started and we want to be a fair part of it. So, a lot of our focus historically has been in Rail, which is growing for us and will grow into the future. Industrial infrastructure, again, some global majors for the supply into India have signed up with us and we also have two fairly large China transfer p rojects moving from China to us for Fortune 100 companies at various stages for the India market coming in. But these companies, it's not an overnight story. It takes some time. So, we believe the Railways, Infrastructure and entry into EV are going to be large, Two -Wheeler players will happen in the later part of the year where we have signed significant orders.
Moderator: Thank you. Next question is from the line of Ashutosh Paraskar from Mirabilis Investment Trust. Please go ahead.
Vipin Goel : Vipin Goel this side. Sir. I had this question on the growth part of the business, you indicated some 14% to 18% growth for the next year. So, could you talk about the kind of products, the first ones to drive this growth for the next year and if you had to break it down between the new customers versus the existing customers or the new products versus existing products so how would this basically kind of pan out in the next one or two years?
Kunhamed Bicha: So. If you look at most of our customers, even last year around 80% of our revenue came from existing customers. They will grow at. 10% to 15% and what we are seeing is the revenue coming from new customers, which is where our larger part of the growth will be at a much higher rate.
Vipin Goel : Sir, if. I look at the order intake for the quarter, so there's an improvement in the ordering so anything you would like to highlight here on what kind of segments has led to this growth or on the product side if we were to bifurcate that into products s o is there any particular product that led to this improvement?
Kunhamed Bicha: A lot of it is broad based and a lot of it is a good mix I would say between our US customers and India customers. What we see come back with the US is growing a little bit faster into the future that's why we are very positive and that's been our core bus iness and India businesses where

we

doing a lot of prototyping for these industrial giants and we are seeing that play out in the next two quarters and these are substantial revenues which are supposed to come.
Vipin Goel : And then coming back to this some of the domestic customers. So, earlier we were doing some surveillance system for one of the industrial customers and then there's this domestic EV Two - Wheeler customer, which we were trying to get orders from this year. So, how's the development there? Any developments there?
Kunhamed Bicha: EV , we do have the orders for the next 12 to 18 months. And we expect launch late part of Q2. And that's a substantial piece.
Vipin Goel : So, again, like coming back to that existing product part, you said 10% to 15% growth in the existing product portfolio, so a large part of this would still be mobility and then some bit of industrial, is that the right understanding?
Kunhamed Bicha: No, because a lot of our clean energy destocking to restocking happening also there was a slow down there. So, fairly broad based and then the a erospace side also had a tremendous slowdown which we are seeing coming back to actually four year back 2020 where we were at the peak at that point of time. So, we are seeing it broad based and of course industrial is a large piece of our portfolio. So, we see th at largest industrial customers coming back to where they were before the destocking whi ch is around 8 months back. Did I answer your question Vipin?
Vipin Goel : Yes, I got some clarity on it. So, this on the debt front, last quarter we had alluded that we will be paying some part of the high -cost debt that was sitting on the balance sheet. So, could you talk about what has happened there and then last one on the US headcount, if you can get the number, how that has moved?
R M Subramanian : I will take it on the debt side. Today, most of the India is debt free though we took some debt in the end of March in terms of about Rs. 30 crores come down. There is more working capital and contextual but otherwise today the key debt is in US, which is about $15 million and that is what we are looking to rationalize. We hope to complete the transaction in Q1 -Q2, in terms of bringing the debt down there. Moving some other surplus cash from India to US and then paying it down.
Kunhamed Bicha: So, we have reduced debt down.
Vipin Goel : And on the headcount in US.
Kunhamed Bicha: So, we have reduced headcount. I don't want to give the exact numbers out, but there's a substantial reduction in headcount.
Moderator: Thank you, Vipin. I will request you to come back for a follow up question. Next question is from land of Raghav Gupta from Nomura. Please go ahead.

Raghav Gupta: I am just asking about the segmental revenue split for PCB, ODM and other electronic components for Box-Build I guess it's 50% this year what about other segments?
Kunhamed Bicha: So, I would put it this way in a simplistic manner around 65% is Box-Build and PCB together. That means Box-Build has PCB and as the other pieces also. And if you're doing direct parts or something like that.
Raghav Gupta: And ODM and other electronics remains the same I guess.
Kunhamed Bicha: Yes, you can say that.
Moderator: Thank you. Next question is from Harshil Sethia from Renaissance investment managers. Please go ahead.
Harshil Sethia : With the new Chennai facility, what kind of capacity will we have in hand and how much have we spent on the Chennai facility? If you can just highlight. I just missed the initial comments from you?
R M Subramanian : On the Chennai facility, that's about 1.5 lakh square feet of space and about 3 acres of land that's within the SEZ. It has existing building, and we are doing the refurbishing. I think all put together, it will be about 30 crores in terms of

including t he cost of the building and the refurbishment. This is all -in cost I am talking about.
Kunhamed Bicha: A lot of that has been accomplished.
R M Subramanian : As we earlier said in the speech, we should be commissioning the building in this quarter.
Harshil Sethia : And the 35 crores to 40 crores that we are planning to spend each and every year for CAPEX will be for Chennai and Bangalore both.
R M Subramanian : This is group as a whole we are talking about, which will have both buildings and the machinery. So, all of these projects are spread over years, it doesn't get executed in one year.
Harshil Sethia : And Sir, so three years ago we might be having a gross block of around 280 crores. Do we expect to maintain the same level of asset turns that we are doing as of today.
Kunhamed Bicha: RM you want to answer that?
R M Subramanian : In terms of our model, as we earlier said, we have an asset -light model. We continue to do that and there may be few blips here and there in terms of quarter -on-quarter but in the long run, our

business model continues to aim for achieving that asset turns.
Harshil Sethia : I am just asking from a longer -term time frame, not on quarter -on-quarter frame.
R M Subramanian : Absolutely, we'll be able to. Maintain that.

Harshil Sethia : Which is around 7x which are which net -net which you have generally been doing.
R M Subramanian : No, it may be much higher also.
Kunhamed Bicha: We target 10x turn usually.
Harshil Sethia : You said that the facility will be up and running in a phased manner. So, you said that in Q1 there will be a bit of commissioning and then the Phase -2 might start from H2 FY25, correct?
Kunhamed Bicha: No. So, there are two facilities, one is in the export zone, which will be fully commissioned late this quarter and the beginning of next quarter, which most of the work is done that is for export. The second facility as our India business is growing so we have a Brownfield project a part of it will be live end of this quarter and new construction which we already have, the land will start I would say in the second half of this year to cater to the Indian market in the future.
Moderator: Thank you very much. Ladies, gentlemen, we will take that as a last question. I will now hand the conference over to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair : I would like to thank all the participants for being on the call and the Management for patiently answering all the queries, very much appreciate d. And thank you very much for giving us an opportunity to host your call, wishing you all the very best, Sir. Any closing remarks from your side, Sir?
Kunhamed Bicha: I will just add a couple of lines if that's okay. We are encouraged by the robust support for my investors despite challenging market conditions. We are committed to reinforcing the trust that the investors have in our Company. I sincerely appreciate your steadfast support and confidence in Avalon Technologies. Together we are set for a remarkable journey of profitable growth and success. Thanks to everyone for attending the call. Thank you, Bhoomika. Thank you.
Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

"Avalon Technologies Limited
Q1 FY '2 5 Earnings Conference Call "
August 09, 202 4

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR – AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON TECHNOLOGIES LIMITED
MR. SHRIRAM VIJAYARAGHAVAN –GROUP CHIEF OPERATING OFFICER – AVALON TECHNOLOGIES LIMITED
MR. R M SUBRAMANIAN – CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED
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MR. MIKE ROBINSON – CHIEF OPERATING OFFICER , US – AVALON TECHNOLOGIES LIMITED
MR. SURESH VR – HEAD OF CORPORATE PLANNING AND INVESTOR RELATIONS – AVALON TECHNOLOGIES LIMITED

MODERATOR : MR. DEEPAK AGRAWAL – JM FINANCIAL

Moderator: Ladies and gentlemen, good day and welcome to the Avalon Technologies Q1 FY '25 Results conference call, hosted by JM Financials. As a reminder, all participant lines will be in listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agrawal. Thank you and over to you, sir.

Deepak Agarwal: Ladies and gentlemen, a warm welcome to everyone for the Q1 FY '25 Earnings Call of Avalon Technologies Limited, hosted by JM Financials. We extend our sincere appreciation for your presence and we are truly honoured to have you join us on this occasion. To take us through the results of this quarter and answer your questions, we have today with us Mr. Kunhamed Bicha , Chairman and Managing Director, Mr. Bhaskar Srinivasan , President, Mr. R M Subramanian , Chief Financial Officer, Mr. Shriram Vijayaraghavan , Group C OO, Mr. Venky Venkatesh, Group Chief Sales Officer, Mr. Michael Robinson, Chief Operating Officer for US operations and Mr. Suresh V R, Head of Corporate Planning and Investor Relations. Mr. Kunhamed Bicha will give a brief overview about the business performance for Q1 FY '25 and it will be followed by CFO Mr. R.M. Subramanian's remarks on the financial performance, after which we will open the floor for Q&A.

As we move forward, it is important to bear in mind that any forward -looking statements made during the call are subject to potential risk and uncertainty, both known and unknown. Without any further delay, I turn over the call to Mr. Kunhamed Bicha , the CMD. Over to you, sir.

Kunhamed Bicha: Thank you, Deepak. Ladies and gentlemen, on behalf of Avalon Technologies, I extend a warm welcome to our Q1 FY '25 Earnings Call . Before we dive into the business performance for this quarter, we would like to highlight Avalon Technologies' key differentiators, especially for those who are joining us for the first time.

Avalon Technologies establishes itself as a key player in electronic manufacturing services at a global reach. We take pride in our leadership in high-mix, flexible -volume manufacturing, serving a diverse range of industry verticals, especially in mission -critical integrated solutions that require significant engineering expertise. We currently operate across 13 manufacturing facilities in India and the United States.

We are also adding one new manufacturing unit in India. Our key differentiators are, one,

vertical integration. We are a one -stop shop offering a true box -built solution that involves PCB design, new product development, cable assembly, sheet metal, plasti cs, magnetics, testing, and logistics.
We do end -to-end development from PCB design to manufacturing of final product. Number two, global presence, both in terms of manufacturing presence as well as customer base. Number three, optimal mix of established industries like rail, aerospace, industr ial, medical, and communication, and emerging markets like clean energy.

Now moving on to our business performance and outlook, around this time last year, when we anticipated the destocking by our established US customers, we communicated this up front, and we have kept you updated on our progress. In our earlier earnings call, we mentioned that the first half of FY '25 would be muted, and noted the signs of recovery were emerging as our existing US customers began restocking at varying levels. We also shared that our focus efforts in the Indian market would soon start showing results.
This combined progress is expected to lead to significant momentum in t

he second half for FY
'25. I would like to reiterate that we are following the path laid out during our last call and are seeing our anticipated growth materialize sooner rather than later. Our belief in the momentum and growth potential for this year has only strengthened.
We believe this year marks a pivotal point in our journey, setting the stage for decadal growth ahead. Accordingly, we would like to revise our FY '25 guidance up from the earlier 14 % to 18% to 16 % to 20 %. During Q1 FY '25 , our revenues decreased by 15.2 % year-over-year, gross margins fell by 0.8 % year-over-year from 34 % to 33.2 %, and by 3.1 % compared to FY '24. The product mix this quarter was a key factor in the drop in gross margins. We believe this is a temporary phenomenon, and on a full -year basis, ou r gross margins can be between 33 % and 35%, considering the anticipated revenue growth in the second half.
The decline in gross margins consequently resulted in a muted EBITDA at 2.2 % and a PAT of minus 1.1 % for Q1 FY '25 . On a positive note, our focus efforts towards managing working capital have resulted in a reduction in net working capital days by five days compared to March 2024. This has led to a positive cash flow from operations amounting to INR36 crores in this quarter. We remain on track to reduce our net working capital gains by at least 10 to 15 days by March 2025.
Additionally, our order book grew 32 % year-over-year to INR1,461 crores, with execution expected over an average period of 14 months. Long -term contracts, which extend beyond 14 - month period and span an average execution period of two to three years, grew by 65 % year-over-year to INR985 crores. Our Indian manufacturing serves both our Indian and global customers and represents 88 % of our business in Q1 FY '25 , remains highly profitable, with EBITDA margins of 9.6 % and PAT margins of 6.6 % during Q1 FY24. How ever, our US manufacturing business reported a net loss of INR14.2 crores.
Now earlier communication, we had highlighted two measures for the short -term challenges in our US manufacturing business. One, optimizing product allocation from our US plant to our Indian plant. We have transferred around 45 % to 50 % of our US production to our Indian plants. Consequently, the proportion of our revenues from our US manufacturing plant is at 12 % in Q1 FY '25 , as against 27 % in Q1 FY '24. We expect US manufacturing production to be around 15% in FY '25 .
Number two, rationalizing costs with our US operations. We have made meaningful progress on this front and we believe the results of these initiatives will be more visible in the coming quarters. We had earlier highlighted our three engines of growth. One, existing US customers. Two, new US customers. Three, growing Indian customers.

Our existing US customer base is shifting from de -stocking to restocking mode and are recovering at various rates. This shift underscores the strength of our long -standing customer relationship. Additionally, our recent wind, industrial, clean energy, and outdoor sectors with leading US companies are progressing from design or prototype stages to commercial and ramp - up production this year.
In the fast -growing Indian market, our intensified focus over the last one to two years has led to

key wins in rail, industrial, aero, and communication sectors, which we believe will advance to commercial production over the course of this year. We are ha ppy to note that we are seeing traction across all three engines and expect the coming quarters to g row ahead of our expectations. Transitioning to our new account wins.
In the US, we are onboarding two auto -component companies that are leaders in battery management and motion control systems. Additionally, we have secured significant contracts with two major industrial companies. These are well -established c

ompanies operating for
decades and are market leaders in their domain.
Additionally, our presence in the aero industry over the last 8 to 10 years is now yielding significant new business wins. As we progress through the prototype stage in FY '25 , we will share more updates on these developments in the coming quarters. Regarding one of our customers in the clean energy sector, which focuses on home electrification systems with storage and grid interface, the compliance certification is approved an d the anticipated production ramp - up in H2 FY '25 is progressing as planned.
We would like to highlight that they follow a storage -first approach as opposed to a traditional solar installation approach and are likely beneficiaries of the present U.S. regulations including the Inflation Reduction Act. In the Indian market we are expanding our business with two of our existing industrial customers and one communication customer.
We are also achieving significant new wins in our rail, aero and industrial verticals with contracts secured from large multinational companies. As we transition ed from prototypes to production in the upcoming quarters, we will provide more details. Looking ahead to FY26 and beyond we are building a strong momentum in communications and server verticals too.
Additionally, we are actively working with our c ustomers on anti -collision Kavach systems which we believe holds significant business potential. In summary, the momentum and progress we are seeing in our new wins and addressable opportunities are giving us confidence in achieving decadal growth and comfort in our goal of doubling our r evenues by FY27.
On the infrastructure front, we are pleased to report that we have completed a new plant in Chennai dedicated to export operations and are in the process of starting production.
Additionally, regarding our Brownfield expansion in Chennai to meet growing domestic demand, Phase 1 is complete and Phase 2 is expected to commence in the second half of FY25.
With the revenue growth we anticipate in the coming years combined with our tea m and infrastructure in place, operating leverage will play a significant role in our Favor .

We expect to see the benefits of this operating leverage to some extent in Q2 FY25 and significantly from H2 FY25. Our profit growth is expected to outpace revenue growth. This is underpinned by the following reasons. We maintain industry -leading gross margins and have not pursued low -margin businesses.
The majority of our costs below the material costs are fixed in nature allowing operating leverage to flow through as revenue ramps in H2. Our dedicated focus on improving working capital will help us relieve some cash, further supporting our growth and profitability. In summary, we believe we have reached the bottom and are now seeing strong signs of recovery in the second half of this yea r supported by a substantial executable order book . FY25 will be a milestone year for us and we are excited to share th is journey with you.
It is crucial not to lose sight of long -term vision and opportunities while dealing with short -term macro challenges. We are preparing our organization for sustained growth in the years ahead . Avalon stands strong , committed to building a business focused on long -term profitable growth rather than short -term growth at any cost. I will now hand over the call to our CFO for a detailed look into our financial performance. Thank you.
R. M. Subramanian: Thank you, KB and g ood afternoon, everybody. Thanks for joining the call today. Coming to our performance during the first quarter of FY2025 our financial performance is neutral in line with the commentary we had shared during the last annual call. Our revenue from operations is INR199.5 crores a decrease of 15.2% year -on-year from INR 235.1 crores. Gross profit is INR6

6.2 crores down by 17.2% year -on-year.
Our gross margin is lowered by 82 basis points from 34% to 33.2% year-on-year. EBITDA is at INR4.4 crores down 73% year-on-year. EBITDA margin stood at 2.2%, a decrease of 469 basis points on a yearly basis. PAT stood at minus INR 2.3 crores down by 132.6% year -on-year a nd PAT margin is at minus 1.1%, a decrease of 407 basis points year -on-year. Revenue from our India manufacturing business which serves both our Indian and global customers is at INR175.3

crores which is at 88% of the total revenue.
The profit after tax pertaining to our India manufactur ing business is at 6.6%. The PAT percentage for our US manufacturing business stands at minus 58.1% with an absolute loss in PAT of INR 14.2 crores. Moving on to our balance sheet side, our net working capital days are at 156 days as on June 24 comprising of 125 days of inventory, 75 days of receivables and 43 days of payables.
While we have noticed an improvement in both days of receivable and payable our inventory days have increased due to the impact of decreased revenue. Our net working capital days reduced by 5 days fr om 161 days as on 31st March 2 4 to 156 days as on 30th June 24. We are positive that we are well on track to reduce our net working capital by 10 to 15 days by the end of this financial year as mentioned in our previous call. We are also well positioned in terms of cash flow with posi tive operating cash flow of INR36 crores.
During the quarter even though we made PAT losses, we have been able to improve cash flow by better working capital management. This i s reflected in our net cash position which improved

from INR34.5 crores as on 31st March 2 4 to 58.4 crores as at the end of the current quarter.
That's said, w e have become even more confident in th is year's momentum and growth potential. We believe this year represents the crucial turning point laying the foundation for a long -term growth in the coming decade.
Consequently, we are raising our FY21 guidance from the previously projected 14% to 18% to 16% to 20%. In conclusion, we are quite optimistic on our performance for FY25 on the back of large demand , growing order book, strong cash flows and comfortable liquidity position. With our profits strongly tied to a scale of production and revenues, we accordingly expect FY25 to be much more profitable for us than FY24. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.
Deepak Krishnan: I just wanted to sort of understand obviously we have revised our guidance up to 16% to 20%. So, especially say within segments what kind of growth are you broadly targeting across your major segmen ts or say within geographies between domestic and export can you sort of give a broad guideline as to where those two will kind of stand up?
Kunhamed Bicha: Thank you Deepak for that question. We are seeing a very broad -based growth and a lot of our issues were with the d estocking situation in the U S in the last 12 months. What you are seeing are existing customers who have been our customers for 8 to 10 years are coming back to a restocking level.
Some of our customers, a couple of them to name are coming at varying levels. Some of them have exceeded their usual run r ate. So that's a positive sign, Some of t hem are 30%, 40% of our run rate, b ut the majority of what we are missing has come back and some of them are in the process of coming back. So that's the base is coming back.
Number two, what we are seeing is the second engine what we mentioned is the new customers. We have had significant wins in the last 3 to 6 months where we have been doing prototypes and getting ready for production. We are starting to see that flow in lat e par

t of Q2 and I would
say in Q3 and Q4.
The other part, the third engine for us is the India piece which we were late entrants. We have been looking at the India market for the last, I would say, 2 years. Previously we were 70% export and 30% India , that effort is paying off. We are seeing a lot of activity in our rail business, our existing customers as well as new customers and new products we are making for new customers coming through.
As you know rail is a big part of what we do in India and apart from that we have signed a couple of new projects from our existing customers in the industrial side which will bear fruit in the coming future. Did I answer your question, Deepak? So it's really broad -based. So export is coming back which is the key a nd our India business is growing.

Deepak Krishnan: So export would be about 60% of our top line for a year? Is that sort of our understanding or would it be 50 -50?
Kunhamed Bicha: Our long -term goal is to make it 50 -50. We did have a short time when the US was down last

year, a couple of quarters where it was 50 -50. But looking at this year with exports coming back, we would say this year would be 60% export, 40% India. But our long -term goal is to make it 50-50.
Deepak Krishnan: Maybe if I just look at the incremental order inflows that we've had, obviously highlighted , that most of it would be from the US geography. Is that understanding correct? The 5.6 billion order backlog that we have today?
Kunhamed Bicha: It's broad -based. It's both. Because we see India actually growing a bit faster for us. And especially rail is growing a bit faster. If you look at the order book year -to-year, last year around this time we had INR1,100 crores which we could do 12 to 14 months. And we had INR600 crores in long -term contracts which is around INR1,705 crores in orders between short -term and long-term.
Now we see a 43% increase year -to-year where our 12 to 14 -month orders are INR1,465 crores and anything between 12 months to three years is INR985 crores which totals to around INR2,450 crores. So with a strong order book, we are confident on achieving where we need to go.
Deepak Krishnan: And maybe just one follow -up. Just on Kavach, is our product RDSO approved or we are still in the process of getting RDSO approval? And similarly for the C -DAC server contracts, is there some minimum amount of servers or minimum contract value that you would give us over the next probably 12 -18 months? Is there some sort of number to that?
Kunhamed Bicha: So Kavach, as you know, we are working with one of our largest customers. It's one of the two internationals who have been approved by the Indian Railways. So they are first level approved. The field testing is going on and we believe that is going to be a significant play , not in the near term but after two quarters I would say till the final approval comes through. But we are working with one of the two which has already been approved by the Railways.
Deepak Krishnan: Sure, and on the C -DAC serv ers, any number or any quantum?
Kunhamed Bicha: We are waiting. I think there are two allotments which are done and there is a change in the model. So we are hoping in the next six months we should get an allocation because we are one out of three.
Deepak Krishnan: Sure. Those are my questions. I'll get back on the queue.
Kunhamed Bicha: Thank you, Deepak.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from D AM Capital. Please go ahead.

Bhoomika Nair: Yeah. Good afternoon, sir. So just want to start off with trying to understand, we saw a fairly sharp drop in the US revenues. I thought that had kind of settled down but are you starting to now kind of start seeing some uptake in terms the exist

ing client base are you starting to see offtake, etc etera , inventory restocking that's starting to happen?
Kunhamed Bicha: Thank you, Bh oomika, for that question. Absolutely. So if you take our largest industrial customer, the forecast this year because it takes around four months to materialize and start the flow again. So we start seeing the flow, I think, starting this quarter. We are seeing 30% percent more than normal. Our medical customer, which is down 80 %, is back to 100 %. And these are all customers who've been with us for years.
And a couple other customers are back at 65 %. These two are some of the leading indicators for us. The smaller customers, whether they come in at 30 %, 40%, we're not worried so much. But the big pieces, which we do in the US, are surely coming back. And we're seeing all signs of it.
And it's not very much related with the economy. It is more of a de -stocking, re -stocking because we had that four years of stocking and stocking.
Last three quarters, there's a lot of de -stocking happening. And now we are seeing coming back to the normal levels. So it's a very positive sign for us, apart from the new customer base.
Bhoomika Nair: Sure. And, sir, in terms of the larger clients where we were looking at, say, Ohmium or Lunar, etcetera, how is that panning out in terms of their offtake at this point? What is the status on their ordering activity and their product approvals?
Kunhamed Bicha: So, Bhoomika, I'll address that in a couple of pieces. One is the name you mentioned. We stopped mentioning names in the calls. so that, it has been approved. Now the field testing is going on.
From all what we can see, they should launch in the late part of this year, which is, you know, in Q3. And then going to production in Q4. So, as we stand now, all the approvals are done.
And, we'll keep our fingers crossed. And, a lot of that is not in our numbers, what we talk about going forward.
And, we believe that's going to be an upside. On the other hydrogen customer, their large factory has been all over the press. And, we hope, that’s a little bit later, as my feel , it's more of a 2026

story. But, we still are the key manufacturer for most of their products. And, we're continuously prototyping and perfecting what we do for them. Did I answer your question, Bhoomika?
Bhoomika Nair: Yes, sir. So, if I look at it, we've seen a decent progress of the revenue mix or manufacturing mix actually shifting to India as what we were looking to do with almost 88% being now manufactured out of India. Now, we were looking at cost savings in terms of US, in terms of scale down o f the cost structure there. So because we've seen that loss of about INR14-odd crores in the current quarter.
How is that kind of panning out in terms of cost reduction or is it just purely now there's no more room to kind of cut costs in US and it'll all be driven by uptick in terms of revenue which will erase these losses? How should we understand this? Because the objective was to move to India and I think a lot of it has already happened, right?

Kunhamed Bicha: So, Bhoomika, for us, I'll just give you how we went about doing this. It took us five to six months to convince the customer we needed to move to India which we did for 50 %, 55% of our customer base and agreed to move. Then it takes two, three months for us to make the moves for them to audit, for them to approve. So, a lot of that is complete but in the interim we need to keep , we can't shut down production. It's not an on -off switch. So, it's more of a transitionary phase.
So, we have to keep some of the activities going in both places in transition. For example, a customer will say, okay, you do 50% for a quarter in India. Other 50% do it in the US. So, and then after two quarters move the whole thing to India, right? So, we are i

n that process. So, you
will start seeing some of the benefits of what we did on that in the following quarter. There's going to be, of course, good effect of that.
But on the other side what you see is since we are moving all this out of our US operations temporarily there's going to be losses there. It's coming into India.
Bhoomika Nair: Okay. So, what I'm trying to understand is next couple of quarters we see the restocking coming through. We see new customers coming through which take up our revenues from the US market.
But they'll be all manufactured out of India. So, will the US losses kind of continue or will they kind of go away? That's where I was actually just trying to understand, you know, from a cost perspective. Or is that , once the revenues come back the US losses also go away?
Kunhamed Bicha: There's a combination of two things. One is, of course, the operating costs in the US is going down as we see. Okay. And so that you're going to see the benefits of that as the full transition is complete. We're doing 100% here. Right now we're running two plants on the same product.
The second part of the equation is we are keeping some of our bets open there for some large IRA deals.
So, we're not betting the whole operation but we are keeping our bets because some of the production can only be done in the US because of the IRA benefits. So, we're keeping our options open and it's the right combination of the two. So, whatever we can move is moving and some more will move. And then we will right -size the organization as the products with the IRA benefits come in, which is in process.
Moderator: Thank you. The next question is from the line of Mee t Jain from Motilal Oswal Financial Services . Please go ahead.
Meet Jain: Yes. So, sir, my question is regarding the India business. As you can see, we have seen some dip in this quarter in terms of our India revenue. So, I just want to understand at which stage are we in terms of ramp -up. As you said, the activity on the railways has been picking up very strong. So, I just want to understand the momentum going ahead. So, how we can see the India operations.
Kunhamed Bicha: I need to thank you for th at question. What you said actually explains the answer. So, with the election and a lot of this activity the rail business for us slowed down the first quarter and we are seeing the uptake starting this quarter back. Some of the election and some of the activities,

it slowed down the rail business and that is a key piece which we do for India. But looking into the next three quarters, we are seeing a substantial growth in that piece. We are looking for more than last year on a yearly basis.
Meet Jain: Okay. And for this, newer customers, so, can you set a timeline to what kind of products and

have you struck a deal already for manufacturing production in India or that will be happening in the U.S. operation itself?
Kunhamed Bicha: A lot of things need is that today we are able to get production directly into India. More than what we could do a few years back where we did it initially in the U.S. and then brought it to India. So our success rate of directly bringing it to India is in creasing and most of what we are talking about is either prototype or getting into production. So these are already customers who have agreed on which factory and majority for us now is coming into India directly whether it is from India i tself or from outside India.
Meet Jain: Okay. And last one question is like if I correctly you mentioned that the U.S. operations will continue to see some losses in the next few quarters because you are moving the production here. That is correct?
Kunhamed Bicha: The majority of the move has happened but we need to make sure that some of the operations is there to meet because these customers are used to U.S. manu

facturing. So the costs are going to go down and I would say that once the new IRA customers cut in the U.S. we should be fairly comfortable to break even or make a nice profit there too.
Moderator: Thank you. The next question is from the line of Uttam Kumar from Avendus Spark . Please go ahead.
Uttam Kumar: Yes, thank you. Sir, thank you for taking my question. Firstly, one of the participants has already raised this question in terms of the revenue growth. We had seen that there has been an impact on the domestic trend. You also highlighted that this was led because of the elections. So on a sequential basis, we have seen almost 8% decline in terms of revenue. But in terms of gross margins, last couple of quarters we have been seeing the gross margins have been at almost 37 %-38% levels.
And this quarter we have seen a significant decline despite exports mix being on the higher side. Could you kindly state why there has been a significant dip? Is the mix of orders are at a lower margin or did they execute some one -off orders? So I mean, what's the thought process on this?
R. M. Subramanian: Yes, I'm Subramanian here and I'll take the question. Okay, if you look at our long -term gross margins of what we have done in past it's about 35% plus. And typically, what our business we can aim to achieve is about a 34 % to 35% gross margin and these are with that there has been a slight dip in terms of what we achieved this time. And this can be broadly explained by the factors there are two factors I will call it.
One is the product mix this time some of the product mix has a lower margin and specific factor to this quarter I will say is also a bit on the side which is more on the related to the red sea which

hopefully will go down , but having done in the past we are confident of achieving what normally we do which is about 34 % to 35 % gross margin in the long run.
Uttam Kumar: Okay. So I mean, the low margin order which you had stated was it in a particular division which you're talking about? Is it the mobility or is it industrials? Or is it the combination of the both?
Kunhamed Bicha: We usually aspire to have these margins in some of the products have a much higher margin than 34. Some of them have lower. We want to have a right mix where we get to 34, 35 %. So it's not like every product is running at 34, 35 %. There's some which are much higher than 34, 35%, some which are lower and the blend is what gets you to 34, 35 % and that is what we aspire for.
And interestingly, there is business out there where we can find lower margin businesses. We have stayed out of doing that. I'm not saying it's right or wrong, but that's the approach we have taken. We are trying to create this business over a longer time, sustaining margins and having the leverage effect take effect as a top -line growth.
Moderator: Thank you. The next question is from the line of Vipraw Srivastava from Incred Capital . Please go ahead. Yes, sir.
Vipraw Srivastava : Okay, just questions on the U.S. solar industry. So I want to understand, what would be your exposure for U.S. solar industry for the guidance that you have given?
Kunhamed Bicha: I would say less than 10 %, 11% is the max. But let me tell you one more thing about, I know why this question is coming. U.S. solar industry with the housing down is looking down, negative growth as we speak because some states have eased the buyback. But the fastest growing segme nt in solar is storage, where you generate power and store. And that is growing in the U.S. at 50 % to 60%. I don't know the number in the last quarter.
And that is where we are playing majority of what we are doing in the future. So we are very positive about that and that is where the other benefits would play into us. Did I answer your question?
Vipraw Srivastava : Yes, just following it up.

So 10% you were saying, right? Less than 10%, right? For the exposures?
Kunhamed Bicha: Yes, between multiple customers.
Vipraw Srivastava : The number was not clear, actually. The audio was slightly muffled. What was the number, 10%?
Kunhamed Bicha: With multiple customers, just not one.
Vipraw Srivastava : Okay, and you are saying we'll be entering the battery energy solar system part the best part, right? Where you actually store power.

Kunhamed Bicha: Yes, we have multiple customers. That is what is the potential for the future and the growth. But the existing pieces, so we are not banking on 50% coming from solar. It's a very small amount today.
Vipraw Srivastava : Right, so just want to understand, in your presentation, you have given 25% coming from, roughly 25% coming from clean energy, right? So how much of that would be ex -solar? I mean, apart from solar, what do you do in clean energy segments?
Kunhamed Bicha: So we are also in the process of doing hydrogen, parts for hydrogen, which again, I mentioned that it's going to be more of a 2026 play. We've been working with these companies for a couple of, two, three years. And when the ramp comes, we are there to tak e the benefits out of it. Now we do some parts in the EV world. Because of clean energy, we look at three segments. One is solar, hydrogen, and the EV sector.
Vipraw Srivastava : Right. And the guidance that you have given there the mix remains the same, right? Roughly 25% comes from clean energy, right?
Kunhamed Bicha: It is 25%, I have to check the number exactly but 20 % to 25% but only part of that is solar.
Vipraw Srivastava : Okay. And last question, sir, this election, which is coming up in US, so, I mean obviously we all know Trump's policy is not very clean energy friendly. Let's say if he wins, what kind of risk do you foresee to your projection? Is there a risk there if that happens?
Kunhamed Bicha: I don't, I mean, of course, elections come and go but I don't foresee a risk but clean energy is a thing of the future . If some IRA benefits go away and we are more than happy to move that production to India so, the only thing is it will be, instead of being made in the US, it will be made in India instead.
Vipraw Srivastava : Okay, fair enough. Thank you, sir, thanks a lot.
Moderator: Thank you. The next question is from the line of Nitin Sharma from M.C. Pro Research . Please go ahead.
Nitin Sharma: Two questions. Firstly, what is the composition of the current order book and some understanding what would be the average gross margin of this order book?
Kunhamed Bicha: So, like we mentioned before, we have around INR1,465 crores executable in 12 to 14 months, and we've got INR 985 crores executable in 14 months to three years, okay? That's a total of INR2,450 crores. Visible to us, we're not counting -- some orders are multi -year, which is five years or even 15 years in the aerospace industry. We are not counting those orders. So in that sense, we feel fairly comfortable since we've had a 43% growth year -over-year on the order book, which we've been working on for years, and more is coming . So we are fairly confident on the order book.
Nitin Sharma: Yeah, so I meant the industry -wise break -up.

Kunhamed Bicha: So, industry, we're seeing it across industries, okay? And the reason why we are diversified, see most of our industries would vary from 20 % to 25% , aero might slow down. We expect something else to pick up. So a lot of our growth is actually broad -based, except for industrial, it's getting a little bit chunkier now with around 30%, as we look into the future.
Nitin Sharma: Got it. And what would be the average gross margin of the order book range would be helpful?
Kunhamed Bicha: Across industry verticals, pr

oducts and commodities, we intend to have margins between 33 %, 34%, 35%. We've been doing that for the last four or five years. We intend to continue that. So, we want to have a blend mix of getting to 34 %, 35%. Some of them may be at 25 %, some of them may be at 55 %, but we need the right blend to keep us there.
Nitin Sharma: Got it. And my second question is, how should we see the employee cost as a percentage of revenue coming down as you reduce your manufacturing in U .S. over, say, 12 months to 24 months?

R. M. Subramanian: Yeah, I'll take that. See, our employee cost as a percentage has been slightly higher, but that's more to do with the leverage impact in terms of what we're doing. So, if you look at our capacity utilisation , we are operating about at 60%, and that too in two shifts. So as our revenue picks up, about 50% of our employee cost is fixed, and that will play into the operating leverage impact and also flow into the bottom line. And based on our revenue balance, we believe that our growth in profit percentage will be much more than the growth in sales percentage.
Nitin Sharma: Yeah, that part I got it, but trying to understand how should we see the steady state basis. You're doing INR45 crores , INR45.5 crores in every quarter. So for the next 12 months or 24 months, this is where it would be . Do you expect it to come down materially? That'll be helpful.
R. M. Subramanian: As a percentage of sales , it will come down because the sales will go up and a percentage of the cost is fixed, that's expected.
Kunhamed Bicha: If you're asking for the U .S. cost, it will come down, okay? Absolutely, it will come dow n over the next three quarters.
Moderator: The next question is from the line of Debashish from S van Investments.
Debashish: I have just one small question. So if I see our current run rate of revenue quarterly, it is obviously a come down significant to the range of INR200 crores approx. Now the kind of guidance that you are providing, it seems to be that in Q3 and Q4, or in H2, our quarterly run rate would be in the range of INR290 crores to INR300 crores. Is my understanding correct?
Kunhamed Bicha: Yeah, you can do the math. If you want to look at overall growth, Q2 also will be good. Just don't look at the Q3 and Q4. H2 is going to be solid, you start seeing the growth in Q2.
Debashish : Yeah, so the question that I was asking is, if I compare Q2 as compared to Q1, there will be a sequential good amount that we'll see in Q2, correct?
Kunhamed Bicha: Yeah, you can make that assumption.

Debashish : Yeah. And one more question is, maybe I missed that number, what is the total capex number that you have guided for this year?
R. M. Subramanian: Total is about anywhere between INR35 crores to INR45 crores of what we're expecting for this year.
Debashish : Okay, and this includes the shifting that is happening from U .S. to India?
R. M. Subramanian: Yeah, it's at a consolidated level, yeah , the total capex.
Moderator: The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
Rahil Shah: So do you have any EBITDA margins guidance for the year in just a general outlook? This quarter, it was very low . So what can we expect going ahead?
R. M. Subramanian: Yeah, we have given guidance in terms of the top -line revenue and what we are looking at. And if you look at our past performance, we also managed to maintain our gross margins and then you can work out the numbers in terms of what will flow. The operating leverage will flow into the EBITDA impact and that's what we're expecting to do there .
Moderator: Mr. Rahil, does that answer your question?
Rahil Shah: Yes, okay, thank you.
Moderator: The next question is from the line of Uttam Kumar from Avendus Spark . Please go ahead.
Uttam Kumar: Sir, now that we have revi

sed the revenue upwards, I just want to understand with regards to our manufacturing thought process. I mean, eventually, will we be again diverting back to our U .S. manufacturing? Will, again, 50% of production will be done there? And if that kind of a scenario pans out, during what timeframe are we looking at that? And how will the EBITDA margins also pan out at that point of the junction? Just a thought process.
Kunhamed Bicha: If you look at our company historically, we started in the U .S. with the notion to make in India in '97, '98. So as things got difficult to get business es to move to India , we said if we have a n operation in the U .S., it'll be easier to move to India. So our focus through our journey as Avalon is always to make in India. To make sure that we get the business to India, we have the U .S. manufacturing facility where it would start there and then move to India.
Then as life would have it, a lot of customers want to make in the U .S. for U .S. So we started doing that, okay? And historically, during COVID and the supply chain challenges, a lot of customers wanted to get things back to the U .S. Today, they're looking and again looking at, they don't really care if it's U .S. or India as long as you have the same service level, same engineering levels, and of course, a better cost.
So we don't intend to have a completely full -fledged, but we will always support customers who have an IRA benefit to make in the U .S. All large boxes, some of the large boxes, does not make sense to move from India to there. So in that case, we do sub -components in India and do the

final assembly. So there is no intention of having a 50% in the U .S. It's going to always be between, today it's at 12%. If you go back a year back, it was at 27%. So this year, we think it will be 85% India and 15% U .S. Did I answer that question, Uttam ?
Uttam Kumar: Yes, sir . Got it. Thanks, sir . That's all for my side.
Moderator: The next question is from the line of Pankaj from Affluent Assets.
Pankaj: Sir, as I understand, as a principle, we are avoiding low -margin, high -volume goods, electronic goods industry. So are we intending to enter into very high -end electronics where the likes of OSAT and all that, where the volume is quite high, and since that is a functioning industry for India, and also quite good margins? In case we are, what are we doing for that?
Kunhamed Bicha: The point is our focus has always been on margins, and we've always said, it's not growth alone, it's profitable growth we're looking at. There's a lot of businesses we can sign today for the top line, but we have stayed our course and wanted to maintain our margins, which are 34 % to 35% through the years.
It's not just today, and we don't have, in the near future, there's nothing wrong with the low -margin, high -volume business, but in the short term, we're not looking at that. It's a different mindset and different set of facilities we need to get that going, so we intend, in the short term, to look at high -margin businesses.
We're already doing the high -end of electronics, and the more we do of that, the better off we are, and that also has a long -term sustainability with customers, which, so if you look historically, our customers, 80% of our custo mer base have been with us 8 , 10 years, so that speaks for itself.
Pankaj: So, but then, where do we see ourselves in, say, 2 years, 3 years down the line as a part of the whole EMS industry, which is still a sunshine industry in India?
Kunhamed Bicha: We always have added and always will, on the technology side, be the leading indicator for the electronics manufacturing. Look at it, we always have the aspirations to be that, in whether the different commodities we do, whether it's PCB assembly, metal, cable, we aspire to th at's why we are in planes, we do

parts of planes, it's not easy to do that, not only that, we supply these parts of the Airbus or Boeing to their respective tier 1 vendors. So we always aspire to do what is more challenging rather than do repeatable stuff.
Moderator: Thank you, the next question is from the line of Ashutosh, from Mirabilis Investment trust , please go ahead. Mr. Ashutosh, may I request you to unmute your line and speak, please?
Ashutosh: Thank you for the opportunity, sir. Sir, I wanted to understand on the profitability, how does the profitability among these segments varied ? So this I'm asking from Clean Energy's point of view, I mean, if you look at the margins for this segment, how would they be different from, let's say, mobility or industrial?

Kunhamed Bicha: So for us, it's a blend, like I mentioned. So Clean Energy is usually a little bit better, if you're looking at that, it's very much like an industrial product, which is the majority of what we do.
So depending on type of product you're doing, it's not jus t an industry -specific thing. We could say medical has a little bit more margin, but if you look at these products, they're very industrial in nature, so the margins are going to be very similar across segments.
Ashutosh: Sir, the reason I ask this is because the Clean Energy mix, in terms of execution, has gone up like about 10%. So last quarter, it was about 15% of the revenues, now it's about 25%. On the contrary, the gross margins have kind of dipped quarter -on-quarter, so just was trying to tie up this piece.
Kunhamed Bicha: Actually, don't look quarter -to-quarter. If you look at last year or 2 years, Clean Energy mix is always in the 24, 25 range. And it is going to be there. And Clean Energy by far is not low margin by any chance. Because most of our Clean Energy solar is all exported.
Ashutosh: So which segment was the, which led to the dip i n gross margins? Again, quarter -on-quarter basis if I had to look at .
R. M. Subramanian: I'll take this question now. Gross margin, I think, more across the spectrum, and it's more specific to this quarter. So I think we should not draw conclusions on that based on either this quarter performance or on the sector specific. And as KB has already said, there are sectors where we have a higher, or customers who have a higher gross margin, some of them are lower. And what we're seeing is ultimately a blended one. And that's what we aim to keep it at. We don't go specific to secto r or customer.

Ashutosh: Sure, sir. And then, sir, on the order book, the current order book about INR1,400 crores , INR1,500 c rores, the order book is in less than 14 months. Broadly, if you can give us some colour on the segments, how would these segments be, the mix, basically?
Kunhamed Bicha: I would say around 47 %, 48% is India -based, 53% is U .S. based. And if you're looking at industrial, it's as per our mix, there's no -- or even if it's lower in the mix, it's coming. We're hoping that the new pieces that are coming will consolidate that. But on the other side, we're seeing a 47, 53 already with India , U.S.
Moderator: Thank you. The next question is from the line of Pratap Maliwal from Mount Intra Finance Private Limited . Please go ahead.
Pratap Maliwal: Yes, hi, thanks for taking my question. So just one question from my side. I believe you called out that the EBITDA from our India operation was about 9.5%, where I believe last quarter it was around 12.5%. So what was the reason for the dip of 300 basis poin ts in the India manufacturing?
R. M. Subramanian: I'll take this question. So in terms of India manufacturing business, what we want to say is, overall, the fundamentals of the business remains strong and we've been delivering the margins of what we've been doing. Specifically, I'm looking at the margins. It's the operating leverage

impact of the lower gross margins going th rough and the cost being fixed. But as we move along in terms of the higher sales growth, I think that should automatically come back.
Pratap Maliwal: Okay, and I missed this out. Okay, please go ahead, sir, yes.
Kunhamed Bicha: Sorry?
Pratap Maliwal: Yes, no, I think you were just saying something, sir, and the other reason is you were pointing something else.
Kunhamed Bicha: The end story on Q1 is the product mix. And there's some small amount of rate increase because of the, but it's the product mix primarily. So as the mix comes back and we see it all coming back and it's not gone anywhere, you'll come back to that level. And of course, there's a negative leverage on operating leverage.
Pratap Maliwal: Okay, so then just, I believe the previous participant was also referring to this, but then when you're saying it's about the product mix, can you help us understand which, how kind of the blended rate, what is affecting the blended rate when you say that we look at it as a blended rate, what part of the product mix is affecting it?
Kunhamed Bicha: Yes, we don't want to get into details. It is basically some of the high margins did not ship out. Let's keep it that way. And then our quantum of sales number also came down. That's where the negative leverage played out. Okay, and if you look at some of the products we ship month on month, that reduced for a quarter, but it's not gone away, it started back again. Going forward, we're very confident on the gross margins.
Pratap Maliwal: So they should come back to that range of about 12% or I think going forward, is that it?
Kunhamed Bicha: No, the gross margins, I don't want to commit on this yet. You will see that it goes back. Gross margins, we are confident.
Pratap Maliwal: All right, okay. Thanks for taking my questions and best of luck for the time coming. Thank you.
Moderator: The next follow -up question is from the line of Debashish from Svan Investments . Please go ahead.
Debashish: So, I just wanted to understand one thing. What would be the impact on realizations, margins and working capital also from the movement on from U .S. based plan to India? Could you talk a little about it? How does this impact?
R. M. Subramanian: Yes, so when we move the production from U .S., India, as anybody would expect, the margins will go up, but it's also, we need to have a dialogue with the customer in terms of how the whole thing plays out. It sort of happens in a transition. And whatever savings we have, some amount maybe need to share with the customer as well. But that's our business model in terms of trying to on -call the customer in the U .S. And over a period of time, move to India. And that's what our hybrid business model is all about.

Debashish: Okay, and specifically anything on the working capital?
R. M. Subramanian: On working capital, we've given the numbers and in this quarter there's been a saving about 5

days and as we move along, we are confident about achieving the guidance of 10 days to 15 days working capital savings. And also from an operating cash flow, we've been very careful about choosing the business, right business in terms of profitable business, which automatically leads to operating cash flow, positive cash flow, and added to the net cash as well.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.
Kunhamed Bicha: Thank you. We are encouraged by the robust support from our investors. We are committed to reinforcing the trust that our investors have in our company. We truly appreciate our steadfast support, confidence in Avalon Technologies. Together we are set for a remarkable

journey of
profitable growth and success. Thank you to everyone involved.
Moderator: On behalf of JM Financials, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Nov 2024

"Avalon Technologies Limited
Q2 FY25 Earnings Conference Call "
November 07 , 202 4

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR – AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON TECHNOLOGIES LIMITED
MR. R. M. SUBRAMANIA N – OUTGOING CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED
MR. SHRIRAM VIJAYARAGHAVAN –GROUP CHIEF OPERATING OFFICER – AVALON TECHNOLOGIES LIMITED
MR. VENKY VENKATESH – GROUP CHIEF SALES OFFICER – AVALON TECHNOLOGIES LIMITED
MR. MICHAEL ROBINSON – CHIEF OPERATING OFFICER , US – AVALON TECHNOLOGIES LIMITED
MR. SURESH VR – INCOMING CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED

MODERATOR : MS. BHOOMIKA NAIR– DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Avalon Technologies Ltd Q2 FY25 earnings conference call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an oper ator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you, ma'am.
Bhoomika Nair: Thanks, De ll. Good afternoon, everyone and a warm welcome to the Q2 FY25 earnings call of Avalon Technologies. To take us through the results today, we have with us from the management, Mr. Kunhamed Bicha , Chairman and Managing Director, Mr. Bhaskar Srinivasan, President, Mr. R. M. Subramanian , Outgoing Chief Financial Officer, Mr. Shriram Vijayaraghavan , Group Chief Operating Officer, Mr. Venky Venkatesh, Group Chief Sales Officer, Mr. Michael Robinson, Chief Operating Officer for US Op eration s, and Mr. Suresh V. R., Incoming Chief Fi nancial Officer.
Mr. Bicha will give an overview of the business performance and will be followed up by Mr. Suresh's remarks on the financial performance, post which we'll open up the floor for Q&A. As we move forward, it is important to bear in mind that any forward -looking statem ents made during this call are subject to potential risks and uncertainties, both known and unknown. Now, without any further delay, I'll hand over the floor to Mr. Bicha for his initial remarks, the CMD. Thank you, and over to you, sir.
Kunhamed Bicha: Thank you, Bhoomika. Ladies and gentlemen, on behalf of Avalon Technologies, I extend a very warm welcome to our Q2 FY25 earnings call. I will quickly introduce Avalon Technologies, especially for the ones who are joining us for the first time. Avalon Technologies established itself as a key player in electronics manufacturing services with a global reach.
We take pride in our leadership in high -mix, flexible -volume manufacturing . Serving a diverse range of industrial verticals, especially in mission -critical integrated solutions that require significant engineering expertise. We currently operate across 13 manufacturing facilities in India and the United States. We are also adding a new manufacturing facility in India.
Our three key differentiators are 1. Vertical integration - we offer a complete box -built solution, right from PCB design , new product development to final product manufacturing. 2. Global

presence, both in terms of manufacturing presence and customer base. 3. Optimal mix of established industries like industrial, rail, aerospace, medical, communications and emerging industries.

Now turning to our business performance, we are pleased to share that our anticipated growth has begun to take shape, setting the stage for the decadal growth ahead. Our confidence in this year's growth potential continues to be strong. The gradual recovery of our US customers and the momentum we are gaining in India are the key drivers. Aligning with what we discussed in previous calls, key performance in this quarter includes our improved profitability, driving

operating leverage, improved networking capital gains , and a growing order book. This provides visibility along with new business reach across industry verticals.

During Q2 FY2 5, our revenues grew by 36.8% year -over-year. Gross margins improved from 33% in Q1 to 37% in Q2, driven by better product mix. We expect the full year gross margins will continue to be between 33% and 35%, considering the expected revenue growth in the second half. As we had anticipated, the benefits of opera

ting leverage are now visible, with
EBITDA margins rising to 11%, and abs olute EBITDA growing by 140% year -over-year, our PAT is at INR17.5 crores, reflecting a 140% year -over-year increa se, with the PAT margin of 6.3% in Q2.

Regarding net working capital, we had previously targeted to improve by at least 10 -15 days by March 2025. We are pleased to report that our networking capital has improved from 161 days in March 2024 to 134 days in September 2024, a reduction of 27 days, primarily due to better inventory management. Our order book grew by 19.4% year -over-year, reaching INR1,485 crores as of September 30, 2024, with an average execution period of 14 months. Additionally, our long -term contracts, which extend beyond 14 months and span an average execution period of 2-3 years, increased by 10.2% year -over-year to INR 1,100 cro res.

In our earlier communications, we highlighted the cost optimization measures as we are implement ing to address the short -term challenges in our US. manufacturing business. First, by optimizing production allocation and shifting about 45 %-50% of existing US production to our India plant . The revenue share from our US manufacturing plant decreased 11% in Q2 FY25, down from 27% in Q1 FY24. We anticipate that US manufacturing production will be around 15% for FY25.

Second, rationalizing costs with our US operation, we have made meaningful progress on this front. As a result, manufacturing at our US plant, which now accounts for 11% of our revenue, reported a net loss of approximately INR4 crores, an improvement from the INR14 crores loss reported in Q1 FY25. Meanwhile, manufacturing at an India plant, which serves both domestic and global customers and represents 89% of our business in Q2 FY25, remains highly profitable with an EBITDA margin of 13.7% and a PAT margin of 8.7% in Q2 FY25.

We had earlier highlighted our three engines of growth, existing US business, new US business, and growing Indian business. The recovery of our existing US customer base, shifting from destocking to restocking at varying rates , underscores the strength of our long -standing customer relationships. Additionally, our recent wins in industrial, clean energy, and auto sectors with leading US companies are advancing from design and prototype phase to commercial and ramp - up production in the coming periods.

In the fast -growing Indian market, our increased focus over the last one to two years has led to key wins in industrial, rail, aero and communications sectors, which we believe will advance to commercial production over the course of the next few quarters. We are encouraged by the traction across all three growth engines which sustain s our confidence in guiding to 16% to 20% revenue growth for FY25.

Turning to key deal wins, we continue to see strong traction across multiple sectors in both India and the US. Notably, we secured new businesses in our railway vertical from a global leader and a Box-build contract from a major industrial customer. We are also making strides into aerospace and communications with new orders. Overall, the momentum in new wins and expanding opportunities strengthens our confidence in achieving sustained growth.

On the infrastructure front, we are pleased to report that our new plant in Chennai dedicated to

export operations is now complete and has begun production. Additionally, Phase 1 of our brownfield expansion in Chennai , aimed at meeting growing domestic demand is finished, and Phase two is expected to start the second half of FY25 as planned. This puts us in a strong position to handle the increased demand anticipated in the coming period.
With the expected revenue growth in the coming years combined with our established team and infrastructure in place, operating leverage wil

l be a key advantage. Our profit growth is expected
to outpace our revenue growth due to the following reasons.
We maintain industry -leading gross margins and we expect to sustain these margins depending on product mix and ramp -up. Most of our costs aside from material expenses are fixed, which drives operating leverage as revenue scales. Our strong focus on improving working capital will allow us to release additional cash, further supporting growth and profitability.
I would like to take a moment to announce a management change. Mr. RM Subramania n, our beloved CFO, is pursuing a new career opportunity outside our company. We thank him for his valuable contribution s over the last five -and-a-half years and wish him the very best in his future endeavours.
We are also pleased to welcome Mr. Suresh Veerappan as our group CFO , a Chartered Accountant with an MBA from ISB. He h as been with Avalon for about two -and-a-half years and has previously worked with organisations such as Grant Thornton, State Bank of India, Bank of America and The Tattva Group . During his time at Avalon, he has played a key role in leading our business finance and investor relations functions.
In summary, we are seeing strong signs of growth, which we expect to sustain and accelerate through the second half. I would like to thank each of you for being a part of our journey. FY25 will be a pivotal year for us and we look forward to sharing this p ath with you. We are preparing our organisation for sustained growth in the coming years. Avalon remains committed to building a business focused on long -term profitable growth rather than short -term gains.
With that, I would like to hand over the call to our CFO, Suresh Veerappan , for a detailed overview of our financial performance. Thank you.
Suresh Veerappan : Thank you, KB, and good afternoon, everybody. Thank you for joining the call today. Before we delve into the financial performance, I want to take a moment to thank Mr. R.M. Subramania n for his valuable contributions as CFO. Working alongside him over the last two and a half years has been a great experience. I also extend my gratitude to the Avalon board for

their trust in me as I take on this responsibility. I am committed to upholding our high standards and building on the progress we have achieved.
This is an exciting time to step into this role, particularly with the growth momentum we are gaining now. I am eager to contribute to the next phase of our growth journey. Looking ahead, my focus will be on driving efficiency, profitable growth, and optim ising capital, and using it to drive shareholder value. I am dedicated to maintaining the financial discipline and transparency our investors expect, and I look forward to maintaining an open dialogue as we move forward together.
Turning to our Q2 FY25 performance. We recorded revenues of INR275 crores, which marks our highest quarterly revenue. This reflects a 37% year -over-year increase from INR201 crores in Q2 FY24, and a 38% sequential growth from INR199 crores in Q1 FY25. This growth is supported by gradual recovery among our US customers and steady momentum with our Indian customers.
Our geographical revenue split for the quarter was 41:59 , with India contributing INR113 crores and US , INR163 crores. Our gross profit for Q2 FY25 reached INR1 01.3 crores, a 36% year -over-year increase from INR74.5 crores in Q2 FY24, with a gross margin of 36.8%. , slightly down by 0.21% from 37.1% in the same period last year. We continue to deliver industry -leading gross margins.
EBITDA for Q2 FY25 was INR30.1 crores, a 140% increase from INR12.5 crores in Q2 FY24, resulting in an EBITDA margin of 11%, up 470 basis points from 6.3% in Q2 FY24. PAT rose to INR17.5 crores, a 140% year -over-year increase from INR7.3 crores, with a PAT margin of 6.3%, up 273 basis p

oints from 3.5% in Q2 FY24. The revenue growth has driven operating
leverage, with profit growth outpacing revenue growth. For H1 FY25, our revenue stands at INR474.5 crores, with gross profit of INR167.6 crores at a margin o f 35.3%, EBITDA of INR34.5 crores at 7.3%, and PAT of INR15.2 crores at 3.1%.
Moving on to the balance sheet, net working capital days improved significantly from 161 days

in March 2024 to 134 days in September 2024, a 27 -day reduction largely driven by better inventory management. Previously, we had set a target to reduce net working capital days by 10 to 15 days by March 25. Net inventory days improved from 118 in March 2024 to 93 in September 24. Trade receivable days were stable, moving slightly from 79 days in March 2024 to 80 days in September 2024, while trade payable days inc reased modestly from 36 days to 38 days over the same period.

With a 38% revenue increase from Q1 FY25 to Q2 FY25, receivables rose from INR170 crores on June 30 to INR241 crores on September 30, resulting in negative cash flow from operations of INR minus 17.2 crores in Q2 FY25. However, for H1 FY25, our cash flow from operations remained positive at INR18.7 crores.

As of September 30, our total outstanding debt stands at INR158.8 crores, with cash equivalents and investments at INR188.4 crores, resulting in a net cash position of INR29.6 crores. Our total

capex for Q2 FY25 and H1 FY25 was INR12.5 crores and INR21.5 crores, respectively. With a capex -like model, our asset terms are strong at 8.4X.

To summarize, our anticipated growth is beginning to take shape with steady momentum across both our US and Indian customers, reinforcing our confidence in achieving the FY25 revenue growth target of 16% to 20%.

Key highlights this quarter include operating leverage driving improved profitability, reduced networking capital days, and a growing order book. We believe this year marks a pivotal point for our business, setting a strong foundation to capture long -term growth opportunities. Thank you. Over to the moderator for Q&A.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Dhananjai Bagrodia from ASK Investment Managers. Please go ahead.

Dhananjai Bagrodia: Congratulations on this fantastic result. Now that we've overcome the issues which were plaguing us earlier, how should one look at maybe now on the balance sheet side? How do we see return ratios now going ahead? What more levers do we have in terms of maybe increasing our ROC E to high double digits? How should we look at that?

Kunhamed Bicha: Historically, ROC Es have been north of 20%. We intend to get there fairly soon.

Suresh Veerappan : Like you rightly pointed out, we have started seeing our growth. With the growth and operating leverage coming into play, we should start seeing our ROC E's going back to our historical level. It should be significantly high er from what we are seeing today.

Dhananjai Bagrodia: But which lever do we see in this scope? Do we see asset terms improving, working capital reducing, or margin increase for the ROC E's to go higher?

Suresh Veerappan : On both the aspects, the asset turn is also going to help. We have started seeing some improvement in working capital days also. And with the margin improvement coming through, we should start seeing those results come into picture.

Dhananjai Bagrodia: So what can we get our working capital to? Because some of the Indian players now have reached 60 to 70 days in working capital. Is that something we could reach?

Kunhamed Bicha: Historically, we have been not at 60 to 70 days, but around 90 days. Our intention is to go towards that direction. It will take some time to get there. But we intend to go there.

Dhananjai Bagrodia: Okay. This could be in our favour that we actually have fac

ilities in America. And if tariffs or something do come along, would we stand to benefit significantly as being a player in America?

Kunhamed Bicha: So the way we look at it is that, of course, we need the US to be a beachhead . We need customers to be comfortable to start making products there , and we can then move them to India. We are seeing a lot of that happen now. Because a lot of our business comes from the US or other countries, but built in India. So, if there are certain businesses which cannot be moved outside the country, we stand to gain from that. And if the new administration decides to do more in the

US, we are happy. The customers ultimately will make the choice at two different price levels, one at a higher cost in the US. So customers have both solutions today. So it's a choice that they can make. And we are the only one position ed to do this in the Indian market today.

Dhananjai Bagrodia: Okay. And lastly, sir, how do we see our capex intensity over the next couple of years?

Kunhamed Bicha: We have historically said that we will do INR40 crores to INR45 crores a year because we operate a satellite model. And for the foreseeable couple of years, we see that remaining so.

Dhananjai Bagrodia: Okay. Fantastic, sir. Thank you.
Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.
Deepak Krishnan: So I just wanted to sort of understand on the clean energy bit. You know, we've seen a sharp recovery. This is where we see a big delta coming through. But, you know, there are murmurs of how much the IRA would be kept in the potential reversal of a lot of policies in the US. Historically, we have indicated that clean energy can be as high as about 35 % of the top line. So just wanted to understand the outlook in terms of how are you seeing this clean energy recovery? How sustainable is it? Is there a big risk from a medium -term perspective that - if these benefits are rolled off - then our green energy customer s or our home electrification customer s' business is less liable ?
And similarly, I think you had already alluded to this with respect to US - I just wanted to understand that if more manufacturing goes there, do we benefit ? Because we're still reporting losses at a pretty healthy revenue base. So how do we look at US operations with potential near shoring that is going to happen?
Kunhamed Bicha: Deepak, I'll try to answer. If I missed any question, please let me know. The first part of your question was on the clean energy. So in today 's quarterly result, there's not much of clean energy. It is standard. A lot of our clean energy growth is yet to come, and it will come in the later quarters.
And on your second part of the question was that with the IRA and the new administration, what's going to happen? So, we in the clean energy side, we are working on the storage side, which is growing at 60 % to 70 % percent. It's not solar or anything that way. It is storage, which is growing and which is a requirement. So tomorrow, even if the IRA bit is not there, the customer has a choice. He's paying a lot more to make it in the US. It's an easy switch for him to make in India. That is what we offer toda y. So he is protected either way. If he needs the benefits of the IRA, it's going to be in the US. If he needs the cost -effective version of this product coming out of India, without the IRA, we can do that also. So that way, we are cover ed on both sides. The answer to the third part of the question, I don't know if I missed it.
Deepak Krishnan: I just want to understand now if we are near-shoring , what level of revenue growth or numbers do we require for US to break even?

Kunhamed Bicha: So, we're seeing a transition now.

So, what we have done is around 45 % to 50% of the product s - which is produced in the US in the last 6 to 9 months, with customer approvals - have been slowly and surely got transferred to India. You will see a lot of that happen. The only thing we intend to keep there are products which need to be built in the US and the customer can pay a higher cost for doing that. Like how we have a Make in India initiative, certain products, they don't move out of the US.
So the options are open, and the rationalization of costs is still going on, because some of the transfer is complete, some of that is work in progress. But we anticipate a lot of US business hopefully coming in with what's happening now. So, though we are at 11% now on US manufacturing, we think this year we'll do around 15% as US manufacturing.
Deepak Krishnan: Sure, maybe just one follow -up. I just wanted to look at the revenue guidance. Even if I take the higher end of 20%, that implies about a INR280 crores quarter run rate for the second half. And slight dip in gross margins. So, the EBITDA margin will be in the range of 8% to 9% for H2. Are you going to be conservative in terms of revenue guidance, given the strong performance and the anticipated recovery? Is there a possibility that we could do much better than what we are sort of guiding?
Kunhamed Bicha: We're just coming through a tough period, if you remember. This time last year, a little earlier than this, is when we saw the de -stocking happen. It was across the board with 4 or 5 industries. We came out to the market and said, we are seeing this with customers. But we're seeing the opposite effect of that now. Customers have come at various levels back to us. And we shouldn't forget, we have new customers too, which are kicking in and cutting in at different levels.
Deepak Krishnan: Maybe just a follow -up, if you could highlight what level of restocking are we on an overall basis? And when do we get back to 100% or are we already there?
Kunhamed Bicha: Some of it, we are more than 100%. Some of them, we are still coming back. At varying levels, we can't say. But at an overall scale, if you look at it, US growth has been 59%, on a year -on-year basis since the last quarter.
Deepak Krishnan: Sure, sir. Those are my questions. Best of luck for future quarters.
Moderator: The next question is from the line of Mee t Jain from Motilal Oswal Financial Services. Please go ahead.

Meet Jain: Congratulations on a very successful set of number s. First question is regarding the clean energy in the US operation. So, as the earlier participant also highlighted, there will be a sudden backlash on the clean energy projects in the US market. And, as you know, we have our clients into solar panels and everything. So, how much percent of that will be impacted? Have you done rough estimates? What kind of impact it will be apart from any other business?
Kunhamed Bicha: Thank you, Mee t. A lot of our growth last quarter is in spite of the clean energy business. And just to let you know, the clean energy business, we are not doing solar panels. We are not doing inverters. We are doing storage or home electrification systems where they store energy. That is

growing at 60 %-70% year -over-year in the US. So, we are in the growth. And that part is not even relative numbers are not played out yet. It's going to play out in the future.
Meet Jain: Understood. My next question is on our full year guidance. So, we are estimating around 16 %-20% kind of growth. And seeing the current trajectory and the recovery. I don't understand the key. What are we seeing? As you also mentioned that there is some restocking happening and there is still restocking pending. But, this quarter being a recovery, can we see a strong growth going ahead and touch a higher number?
Kunhamed Bicha: We

are positive about growth. You know, looking at the mid -term, long -term, absolutely. There is no reason why we should doubt it. But, we are just coming out of a period which is a slowdown. So, we will have sustained growth in the next few quarters for sure. Looking forward, we are confident. We are just waiting for the new customers to cut in. Again, they are at different levels today. They should start showing in part of Q4 and some in Q1 which will give us very consistent good growth in 2025 .
Meet Jain: Okay. And the last question is on this manufacturing shift to India. As this quarter we indicated, our Indian manufacturing is almost 89%. So, will this increase further in India? Because, when we see our employee cost as a percentage of sales, it has gained almost 5.7%. So what will be the apt level going ahead with this kind of manufacturing ?
Suresh Veerappan: So, right now, what we see is the mix in revenue between our India plants and US plants , like you rightly said, this is 89% and 11%. Can you repeat the question, please?
Kunhamed Bicha: So, that will sustain as our top line goes up. You will see that number come down. Like we said, our operating leverage is going to play out. A lot of our costs are fixed in nature .
Meet Jain: So, on this, are we going to further shift our manufacturing? And what will be the ideal ratio? As you mentioned, 15% of manufacturing will be there by end of FY25. Will this be sustainable going ahead? And if yes, what will be the employee expense ratio as a percentage of sales? Because, when we compare this to domestic peers, they are in the range of 8-9%. And currently, after shifting a majority of our manufacturing to India, we are at 17%. So, how much closer we can get to that?
Suresh Veerappan: So, first of all, today what you see is 89 -11. I think on a full year basis, we see it to be at around 85-15. That is point one . On the second point, in terms of employee cost, the key aspect to note there is, for us, most of our employee costs are fixed in nature. So, as and when we start seeing the revenue growth to come and happen, the operating leverage effect will start to pl ay. Which is what semblance of what we started seeing in the Q2. We should sustain this operating leverage in the coming quarters. Rather than putting a percentage, I will leave it at that. We should continue to see this operating leverage effect going forward also.
Meet Jain: Can we touch double -digit kind of margin s comfortably this year?

Suresh Veerappan: Definitely, our profit growth is going to exceed our revenue growth. There have been quarters where we have touched those higher numbers for sure at EBITDA level. We would want to wait for a quarter or two before putting a number on that.
Meet Jain: Sure. Thanks a lot for all the questions. I will get back in the queue .
Moderator: Thank you. The next question is from the line of Vipraw Srivastava from PhillipCapital . Please go ahead.
Vipraw Srivastava: Yes, just a question on the clean energy business. So, a majority of battery installation in the US happens because of 30% credit on IRA, right? Because government reimburses 30% of the money to customers , which is residential battery storage owners. Now, if there is any tweak in this 30% number, there is a very high likelihood that this demand will come down. So, in that

scenario, this best growth we are seeing of 70%, that number will start coming down if the IRA incentives are tweaked. So, in that scenario, how do you plan to cope with it? Do you have any contingency plan? Any thoughts on that?

Kunhamed Bicha: So, let me make this thing clear , I think we are going in a different direction. A lot of our numbers in Q2 include a very small number in this battery storage. Everybody is talking about it. But in these numbers, a very, very small part of it is

the storage number. The potential of that growing in next year or later part of this year is huge. But we are not tied to that at all for our numbers.

Moderator: The next question is from the line of Aditya Bhartiya from Investec. Please go ahead.

Aditya Bhartia: So, my question is on the clean energy business itself. Over here, we have gotten quite a few orders which have been included in the order backlog. And we have been anticipating expedited execution on those orders. But somehow there has been a bit of a delay. I just wanted to understand at what stage we are in, what is causing this delay, and by when exactly should we start seeing some of those new customers kicking in?

Kunhamed Bicha: So, like I mentioned before, a lot of our growth is not tied to this only customer. It is part of our growth. And if something large happens there, well and good for all of us. Having said that, the product is completely tested, approved, like the last call I had mentioned. Now we are doing the first few hundred units. And then the ramp will start.

So, that is not counted in a big way in our Q4 and probably start in the Q1 numbers. Does that answer your question, Aditya? So, the growth is not coming from that piece. That is where I am a little worried that everybody thinks it is just that one customer. It is broad -based, whether it is rail, whether it is communication, whether it is industrial. It is growing from multiple industries. And clean energy is one. And the potential for that to grow drastically is there. And with or without IRA, we are positioned well enough to either make it in India or make it in US.

Aditya Bhartia: Understood, sir. Actually, instead of saying that clean energy has been driving growth, I wanted to ask why the ramp -up has been slightly slower than expected from the new customer. But you kind of spelled it out. That maybe if it kicks in, then it can be a big opportunity from FY26 onwards. Some of the other verticals wherein we have seen quite a big jump, like the mobility

vertical or medical devices vertical, if you could explain what exactly has transpired. Is it broad - based free -stocking or is there one, two, three large contracts that have contributed to it? Some color on that would be helpful.

Kunhamed Bicha: A lot of the mobility, as you know, we are very well entrenched in the rail segment. We see a lot of activity. We signed a new customer recently. We see a lot of requirements for the Indian railways coming to our customers, whether it's interlocking, whether it's braking, whether it's cables. We're seeing a lot of activity. Some of that is primarily driven by the growth in India, which we are happy to be a significant part of.

And, of course, we are also in the process of testing Kavach system for our customers for interoperability. So that's another piece which may kick in into place during 2025. I wouldn't see that kicking in the next three, four months, but a lot of the testing and operations are going on as we speak .

And our customer has been approved by the Indian railways. So, we are working jointly to get that piece. So that's on the mobility piece, on the rail piece. Then on the air piece, as you know, we have signed 10, 15 -year contracts. Some of them will start to get into production late part of this quarter. Some of the contracts will start in a month.

It will be a gradual scale -up in next quarter. So air and rail margin -wise as well as on the location - wise, I think is probably going to be our fastest growing segment in the near term. You had one more part of the question. I probably missed it.

Aditya Bhartia: Medical as well.

Kunhamed Bicha: Medical, a lot of it is our existing customers coming back to full steam, yeah.

Aditya Bhartia: Understood, sir. And so, my last question, like this particular quarter, we have recorded al

most 11% EBITDA margins, which historically, if we look at it, are close to the best margins that we've recorded, which used to be somewhere around 11% to 12%. However, the composition has changed wherein we have moved a fair bit of production from the US to India.

Now, when you look ahead, do you think that this change in manufacturing setup can help you generate margins even better than what you have generated historically? Or is our endeavour going to be to kind of sustain these margins and to have a low -double -digit kind of margins going forward as well?

Kunhamed Bicha: So, let's put this in perspective. We know we have the industry -leading gross margins. So, we

have seen quarters with higher EBITDA margins, for sure. So if you look at 89% of our business, which is being built in India, so that is, as of last quarter, is running at 13.7% EBITDA margins and 8.7% PAT margins. So, 90% of our business is delivering that today. The 11% is not delivering as much, but that is the bet on the future.
So tomorrow what we get through the US is very relevant and very critical for the India piece growth with the higher margins. We are not chasing business at all costs, we are looking at

profitable growth and seeing how we can find businesses which make sense, which are long - term, 5 to 15 years. Usually the products last for 5 to 15 years and we intend to keep it that way. Did I answer your question, Aditya?
Aditya Bhartia: To a large extent, yes, sir. But how should we then think about it? Do you feel that Indian margins that you're recording in India can be sustained? And as we start doing more in the US, those, I mean, from whatever, INR4 crores rupees of loss, that can also be translated into profits and therefore overall console -level margins can be significantly better? Is that how you're kind of thinking about it?
Kunhamed Bicha: Absolutely, Aditya. We believe that happens anytime, but overall it's not bad yet. It's only going to improve going forward.
Aditya Bhartia: Understood, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Karan from Niveshaay . Please go ahead.
Karan: Thanks for the opportunity. Just had a couple of questions. We have a very healthy order book of around INR 1500 crores. So just wanted to get your outlook, not for this year, but maybe for the next two, three years, if you'd be able to grow at a good 20%, 25% rate with similar margins around 9%, 10%?
Kunhamed Bicha: Yes, I think we will. And our endeavour is always to grow faster , but our order book is fairly strong and we see more getting added to it. And the order book, for the 12 months to 14 months, we have an order book of INR1,485 crores. The long term, which is only between 14 months to 3 years, we've got another INR1,100 crores. We're not counting anything which is over 3 years, and some of our contracts are up to 15 years in the aero world. We're not counting those numbers, so we're trying to b e relatively, I would say, conservative in the sense of we look at contracts and orders.
Karan: Okay. And the next question would be like, what would be the capex this year? And also, if you could highlight the current capacity utilization levels?
Kunhamed Bicha: So, I would say our capex , like we said, because our asset turns are fairly high, we always target between 8 and 10 times. So, we anticipate around INR40 crores to INR45 crores each year for the next two years at least. Of course, if there's something substantial, which is out of what we are planning for comes through, that will change, but as of today, we want to maintain the 8 to 10 times asset turns, as well as make ourselves an asset -like model, and spend INR40 crores to INR45 crores per year.
Karan: And the current capacity utilization would be?
Kunhamed Bicha: It would be between 65 %, 70%. On a

two -shift basis .
Karan: So the performance of the subsidiary was good this quarter. It reported good numbers, so we wanted to understand which sectors drove this performance ?

Suresh Veerappan: So it would be more relevant to look at us as a consolidated entity, because that is the numbers which you're presenting from the industry verticals within the presentation as well. In terms of growth, like what KB had mentioned earlier, we are seeing broa d-based growth across the verticals. Within India, the growth has been driven by mobility, communication, and industrials. And within US, it has been, again, on the auto side and on the industrials over there.
Karan: Okay, well, thank you so much and all the very best .
Moderator: Thank you. The next question is from the line of Vipraw Srivastava from PhillipCapital . Please go ahead.
Vipraw Srivastava: Yeah, thanks for the follow -up. Just a question on the, obviously, in this quarter, you've done very well on transportation and industrial. So, I mean, how is this growth coming from, I mean, is it from India, or is it from, I mean, US? I mean, some sort of a breakup you can give ?
Kunhamed Bicha: Yes see, we, in the last couple of years, our goal is to be 50 -50, 50% India and 50% export, okay .

Last quarter, it was 60% export and 40% India. And each quarter, it'll vary depending on which customer it is. But our goal is to always have a 50 -50. And if we go back three years, we were 80% export and 20% India. So our India side of the business, the size is growing. Did that answer your question, Vipraw ?
Vipraw Srivastava: And, so, Indian business mainly grows as a result of which segment?
Kunhamed Bicha: India business is primarily from rail and from air, because rail is the fastest growing. And then, of course, industrials is a big thing. And we are starting to do some defense and things like that.
Vipraw Srivastava: Okay, fair enough. And on industrials, I mean, obviously, in the past, there was an inventory situation in US, and now rate cut cycle has also begun. So, I mean, what is the commentary from your end clients? Is it just restocking, or also has the demand side coming back?
Kunhamed Bicha: Some of it, of course, they were in the destocking phase . They had a one -year inventory rate. Today, they're coming back to a normal rate. Certain customers in that one year, we have got new products. So, the quantum of come back, it's larger. Okay, certain customers, we have new products which are building for them. So, we are also going deeper into the customer. So, it's just not the destocking, restocking. I think that one -year story, which I believe is done, and we're seeing the tail end of it.
Vipraw Srivastava: Right. And then, last question. So, by the end of this year, I mean, roughly, what will be a clean energy mix in the revenue, according to your expectation?
Kunhamed Bicha: So, I believe that we continue the normal thing, and each of the segments are diversified. So we'll be between 20 % and 25 %, is what we see. So some of it, certain quarters, industrial may do better, certain quarters, mobility may do better. So I think the diversification is there.
Vipraw Srivastava: Right. And the order book mix is in line with the revenue mix, or is it something different?
Suresh Veerappan : That is true. It will be in line with the revenue mix.

Kunhamed Bicha: Pretty close to the revenue mix.
Vipraw Srivastava : Okay, thank you. Thanks a lot.
Moderator: Thank you. The next question is from the line of Pratap Maliwal from Mount Infra Finance . Please go ahead.
Pratap Maliwal: Thanks for taking my question. Nice interacting with the management again. So, I just have a question on the employee cost, as a previous participant was also asking. So, as you said that we have a higher fixed cost base. So, is my understanding correct that this is because we have more permanent employees versus the share of contractual employees that maybe some of our peers may have in greater number? And also that we hire employees with perhaps different skill sets or maybe more qualifica tions than some of the other EMS players? So is my understanding broadly correct?
Kunhamed Bicha: Close enough, Pratap. See, one of the reasons is because we do some mission -critical stuff , so our level of employees is of the best cadre to deal with that. And number two is that we have a US side also, right? Which is, of course, the cost is higher there. And we do total integration. Box build is 50 %-55% of what we do. So that adds to the complications. But I would say otherwise you're fairly right on your statement.
Pratap Maliwal: Okay. And so just one thing I wanted to understand. So, given that we kind of work at a higher gross margin of 33% to 35%, so when I look at our order of expansion potential in India, what can be our addressable market size? Because some of our other peers who might be working at lower margins, they work in the high -volume set, right? Whereas we work on maybe the high -margin, low -to-flexible kind of volume. So what can be our addressable market? Or how can we see our order of expansion kind of happening from here, particularly in India?
Kunhamed Bicha: So, in India, as you know, we are in the rail business. We are in the aero business. These are compared to the consumer -type businesses. Of course, they have larger margins and larger complexity. And saying that, we always look for profitable growth in the sense, you know, businesses which can sustain over, you know, 5, 10 years. And, of course, makes sense for both sides, the customer and for us, to deal with it in the longer term.
So we actually do sometimes walk out of businesses. It's just, if we wanted to have growth at any cost, we would sign up any customer and we could have a much higher growth rate. I mean, we can have a debate on that. But we have taken the path of the longer -term customers with profitable growth. So if you look at us over the last five years, our material margin has always been between 33 -35 or a little over.
Pratap Maliwal: Okay. Understood, sir. Thank you for taking my question and congrats on a good set of numbers.
Moderator: Thank you. The next question is from the line of Harsh Mehta from Perpetual Capital Advisors. Please go ahead.

Harsh Mehta: Yes, sir. Congratulations on a very good set of numbers. So, my question was, in the last quarter, 89% of our revenue was from the Indian manufacturing facility, right?
Kunhamed Bicha: That's correct.
Harsh Mehta: So is this sustainable over, say, the next five years or something? Or will it increase in the future?
Kunhamed Bicha: We intend to make it sustainable. And we believe that we've done this over a long period of time, in good times and bad times. So, I believe it will be. And we sign up businesses which cater to that or which we can drive towards that. It's not all businesses giving you these margins.
Certain businesses give you much higher margins. Certain businesses give you lower margins.
So, it's an average over industries and over products.
Harsh Mehta: Right. And the margins on the Indian manufacturing segment only is 12.7% EBITDA, right?
Suresh Veerappan: 13.7% EBITDA in Q2 and 8.7% PAT.
Harsh Mehta: Okay. Right. Thank you so much, sir. And this is sustainable, right, over the next span of 5, 10 years?
Suresh Veerappan: That is true. Our growth has started to take shape now.
Kunhamed Bicha: Yes, we intend to make it of course. The world's a different place, but that's our endeavour , let's put it that way.
Harsh Mehta: Okay. Thank you so much, sir. That's it.
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oderator: Thank you. The next question is from the line of Vikash Agarwal , who is an individual investor. Please go ahead.
Vikash Agarwal: Yes, I just wanted to clarify. Other operating expenses, in Q2 , are they variable or they are also fixed like person nel cost? Because revenue has increased around 36%, but other operating expenses increased by 50%. So what should we assume? Like there is an expense or we assume that the operating expense will follow whatever the percentage we follow as a Q2 FY25.
Suresh Veerappan : So, broadly below our gross margin, approximately 45 % to 50% of our expenses are fixed in nature. And there is a fixed component as well as a variable component within the other expenses. It includes the forex gain and loss element as well in that.
Vikash Agarwal: Okay. So we can assume that, like, if we have a gross margin of 36.8%, of that 50% of the cost is fixed in nature and 50% of that remaining in the area, right, below the gross margin.
Suresh Veerappan : Approximately, yes. Between 45 % and 50%. That is correct.
Vikash Agarwal: Last year we reported a loss of US operations around INR14 crores. This year it has come down to INR4 crores. So maybe I might have missed it out, but can we expect this loss to recover and get to a break even level, given that we continue with our ramp -up in Indian operations?

And secondly, we are talking about the US opportunities, like if the customers ask us to provide from the US plants, so how are we in a position to ramp up that facility fast? I mean, what would be the lag period?
Kunhamed Bicha: So we are trying to optimize the whole piece to see what needs to be there, what needs to be in India. So, we have done a lot of it. As and when businesses come in the US, there are some good businesses which can come with higher margins, of course, which are a lot more. So that, we will pursue that, because that cannot come to India.
The businesses we do there, either the customer does not want to move to India, or they are not allowed to move to India, because they could be quasi -military defense type of products, or an IRA-based product. So we want to keep the options open, but our goal from the start of the company is always to manufacture in India, which we are doing.
And then the percentage, we have reduced it as a market condition. The cost in the US has gone up. We have reduced it today to 11, and I think ideally it will be around 15 % of our sales.
Vikash Agarwal: And, sir, previously in the concall , we mentioned somewhere that we aim to double our revenue in the coming two to three years. So do we stand by that guidance still? Or do we want to increase on it?
Kunhamed Bicha: I believe we intend to do that, and then we should be there.
Vikash Agarwal : Thank you.
Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Investment Managers . Please go ahead.
Dhananjai Bagrodia: Hi. Thank you for giving me a chance again. I just wanted to ask you, this order book gives you visibility for how many years in terms of what is the execution for this order book?

Kunhamed Bicha: If you look at the total of it, it's around INR2,250 crores in the next 3 years. Out of that, INR1 ,485 crores is for the next 12 to 14 months. Then if you look at a 3-year period, it's around INR2,485 crores. But apart from that, we have orders and contracts. But sometimes the longer -term contracts are five years or in the aero business, sometimes 15 years.
Dhananjai Bagrodia: Okay. So then this INR1,400 crores is basically a confirmation that at least for the next 12 months, that much revenue we will get for sure. And then over and above, if any other order comes, then so be that. Is that a fair assumption?
Kunhamed Bicha: Fair way to look at it.
Dhananjai Bagrodia: So typical ly contract gets executed over 12 months

to 14 months.
Kunhamed Bicha: No. Usually a contract in the industrial world is probably 3 to 5 years. In the railway world, it's a little longer, 5 to 7. In the aero world, it's 15 years. So, these POs are releases for production. And the smaller customers give you a PO for the next six months as well.

Dhananjai Bagrodia: Okay. So at least we have visibility of INR1,200 crores for the next one year.
Kunhamed Bicha: INR1,485 crores
Dhananjai Bagrodia: Let's say, if there was a switch or there's a big reduction in commodity prices now, and we have bought some of our raw materials earlier, will we take that hit right now in the next few quarters?
Kunhamed Bicha: Usually in our business, some of this is passed back to the customer if it fluctuates a lot. So it's not a cost -price model.
Dhananjai Bagrodia: No. See, we hold inventory over 60 days. Sometimes we hold inventory over 90 days. Steel prices have significantly reduced in the last 60 days. So let's say if we have inventory of before, that could impact us in Q3, Q4. How does that work?
Suresh Veerappan : Over the last 4 to 5 years, we were able to maintain our gross margins at a stable level of between 34%-35%. And this is during the period of COVID when the commodity prices were volatile. So I think that should answer your question, hopefully.
Dhananjai Bagrodia: Okay, fine. Fantastic. Thank you so much.
Moderator: Thank you. The next question is from the line of Neel Nadkarni from Dalal & Broca Stock Broking. Please go ahead.
Neel Nadkarni: Yeah, thanks for the opportunity. I just had a couple of questions from my end. First, I wanted to know if you can throw some light on how big is our design employee team? And the other one was that we had also a couple of quarters that we had spoken about the high -performance computing. So any update on that? Also, I think you are tied up to see that. And lastly, how is the seasonality in your business, if you can throw some light on all of these? Thank you.
Kunhamed Bicha: Can you repeat the first part of your question? I missed it.
Neel Nadkarni: Yeah, I want to know how big is our designing team? How many number of employees are there in that?
Kunhamed Bicha: So it's around 130 to 135 employees. We do PCB design and we do it for the larger players in the world. And some of them are not into our manufacturing side. But most of our key customers are on the semiconductor side.
Neel Nadkarni: All right. So just a point on this. So if you look at the peers, is it at the higher end? Are designing employees on the higher end? That's why that can also be one of the reasons why our total employee cost as a percentage of the sales is higher?
Kunhamed Bicha: No, I wouldn't say . It's more on the US-India side. Most of the design engineers are in India. So they are comparatively reasonable in cost.
Neel Nadkarni: Yes, and also on the high -performance computing space. So any development on that and the seasonality in the business?

Kunhamed Bicha: So the work is still in progress. I think we are also working on hopefully some newer programs. So, we are waiting for some releases like in the last call I said. When it all happens, we'll be more than happy to announce it. But we don't want to redo it. But there's a lot of work going on between the two companies.
Neel Nadkarni: And last on the seasonality part, sir. So is there any seasonality in the business?
Kunhamed Bicha: Not much, because we are well diversified. Of course, the seasonality for us came in destocking, restocking. I call it seasonality, but it's a long -term thing. But otherwise, it's fairly, because we're diversified, if some industry slows down, we have other industries that pick up. That has been

our usual way to look at our busin

ess.
Neel Nadkarni: Sure, sir. Thank you.
Moderator: Thank you. The next question is on the line of Ankush Mahajan from Axis Securities . Please go ahead.
Ankush Mahajan: Sir, I missed an initial remark. Any guidance for the order inflows for this year?
Kunhamed Bicha: I don't want to give that out yet. But to say that we are on the verge of some large contracts coming in. Until it comes in, we don't want to give out the ..But we've, our book has grown 19. 4% year over year. And we believe that order book is only going to improve.
Ankush Mahajan: Any numbers in terms of margins you put for, guidance for the margins for the full year?
Suresh Veerappan : We do not provide any particular guidance on the margins per se. But we should start seeing the benefits of operating leverage playing out in the coming quarters .
Ankush Mahajan: Thank you, sir. That's all I have.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Ms. Bhoomika Nair for the closing comments.
Bhoomika Nair: I would like to thank everyone, and particularly the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best. Thank you.
Kunhamed Bicha: Thank you, Bhoomika. We are encouraged by the robust support from our investors. We are committed to reinforc ing the trust that our investors have in our company. I sincerely appreciate your steadfast support and confidence in Avalon Technologies. Together we are set for a remarkable journey of profitable growth and success. Thanks to everyone attending the call.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

“Avalon Technologies Limited

Q3 FY’25 Earnings Conference Call ”

February 06, 202 5

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR
MR. BHASKAR SRINIVASAN – PRESIDENT
MR. SURESH V .R. – CHIEF FINANCIAL OFFICER
MR. SHRIRAM VIJAYARAGHAVAN – CHIEF OPERATING OFFICER
MR. VENKY VENKATESH – CHIEF SALES OFFICER
MR. MICHAEL ROBINSON – CHIEF OPERATING OFFICER , US OPERATIONS
MODERATOR : MR. RAVI SWAMINATHAN – AVENDUS SPARK

Moderator: Ladies and gentlemen, good day and welcome to the Avalon Technologies Limited Q3 and Nine - Month FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the Conference over to Mr. Ravi Swaminathan from Avendus Spark. Thank you, and over to you, sir.

Ravi Swaminathan: Thanks, D orwin. Good afternoon, everyone . And a warm welcome to the Q3 FY '25 earnings call of Avalon Technologies.

To take us through the results today, we have with us from the Management , Mr. Kunhamed Bicha – Chairman and Managing Director; Mr. Bhaskar Srinivasan – President; Mr. Suresh V .R. – Chief Financial Officer; Mr. Shriram Vijayaraghavan – Chief Operating Officer; Mr. Venky Venkatesh – Chief Sales Officer; and Mr. Michael Robinson – Chief Operating Officer from US Operations.

Mr. Bicha will give us an overview of the “Business Performance ” and will be followed by Mr. Suresh's remarks on the “Financial Performance ”, post which we will open the floor for Q&A.

As we move forward, it is important to bear in mind that any forward -looking statements made during this call are subject to potential risks and uncertainties, both known and unknown.

Now without any further delay, I will hand over the floor to Mr. Bicha for his initial remarks, the CMD. Thank you, and over to you, sir.

Kunhamed Bicha: Thank you, Ravi. Ladies and gentlemen, on behalf of Avalon Technologies, I extend a very warm welcome to our Q3 FY '25 Earnings Call.

I will quickly introduce Avalon Technologies, especially for the ones who are joining us for the first time.

Avalon Technologies established itself as a key player in electronic manufacturing services with a global reach. We take pride in our leadership in high -mix, flexible -volume manufacturing. We currently operate 14 manufacturing facilities in India and the U nited States. We are also adding a new manufacturing facility in India.

Our key differentiators are; 1. Vertical integration. We offer a complex box -build solution right from PCB design, new product development, to final product manufacturing. 2. Global presence, both in terms of manufacturing presence and customer base. 3. Optimal mix of established industries like industrial, rail, aerospace, medical, communications and emerging industries.

Now, turning to our business performance, we are pleased to share that we remain on the growth path that we guided earlier. Momentum continues to accelerate this year, driven by the recovery of our U.S. customers and our expanding presence in the Indian ma rket. This strengthens our confidence in the growth ahead. We see this year as a pivotal moment, laying the foundation for significant growth over the next decade. Initially, we guided 14% to 18% revenue growth and later revised it to 16% to 20% in our earlier Earnings Call. Now , we are further increasing our FY 2025 revenue growth guidance to 22% to 24%.

We build mission -critical, long lifecycle products and aim to be a trusted partner for our industry -leading customers. By focusing on long-term profitable growth opportunities, we have maintained industry -leading gross margins, staying away from the short term . We ha d initially communicated 33% to 35% as a reasonable gross margin range in the medium term. Given our progress this financial year, we are now increasing our FY 2025 gross margin guidance to 34% to 36%.

Moving to our Q3 FY '25 Performance :

As discussed in previous calls, key highlights for this quart

er include our growing sales,
increasing book order , and improved profitability, driven by operating leverage. In Q3 FY '25, our revenues grew by 31.1% year -over-year, our gross margin percentage improved from 36.8% in Q3 FY '24 to 37.3% in Q3 FY '25.

As we anticipated, the benefits of operating leverage are now evident with EBITDA margins rising to 12.3% in Q3 FY '25. Absolute EBITDA grew by 109.5% year -over-year. Our PAT stands at Rs. 24 crores, reflecting a 264.9% year -over-year increase with PAT margins of 8.2% in Q3 FY '25.

Our order book grew by 25% year -over-year, reaching Rs. 1,594 crores as of December 31, 2024, with an average execution period of 12 to 14 months. Additionally, our long-term contracts, which extend beyond 14 months and span an average execution period of 2-3 years, increased by 32% year -over-year to Rs. 1,111 crores.

Our net working capital days improved from 161 days in March 2024 to 150 days in December 2024. We had initially targeted an improvement of at least 10 days to 15 days in March 2025. Despite a temporary increase in our net working capital days from 134 day s in September 2024, we remain confident meeting our original guidance of 10 days to 15 days improvement by the end of this fiscal year.

Revenue share from our U.S. manufacturing plant now accounts for 12% of our revenue in Q3 FY '25, reporting a net loss of approximately Rs. 3.4 crores, an improvement from the Rs. 14 crores loss reported in Q1 FY '25. Meanwhile, manufacturing at our India plants, which serve both our domestic and global customers, represent 88% of our business in Q3 FY '25, remains highly profitable with an EBITDA margin of 15% and a PAT margin of 10.8%.

We have previously outlined our three key drivers of growth; our existing U.S. business, new U.S. business, and expanding Indian business. The recovery of our existing U.S. customer base highlights the strength of our long-standing customer relationships. We believe the U.S. market is continuing to gain traction, and we are optimistic about the growth potential in this large addressable market.

Our recent successes in the industrial, automotive, and aerospace sectors with leading U.S. companies are progressing from design and prototype stages to commercial production , with ramp -up expected in the upcoming quarters . We are seeing increasing momentum with new wins in the U.S., which reinforces our vertically integrated capabilities and strong market pushing.

In the rapidly growing Indian market, our focused efforts over the past two years have resulted in key wins in the industrial, rail, and communications sectors. These wins are transitioning to commercial production and are expected to ramp up significantly over the next few quarters. We are encouraged by the traction across all three growth engines, which strengthens our confidence in the growth opportunities available to us over the next decade.

Turning to key deal wins, we continue to see strong traction across multiple sectors in both India and the U.S. We are moving from prototype to volume production this quarter for a global auto component company specializing in motion control systems. Our long-standing presence in the aerospace industry over the past 8 years to 10 years is now translating into significant new business wins as we advance to the prototype stage in FY 2025, we will provide further updates

in the coming quarters. In India, our rail business is scaling up well, with stronger performance expected next year. Additionally, we are actively working with our customers on anti -collision Kavach systems, which we believe offers significant business potential in the future.
On the infrastructure front, we are pleased to announce that our plant in Chennai dedicated for export is now complete and has started production. Additionally, Phase 1 of our brownfield expa

nsion in Chennai , designed to meet the growing demands of our domestic market has finished. Phase -2 is expected to begin within the next 1-2 quarter s. This positions us well to manage the increased demand expected in the coming periods. With the expected revenue growth in the coming years, combined with our established team and infrastructure, operating leverage will be a key advantage.
In summary , we are seeing strong signs of growth, which we expect to sustain and accelerate in the future. I would like to thank each of you for being a part of our journey. This has been a pivotal year for us and marks one of the many years of strong performance ahead. Avalon remains committed to building a business focused on long-term profitable growth rather than short -term gains.
With that, I would like to hand over the call to our CFO, Suresh Veerappan, for a detailed overview of our financial performance. Thank you so much.

Suresh Veerappan: Thank you, K.B., and good afternoon, everyone. Thank you for joining the call today.
As K.B. Mentioned, all three of our growth engines are advancing at a distinct but accelerating rates. The U.S. market is gaining traction, and our presence in the Indian market continues to strengthen. Reflecting this positive trajectory, we are further i ncreasing our FY '25 revenue growth guidance to 22% to 24%.
In Q3 FY '25, we recorded our highest -ever quarterly revenues of Rs. 281 crores. This reflects a 31.07% year -over-year increase from Rs. 214 crores in Q3 FY '24. In nine months FY '25, our revenue from operations is Rs. 755 crores, an increase of 16.1% year -on-year.
Our geographical revenue split for the quarter was 45:55, with India contributing Rs. 125 crores, and the U.S. contributing Rs. 156 crores. For nine months FY '25, our geographical revenue split was 42:58, with India contributing Rs. 319 crores, and U.S. contributing Rs. 437 crores.
Our gross margin for Q3 FY '25 reached Rs. 104.82 crores, reflecting a strong 33% year -over-year increase from Rs. 78.9 crores in Q3 FY '24. Our Q3 FY '25 gross margin was at 37.3%, up by 48 bps from 36.8%. For nine months FY '25, our gross margin stands at 36.1%. We continue to maintain industry -leading gross margins.
EBITDA for Q3 FY '25 stood at Rs. 34.6 crores, reflecting a 110% increase from Rs. 16.5 crores in Q3 FY '24. This resulted in an EBITDA margin of 12.3%, up by 462 basis points from 7.7% in the same period last year. For nine months FY '25, EBITDA stands at Rs. 73 crores, reflecting an increase of 55% year -on-year. EBITDA margin for nine months FY '25 stands at 9.7%, marking an improvement of 245 basis points year -on-year.
PAT rose to Rs. 24 crores, a 265% year -over-year increase from Rs. 6.6 crores, with a PAT margin of 8.2%, up by 521 basis points from 3% in Q3 FY '24. For nine months FY '25, PAT stands at Rs. 39 crores, an increase of 87.2% from Rs. 21 crores in nine months FY '24.
Our profitability continues to strengthen, delivering sustained growth. Our operating leverage becomes increasingly evident as revenue grows, translating into enhanced profitability, given that a significant portion of our cost structure remains fixed. Thi s phenomenon is reflected in our Q2 and Q3 results.
Moving on to the balance sheet, net working capital days improved from 161 days in March '24 to 150 days in December '24. Net inventory days came down from 118 days in March '24 to 103 days in December '24. Trade receivables increased from 79 days in March '24 to 94 days in December '24. Trade payable days increased from 36 days to 46 days over the same period.
However, net working capital days have increased from 134 days in September '24 to 150 days in December '24, due to increase in receivable days fro m 80 days to 94 days during this period.
We remain confident in our ability to reduce net working capital days by 1

0 days to 15 days in
FY '25, in line with our earlier guidance. As of December 31st, our total outstanding debt stands

at Rs. 156 crores, with cash equivalents and investment at Rs. 129 crores. Our CAPEX for Q3 FY '25 and nine months FY '25 was Rs. 11.3 crores and Rs. 32.7 crores, respectively. With the CAPEX -light model, our asset turns are strong at 8.8. The budget for FY '26 is currently in

progress, and we will be in a better position to provide detailed insights about our FY '26 outlook in our next call.
To summarize, the momentum across our three growth engines, along with improved profitability and a strong financial position, strengthens our confidence in achieving long-term sustainable growth. With a continued focus on operational efficiency, working capital management, and strategic execution, we are well -positioned to capture the opportunities ahead.
Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Rahul Gajare from Haitong Securities India Private Limited. Please go ahead.
Rahul Gajare: Yes, hi. Thanks for the opportunity and congratulations on the strong performance that we have seen during the third quarter. And also, I think I should congratulate you for a very elaborate opening remarks, which covered many of my questions. So, to start the questions, the first question I want to ask you is on the margin front. Given we have seen significant ramp -up in both the geographies, what do you think is more sustainable margin, both in India and the U.S., given some of the business will transition from prototyping to full -fledged manufacturing? Thank you.
Kunhamed Bicha: Hi, Rahul. Thank you for your questions. We believe that we have always maintained between 33% and 35% as the margin we target. But certain years, we may be higher like this year. We hope to do better than that, but we target between 33% and 35% as the gro ss margin between the two geographies.
Rahul Gajare: And at EBITDA level, how different will that be given significant operational cost in the U.S. operations?
Kunhamed Bicha: Actually, like we mentioned in the last few quarterly calls, we have reduced our operating costs. But there's a good opportunity in the U.S. today. We have to see how the politics of that plays out. So, we intend to maintain the same margins going forward, because we can always increase price.
Rahul Gajare: Okay. My second question is on your expansion plan. You have indicated work on Phase -2 will start in a couple of quarters. So, I want to know when will that be ready. And what could be the peak revenue once Phase -2 is completed?
Kunhamed Bicha: So, we usually build up space six months to a year before we need it. So, the key for us is now we have built the export facility. And that is ramping up as we speak. So, this will take at least

six to nine months to complete. And then from that point, we will have enough space and capacity for the following year. And we will continue to do this as we go forward, because our longest lead time for setting up factories is the infrastructure itself, not the machines or anything else.
Rahul Gajare: Yes. And my last question is on, I think you probably just touched on that, with Trump at the helm in the U.S. and his view, which are not very favorable towards clean energy, renewable, et cetera; how do you think your overall business could shape up, given we have a sizable business coming from the clean energy vertical? Thank you very much.
Kunhamed Bicha: So, I think there's always been confusion that we are in the solar side, a very small portion of our business is in the solar side, which could get affected in the U.S. But we are on the storage side, which is storing energy . So, that i

s growing between 50% and 70% in the U.S. year -over-
year. And we are also in different other clean energy products apart from solar. To explain that, it's not rooftop solar that our main piece of business is in. So, the other pieces actually are seeing signifi cant growth.
Rahul Gajare: Okay. Fine. Thank you very much and all the very best.
Kunhamed Bicha: All right. Thank you, Rahul.
Moderator: Thank you. The next question is from the line of Meet Jain from Motilal Oswal. Please go ahead.
Meet Jain: Hello, sir. Thank you for the opportunity and congratulations for a very strong set of numbers. Well, my first question is regarding our end user mix. As we can see, our industrial segment this quarter has seen a very good jump. Can you elaborate on that, which segment or which product categories and which geography have we seen such kind of growth? And my second question is on receivable days. So, is it a passing kind of increase like a normal operation or there's some kind of delay in receivabl es? Thank you.
Kunhamed Bicha: Let me address the first part of it, we have seen growth in multiple industries and because we are well diversified, if one industry slows down, it doesn't affect us as much. We have seen a very strong growth in industrial, okay? We have seen a little bit of slowdown in communications, but that doesn't mean that the whole thing has slowed down, but it's coming next quarter or the following quarters. So, we are seeing good traction in industrial, mobility and the clean energy sectors. And in Q3, if you look at clean energy, we have grown 53% year -over-year, mobility

10% and industrial 57%.
Suresh Veerappan: On to the second part of the question on the receivable days, this is more a temporary phenomenon. We were maintaining our receivable days around the 80 days mark, which is what we even saw in September '24 quarter. So, what we see as 94 days in December '24 is more a temporary phenomenon. Like we said in the opening remarks, we are confident of reducing our

overall net working capital days by 10 days to 15 days, like what we had guided for the beginning of the year.
Meet Jain: Understood. I have one more question on our manufacturing shifts, like, now we have almost 88% of the manufacturing in India. And earlier when we used to have almost, let's say, 25% - 30% of the manufacturing in the USA, our pitch was made in USA will be a t heme, which will have made some substantial value addition in the U.S. So, is that theme still valid because majority of the manufacturing will be shifted to India and there'll be very minimal manufacturing. So, a client in the U.S., I mean, wil l they see any impact on this because of that?
Kunhamed Bicha: So, Meet, I do not believe there will be an impact. The way we look at it is, the customers got both options, you can pay a higher price in the U.S., if they want to do it in the U.S. But today with India's emergence as a n EMS location, we are seeing customers come directly rather than what it was 10 years back, you needed to stop in the U.S. and then come here. We are seeing customers come directly and start production here. But there are certain type of products which are large in nature, which we intend to continue to make in the U.S., because the transportation cost is not affordable to make in India. Did I answer the question, Meet?
Meet Jain: Yes, sir. Thank you. And on the margin side, we did almost 12.3 % of margin this quarter. What will be our sustainable margins going ahead? Will we be able to achieve this because we see an increasing operating leverage also? And when we say our gross margin will be in the range of 33%, 35%, so can we see this margin to be sustainable, or even if improvement is possible, a sustainable margin of 12% will be a good assumption?
Kunhamed Bicha: I think that's a decent assumption. We always strive

to do better, but for the sake of this call, I
think you can assume it will be close to that.
Meet Jain: Thank you. Thank you so much, and all the best.
Kunhamed Bicha: You are welcome, Meet. Thank you.
Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital, Prabhudas Lilladher. Please go ahead.
Praveen Sahay: Yes, thank you for the opportunity. The first question is related to the '25 guidance of a 22% to 24% of a growth. That tells that the 40% to 48% of a growth for Q4 you are expecting. So, can you give some more color from which segment or the order book you have in place which will lead to a significant growth in the Q4?
Kunhamed Bicha: Thank you, Praveen . So, we are confident of doing this, and it's a broad -based growth as you have seen in the last two quarters. To remind you, a year back we were saying, customers had slowed down in the U.S., so a lot of our existing businesses slowed down across industries. We are seeing a lot of that come back, not only at the present levels, but better than the present levels.

And some new customers will also start this quarter. So, we are fairly confident, if you are looking for that.
Praveen Sahay: Related to that, for a quarter definitely, there is up and down in the contribution; but one in the opening remarks you had mentioned related to the auto, you are focusing on the volume product and motion control system you are getting an order. So, can we assume that the auto is going to be one of the big drivers for FY '26 for your revenue?
Kunhamed Bicha: No, I wouldn't , it's one of our sectors, okay, it is part of what we do, but we are doing a lot of the auto for export. So, it's not a margin strength. Rail or air, it will be one of our sectors. So, our business is not based on auto. Auto is just one of our sectors.
Praveen Sahay: Okay. So, you will be able to maintain the contribution where you are even after all these --?
Kunhamed Bicha: Yes, yes, very much so.
Praveen Sahay: And related to the Chennai plant, the Phase 1 has been completed. So, how much is the contribution so far you had received from the Chennai? Like, that's started contributing in the revenue, or we will see the major revenue contribution from FY '26?
Kunhamed Bicha: The export plant is fully operational. We are already starting to see revenues, so that's why we always said that year to year for a couple of years we need Rs. 40 crores to Rs. 45 crores of CAPEX . And Suresh explained the numbers to you. And revenue from this plant is only going to increase. So, that's why we are confident, even if the rate of growth is higher, we can meet

that with our capacities.
Praveen Sahay: And two questions, last, one is, if you can give any color on your order book, domestic and international, and the reason for the increase in other income? Thank you.
Suresh Veerappan: So, on the first part, the order book proportion also is very similar to what you see in the revenue proportion, between 45 and 55, what you see on India and U.S., it's on the order book. The second part on other income, one component of that is the returns that we have generated from our investments. The second component is on the For ex income.
Praveen Sahay: Okay. Thank you. Thanks a lot. All the best.
Suresh Veerappan: Thank you. Thank you, Praveen.
Kunhamed Bicha: Thank you.
Moderator: Thank you. The next question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.
Kunhamed Bicha: Hello, Dhananjai.

Dhananjai Bagrodia: Hi, sir. Congratulations on a very good set of numbers. Sir, I just wanted to understand now, obviously, so, our benefit is that we are present in globally in terms of we have a good facility in the U.S. And are we seeing any intake in terms of new clients comi

ng in, or how is the pipeline there ? Because see, that is a factory which we have ample capacity and which can ramp up significantly , any thoughts on how that's coming along?
Kunhamed Bicha: Thank you for that question, Dhananjai. The U.S. is always a beachhead , we need it to bring business into India. Our goal, 88% of what we do delivers 15% EBITDA and 10.2% PAT today. So, the best business for us is to have U.S., clients who can make in the U.S. But to make sure that they come directly, if you have a plant in the U.S., a factory in the U.S., that eases the process because there are multiple ways customers look at, because they have service levels in the U.S. itself, when they have changes or when they need something extra. So, it is just a plus point. Our goal is always to make in India, but make in India for the world, and saying that, our India business which we technically got into two to three years back, is starting to pay dividends, order book, as well as production is inc reasing.
Dhananjai Bagrodia: So, are you all seeing , like, now with your customer interaction, now Trump has come in; in other words, are you all seeing a lot of customers who are coming in who want to diversify from other regions to U.S., because no one wants to lose sales. So, are we seeing an uptick in order pipeline?
Kunhamed Bicha: Actually we are seeing a lot of activity , especially products from Mexico to us, and that's only because we have a factory in the U.S. in the sense, not the U.S., but directly to India. Okay?
Dhananjai Bagrodia: Okay.
Kunhamed Bicha: They look at the risk profile, which country , the U.S. is expensive. So, can we move to India, so we are seeing some of that activity, and I think that is a pleasant surprise for us also.
Dhananjai Bagrodia: Okay. Sir, and how should we look at our U.S. segment how much growth could we look at that, or is it too early days right now?
Kunhamed Bicha: No, because with Trump, you do not know what can happen. But we are there in both locations. So, if the customer wants to make it in the U.S., he makes it with a higher price. But our goal is to move that to production in India. So, I think we are covered both ways.
Dhananjai Bagrodia: Yes.
Kunhamed Bicha: If any of the tariffs or anything come into play, I think we are very much ready for it either way.
Dhananjai Bagrodia: Okay. And any other risks we are seeing along those lines?
Kunhamed Bicha: We do not see anything as of today. I mean, this is a positive time in the evolution of our company. And so, what we have been kind of telling over the last six quarters is the slowdown

and last two quarters we have seen growth and we will see sustained growth for the mid -term period also.
Dhananjai Bagrodia: Okay. Fine. Sure. Thank you, sir. Thank you so much, and best of luck.
Kunhamed Bicha: You are welcome, Dhananjai.
Moderator: Thank you. The next question is from the line of Renu Baid from IIFL. Please go ahead.
Renu Baid Pugalia: Yes, good evening , team . And congrats for the good performance. My first question is on inflows. Since broadly inflows have been flattish for the last couple of quarters, an order backlog is in the Rs. 1,400 crores range. So, how should we look at the execution timeline of the orders in hand after the upper revision in revenues for fiscal '25? And how does the growth pattern look at this point in time based on the order inflows and pipeline that we have for fiscal '26?
Kunhamed Bicha: Thank you, Renu, for your question. So, like I said in my opening remarks, for the 12 months to

14 months period, okay, which we have confirmed POs of Rs. 1,594 crores. For the 14 months to three years, we have got Rs. 1,111 crores, which is a year -over-year increase of 32% and we do not count anything. We have contracts for 15 years in certain cases. We do not count those

contracts in these numbers. So, we are looking at a short term to mid -term picture where executable orders are there and we intend to increase these. So, there's a clear revenue guideline that this is there and more increasing as we speak. Year -over-year, we have seen a 25% growth and we will continue to see that in the coming quarters.

Renu Baid Pugalia: Sure. Yes, second, will it be possible for you to share any updates with respect to where are we in terms of completing the prototyping and the pipeline of new products with our large U.S. clean energy customers there, be it Lunar or Enarka , any updates on how are we seeing the re - ramp up with them?

Kunhamed Bicha: Yes, so like I said, I think , we are past that. That's a small part of what we do going forward. Two years back, it was a bit past, but to say that we have started production .

Renu Baid Pugalia: Okay. And we are seeing the ramp up as scheduled or as planned or it's slightly softer?

Kunhamed Bicha: No, I think as per plan, but we are taking a very conservative number on it.

Suresh Veerappan: So, it is progressing as planned. In the last call, we had mentioned that in Q4, the commercial will happen and Q1 is when the ramp up is going to start. So, it is progressing as per plan.

Renu Baid Pugalia: Got it. And lastly, within the autos, would it be possible for you to share what are we doing to improve our exposure to the EV portfolio and simultaneously, any investment in R&D to step up capabilities on this side?

Kunhamed Bicha: So, we are looking at it as one of our sub -verticals, like an aero or a rail, it's not a do or die for us.

Renu Baid Pugalia: Yes.

Kunhamed Bicha: And we are looking at it globally. So, it's going to be just not EV . We are in the, what we call, the normal ICE engine also. So, it's just not EV related. So, especially outside India.

Renu Baid Pugalia: Got it. Thanks much and best wishes team. Thank you.

Kunhamed Bicha: Thank you, Renu.

Moderator: Thank you. The next question is from the line of Chirag from Keynote Capitals. Please go ahead.

Chirag Maroo: Yes. Thank you for the opportunity. Sir, I just want to know that as we are growing at a high double -digit rate, I just wanted to understand, what is our current capacity utilization and what are our CAPEX going forward as we might be already reaching Rs. 300 crores, Rs. 350 crores top line on a quarterly rate?

Kunhamed Bicha: Chirag, I think we have enough capacities like we have always said that we have planned this for doubling our growth in three years. So, we are not too concerned on the capacit y. Of course, there are some issues here and there, but it's all solvable. Mostly, it is how fast we can get the space organized. And we have always said for the next couple of years, we will need a CAPEX of around Rs. 40 crores to Rs. 45 crores. And we are maintaining that because we always believe that we should operate in a n asset turns of 8% to 10%. That's always been our goal.

Suresh Veerappan: 10 times.

Kunhamed Bicha: Yes, 8 times to 10 times.

Chirag Maroo: Right.

Kunhamed Bicha: Did I answer your question?

Chirag Maroo: Yes, yes, I got that and as we are almost viewed a cash flow company, which is going to give almost Rs. 100 crores cash flow on an annual basis. So, it would be just 50 % of that would be into CAPEX and another 50 % we are keeping it for some kind of inorganic growth or we are going to provide some dividends to the shareholders. Any thoughts on that?

Kunhamed Bicha: So, my thought on that is very clear. We are hoping to see some substantial business , we are hoping, okay? I am not saying we have. And we need the cash at that point of time, okay? So, we hope that it comes through in the next year or so. So, we still maintain the CAPEX to be Rs. 40 crores to Rs. 45 crores a year, at least for the fores

eeable future. If there's something for substantial breaks, of course, we have got to look at it differently.

Chirag Maroo: Fair enough. After just one clarification we have also given to the earlier participants, I might have missed it. But once the second phase of the CAPEX is getting completed, what kind of revenue we can actually expect at optimum utilization?

Kunhamed Bicha: Chirag, like I mentioned, we build our buildings ahead of the business, right? So, what we are

doing is the building will be utilized nine months from now. So, there's a lot of business coming in. So, we just need space to operate. So, we are building a building and deciding what to put in there three to six months from now. So, we are always ahead by nine month s to 12 months.
Chirag Maroo: Fair enough, fair enough. And sir, as our revenue from Box -build is inching up again to 50 % if I am not wrong, can we expect that the margins from current level can even go further up as revenue from Box -build improves?
Kunhamed Bicha: I think our commitments of margins, of course, we are pushing for higher Box -build and more complex Box -builds. We will strive towards that, but we want to guide lower.
Chirag Maroo: Okay. And last from my side, sir, as you just mentioned in the initial comments that still the U.S. plant is still making losses on PAT levels. Any clarity on that? Because as you said, new orders and new order book is being coming from U.S. at this moment . And there are a few of the products that cannot be built over here. The larger products has to be built in U.S. only, right? So, what is your guidance towards this that will it become PAT -positive in the next year itself?
Kunhamed Bicha: I believe it could, but it's also an insurance policy for us, right? If there is something, the political situation, right, towards U.S., we can always make some of the products in the U.S. So, I think we stand on good ground in that sense that the busines s doesn't have to move anywhere in case there's anything coming up. We feel very good having that facility there. And today, as the losses have reduced, I think it's in a state where I think in the next 12 months to 18 months, you could possibly see some positive numbers out of there.
Chirag Maroo: Just last one to squeeze in. So, is it fair to assume that we have almost reached a monthly order book intake of Rs. 125 crores to Rs. 130 crores now?
Kunhamed Bicha: Monthly order book intake, yes, what was this in the quarter? Rs. 350 crores to Rs. 400 crores , you are correct.
Chirag Maroo: Right. Fair enough. Okay, sir, thank you.
Kunhamed Bicha: You are welcome.
Moderator: Thank you. The next question is from the line of Vineet, an Individual Investor. Please go ahead.
Vineet: Hello. Good evening, sir.
Kunhamed Bicha: Good evening, Vineet.

Vineet: Sir, I just wanted to know on our subsidiaries, how they have been structured, like, what is the work we are undertaking in our subsidiary sites, the Sienna , I mean, how is the business flow over there? Could you please throw some light on it?
Kunhamed Bicha: Could you repeat it? I did not hear you really well in the beginning. I heard subsidiaries.
Vineet: No, I just want to understand on the subsidiaries part, like how are we positioning them? I see some design elements in the Sienna ECAD division. So, could you please throw some light on it? Yes.
Kunhamed Bicha: Okay. So, ECAD, we all operate as one and there are some subsidiaries for a reason. So, Sienna ECAD is a design company where we do design as a service. Sienna, which is in the U.S., is our U.S. company, which is a 100% owned subsidiary, which we do produc tion in the U.S. And ATS is where we do our metals and certain other products, which are not PCB -related. Did I explain that?

Vineet: Yes, yes. Are we looking at any chip design sort of ventures from these subsidiaries going forward?
Kunhamed Bicha: Yes, in a lot of cases, we do design, but we do not create the IP. We create the IP for the customer for a service fee.
Vineet: Okay. Any plans to move forward into the sales of design IP, owning the IP?
Kunhamed Bicha: Sometimes it's very counterproductive because, let's say, we are doing five different type of inverters, for the sake of argument, for the best guys in the world. And if we have our own inverter design, the other five will not stay with us. So, we are a true manufacturing company, and we do design as a service. We still have 150 -200 people in design, but we design products for customers with the hope that manufacturing comes to us.
Vineet: Okay. Thank you. That answers my questions.
Kunhamed Bicha: Welcome, Vineet.
Moderator: The next line of questions is from Sumit Kumar. Please go ahead.
Sumit Kumar : Yes. Hi, sir. So, when talking about Avalon, the industry is growing at 30% CAGR. And so what are we doing to outperform the industry? When we see the diversification, we have a decent diversification across industry, we have a presence, and also we are focusing on domestic side. So, what are the guidance and the growth we are talking about? And will we see the other companies, some companies are growing more than 40%. So, what is our aspirational number for the growth, and what are we doing for the higher growth? In which segment we are focusing, where we are lacking? So, can you talk on that?

Kunhamed Bicha: Yes. So, we always have said that we are not going to do growth at all costs. We are going to do profitable growth, in the sense we are not going to sign businesses for the top line. Okay? That is a very clear mantra and goal for us. And we have maintained that ove r the years. If you wanted to solve the top line problem, there's enough business out there at lower margins. So, that's why we are not in the consumer space. That's why we are not in certain spaces where we cannot achieve that.
So, in the longer term, we will continue to do that. And we believe that we can grow at a faster rate in our own business, which is the more complex, the more mission -critical, the more difficult to do, the more export. And that has been our goal always, has not changed anything. So, there's enough business out there to cater to that. Did I answer your question, Sumit?
Sumit Kumar : Yes. So, let me see, because we have seen the issue of FY '24 de -growth and '25 onwards we have seen recovery. So, for that, what are the risk mitigation, what are the diversification we are thinking of? With higher contribution of export now focusing on domestic, so in that we have seen the clean energy is not doing good in U.S., our growth is muted. So, if this kind of scenario is not going to arise in the future, what are other segment we are diversifying?
Kunhamed Bicha: Well, I think I'll correct that that's okay with you. Clean energy, which is 22% of the business, grew 53% year -over-year. Okay . So, our growth is going to come from sectors. And there are a couple of industries we are entering into, which we will talk about a few quarters later, okay, which we are specifically targeting, again, the same business model as we have today. And I think there are sub -verticals in the five verticals we have. And we are very confident that that piece will be a different s et of growth rate than what we have today in these five verticals.
Sumit Kumar : And what about the railway? How things are going on in the railway side?
Kunhamed Bicha: Railways is a good part of our revenue. And a lot of that is in India. And we are seeing a tremendous growth this year, as well as we are going to see more next year. And we have had a few more products added to our railway portfolio,

which I think as the country, as India, as we grow, we are going to see a large pattern of growth and complexity.
Sumit Kumar : Okay. Thank you, sir.
Kunhamed Bicha: Thank you, Sumit.
Moderator: The next line of the question comes from Deepak Krishnan from Kotak Institutional Equities. Please go ahead.
Deepak Krishnan: Hi, sir. Hope I am audible.
Kunhamed Bicha: Hi, Deepak. You are perfectly audible.

Deepak Krishnan: Yes. Congratulations on a good set of results. I think just more from the previous participant itself, now you said three levers of growth, I think the first is recovery of business of existing base that has definitely come through. And there could be furt her growth there. But in terms of incremental growth --
Kunhamed Bicha: Deepak, you sound a little bit muted. Can you repeat the question again? There was some read through and disturbance. Sorry about that.
Deepak Krishnan: Is this better now? Is this better now?
Kunhamed Bicha: It's much better now, much better now.
Deepak Krishnan: Yes, I just wanted to sort of understand the incremental --
Kunhamed Bicha: Deepak, are you there?
Moderator: I think the call got disconnected. Should I promote the next one?
Suresh Veerappan: Yes, go ahead.
Moderator: Thank you. The next line of question is from Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Yes, congratulations, sir, on a good set of numbers and strong, strong growth in the current quarter. Sir, just wanted to get a sense in terms of, this, in terms of the new clients and the order intake that we are seeing, which areas, if you can talk about , which is seeing a strong scale up from an end user perspective, how large are they? If you can get some color in terms of that aspect, sir.
Kunhamed Bicha: Hi, Bhoomika. As usual, you asked the most difficult question, but I will try to answer it as best way as possible. See, the key part of it is exported back. Okay, that is where we were struggling for two, three quarters, and that's where our business was. And with that, the India piece is growing. So, we see a broad -based growth, especially the industrials have done very well in this quarter, and we will continue to do well in the following quarters. But as we target to have a 25% to 30% in each of these v erticals. So, what you are seeing is, in India, you are seeing a lot more of these mobility that's, per se, rail business and the air business coming through. Industrial

is a 50% -50% mix. And the order intake is very similar to what we were seeing in the past. It's a healthy mix between the three.

Communications, you may see a bigger upside in the future. And medical, of course, we do not focus as much now. But it's going to be split 50% -50%. Our goal has always been to get the company to be 50% in India and 50% outside India. Because if you go back three years, we were 70% outside India and 30%. So, we will never be caught in the wrong foot like what we were caught 12 months, 18 months back. So, in that sense, it's a broad -based growth. And we have,

like I mentioned before, a couple of verticals which are exciting for us and as we get deeper into that business, we can talk about it.

Bhoomika Nair: Sure, sure, that helps. So, the other aspect is, with this whole administration change in U.S., but you have obviously have both offerings, right? We shifted a lot of manufacturing to India over the past year, year and a half. Are you seeing some of the clients rethinking their decision wanting to come back to U.S. manufacturing or anything of that sort? They might not have yet taken any decisions as such, but are you sensing any of that kind of conversations with your clients?

Kunhamed Bicha: In fact, we are seeing the opposite of that. So, the clients, if they move, now t

hey are moving

other products directly to India, which is a good sign. And the way I look at it is in case there's a tariff or something put on it, we can always make it back in the U.S. at a higher cost. Okay, of course, the tariff will go up, but I believe that we moved to India is true. We have convinced these customers that we can make in India because they were paying to do it in the U.S. And we have done t hat because we are lucky that we did that a year before the election. Because right now we do not know which way it's going. Every day it changes, right? So, we cannot make a guess or customers cannot make a guess on what's happening. But the interesting piece for us is even the places close to the U.S., we are seeing some traction with business moving to India, to us.

Bhoomika Nair: Okay, okay, that's interesting. And even the new customers are happy to kind of just directly move to India rather than wanting to have a production in U.S. Would that understanding be correct?

Kunhamed Bicha: I would say, by far that's always been our goal , to make it in India. If the guy wants to start there, they are more than happy to do it and transition out in six months to a year, however he feels like. But certain products cannot move, like these quasi -military stuff, which we do, cannot move outside the country. So, we will focus on that. And I think there's a huge potential there too to make stuff in the U.S. And we look at it from that context.

Bhoomika Nair: Sure. The other aspect is , we have scaled down on U.S. quite a bit. We have moved to India. We have seen clients coming to India as well. But the U.S. business continues to be a bit of a drag. Had it not been for U.S., we would have actually reported a much better margin profile. How are you seeing that loss kind of tapering down, given that there's not really much of revenue momentum that's happening and the negative operating leverage in U.S. is really hurting us. Not materially as it was perhaps a year ago, it's obviously come down dramatically. But where do we get into a breakeven situation or some b it of a profitable situation in the U.S.?

Kunhamed Bicha: So, at the end of the day, in our mind, we are very clear that U.S. is our beachhead, okay? A lot of the activity, a lot of the conversations happen there. And if they want prototypes, we can still do it there. So, at this point, we believe it is absolutely essential to have that front end, especially when you are dealing with very complex products, where you have engineering interactions,

because you have to understand the 12 -hour time difference. To convince an engineer to talk to somebody in India is always a convincing story, right? And you have teams of engineers, whether it's 18 or 20 engineers involved in a project from the U.S. and f rom our side. That actually helps in a big way. That's probably the most positive thing we have because 55% of our business is in the U.S., and that's a support structure . So, we believe even if there's a small loss on that, and hopefully, the breakeven, o ur goal is to make it profitable. And we will strive towards that. But it's at a low cost now .

Bhoomika Nair: Yes, yes. So, I mean, more like one can possibly view it as perhaps a small cost center to get the volumes or get the customers in, perhaps.

Kunhamed Bicha: Absolutely, absolutely, Bhoomika.

Bhoomika Nair: Got it, got it. Perfect, sir. Thank you so much.

Moderator: Thank you. The next line of the question comes from Karan Sanwal from Niveshaay. Please go ahead.

Karan Sanwal: Congratulations on a good set of numbers. I have a few questions regarding , we talked about reducing our net working capital for the full year. So, would it be predominantly through decreasing receivables?
Kunhamed Bicha: Suresh, you want to answer that?
Suresh Veerappan: It's going to be a comb

ination of all three aspects. We are working as a team on receivables, payables, as well as inventory. But yes, we are confident on reducing our net working capital based on where we are today, in March '25.
Karan Sanwal: Okay. And also, could you get us the nine -monthly figure for the cash flow from operations?
Suresh Veerappan: Approximately it will be negative Rs. 10.6 crores on a nine months basis.
Karan Sanwal: Okay. And would we be trying to convert this to positive for the full year? Or would it stay negative? Yes. Okay.
Suresh Veerappan: So, for example, we had Rs. 36 crores of positive cash flow operations in the first quarter. It is just in this quarter with the increasing receivables, we saw that. But with the increasing sales and a positive operating leverage, I think in the coming quarters, we should start seein g that.
Karan Sanwal: Okay, so there's no challenges in collecting receivables, right? It's just the sales have increased. That's why it has increased. Am I correct?

Suresh Veerappan: Yes, yes, you are absolutely right. There are no challenges. These are very large MNCs, kind of like Fortune 500 companies. It is just a temporary phenomenon, which was collected in the first fortnight of January.
Karan Sanwal: Understood. And also, you talked about the subsidiary, the businesses that we do in the subsidiaries. So, any specific segments that are covered only through subsidiary, or is it all interrelated within the company?
Suresh Veerappan: We operate as a single group, okay? It is for practical purposes, we have different subsidiaries. But the way how we operate it as a single group.
Karan Sanwal: Okay. One last question. If you could talk about the Kavach opportunity that we are doing with our vendors, like when are we expected to start field trials or bid for those tenders? Any progress on that part? If you could, anything you could highlight for that?
Kunhamed Bicha: Yes, Karan, this is KB. So, we are in different forms of field trials now. Some products have been built, customers approved by the Indian Railways. And when Stage 2, hopefully Stage 2 or Stage 3, we should see a good part of business coming to us. So, the trials are going on.
Karan Sanwal: Okay, great. Thank you so much, and all the very best.
Kunhamed Bicha: You are welcome, Karan. Thank you.
Moderator: Thank you. The next line of question comes from Jeetu Panjabi of EM Capital Advisors. Please go ahead.
Jeetu Panjabi: Hi. Thank you. The numbers were great. Thanks so much for that. I have two broad questions. In the backdrop of what's been happening in recent weeks and since Trump's come in, there seems to be a fair amount of global distrust that's come up. My question r eally is, is there any change in the tone of discussions of customers when they are engaging with you all? Is there any sense of caution? Or do you think that they will think about the business in any different way?
Kunhamed Bicha: So, see, because it's the second coming of Trump, most of America is used to the first coming. Okay?
Jeetu Panjabi: Okay.
Kunhamed Bicha: So, he did something very similar. And it's what we, as a personal opinion, is more of a negotiating tool more than trying to get things done. But of course, from a business, from an Avalon standpoint, if the patriotism of course plays out in America, you have a choice to make it in the U.S., okay? Or you can make it in India, but of course, cost prevails, and the first preference is where it is cost effective. So, every meeting starts with talk of Trump. But what

you read in the newspapers today and what it will be tomorrow will be two different things. You cannot plan for that.
Jeetu Panjabi: Okay. Okay. And are you doing anything different on the back, or do you just see status quo

and
business continues?
Kunhamed Bicha: Business continues, because see, these changes can only happen over a period of a year or two, even if things are transferring from XYZ to one location to another. It takes time because our products are complex, and most customers would not want to change that, because some of the

life term of our products is 5 years to 15 years. So, it is not in their best interest to start moving things just because of a change in governance. So, we believe in the longer term, the customers who are here will always be here; if any customer wants to make in the U.S., they are more than welcome to do that.
Jeetu Panjabi: Okay. Now, my second question is, kind of, you have given a guidance of 22% to 24% going to next year, which is actually a great number. So, thanks for that. But I have a question. In a scenario where you say I want to step on the gas and I want to grow at 35% and not 24%, is there a way to get there? Like does the opportunity exist? Do you think you can execute to that opportunity? And is ther e a model to sustain the business model at a higher growth rate?
Kunhamed Bicha: Absolutely. You have seen the 30% growth rate already in the last four quarters. And we think it will be a little bit better this quarter. And we are confident, we have set up our operations and leadership, the factories to have this sustained higher growth. Okay? So, for the next 12 months to 18 months, we do not anticipate having an issue with that. Of course, we do not know what we do not know. But as we stand and the existing type of business, we are very confident.
Jeetu Panjabi: Okay. Excellent. And one last piece, if I may sneak in, is in the context of these 25%, 30% or whatever number you'd grow at, what will be the toughest part of the business to manage?
Kunhamed Bicha: See, so in the context, on the technology side, it's broad -based, because one, the startup of the businesses will take time, because there's a lot of engineering content. It is not step and repeat. So, some of our products are Rs. 1 crores to Rs. 2 crores sellable by one product, right? So, some of them are fairly complex in what we do. So, when we plan for a cut -in in four months or six months, that may go to eight months. Both sides, there's a lot of engineering involved to cut in the prod uct. So, that, I would say, is trying to time the pieces of business, which are coming in would be difficult because of the cut -over, because they are transferring from different parts of the world, or they are introducing a new product. And we have to be ready and very engineering - intensive.
Jeetu Panjabi: Okay. Good wishes. I wish you all the best and looking forward to great performance next year or two or three. Thank you.
Kunhamed Bicha: Okay. Thank you, Jeetu.

Moderator: Thank you. The next line of questions comes from Ashutosh Agarwal from Northbridge India. Please go ahead.
Ashutosh Agarwal: Yes. Firstly, congratulations on a very great set of numbers, and I am thankful to you being an investor since IPO. So, the company has done very well, like, throughout this period. So, firstly, I want to give my gratitude and thank you to you for all the efforts.
Kunhamed Bicha: Ashutosh, you are welcome, and our goal is to make shareholder wealth creation, which needs to happen over a period of time, and it's not instant, over a period of time, we are going to create that. And thank you for being an IPO investor and staying with us through the co urse.
Ashutosh Agarwal: Yes. Thank you so much, sir, for the kind words. Just, sir, I have two queries. Firstly, as a part of long-term vision, can we have, like, a ballpark number for revenue or PAT for the next three to four years?
Kunhamed Bicha: See, we have aspirational goals in the sense what we want to be, but we want to kind of get closer to that and anno

unce things or give guidance. I've been caught in the wrong foot in the past couple of years. So, I think from a sense of the future, the growth is there. We believe that India is getting accepted, and there's a push for America, where we are all in both locations. And we do also operate in the sense of sales activity in the other geographies also, whi ch will grow over a period of time.
Ashutosh Agarwal: Okay. So, like, in terms of number, like, can we have a ballpark figure, like, are we looking to grow at maybe 25% CAGR revenue and PAT -wise? Is there any margin expansion probability? So, I just wanted to take an idea about that.
Suresh Veerappan: This is Suresh here, Ashutosh. We are working on our budget for now. So, we will be completing it in this quarter and then probably during the next quarter, we will be able to give more details. But on your question on revenue growth, I think the industry is growing at a higher pace. It has started our growth momentum. It is only going to get better and we'' be stronger from there. In terms of margins, with the scale operating leverage effect, it will keep continuing to impact positively. Just what we saw in the last two quarters, expect to continue to see the same in the upcoming quarters.
Ashutosh Agarwal: Okay. And my next and last question is with respect to , I know many investors have already discussed this, that after Trump, what is the impact? So, we are seeing like a lot of positive and negatives on the EMS industry as a whole after Trump. So, do you feel that there is a substantial or maybe a reduction in RDRs or a reduction in business with the U.S. after coming of Trump in the EMS industry? Or d o you feel that it is just social media hype and practically there will not be a major di sruption?

Kunhamed Bicha: No, I think, see, both India and U.S. stand to gain out of this unless Trump says something else tomorrow, which I do not know about. But for us, we are seeing both sides, we are seeing a lot

of activity. And we always said previously, our goal is to do 50% in India and 50% of sales as export. So, we maintain that and it's a counter , what do you say, it counters each other. Because last time we went through a downturn, though we were diversified, we were a lot U.S. -based. Today, we have come out of that and we have a combination of India, U.S. and of course, a few other countries also.

Ashutosh Agarwal: Okay. Thank you so much for answering the queries. Looking forward for more long term relationship. Thank you.

Kunhamed Bicha: Thank you, Ashutosh, for being a shareholder and being with us from the IPO days.

Ashutosh Agarwal: Sure, sir. Sure. Looking for a long -term relationship. Thank you.

Kunhamed Bicha: Thank you.

Moderator: Thank you. I would now like to hand over the conference over to the management for closing comments.

Kunhamed Bicha: We are encouraged by the robust support from our investors. We are committed to reinforcing the trust that our investors have in our company. I sincerely appreciate your steadfast support and confidence in Avalon. Together, we are set for a remarkable journey of profitable growth and success. Thanks to everyone attending the call. Thank you very much.

Moderator: Thank you. On behalf of Avalon Technologies Limited, that concludes the conference. Thank you for joining us and you may now disconnect your lines. Thank you.

"Avalon Technologies Limited Q4 FY-25 Earnings
Conference Call"

May 07, 2025

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN & MANAGING
DIRECTOR , AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT , AVALON
TECHNOLOGIES LIMITED
MR. SURESH V.R. – CHIEF FINANCIAL OFFICER ,
AVALON TECHNOLOGIES LIMITED
MR. SHRIRAM VIJAY ARAGHAVAN – CHIEF OPERATING
OFFICER , AVALON TECHNOLOGIES LIMITED
MR. VENK Y VENKATESH – CHIEF SALES OFFICER ,
AVALON TECHNOLOGIES LIMITED
MR. MICHAEL ROBINSON – CHIEF OPERATING
OFFICER , US OPERATION S, AVALON TECHNOLOGIES
LIMITED
MODERATORS : MR. DEEPAK AGARWAL – AXIS CAPITAL LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Avalon Technologies Limited Q4 and FY25 Earnings Conference Call hosted by Axis Capital Limited .

As a reminder all participant s' lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from A xis Capital Limited. Thank you and over to you sir .

Deepak Agarwal: Good afternoon, everyone and a warm welcome to the Q4 FY25 Earnings Call of Avalon Technolog ies.

To take us through the Results today we have with us from the Management . Mr. Kun hamed Bicha – Chairman and Managing Director , Mr. Bhaskar Sri nivasan – President , Mr. Suresh V.R . – Chief Financial Officer , Shriram Vijay araghavan – Chief Operating Officer , Mr. Venk y Venkatesh – Chief Sales Officer and Mr. Michael Robinson – Chief Operating Officer for the US Operation s.

Mr. Bicha will give an overview of the business performance and will be followed by Mr. Suresh's remark on the financial performance , post which will open the floor for Q &A.

As we move forward, it is important to bear in mind any forward -looking statements made during this call are subject to potential risk and uncertaint ies, both known and unknown.

Now without any further delay, I will hand over the floor to Mr. Bicha for an initial remark , the CMD. Thank you and over to you sir.

Kunhamed Bicha: Thank you, Deepak. Ladies and gentlemen, on behalf of Avalon Technologies we extend a very warm welcome to our Q4 FY25 Earnings Call .

I will quickly introduce Avalon Technologies especially for the ones who are joining us for the first time . Avalon Technologies establish ed itself as a key player in electronic manufacturing services with a global reach. We take pride in our leadership in high mix , flexible volume manufacturing. We currently operate across 14 manufacturing facilities in India and United States.

Our three key differentiators are :

1. Vertical integration – we offer a complete box build solution from PCB design s, new product development to final product manufacturing.
2. Our global presence is both in terms of manufacturing presence and customer base.

3. Optimal mix of established industries like industrial s, rail, aerospace, communication and emerging industries like clean energy.

Now turning to our business performance :

I would like to begin by thanking all our investors for your continued trust and confidence in Avalon. As we celebrate our 25th anniversary, it is not only a time to reflect on our journey but also look forward. Over these years, India has evolved to be a well-established global manufacturing hub. With this shift, the outlook for the electronics manufacturing service industry and for Avalon in particular is very encouraging. We believe the road ahead holds even greater opportunities. In Q4 FY25 our revenues grew by 58.1% year-on-year, for the full year we achieved 26 .6% year-on-year revenue growth. This growth has been broad based, well diversified across sectors and geographies and consistently delivered in a dynamic environment. We continue to see strong demand from our customers both in India and the US and remain confident in our strategy for sustainable and profitable growth.

On gross margins , we are pleased to report that Q4 FY25 came in at 35.1% at the upper end of our guidance of 33 % to 35% . Supported by operating leverage, our EBITDA margins for the quarter stood at 12.1% , profit after tax came in at Rs. 24.3 crore s marking a 244% increase over Q4 FY24.

As of March

31st, 2025, our order book stood at Rs. 1,761 crore s with an average execution period of 14 months. In addition, long-term contracts with execution timelines of 15 to 36 months grew by 18.3% year-on-year to Rs. 1,123 crores. Our year-on-year order book growth improved from 11% in FY24 to 29% in FY 25. This order book growth has been well balanced and diversified across industry verticals and geographies.

We have also made meaningful progress in optimizing our working capital. Net working capital days improved from 161 days in March 2024 to 124 days in March 2025, an improvement of 37 days, better than our guidance of 10 to 15 days. This reflects our ongoing efforts to drive operational efficiency . In Q4 FY25 , our US manufacturing plant contributed 16.6% of total revenue. Meanwhile, our India based operations which catered to both domestic and global customers accounted for 83.4% of revenue during this quart er. The India operations remain highly profitable delivering an EBITDA margin of 14.8% and a PAT margin of 9.6%.

We had previously outlined our three key drivers of growth, our existing US business, new US businesses and our ever-expanding India business. We are encouraged by the traction across all three which reinforces our confidence in growth opportunities ahead over the next decade. At the same time, we are closely monitoring evolving global trade dynamics including tariff negotiations and macroeconomic developments which could influence manufacturing flows worldwide. India continues to benefit from strong indust ry tailwinds, and we are seeing sourcing decisions increasingly moving towards India's favor . Avalon's dual manufacturing presence in both US and India positions us well to navigate these shifts. On one hand, higher tariffs on

imports from select countries are driving opportunities to India to emerge as a preferred manufacturing hub, resulting in an increased engagement from global customers aiming to diversify their supply chains. At the same time, our US Manufacturing facility offers strategic flexibility to support customers looking to localize production and meet regional requirements. On the other hand, policy uncertainty and its impact on US economy call for continued agility and disciplined planning.

Considering this, we are adopting a more measured outlook for the first half of FY26 with expectations of improved momentum in the second half as visibility strengthens. Accordingly, we are approaching FY26 with measured optimism , mindful of the macroeconomic environment influenced by policy decisions, we are guiding for a revenue growth of 18 % to 20% for FY26 and will reassess this as the year progresses in line with market developments.

Now moving to our key wins - We are making meaningful progress towards volume production across several ongoing projects. These include products for global auto components, home electrification systems , we are also developing new products across industry verticals including rail, industrial , infrastructure, clean energy and communications segments. Some examples include backup power systems, transmission systems, aerospace cabin products and locomotive engine systems. Over the past year, we have secured several new projects across industry

verticals which are progressing in line with our expectations .
Moving from design of prototype stage to production - Many of these are expected to ramp up during the current financial year and support our strategy of deepening customer engagement across diverse end markets. In addition, we are entering new sophisticated advanced technology segments that play a critical role i n enabling the next generation electronics and digital infrastructure. While these initiatives are still at an early stage, we see encouraging potential and will share further updates in the coming quarters. T o support the series of n

ew product
introductions and the anticipated growth, we are scaling up our operations in advance of the project ramp -up. As a result, we expect the second half of FY26 to be stronger than the first. While FY25 has been a pivotal year in setting the foundation for growth , in FY26 we are going to focus on scaling capacity, deepening customer engagement s and building strategic partnerships.
On the infrastructure front - We are pleased to share that a new export -focused manufacturing plant in Chennai is now complete and has fully commenced production. In parallel, Phase -II of our brownfield expansion in Chennai aimed at addressing rising domestic demand has also been initiated. We continue to strengthen our capabilities and capacities. As part of this, we are enhancing our technical competence through strategic collaboratio ns including our partnership with Ze pco Technologies. Ze pco is involved in the design and manufacture of motors, drives, controllers and power solutions, serving sectors like drones, electric vehicles and defense. This collaboration supports our efforts to gradually build capabilities in select emerging technology areas.

In summary , Avalon's unique business model, anchored in its dwell manufacturing presence across India and US, offers customers the flexibility. Our ability to serve diverse end markets, adapt to changing trade dynamics and invest ahead of growth puts us in a strong position for the future.
With that, I would like to hand over the call to our CFO – Suresh Veerappan for a detailed overview of our Financial Performance . Thank you so much.
Suresh V.R: Thank you KB and good afternoon, everyone. Thank you for joining the call today. FY25 has been a pivotal year for us marked by profitable growth .
Let me begin with our Q4 FY25 performance :
We recorded revenue of Rs. 343 crores year -over-year growth of 58.1% compared to Rs. 217 crores in Q4 FY24 and a sequential growth of 22.1% over the previous quarter. For the full year, FY25 revenue from operations stood at Rs. 1,098 crore s, reflecting a 26.6% year-on-year increase exceeding the guidance we had provided earlier.
Our geographical revenue split for the quarter was 47:53, with India contributing Rs. 160 crores and the US contributing Rs. 1 83 crores. For FY25, our geographical revenue split was 43 and 57, with India contributing Rs . 477 crores and US contributing Rs. 621 crores. Our gross margin for Q4 FY25 stood at Rs. 120 crores, reflecting a 47.7% year -over-year increase from Rs. 81 crores in Q4 FY24 . Sequentially gross margin grew by 14.7%. For the full year, we delivered a gross margin of 35.8%, which remains among the industry's leading levels. EBITDA for Q4 FY25 stood at Rs. 41 crores, reflecting a 139.6% increase from Rs. 17 crores in Q4 FY24. This resulted in an EBITDA margin of 12.1%, up by 410 basis points from 8% in the same period last year. For the full year, EBITDA stood at Rs. 115 crores, representing a year-on-year increase of 83.7%. The EBITDA margin for FY25 was 10.5%, marking an improvement of 325 basis points over the previous year. PAT increased to Rs. 24 crores, a 243.8% year -over-year increase from Rs. 7 crores with a PAT margin of 7%, up by 3 80 basis points from 3.2% in Q4 FY24 . For FY25, PAT stands at Rs. 63 crores, an increase of 126.7% from Rs. 28 crores in FY24. Our profitability continues to strengthen, delivering sustained growth.
Net working capital days improved to 124 days in March ‘25 from 161 days in March ‘24, an improvement of 37 days, exceeding the guided reduction of 10 to 15 days. The Net inventory days improved to 86 days in March ‘25 from 118 days in March ‘24. Trade receivables increased slightly to 84 days in March ‘25 from 79 days in March ‘24. The trade payable days improved to 46 days from 36 days over the same period, reflecting better terms with our vendor

partners.
For FY25, cash flow from operations reached Rs. 2 5 crores up from Rs. 17 crores in FY24. The improvement is due to better working capital management and profitable growth. As of March 31st, our total outstanding debt stands at Rs. 141.7 crores with cash equivalents and investments at Rs. 134.7 crores resulting in a marginal debt position of Rs. 7 crores. Our CAPEX for Q4 FY25 and FY25 was INR 25.1 crores and Rs. 57.8 crores respectively. With a CAPEX light

model, our asset turns are at 7.5 X. Building on FY25's revenue growth, we are approaching FY26 with measured optimism mindful of the prevailing macroeconomic environment.
To conclude, we are encouraged with consistent momentum across all three of our growth engines, our continued focus on operational efficiency, working capital management and strategic execution positions, we are well positioned to capture the opportunities ahead and creating lasting value for our shar eholders.
Thank you . Over to you Deepak.
Moderator : Thank you, sir. The first question comes from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.
Deepak Krishnan : I wanted to understand the rationale behind our measured guidance of 18% to 20%, especially in light of near-term uncertainties both from a short -term and medium -term perspective . Is there any disruption of orders in the shorter term , are you seeing work getting stalled because of tariff uncertainty? And second, on the medium term, is that leading to more conversations of volume shifting and do they want to do it in India or US or any sort of commentary around the shorter - term impact as well as longer term conversations that we are having with our clients with respect to this tariff uncertainty that is there?
Kunhamed Bicha: Thank you, Deepak, for your question. See, we are uniquely positioned in this scenario because we have factories in the US as well as in India. So, I think either way, what we see is that taking India, for example, is a better position than most other countries as it stands today, it changes every day, but as it stands today and if customers want to make it in the US before the transfer to India, the new customers, want to make in the US before transferring to India in the mid or longer term , that is also possible. So, we are seeing different parts of this play out and customers are also cautious because they are not sure how the whole policy situation is going to play out. So, I think as of now we are fairly confident with all the news around , you want to be optimistically cautious, let me put it that way. But I think there is a lot of growth ahead for us , the programs which we have signed up for with customers, especially the new programs. Did I answer your question, Deepak?
Deepak Krishnan: Yes. So, for FY26, should we assume a higher India percentage in terms of the overall mix because maybe 1Q there is uncertainty and then things gradually recover. Does India become 60% contributor this year? Is that what you are looking at in terms of order book or that's not the case today?
Kunhamed Bicha: If you go back 3 years, Deepak, we were an export focused company where it was 30% India, 70% export. Our goal in the last 18 months is to have the 50 -50 mix, 50% export and 50% domestic which is India. And as you can see, over the few quarters we have come to 47% India in the last quarter and 53% export. And we see the trend continuing . As India evolves , we are seeing a lot of our customers in rail , we are seeing a lot of customers in the infrastructure side

of things and industrial. And we are confident that the India number is going to go up. And that's where it's just not export focused , US focused. On the other side, we are seeing a lot of activity in our US factory with custom

ers requesting what it will take for new programs to build in the US. Of course, as there's a cost over time and they see an easier path to India once the tariff situation settles down.
Deepak Krishnan: Maybe just one final thing, is tariff an element that can be passed through customers in your contract or in a worst -case outcome would we have to take some impact on our end or is it mostly like a pass-through element for us once we get some certainty on tariffs ?
Kunhamed Bicha: It's 100% pass through. Okay. And in the US, we have also been dealing with the Chinese tariffs for US customers which is 35 %-40%, for the last couple of years we have been passing it through.
Deepak Krishnan: Sure sir, that were of my questions and best of luck for future quarters .
Kunhamed Bicha: Thank you Deepak.
Moderator: Thank you. Participants, please restrict yourselves to two questions. If you have any more questions, you may rejoin the queue. The next question comes from the line of Praveen Saha y from PL Capital. Please go ahead.
Praveen Sahay: Thank you for the opportunity. My question is related to the order book which highlights 29% of growth. If you can give some more detail on that, how is the geographical mix in that or a sector bifurcation and related to that even after 29% of growth you are talking about 18 %-20% of a growth in revenue because the customers are little cautious. So, you are seeing some delay in the order s as well from the customers ?
Kunhamed Bicha: No, Praveen, we are cautious. It's not like what we had seen with the destocking situation. So,

we don't see too much of a slowdown from customers. But if the economy slows down there could be some slowdown, which is all that we are planning for. And as you have seen last year , every quarter we had come back and revised our guidance. We would like to follow through and do that as things progress.
Suresh V.R: And on the first part of the question , on the order book mix it closely resembles the revenue mix. India will be approximately 45% and US will be 55%.
Praveen Sahay: Okay. And sector is also similar in the order book , sector bifurcation ?
Suresh V.R: It will closely resemble.
Kunhamed Bicha: Yes. So, if you actually look at it by sectors , we have seen growth across every one of them , all the five sectors. And these are significant growth across the board. So that's why we are confident

in projecting this. For example, clean energy is at 66% growth , communication is 53% growth , industrial is 35% growth , mobility is 113% growth.
Praveen Sahay: Okay. And on your receivable part.
Moderator: Sorry to interrupt Praveen . Those were your two questions. I would request you to rejoin the queue for further questions.
Praveen Sahay: Okay.
Moderator: Thank you.
Kunhamed Bicha: Thank you Praveen .
Moderator: The next question comes from the line of Pal aash Gandhi from Investec India. Please go ahead.
Aditya: Hi sir, this is Aditya from Investec. I just wanted to confirm once again. So, you are mentioning so far you have not really seen any major slowdown. It's only going forward that you are fearing that the US economy may slow down. And therefore, you are building in such a conservative estimate. But as far as April and whatever little we have seen in May is concerned , you are not seeing customers pushing back on deliveries or at this stage going slow.
Kunhamed Bicha: Aditya, historically we have been a light on the first half and heavier on second half which will continue to go through. But to answer your question, we are not seeing anything significant happening. But it's just the news every day, it just throws it off. But we are just be ing cautious. But there is enough growth in the system. . We are just not what you say, committed. And we are always committed for the last year or so that we will do

uble in 3 years. And we are still sticking to that commitment. It may be a one slow quarter but it's still there in the past. And some of the customers we are signing up are fairly large.
Aditya: Sure. Understood, sir. And sir, given that our capacity has also now increased , what does this 18% to 20% growth mean in terms of capacity utilization? Do you think we'd be left with the excess capacity and therefore risk of unabsorbed overheads?
Kunhamed Bicha: No. So, we have been planning for our growth in the sense of people and building earlier than it's coming. So, a good sign or bad sign , I am not sure. We built this new export facility which is supposed to take care of us for 12 to 18 months. But I am happy to say that in four months it's filled up and different projects have started there. So , we are building a newer facility or updating a newer facility. The same goes with India. We are building up the buildings earlier and getting the peo ple in for the projected projects to come in a bit earlier. There's going to be a couple of months of lag before the projects kick in. So that's going on. So, we are confident of the growth, and you have seen as we managed 50% -58% growth from Q4 FY24 to Q4 FY25 we didn't break a sweat doing that.

Aditya: Perfect. Thank you so much sir. Helpful.
Kunhamed Bicha: Thank you , Aditya.
Moderator: The next question comes from the line of Bh oomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Good afternoon, sir and congratulations on a good set of numbers. Sir, my first question is on aspect of the new client additions that we have done in the last year and a half. How is that progress moving which clients are you seeing scaling up quite sharply both in US and in India, which is moved to now from a prototype to a mas s production kind of phase ? And which areas are you seeing new client additions happening per se ? If you can just give some more qualitative color on which segments are seeing improvement in terms of the trajectory ? That is my first question.
Kunhamed Bicha: Thank you Bhoomika . It's broad based but let me just put it in perspective. The clean energy for example was slower last year but last year meaning a year before ‘25. So, you have seen a growth of 66% last year and we will continue to see that there are additional new customers on the infrastructure side in India is where the larger growth piece is going to come in and we are setting

up for that. It is yet com e in and we believe that will play out in I think late part of Q2, if not earlier or Q3 for sure. We are seeing that rail, we have got six or seven new products in different types of NPI to production which will kick in later part of this year. Industrial multiple customers , in both geographies we are seeing significant growth. It's a little bit lower than the other two but it's broad based and most of these customers are Fortune 500 type customers, not startups or anything. And clean energy, I thought we are going to see significant growth in t he US especially.

Bhoomika Nair: Okay. And in the quarter, we saw very strong growth in terms of the mobility segment. Is this something now at the steady run rate that we should look at as we move into the next year? Because we have seen growth of new customer additions and a scale up in both rail and aero. So, should that continue into the next quarter or next year as well at this run rate?

Kunhamed Bicha: Yes, for a yearly basis for sure because there's multiple projects which are going to come in also and this is not including Kavach and all that. And that is all progressing very well. And on the aero side or rail side multiple projects have kicked in and some of it you see already playing out. We have a few more coming in. So, I would assume that it is going to continue and that's all India.

Bhoomika Nair: Su

re. And if I might just squeeze in one more question on the margin profile. India margins are doing quite well. We have reported about 14.5% margin as such out there. The US business to some extent remains a drag. How do we see that progressing particularly when we are seeing perhaps with the trade tariffs, etc. a lot of clients actually looking to do more prototyping in US do you see that kind of turning around or will that remain a drag? What kind of timelines, if any should we look at?

Kunhamed Bicha: So, we have always mentioned US because we are present in the US for the long term and today this is a unique situation where it's just not cost, it's location. So, I think it will play out well. The margins won't be as high as what we see in India which is 14.8% EBITDA 9. 6 last quarter. But in ‘26 I am fairly sure that it is going to make a reasonable amount of money.

Bhoomika Nair: Sure sir. Great. All the best. I will come back in the question queue. Thank you so much.

Kunhamed Bicha: Thank you Bhoomika .

Moderator: The next question comes from the line of Meet Jain from Motilal O swal Financial Services Limited. Please go ahead.

Meet Jain: Hi sir. Congratulations on the good set of numbers. My first question is regarding our order book and our revenue guidance. Seeing the order book like we mentioned, the order book is average 14 month s and it comes to around let's say Rs. 1,500 crore s. But the given guidance is far less than that. And when you get a commentary on segment wise, we are estimating a very strong growth across segments. Just want to understand is it really optimism like a conservative number or are we seeing an early signs in the US slow down what we have seen the past 2 years because of the order book and everything. Could you give some more color on that?

Kunhamed Bicha: So, we use the exact two words Meet , we are cautiously optimistic at this point. And you use d that. So that's what exactly we are, I think there is a lot more growth in the system. We are just making sure that things settle down with macroeconomics and there are enough new customers to fill the growth. So, it is more of erring on the side of caution rather than going out and saying a number and chasing it. And for us, we have never had a strong India position , a couple of years back when we got into the US slowdown and that time India was probably around less than 30%. Today India is 47% and growing. So, between the two economies we should be okay.

Meet Jain: Understood. So just as a differentiator, what mitigating factors will we have implemented in place to avoid that kind of period like last 2 years if the US goes into slowdown or something like that?

Kunhamed Bicha: Now we are seeing substantial pieces coming to India itself and there are new customers coming into US. So even if they slow down existing customers, it's not going to be a stocking - destocking situation where they stop. So instead of taking 100 parts, they may take 80 parts. Okay. So, it's not an alarming situation like what went through a couple of years back. So, we are just being cautious and not think the orders are there. It's broad based, it's exciting for us on both segments and there are more comin g and so that's the key.

Meet Jain: Understood. The second question is on the margin part. So, can we expect FY26 to show some positive bias on FY25 levels in terms of margin going ahead ?

Kunhamed Bicha: We will still continue to say 33 % to 35 % and certain quarters you may see a little bit higher , certain quarters it will be in that range.

Meet Jain: And what about the EBITDA margin?
Suresh V.R: We generally do not provide guidance at the EBITDA level, PAT level. But like what KB said , we would like to reiterate that 3 3% to 35% is a reasonable number

for us to look at the gross margin level. Some quarters may be higher; some quarters may be at th is range.
Meet Jain: Okay, so also just to clarify like in this year FY25 we saw….
Moderator: I am sorry to interrupt Meet; those were your two questions. If you have any more questions please re join the queue .
Meet Jain: Okay, thank you.
Kunhamed Bicha: Thank you Meet .
Moderator: The next question comes from the line of Jalaj from Swan Investments. Please go ahead.
Jalaj: First of all, thanks for the opportunity and congrats on a great set of numbers. Sir, my first question was what exactly happened or what went through in the gross margins for this quarter in particular, could you help us understand that? Because that will help us to project forward or going forward. There is a drop in the gross margin this quarter , what explains that?
Suresh V.R: So, the guidance range, what we mentioned earlier is 33 % to 35% of gross margins. We are there at the upper end of that guided range. The previous quarters may have been little higher because of the product mix, but we have always maintained that 33 % to 35% is a reasonable number to look at. From a full year perspective, we are at 35.8%. I think that is a reasonable number to look at Jalaj.
Jalaj: Okay, understood. So, basically so just harping on to it a little. So, considering the order book we have in hand and the product and the industry wise mix, 33 % to 35 % looks a reasonable one , is that my understanding, correct going forward also?
Kunhamed Bicha: In certain quarters you will see an upside. I know where you are coming from. We always said 33% to 35%. But a few quarters we have been 37 % and odd. And of course, our endeavor is to be higher, and we will try to get there. But I think you should take 33 % and 35 % as a range.
Jalaj: Got it. That was it. And secondly, on your aspiration to double the revenue in 3 years, what year base are we considering and what sort of mix should I see across US and the India business across it?

Suresh V.R: One it is from FY24 to FY27 and in terms of growth engines, like we mentioned earlier, we are seeing growth opportunities across India , existing business in US, the new projects in US . We are seeing growth opportunities on all three. The aspiration is to be 50 -50 between India and US. Some quarters you may see some industry verticals growing a little faster, some geographies going a little faster, but the aspiration is to be 50 -50.
Kunhamed Bicha: And today we are at 47 India 53 US. It is little earlier than we expected.
Jalaj: So, sir, I understand that India as an industry, as a market.
Moderator: I am sorry to interrupt but Jalaj, t hose were your two questions. I would request you to rejoin the queue for any further ones.
Jalaj: Thank you.
Suresh V.R: Thank you Jalaj.
Moderator: The next question comes from the line of Chirag from Keynote Capitals. Please go ahead.
Chirag: Thank you for the opportunity. Sir, my first question is related to raw material sourcing. Could you make me understand like do we procure bare PCB from India or is it from another country and if you could provide the mix for the same ?
Kunhamed Bicha: Shriram y ou want to answer that?
Shriram Vijayaraghavan: So, we source materials globally , so wherever available in India, we would source locally. And wherever sometimes it is required to import the materials, we would do that. So, it depends on the commodity and depends on the particular build .
Kunhamed Bicha: Also, sometimes complexity and type of product.
Chirag: Any ballpark number to understand if there is any dependence on a particular country at this moment?
Shriram Vijayaraghavan : No, it's all over the world. So, it depends , a lot of it could be from India as well.
Kunhamed Bicha: Now with the PLI scheme for the PCBs coming o

ut, our endeavor is to do more and more India.
Only when we can't do India , we go outside.
Chirag: Perfect. The second question of mine is related to the collaboration that we had with the new company. I just wanted to know what different things as R &D they are bringing on table ? And what are your future thoughts related to for the same compan y, that are you willing to increase the stake in the same company or not?

Kunhamed Bicha: So, our endeavor is always to do manufacturing. So, what Ze pco Technologies brings to us is a design arm for our clean energy customers who are looking for doing more and more designs out of India. And what that helps us is a funnel to get our production. These are some of the large customers we already deal with. And some of the future products will be designed by us in association with Ze pco. Number two, they are into one of the —I don't know the exact statistics , one of the —key companies making drone motors and controllers. And in the same case we will be doing the manufacturing into the future. So that is one of the reasons why we have this close association with them. They also have an EV solution for three wheelers which we completely made and designed in India , which we want to see if we can partner with some of the OEMs. Did I answer your question?
Chirag: Yes, it was clear. I just have one last question , and I will join back with you. As you have said that you are being cautiously optimistic related to revenue guidance. Is it possible for you to make us understand is there any kind of seasonality in sales that takes place? Because from the perspective that last ye ar Q1 was at around 200 crores run rate , at this moment we are almost 340 crores run rate on a quarterly basis. ARR is almost about 110 crores per month. So just wanted to have a check. Is there any kind of seasonality as achieving the 12 month or 14 month average order book guidance ? We could have easily thought about doing a top line of Rs. 1,400-1,500 crores from just a number perspective. But it would be great if you could throw some light on that ?
Kunhamed Bicha: So, let me put it this way , the order book is strong. We anticipate growth which is there. You have seen in the last three quarters in Q2 we grew 38% last year, Q3 we grew 31% and Q4 we grew 58%. So, we are just being cautiously optimistic, and I believe that the growth is there. And like I said, every quarter we will try and update you as the big programs kick in. So, some of these programs, there could be delays. We don't want to go out and say that it's going to kick in June. Let's say it could be August because we burnt our fingers couple of years back doing that. But it's all there. So , we will update as we go.
Suresh V.R: Just to add a point, there is no seasonality per se, but H2 tends to be little stronger than H1 for us.
Chirag: Thank you so much. I will rejoin the queue .
Kunhamed Bicha: Thank you, Chira g.
Moderator: Thank you. The next question comes from the line of Rahul Gajare from H aitong Securities. Please go ahead.
Rahul Gajare: Hi, good evening gentlemen and thanks for the opportunity. Firstly, congratulations on your Q4 performance. The first question that I have is on your Chennai facility which ha s become operational, can you talk about the potential peak revenue that can come out of Chennai factories

and based on your thought on the capacity etc . when do you think you will have to start adding or think of adding more manufacturing? That's the first question.
Kunhamed Bicha: So, let's put it this way, being cautiously optimistic on one side, but this factory is already spoken. So, some of our products are larger in size. So, we believe that the capacity is getting utilized. But over the period of this year you will s

ee, we always look for asset t urns of I would say 8 % to 10%. And we continue to be the asset light model. So, you can do the math on that. I don't want to say because it's not a specific product we are making there, it is a multiple set of products. So, saying that we are also setting up two more factories in the next 6 to 12 months.
Rahul Gajare: Okay. And where are you planning to set up these factories?
Kunhamed Bicha: So, for export we are looking at setting up in the same location which is in Chennai. And the Phase -II is around 30 km from where we are for the domestic tariff unit that's in Tamil Nadu also.
Rahul Gajare: Okay, so you are well sorted as far as manufacturing is concerned. Now my second question is on the segmental business now you have given a decent color on sector wise what to expect from industrial clean energy, railway etc. I want to know your take on communication especially given that we have seen a drop. How do you see this particular segment do in the next year based on the backlog or discussion visibility that you are having with customers in communication ? Thank you.
Kunhamed Bicha: See c ommunication has also grown but is not grown at a rate like the others and communication is primarily India and we have grown at 53% in Q4. So that speaks for itself, and it is going to grow further, and we are in the highest ever in communication for the India market.
Rahul Gajare: I was actually looking at from a full year basis . We have done closer to Rs. 90 odd crore s compared to Rs. 112 crores. T hough it's a small number , I just wanted to know.
Kunhamed Bicha: A lot of that will come in the Q3 and Q4 , I would say Q4 primarily. So that will continue.

Rahul Gajare: Okay, sure. Thank you .
Kunhamed Bicha: Again, this is in the 5G area , so you know what I mean.
Rahul Gajare: Got it. Thank you very much and all the very best.
Kunhamed Bicha: Thank you , sir.
Moderator: The next question comes from the line of Chetan Kumar from Avendus Spark . Please go ahead.
Uttam Kumar: Good evening, sir. This is Uttam Kumar from A vendus Spark . Most of my questions has been answered except for on the CAPEX front . The first thing is, I mean two factories is something

which you had highlighted that it's going to be up and running over the next 6 to 12 months. Just wanted to know what kind of CAPEX amount are we talking about because one on side we are talking about doubling of revenue over the next 3 years. So, what is the overall CAPEX which we are planning to set aside for this particular target?
Kunhamed Bicha: So, we usually say CAPEX everything including buildings and around Rs. 40 to 50 crores could just go over a little bit to be if like the previous example I said our factories, what we planned for 12 to 18 months was kind of sold off in 4 months , so it may be just preponed a bit , but we still maintain that, Rs. 45 to 50 crores a year.
Uttam Kumar: These t wo new facilities which you had stated , is it on and above the brownfield capacity expansion which is happening right now as mentioned in the PPT ?
Kunhamed Bicha: No, it is the Phase -I is over , Phase -II is what we are building in the brownfield.
Uttam Kumar: Got it s ir, that's all from my side .
Kunhamed Bicha: Thank you sir.
Moderator: The next question comes from the line of Vip raw Srivastav a from Phil lip Capital. Please go ahead.
Vipraw Srivastava: Quickly on the transport mobility business which has shown very rapid growth. So my question is that if the margin profile of your Indian business is similar to US business on gross margin side?
Kunhamed Bicha: We couldn't hear the last part of your question. I know it's on mobility. Could you repeat the last part of it?
Vipraw Srivastava: Sir what I am saying is if the margin profile of your Indian business similar to US busines

s and
gross margins ?
Kunhamed Bicha: There will b e some difference for sure. But since we are in mission critical product lines in rail or in air , so they more than make up for it. So, we are not doing consumer or communication that way. So that makes up .
Vipraw Srivastava: Right sir. And so, one more question , quickly on the clean energy business. Obviously, US that segment, all these stocks in that space are not doing well. There has been IRA funds blockage by Trump. So, you can continue to remain optimistic on the clean energy segment ?
Kunhamed Bicha: Yes. So, because we are in the right part of the clean energy business, we are not in rooftop solar , a small part of it is there but mostly in storage which is growing at 70% in the US.
Vipraw Srivastava: Our storage and water , am I right? That's the product mix for clean energy business.

Kunhamed Bicha: Yes, storage systems. And we have also got new customers in other , see because of the, what do you call the data requirements of the AI servers a lot of clean energy going in the US with the data centers coming up. So that's why you are seeing a lot of upt icks in that especially in storage.
Vipraw Srivastava: Right sir. And s ir lastly the storage m ix is for your storage which you cater to is for commercial partners. It is not for rooftop owners or homeowners. It's for industrial and commercial partners ?
Kunhamed Bicha: It's industrial and commercial. I mean not commercial. There is home also but that is where they can actually make use of the solar because by storing it because there is a different price tariff for different times of the day in the US.
Vipraw Srivastava: Sure. That's all from my end. Thank you.
Kunhamed Bicha: Thank you , Vipraw.
Moderator: The next question comes from the line of Praveen Saha y from PL Capital. Please go ahead.
Praveen Sahay: Thank you for a follow up. So, first question is related to your receivable which has increased to 84 days for a year. Is this due to the change in business mix, which has led to an increase in receivable days?
Suresh V.R: No. Receivable da ys have slightly increased from 79 to 84. But if you look at it, there is a decline in receivable days when you compare it with December ‘24. I think between 75 to this current 85 days is a reasonable range to look at. Depends upon the quarter it changes. But ye s, overall if you look at our networking capital days , there has been a marked improvement from 161 days in March ‘24 to 124 days in March ‘25.

Praveen Sahay: And we will try to maintain this ?
Suresh V.R: We will try to improve it but then absolutely try to m aintain .
Kunhamed Bicha: Maintain and internally to improve.
Praveen Sahay: Okay. And one clarification sir because one on the expansion part, the new export plant and the brownfield domestic, those are operational or commenced. Apart from that two new you are inducting?
Kunhamed Bicha: No, let me clear it. There's one export which is already functional , the brownfield the second phase is getting started and we are looking for starting on a new export.
Praveen Sahay: Okay, fine. And any utilization number, if you can say right now.
Kunhamed Bicha: We have always said anytime we hit around the 70 % number we will expand. We will build buildings which has got the longest lead time.

Praveen Sahay: Thank you , sir and all the best.
Kunhamed Bicha: Thank you Praveen .
Moderator: The next question comes from the line of Ashutosh Parashar from Mirabilis Design. Please go ahead.
Vipin Goel: Hi sir, thank you for the opportunity. Vipin Goel from Mirabilis this side. Sir, I had t wo questions broadly on the current quarter only. So, first was on the mobility execution. Since it's a strong execution that we have seen this quarter. I wanted to understand what is the nature of the project which is leading to such strong execution. So, you can give some qualitative commentary on either of the nature of the product or the customer or the geography which led to this ?
Kunhamed Bicha: Lot of this is India and lot of this is in rail and a ero. Multiple sides we are in the cabin, we are in the engine in the aero side , multiple different projects, multiple customers. And the rail side again we are in braking, we are in interlocking, we are in the engine controls. So, it's well broad based and diversified in the segment itself.
Vipin Goel: Got it. Okay. Could you also share a similar commentary on this quarter’s order intake, which stands at around ■500 crores? So, if you could just highlight. I understand that you have already made a commentary that it's largely broad based. But again, if you can just highlight it, let's say the largest two orders in this intake either on which is the kind of product or are these on for new customers or existing customers ?
Kunhamed Bicha: The largest intake I would say is in mobility.
Vipin Goel: Okay and this is not the two -wheeler EV customer?
Kunhamed Bicha: No. When you talk mobility i ts more air and rail.
Vipin Goel: Sure. That's it from my side. Thank you.
Kunhamed Bicha: Thank you.
Moderator: The next question comes from the line of Jalaj from Swan Investments. Please go ahead.
Jalaj: Thanks for the opportunity again. So, this was with regards to the India business specifically . If I understand the industry itself is growing at somewhere around 30 %-35% because of the migration from exports to domestically. But still our growth has been moderate in that sense. Any specific reason for that or are we changing any outlook or the way we are working for at least India business?
Kunhamed Bicha: India growth last quarter has been 70%.

Jalaj: I am talking more so from a YOY complete year , I was looking at those numbers and most of from a maybe a 2-year perspective. If you could share your thoughts around that.
Kunhamed Bicha: So, see what we are trying to equate is both export and India and India is growing faster as far as we are concerned because in the last 3-years we have worked in India to get these projects to come in and we also need the export. We want to have both geographies doing well and apart from that 24% of our business is Japanese with Japanese customers. And today what we are looking into the future growth is Europe and GCC.
Moderator: Does that answer your question, Jalaj?
Jalaj: Yes. And so, the second question was on the margins. So, I understand that we usually talk about the gross margins but on the EBITDA level or flowing through , is there a possibility of eventually the operating leverage playing out because traditionally in these businesses of EM S beyond the point we have not seen it playing out the operating leverage. So how should we understand that? Have we reached out to a peak? We are in the shifting of from the US facility to India has reached to a level of matur ity right now , incrementally no more shift will happen and the margins to be stable here or there is enough lever further to grow that ?
Kunhamed Bicha: Jalaj, w e always look at profitable growth and not growth at any cost. So certain Businesses we

actually don't do because we can 't achieve the profitable growth. That's why you will see us even worldwide we probably have one of the best gross margins there. And then as the top line increases, you will start to see some flow through below that. But today we are investing or getting r eady for the future where some projects though it's kicking in 3 or 4 months later. We need to start training o ur people to get ready to do that. So, there's a lag before the revenue comes through .

Jalaj: And only part of shifting from the US to

the India facility margin kick us from that side, have we reached to an optimum level or there is more scope to do it?

Kunhamed Bicha: See, ideally when we sell or do our sales, the ideal situation for us is a US customer. I am talking about exp ort route since you are talking on that , US customer coming directly to India. But sometimes they want to stop over in our US facility. The ultimate goal is to get everybody to India and the US facility is a beachhead. But today being in this unique situation, in case the customer is adamant to do it in the US we can do that, but always our goal is to move the products to India. A nd last year it was a short -term thing where we moved whatever existing product we did. Actually, we are lucky that we did that. So, in case new projects come in the US we can do that in the US.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Kunhamed Bicha: Thank you, Deepak and Nikhil. FY25 has been a pivotal year for Avalon , marked by strong revenue growth, margin delivery and operational improvements and strategic progress across markets and customer segments. As we step into FY26, we remain focused on executing with discipline, scaling responsibly and investing ahead of growt h to capture long term opportunities. With a robust order book, diversified customer base, expanding infrastructure and a clear roadmap supported by strategic partnerships, we are well positioned to build on the momentum and continue d delivering s ustainable, profitable growth. We thank our investors for their continued support and look forward to updating you on our progress in the quarters ahead. Thank you very much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of A xis Capital L imited, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

"Avalon Technologies Limited
Q1 FY '26 Earnings Conference Call "
August 06, 202 5

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR – AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON TECHNOLOGIES LIMITED
MR. SHRIRAM VIJAYARAGHAVAN – CHIEF OPERATING OFFICER – AVALON TECHNOLOGIES LIMITED
MR. VENKY VENKATESH – CHIEF SALES OFFICER – AVALON TECHNOLOGIES LIMITED
MR. SURESH VEERAPPAN – CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Avalon Technologies Limited Q1 FY '26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being r ecorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair: Thanks, Youssef. Good afternoon, everyone, and a warm welcome to the Q1 FY '26 Earnings Call of Avalon Technologies. We have with us from the management today, Mr. Kunhamed Bicha, Chairman and Managing Director; Mr. Bhaskar Srinivasan, President; Mr. Suresh Veerappan Chief Financial Officer; Mr. Shriram Vijayaraghavan, Chief Operating Officer; and Mr. Venky Venkatesh , Chief Sales Officer.

Mr. Bicha will give an overview of the business performance and will be followed up by Mr. Suresh's remarks on the financial performance, post which w e'll open up the floor for Q&A. As we move forward, it is important to bear in mind that any forward -looking statements made during this call are subject to potential risks and uncerta inties, both known and unknown.

Now, without any further delay, I'll now hand over the floor to Mr. Bicha for his initial remarks, the CMD. Thank you, and over to you, sir.

Kunhamed Bicha: Thank you, Bhoomika. Ladies and gentlemen, on behalf of Avalon Technologies, we extend a very warm welcome to our Q1 FY '26 Earnings Call . I would like to begin by expressing our sincere gratitude to all our investors for your continued trust and confidence in Avalon.

Over the past 2.5 decades, India has steadily emerged as a strong manufacturing base, catering to its own growing domestic electronics demand and to the evolving needs of global markets. India is reducing its dependence on imports, and it is positioning itself as a trusted partner in the diversified global supply chain.

This shift backed by structural reforms and government -led initiatives provides a solid foundation for sustained growth in the EMS industry and positions Avalon well into the future.

While global trade dynamics continue to evolve, India's structural streng ths, growth drivers and policy support remain intact and continue to suppo rt long -term industry momentum.

Building on this momentum, we are pleased to announce a significant milestone on Avalon's growth journey. We have entered the semiconductor equipment manufacturing space. We are partnering with a leading global semiconductor equipment company to provide hi ghly complex Industry 4.0 compliant box -builds.

This partnership allows us to leverage our core expertise in box -build solutions, which currently accounts for 56% of our revenue. This also reflects our engineering depth, manufacturing maturity and strong track record in delivering complex assemb lies for critical applications.

The prototype phase is underway and production is expected to ramp up over the next 4 to 5 quarters. We view this as a major technological step forward and a strategic entry into a high potential and advanced segment. Over the medium -term, we believe this ver tical could become a meaningful growth driver and further strengthen the foundation of decadal growth we are targeting.

Consideri ng a strong start to our FY '25, '26 and encouraging revenue momentum, we are upward revising our full year revenue growth guidance to 23% to 25% from the earlier guidance of 18% to 20%. This reflects conf idence in our business outlook.

Let me now take you through our Q1 FY '26 performance. I

n Q1 FY '26, we delivered a 62.1%

year-on-year revenue growth, driven by broad -based demand across industry verticals and geographies. Notably, both our India and U.S. businesses recorded a 62% year -over-year growth, reflecting consistent performance across geographies.

Our gross margins for the quarter stood at 35.5%, exceeding the upper end of our guided range of 33% to 35%. This is a 230 basis point improvement over Q1 FY '25. Our EBITDA margin came in at 9.2% and profit after tax was INR14 crores. Return on capital employed stood at 17.5% and our asset turns were at 8 times , highlighting efficient utilization and productivity.

As of June 30, 2025, our order book stood at INR1,790 crores with an average execution period of 14 months, reflecting a 22.5% year -on-year increase. In addition, long-term contracts with execution time lines of 15 to 36 months grew by 17.4% year -on-year to INR1,157 crores. This order book growth has been well balanced and diversified across indu stry verticals and geographies.

We remain encouraged by the continued momentum across our 3 growth engines .

One, existing businesses. This is driven by long product life cycles and deep customer relationships, delivering steady recurring revenues.

Two, new business wins. This is a result of sustained efforts over the past 2 years, translating into fresh orders across multiple verticals and ramping into production.

Three, pipeline opportunities. This is a growing and diverse set of opportunities that are progressing towards finalization with encouraging potential in terms of size and scop e.

With all 3 engines operating at different stages, we are front -loading investments in capabilities, manpower and inventory to stay ahead of the expected growth. While this has led to some sequential moderation in EBITDA margin, we remain confident in that operating leverage will begin to take effect in the second half of the year.

On the working capital front, net working capital days improved from 163 days in June 2024 to 142 days in June 2025. Inventory levels are elevated for supporting upcoming production and growth. We remain focused on further improving efficiency and bringing net working capital down to 120 to 130 day range.

Revenue share from our U.S. manufacturing plant now accounts for 20% of our revenue in Q1 FY '26. Meanwhile, manufacturing at our India plants, which serve both our domestic and global customers represent 80% of our business in Q1 FY '26, remains profitable with an EBITDA margin of 13.2% and a PAT margin of 8.8%.

As tariff -related discussions between U.S. and India continue, we are closely monitoring developments. In such an environment, it is important to remain agile and take a measured approach before making any strategic adjustments.

Avalon's dual presence in U.S. and India offers a unique advantage. Our U.S. facility enables customers to localize production and manage tariff exposure. While our India operations provide a cost -effective and scalable manufacturing base . This geographic flexibility places Avalon in a strong position to support customer needs across both regions and respond effectively to evolving trade dynamics.

Tariff -related considerations continue to be managed through our usual commercial process es, as has been the case in the past. We are making steady progress on several new programs that are advancing from design and prototyping stages into production. These include products for global auto components, home electrification systems and a range of solu tions across verticals such as rai l, industrial and clean energy .

Some of the projects currently in development include backup power systems, power transmission systems, aerospace cabin sub-assemblies , locomotive engine subsystems, energy storage systems and power electronics. Many of these are expected to ramp u

p during the current
financial year and contribute meaningfully to our growth.

We are also progressing on the railway Kavach systems, which is currently under prototyping and final stages of approval . This is expected to enter commercial production next year. These developments support our continued efforts to deepen customer engagement and expand our presence across critical and high potential end markets.

To support the series of new product introductions and anticipated growth, we are scaling up our operations ahead of the project ramp up. On the infrastructure front, our export -focused plant in Chennai Which commenced production and now ramping up. To meet rising domestic demand, we are planning to complete Phase 2 of our brownfield expansion in Chennai by the end of Q3 FY '26.

To summarize, Avalon has started FY '26 on a strong note with a broad -based revenue growth, healthy order book expansion and improved operational metrics. Our dual manufacturing presence, both in India and U.S. continue to offer strategic flexibility, help ing us to serve a diverse customer base and navigate evolving global trade dynamics.

We are steadily ramping up new project wins across multiple industry segments, supported by proactive capacity investments and deepening of our customer engagement. Our entry into the semiconductor equipment space marks a significant step forward in expand ing to high -potential, high-advanced segments.

With an improved growth outlook and a robust execution framework, we believe Avalon is well positioned to sustain its momentum and remain committed to building a business focused on long-term profitable growth rather than short -term gains .

With this, I will now hand over to our CFO, Suresh Veerappan, for a detailed overview of our financial performance.

Suresh Veerappan: Good afternoon, everyone, and thank you for joining the call. Q1 FY '26 marks a steady start to the year, reflecting our disciplined execution and continued customer confidence. We are expanding strategic partnerships, strengthening capabilities and invest ing in talent, capacity and inventory to support upcoming growth. These steps position us well for a stronger second half and reinforce the f oundation for long -term growth.

Coming to our Q1 FY '26 performance. We reported revenue of INR323 crores, a year -over-year growth of 62.1% compared to INR199 crores in Q1 FY '25. Our geographical revenue split for the quarter was 40:60, with India contributing INR130 crores and the U.S. contributing INR193 crores.

Gross margin for the quarter stood at INR115 crores, a 73.3% increase from INR66 crores in Q1 FY '25, reflecting a gross margin of 35.5%. We continue to deliver industry -leading margins driven by our product mix and execution efficiency.

EBITDA stood at INR30 crores, up from INR4 crores in Q1 FY '25 with margin expanding to 9.2%, a 705 -basis -point improvement. Profit after tax stood at INR14 crores compared to a loss of INR2 crores in Q1 FY '25, resulting in a PAT margin of 4.4%.

As volumes ramp up in the second half, we expect the benefits of operating leverage to become more evident towards the end of FY '2 6, with this momentum likely to carry into FY '27. On the balance sheet front, net working capital days improved to 142 days in June 2025 from 163 days in June 2024, an improvement of 21 days. Inventory days reduced to 104 from 130, while trade receivable days increased slightly to 87 from 78.

Trade payable days improved to 49 from 45. On a sequential basis, net working capital days increased from 124 in March '25 to 142 in June '25, primarily due to inventory raising from 86 to 104 days. In absolute terms, receivables and payables are broadly i n line with March levels, while inventory increased by INR43 crores.

This inventory build is intentional and aligned with our growth plan, en

suring readiness to meet
customer demand in the coming quarters. As of June 30, our total outstanding debt stood at

INR134 crores with cash equivalents and investments at INR100 crores, resulting in a net debt of INR34 crores.
Capex for Q1 FY '26 was INR9.6 crores. With our asset -light approach, we continue to maintain strong asset turns of 8x. To conclude, as we progress through the year, our focus re mains on disciplined execution.

Thank you. Over to you, Bhoomika.
Moderator: Thank you, sir. We will now begin the question and answer session. First question is from the line of Deepak Krishnan from Kotak Institutional Equities.
Deepak Krishnan: Yes. Sir, I just wanted to check, we've moved U.S. manufacturing to 20% versus 13% last year. And as a result, we have seen a jump in employee expense as well. Like what is our overall strategy for the year?
Like how much percentage of production do we think happens in U.S. or at least if not for the year, near -term, does this shift kind of continue and would that have some bit of minor impact in terms of margins, while you've guided to some leverage coming th rough, just your perspective in terms of U.S. versus India manufacturing as things stand today?
Kunhamed Bicha: Yes. Thank you, Deepak. So just to put in perspective, last quarter was lower in the U.S. We have alw ays said we are targeting an 80%, 20% mix, with 80% being in India and 20%. So this 20%, what you're seeing happening is that, more customers and existing customers increasing their revenue in the U.S.
And the way we think about it is, if the tariff situation changes, the new customers may want to start production in the U.S. till it settles down, then move to India as it goes. So we are the only one who have both the options, keep going. But our focus i s always Make in India, and we are also focusing on other geographies apart from the U.S. going forward.
And one thing to note is that, around 3 years back, we were only 20% India customers. And today, we are getting close to being 50% India and more business is coming from our India segment. Did that answer your question?
Deepak Krishnan: Sure, sir. Yes, I think sort of got a sense at least sort of sustain at this rate is the understanding I have. Maybe just wanted to sort of also understand the semiconductor opportunity that you mentioned in the press release you said that it's going to be a big driver maybe a year out and 2 years out. How big is this in terms of per centage of revenue 2 years out?
Do you think this could be something like a 15%, 20% revenue c ontribution o r this is more like a 5%, 7% revenue contribution? And are you anchoring on adding additional customers once you have sort of this customer in base?
Kunhamed Bicha: Yes. This is one of the leading semiconductor equipment manufacturers. And we've been working with them for a year now. So we've just not talked about it. And now in the next quarter, we'll probably start the pilot production and ramp up.
It's substantial. I don't want to put a number to it yet. But we believe this is the start of our journey in the semiconductor equipment. And as you know, multiple companies are there. Once we have one of the biggest companies working with us, it's easier for them to follow.
Deepak Krishnan: Sure. Maybe just one final question. So far, at least in 1Q and 2Q, there haven't been any major trade disruptions or that has been manageable. Is the understanding correct? And second is big

beautiful bill hasn't impacted our clean energy revenues in any meaningful way or our order book? Are those 2 understandings correct? Just want to sort of finish that off?
Kunhamed Bicha: Yes, you can see our -- like we said, we had interestingly 62%, both growth in India and in the U.S. So, see, most of our pro

ducts are long -term in nature. It is not something you can change quickly over time. They are -- lifetimes are 5 to 15 years . So as of -- as we know it last quarter, a lot of it was passed through.
There was no issue. We didn't see anything based on them. But it's changing every day. So we anticipate not to see issues, but if things change every day, we are waiting for things to settle out. As of now, we don't see any ramifications.
Deepak Krishnan: Sure. And same as the big beautiful bill on clean energy, the impact is minimal. Is that understanding correct?
Kunhamed Bicha: Yes. What we need to understand is that, we are into energy storage systems, no rooftop solar

and all that. It's mostly storage, which is growing 70% year -over-year, 60% to 70%, I would say, in the U.S., and we are playing in that segment.
Moderator: Next question is from the line of Ms. Bhoomika Nair from DAM Capital.
Bhoomika Nair: Congratulations on a good set of numbers. Sir, my first question is related to the employee cost that we saw during the quarter, which kind of jumped up. Should we see that as a normalized run rate now per se as we move forward given that we are seeing dec ent traction in terms of revenues?
Suresh Veerappan: Yes. So, Bhoomika, Suresh here. Like what we had mentioned in earlier calls, many of the projects which we won over the last 4, 5 quarters, it is getting into a ramp -up stage, some of it in Q2, some of it in Q3. But like we already said, before the project ramps up, we have to build the team upfront, which is what is happening right now. But it will kind of give you a guided range for the whole year. There may be a slight increase from here, but then it can give a ballpark range around this.
Kunhamed Bicha: There's inflationary increase also year -over-year.
Bhoomika Nair: Okay. So this -- I mean, what I'm trying to get at is, it's not got anything to do with the increased manufacturing quarter -over-quarter that we've seen in U.S. and it's more normalization of cost with the increased revenues per se. Is that understanding c orrect?
Suresh Veerappan: Okay. So the later part is right, okay? So for example, with the new financial year, there will be appraisals and that also has a number impact. That is number one. And number two, even in the last quarter, what we had highlighted is, between U.S. manufacturing, India manufacturing, the revenue split to be 20% and 80%.
That is what has come over here. The ramp -ups are happening predominantly in India manufacturing facility. And the -- that is the key reason, I would say, and not the increase in U.S. manufacturing.

Bhoomika Nair: Got it. Sir, the other thing was in terms of the -- if I look at the revenue breakup between different segments, clearly, industrials and mobility has grown at a very sharp pace in this current quarter, which has contributed to the overall growth. If you c an give some color in terms of how is clean energy performing relatively? It has seen a little muted growth.
Is that got to do with the fact that there is this tariff -related situation and the ongoing issues around renewable energy in U.S., which has kind of slowed down relatively the growth rate? Or should one read it li ke a little differently per se?
Not to mention that when we're talking about 25% growth for the full year, roughly 23%, 25%, as you highlighted, which means that the balance 9 months, we are looking at about a 15 %-odd kind of a growth, whereas I thought second half, we've seen some larger scale up. So how should we look into this, if you could just talk about that?
Kunhamed Bicha: Thanks for your question, Bhoomika. You always ask the difficult question. So we're seeing a broad -based growth. If you look at year -over-year growth, just don't take the shot and we don't take that because quarter -to-quarter, things may change. Yea

r -over-year, clean energy grew
26%, okay?
Communication grew 102%, okay? Rail and aerospace grew more than 100%. Mobility, put all the 3 sectors together, grew 92%. Industrial at 86%. So we're seeing this across -the-board, okay, growth coming.
So it's not just specific, and clean energy for us, if you look at last year was 20%, this quarter was 18%, but next quarter or following quarter, it will come back to where it stands. So we are seeing good order momentum in that also. Did that answer your question?
Bhoomika Nair: Yes, sir. I'll come back in the question queue, but this helps for now, yes.
Moderator: Next question is from the line of Saumil from Lucky Investments .
Saumil: Great set of numbers, congratulations on that. My first question is on the revenue growth and the upward revision in the guidance. Last quarter, you guided for about 20 %-odd growth for the full year of FY '26 with some back -ended -- which is indicated to be back -ended with some power products sort of taking off in the second half.
And this quarter, we have seen about 100% year -on-year growth in industrials. So has tha t already started to take shape o r are we yet to see these products that we were talking about take off in the second half of this year?
Kunhamed Bicha: Yes, we've got multiple product kick -ins through the year. Some of them have kicked in, and we are starting to see revenues, both in Q1 and in Q2. But some -- there are some more projects which will kick in, in Q3, Q4. And it's just not industrial, it's ac ross-the-board, to be honest. We are very confident that this growth is there, and we are confident that multiple projects are there.
But as you well know, we are conservative with the world situation, the macro situation.

Saumil: Yes. Okay. And secondly, on the margins, first, gross margin level, there's about 230 bps of expansion. Can you talk about that? Has that got to be the mi x changing towards industrials o r is it something else? Can you just elaborate on that?
Kunhamed Bicha: So it's interesting, though, there were tariffs last quarter, we've been able to increase our margins. So there's a good pass -through going. And the margin base, it will fluctuate. We commit to 33% to 35% certain quarters, you may see it higher. The last f ew quarters, you've been seeing it higher. But that will continue. We internally target to be 30% to 35%. And if 36% happens, we are all happy.
Saumil: Okay. And you also mentioned that there was an impact of front -loading of investments towards future growth on -- there was an impact on EBITDA margin relating to that. Would it be possible to quantify that?
Kunhamed Bicha: A lot of it is -- see, when we -- because our products are fairly complex, it's not step and repeat like the consumer type. So we need to start training people if production is starting, let's say, this quarter. We need to start training people at least a quarter or 2 months earlier. So some of that's happened because some substantial increases are in the pipeline. So we started doing that last quarter. And, of course, planning on infrastructure and putting things together for this planned increase.
Saumil: Okay. Any quantifications possible? What would be the impact...
Kunhamed Bicha: No, no. We commit to what we committed for the year. So there's no traction in them.
Saumil: And finally, on the semiconductor equipment sort of new partnership, is that with the Japanese OEM?
Kunhamed Bicha: No, it's a global OEM. So the semiconductor guys supply, I don't want to name the customer, but it's top 4 or 5 companies in the world.
Moderator: Next question is from the line of Praveen Sahay from Prabhudas Lilladher.
Praveen Sahay: Congratulation on good set of numbers. My first question is related to the growth, which you had upward revised to 25% for this year. So like you had

already given a 60% growth. You have already an order book -- a strong order book of INR1,790 crores. What restricting you to give the higher growth guidance looking at the order book and the performance in the first quarter, 9 months, if I calculate on your numbers, it's around 17% only what you are guiding for? So would you please clarify on t his?
Kunhamed Bicha: So it's an interesting situation we are in because the last time we gave growth guidance, it was the day after operations shutdown. We are not confused how the world is going to play out. The -- now we've got this tariff uncertainties, which we don't see a n issue. But let's put it this way, we are a conservative company, and we just want to maintain what we said. And we'll -- if the improvement is there, we are very happy about it.

But we want to be very conservative on what we say. And we have always committed to double by FY '27, we maintain that. There may be certain slow quarters, certain high quarters, but we maintain to double by FY '27 in 3 years.
Praveen Sahay: All right, sir. Next question related to order book. Is it possible to give any bifurcation of like how much is from the box -build or some other segment in this order book …
Kunhamed Bicha: We've been consistently because we've got the highest box -build percentage, and we have always been maintaining 50% to 56%. We are 56% now. So our whole goal is to keep increasing this box -build mix, and that is what is playing out now. And we'll continue to do that. As of today, it's around 56%. And we believe that can -- as the years go by, that can improve, too.
Suresh Veerappan: The order book mix will be slightly resembling the revenue mix to an extent.
Praveen Sahay: Okay. Last question on the capex , which you had guided INR45 crores to INR50 crores for this year. Is there any increase in that for guidance?
Kunhamed Bicha: So it's pretty close to that, and we would say INR45 crores to INR55 crores just to be on the safer side. We continue our goals of having asset turn between 8 and 10x, and we believe that is achievable. We have a low capex model to achieve a lot of this.
Moderator: Next question is from the line of Jalaj Manocha from Svan Investments.
Jalaj Manocha: Sir, so congrats on a decent set of numbers. Sir, I had a -- first question was regarding the U.S. facility. Could you help me understand the unit economics of fixed cost there and the gross

margins? Because even though our revenue has increased from the f acility Y -o-Y, but then the EBITDA numbers don't show up any profitability increasing. So could you -- in the absolute terms, could you help me understand those numbers once?

Suresh Veerappan: So U.S. manufacturing today is around 20% of our overall revenues. And like what KB mentioned in the opening remarks, the EBITDA there is around minus 6.9% and a PAT of minus INR9 crores in this quarter.

Jalaj Manocha: And Suresh, I wanted to understand what sort of fixed costs are we seeing in the U.S. facility? And what sort of numbers of top line would eventually make it a breakeven or so?

Suresh Veerappan: So, Jalaj, what we -- like what we had mentioned in the earlier calls, I think 1 year before, our U.S. manufacturing had a losses of close to minus INR14 crores. Now it is at minus INR9 crores. And one of the key customers over there has started to pick up, just started later part of the first -- later part of the Q1. I think over the next few quarters, we do not want to put a number yet. But over the next few quarters, we believe with the ramp -up of that particular key customer, we believe we'll be getting closer to a decent numbers on the profitable side -- on the breakeven or profitable side.

Jalaj Manocha: Understood. Got it. And sir, second question was around the capex . So we did allude to a capex number of INR40 crores, INR50 crores for this

year. But my sense -- I just wanted to get one

sense, the utilization in the U.S. facility would be on the lower side. Still we are doing asset turns of 8x. So there is a possibility on a full capacity run up this number towards the asset turn numbers to go even higher or what?

Kunhamed Bicha: So our goal is always -- our internal goal is 10x. We say 8x to 10x. Absolutely, what you say is right. There's enough capacity, both in India and in the U.S. and U.S. a little bit more than India. So we are very measured on what we take in there. So what you say is absolutely right.

Jalaj Manocha: Okay. And one last question was, could you talk a little about, sir, you have partially alluded to the impact of tariffs, but what sorts of discussions are we having with clients? Because the clients would start to look at a second best option, which would be cheaper to them. I'm sure a client would be working with more than 1 vendor and would not be only 100% dependent on us. So what sort of discussions are we having with the clients right now who takes in the tariff in case this comes in or kicks in or how would the supply chain be managed?

Kunhamed Bicha: So like I said earlier, the clients also, things are changing so fast. So they don't know how to strategically maneuver. That's one piece. The second piece for us is, if you look at the other alternatives, they are close to what we have or worse, right, wh ether you take the other geographies, w hich can do this manufacturing.

So it's choosing which one and most of them have U.S. plus 1 and because China is completely out, as you know, the tariff rates are much higher. So it's between everybody else. And India still is okay comparatively. I'm not saying the 25% tariff is right or wrong. But what I'm trying to say compared to the other ge ographies, we are pretty close.

And with our -- none of the other -- apart from Vietnam would have lower cost of labor than India. And most of our customers are here for the long -term nature whether to enter the Indian market or -- because most of our Indian customers, you see are all mu ltinationals from across, whether it's Japan, whether it's Europe, they have come and entered -- they're coming for the India market. So it's just not the cost alone. It's the entry into a market like India. And also, if you look at the comparison between different countries, we may be a little bit higher.

I mean, compared to a U.K. or something which they cannot manufacture there or EU, it's a challenge also. These are only 2 countries which are lower apart from the other countries. Did I answer that?

Jalaj Manocha: Understood. Yes, that explains. And sir, one last question...

Moderator: Sorry to interrupt Mr. Manocha, may we please request you to rejoin the queue? Several participa nts are waiting for their turn.

Jalaj Manocha: Sure, sure.

Moderator: Next question is from the line of Veenit from Investec.

Veenit: Just a couple of questions from my end. First is, I wanted to understand, given we've had a robust growth in terms of U.S. customers in Q1, was there any element of prebuying ahead of anticipated higher tariffs which were to be -- which were getting applicable? So was there any sort of element, if at all? The continuation to that is, how has been the customer response, at least in the first initial week?

And do -- are you getting any sense from the customer around potential sourcing strategies for them in case 25% tariffs are to sustain for some time? So any broad color there would help. And lastly, the third question is on margins. Now, last year, we had a very tough Q1 as far as the profitability was concerned. This tim e, we are positioned way better?

While I acknowledge the investments which are required for the business has taken margins lower, but would it be still okay to assume that we'll better the margins which we had delivered for the whole of last year, purely given Q1 last year was extremely w eak and we've done pretty okay Q1 this time around?

Kunhamed Bicha: Okay. So I'll try to answer -- you had too many questions. If I missed something, just remind me. So what you can look at, see, the last -- you're looking at just 1 quarter, right? So if you start from Q2 of last year, Q2, Q3, Q4, Q1 of this year, we've co nsistently shown growth in margin improvement.

So we intend to maintain that and we intend to grow. On the tariff question, what we need to understand is close to -- getting close to 50% of our business is in India now. And around 3 years back, that was 20%. Today, we are very happy to have diversified this way. And then 20% of our business is U.S.

So what we are talking here is around 30%, 35% of production going into export. And that, too, a lot of that is FOB India, where the customer is directly responsible on doing it. And the last point is, even customers don't know which product has got duty a nd which product got tariffs and which does not have tarif fs at different varying levels.

So things will settle down. But in the -- if you take a longer -term picture, I think it will all equate out because it's not that somebody else can make it cheaper. I know I've missed 1 question out of your 3. Maybe the first one, which …

Veenit: On the prebuying, yes, any element of prebuying?

Kunhamed Bicha: No, no. So that is -- see, a lot of our planning starts 6 months, 8 months ahead. So it's not easy to even prebuy. So we don't see any element of prebuying. So that's why I said if you look at the last 3 or 4 quarters, we are consistently showing growth.

So this quarter, because last year, this quarter is a little bit muted, we saw a little bit higher. But we are confident that there's no element of prebuying actually we could have -- customers wanted more in the sense of -- it's new customer cut -ins which have taken place.

Moderator: Next question is from the line of Neel Mehta from Equirus Securities.

Neel Mehta: Congratulations for a good set of numbers. So sir, my question was particularly related to the communication segment that has led to a sharp jump, almost more than 100% growth on a Y -o-

Y basis. So it is driven by certain products or it's driven by any particular customers? Would you please highlight that? Because, I mean, like since last 2 quarters, we are showing it -- said that segment is pretty good. So can you just help me, I mean, how it is shaping up?

Kunhamed Bicha: So on a broader sense, most of the customers and the entries we have done in India are in power, infrastructure and communications, okay? But on the communications segment, so we're not in the low -end of stuff. On the communications segment, our focus is on 5G and 5G radios, making it for some of our larger clients in India with the next few years of growth. We have entered that around 3 quarters back. And we will see some uptick on that in the coming quarters also. I hope I answered your question.

Neel Mehta: Pretty much, sir. And sir, just last question that since we are foraying into the semiconductor equipment side, just wanted to understand that our partner, which we have done the partnership with he is also into the equipment side or they are into the fabl ess side or like in the foundry side? Just wanted to understand which value chain of the semiconductor we are in. So just wanted to understand that part?

Kunhamed Bicha: Absolutely, in the equipment side. It's the highest end of box -build you can do. And we've been working to get to that level of complexity and technology, and we have achieved that. That's why we are confident. It's been a journey of 3 or 4 quarters to get here. It's completely on the equipment s ide. And because we do so much of box -build, it kind of takes us to the next level of box -build.

Moderator: Next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: I have a couple of questions. First, on the tariff and also on the cost structure, how do we actually identify what we sell of that, what is actually under tariff and what is exempt? And how long does the exemption exist? And wherever we have a tariff or s ubject to pay a tariff, which other countries are more economical after adjusting for tariff than us?

Kunhamed Bicha: So, let's say, customer doesn't know, we don't know, I don't know. If anybody knows what -- which product has got what tariffs now because it's all fluid, okay? So the way we look at it is the tariff as of today is a complete pass -through to the customer, okay? I'm not saying that it will not change. But as of today, it's a complete pass -through.

And your second part of the question where you said which is -- which country and what, right? So there are countries between 25% to 15%. Most of the countries are there. China is an outlier that how you call it, 40% or 50% in certain areas. So it's not ju st a specific country this thing can move to or so.

It's a long -term decision customers have made. So most of our customers are not completely cost base because they have invested a lot of time, effort, money to get us going. So they are looking at the longer term of 5 to 15 years. So there's no kind of imm ediate pressure because wherever they change to, they're going to have some sort of tariff because there's no country not with a tariff, unless it's in U.K. or one of the small islands wherever they have a 10%.

But with India's strength in labor cost as well as technology, I think it's a long -term journey for India. I'm just not talking Avalon . And since we do complex products, it's not easy to shift.

Indrajit Agarwal: Sure. That is helpful. And secondly, on your semicon equipment, can you just throw some more light as to what kind of capex we can end up incurring and what kind of margin this category has in the sense that how scalable this business is for us?

Kunhamed Bicha: It is very scalable and there's number of products, and it's part of systems what we are building, not complete systems, part of systems we are building. And space is more of a constraint and not the capacity, which we have catered to now.

Indrajit Agarwal: And we will get government incentives on this?

Kunhamed Bicha: This is after we get -- moving on this and get into production, we are going to look at government incentives on this.

Moderator: Next question is from the line of Chirag from Keynote Capitals.

Chirag: Sir, I just wanted to understand one thing. The pace of order book growth seems to have flattened up. Just wanted to have your look, are we facing any challenges because of this tariff only due to which order book growth is not at the same pace it was earl ier?

Kunhamed Bicha: So we've -- see, as you know, we do complex product, and we look for profitable growth rather than growth at all costs. The order book is INR1,790 crores for the next 12 to 14 months, plus INR1,157 crores apart from that. And we don't count the orders which we have more than 3 years. Okay? So there's another element of that.

So this itself will get you around INR2,900 crores, give or take, a certain number. So if you look at it that way on a 3 -year period, you have the orders. So we just break it down to show you the immediate what we can execute. And a lot of the 12 to 14 months will start flowing into the -- sorry, a lot of the 14 to 36 months will start flowing into the 12 to 14 months.

Chirag: Yes, I do get that. But still trying to understand on an annual basis or a monthly basis, what is the run rate now? And so, if our current run rate last year was x and this year

it x plus y, just wanted to understand from that perspective. Are we expecting on a monthly basis our order book to increase at a faster pace going forward?

Suresh Veerappan: So a couple of points there. One, first, our order book has grown by 23% right now Q1 to Q1 year-on-year, okay? Second is like what we have mentioned earlier, many of the new projects are either in photo stage or 1 step before the c ommercial production commences.

So the larger orders for each of those projects, which we won over the last few quarters will -- is expected to come through over the next 1, 2 quarters. So that is also one of the reasons why we are comfortable in communicating that we will be able -- we will try and double our revenues from FY '24 to FY '27.

Chirag: Right. That's fair, sir. Secondly, I just wanted to understand, as you have mentioned the EBITDA margins and PAT margins for India business -- India plant business specifically, which is 13% and 8.8% roughly. Would it be possible for you to give us the gro ss margins in India, the India

plants?
Suresh Veerappan: So we generally do not provide that kind of a breakup. But what I would like to highlight is, for us, we have been able to steadily maintain our gross margins over the last 4, 5 years now, okay? 33% to 35% is the guided range. We've been happy to maintain at the upper end of the range for the last few quarters now.
Chirag: Fair enough, sir. And what kind of cash flows...
Moderator: Sorry to interrupt Mr. Chirag, may we please request you to rejoin the queue, sir?
Chirag: Sure.
Moderator: Next question is from the line of Balasubramanian from Arihant Capital Markets.
Balasubramanian: Yes. Sir, on that Zepco partnership, especially focused on ADF Drone components and what kind of synergy we can able to create through the partnership? And what percentage of future revenue could come from design -led manufacturing versus traditional EMS?
And secondly, this local PCB procurement is increasing due to PLI, what percentage of inputs are still imported? And we are -- like what kind of like dependency is in terms of those things? Is there a multiple sources we have or still we are dependent on Chinese components?
Kunhamed Bicha: Okay. Just to answer your first part of question. So the 2 aspects of the Zepco partnership. One is subcomponents to drones. Now I can specifically say it is for the power electronics and drone motors, which is today, 95% of the motors come from outside the country.
So we believe that we are driving that change we can happen in India with Zepco. Apart from that, the design -led, so most of our customers in the power domain, which is a good piece of our business, both in industrial and clean energy are slowly starting t o use Zepco to design and we do manufacturing.
Moderator: We'll move on to the next question from the line of Naman Jain from Kotak Institutional Equities.
Naman Jain: Yes. So if you can just expand a bit on power electronics? Are you also entering into BESS, given a lot of regulations are coming into increase indigenization of BESS in India?
Kunhamed Bicha: Can you just expand BESS for me?
Naman Jain: Battery Energy Storage Systems, which …

Kunhamed Bicha: Okay. Yes. So as of now, the focus is outside India. And today, we have the capabilities and the knowledge to do that. So let's get stability going where the margins are, and then we'll come back and address that if required.
Naman Jain: Okay. Got it. And second question, I know you have answered a lot on tariff already, but just another question. What's your view, let's say, if the situation doesn't improve from here on, do you believe you will start facing some pressure as to -- from you r customers to share a bit of the tariff loads? I know you said FOB for some of them, but what's your estimate if the situation continues to remain as is?
Kunhamed Bicha: So the 2 elements we look at whatever we did by luck of a choice, diversification into India because we were 80% exports, if you look at it 3 years back, right? So we are getting close to 50% and most of our growth will also come from India. And if the U.S . side of it, if there is going -- my firm belief is that, as of now, we have no answers and no solutions on both sides. And these are technically -- it's not something people can change overnight. There may be give or take. And like I said, 45% to 50% is India, 20% is U.S. and 30% is what we are talking about where the tariff kind of comes. And most of that is FOB and a few of that is only DDP.
So it's -- as we -- as of now, there's talk, but there's no -- so the effect is going to be not like the whole business or so it's going to be less than 15% to 20% max of the business, which is affected. And if you look at what is going to be tariff and what is not going to be tariff when that clarity comes, life will be a lot easier.
Moderator: Next question is from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar: So we are -- we have entered into semiconductor equipment manufacturing. So can you elaborate more about that? What kind of products we are going to manufacture?
Kunhamed Bicha: No. So a lot of it is the power -related boxes, okay? And I would not like to go much more deeper into this. And as we, what do you say, expand, continue to grow in this segment, we'll give you a lot more clarity on where we are heading. But these are compl ex systems which you're building.
Sumant Kumar: Testing to kind of?
Kunhamed Bicha: No, it's not on the testing tools, no. It's part of the equipment.
Sumant Kumar: Okay. And talking about the -- can you talk about the EBITDA margin guidance for FY '26?
Kunhamed Bicha: Suresh?
Suresh Veerappan: We generally do not provide a guidance per se on the EBITDA or the PAT level on a full year

basis. But having said that, at a gross margin level, 33% to 35% is the guided range. And second, like indicated earlier, we expect the ramp -up -- revenue ramp -up expected in the second half of the year, we expect the operating leverage to be more evident as we -- in the second half.

Sumant Kumar: So can you talk that way, whatever the historical EBITDA margin we have, can we reach in the coming year or this year?
Suresh Veerappan: Rather than putting out a number over there, the way how I would like to highlight is, right now, in the first half, we are upfronting our cost and investments, whether it is the people, plant or on the capabilities, inventory also.
But the results of all of these efforts, which is happening in the first half, I think start becoming more evident as we get to the later part of this fiscal year, and it will continue to flow into FY '27. We have always been focused on not growth at all c osts but profitable growth. That is something that we will be very cognizant of in all of these growth.
Moderator: Next question is from the line of Bharat Gulati from Dalal & Broacha.
Bharat Gulati: Sir, just I wanted to understand if you can throw some light on when will revenue start coming in for the semiconductor business?
Kunhamed Bicha: Yes. So you start -- it's going to be a gradual step up. So you would probably start seeing some of it next quarter, but then gradually growing over the next 3 to 5 quarters.
Bharat Gulati: Okay. And I just want to understand that if the tariff situation persists, can we see U.S. manufacturing contribute more as a percentage of revenue?
Kunhamed Bicha: So we are very selective in what we do there. So, see, because the whole business itself is growing, okay? So, though, we say 20%, the absolute number may be higher, okay? So -- but we are ready. If cust

omers are willing to pay the higher amount, we are re ady to do that.
And just again, a lot of new customers wanted to be stop for a short time before they come to India. So if they come there, this is something like a beachhead like what we call it. So if they start there and then move to India. The intention is to move to India.
Moderator: Next question is from the line of Vipraw Srivastava from Phillip Capital.
Vipraw Srivastava: Sir, quickly on the -- just a bit on the math. So in the Q4 presentation, it was highlighted that the Indian business has an EBITDA margin of 14.2%. In the Q1 presentation, it's highlighted that Indian business has an EBITDA margin of 13.2%. So that's 100 bps decline, but overall margin has declined by more than that. So is it fair to assume that U.S. business EBITDA margin has declined significantly more?
Suresh Veerappan: No. Overall at consolidated level, our EBITDA margins in Q1 is 9.2% vis -a-vis 2.2% in Q1 FY '25 and 12.1% in Q4 FY '25. The main reason being we expect the ramp -up on all the new business coming through Q2 or Q3. So second half is going to be there. So we are upfronting some of our cost over there.
So that is why at a consolidated level itself there has been -- the EBITDA margins are at 9.2%. The effect of that is what we are seeing in both the Indian manufacturing as well as the U.S.

manufacturing. U.S. manufacturing, the PAT is around minus INR9 crores for this Q1 as against minus INR14 crores same time last year.
Vipraw Srivastava: Right, sir. And sir, last question from my end. Obviously, tariffs has been there and there is no clarity on what will happen in the coming months. But has the company got any assurance from the U.S. clients tha t they can manufacture in India o r if the client asks you to shift to U.S., do you have any pricing power over the client, can you tell them that we'll only manufacture in India? So what's the dynamic there?
Kunhamed Bicha: At the end of the day, a couple of points there. See, manufacturing in the U.S., even with tariffs is not going to work, okay, because the costs are significantly higher. So the -- unless the customer needs to build it there, it's still going to be U.S. be cause China is not there, it's a lot easier for India now. But the other geographies, again, the tariffs are between -- within 5 points of what India is.
So the concern is there, but we are fairly confident because just U.S. is used to tariffs because the China tariffs are 30% or 35%, it changes often has been there for 3, 4 years, okay? So the U.S. companies are used to paying tariffs with China. So now it 's everyone. So that's the issue now. And it's still significantly lower than what China tariffs are. So they are very used to tariffs.

It's new to us, but customers are used to tariffs out of China.
Vipraw Srivastava: Right, sir. And sir, last question, if I'm allowed to ask. Quickly on the one big beautiful bill, battery energy has been -- battery energy IRA incentives will be revoked from 2027. So post that, how do you see your clean energy segment progressing?
Kunhamed Bicha: Yes, very happy if that happens because a lot of the production will move to India. Okay? And -- but the demand is there, whether it's made in India or made in U.S. That's the segment that's why we are excited about it.
Vipraw Srivastava: So that's structural positive for you, right, if my understanding correct, be cause then you make more profit?
Kunhamed Bicha: Yes, absolutely.
Moderator: Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference over to Ms. Bhoomika Nair for the closing comments.
Bhoomika Nair: Yes, sir. Thank you to all the participants for being on the call and asking the questions. And thank you very much to the management for giving us an opportunity to host the ca

ll. Thank you
very much, sir, and wish you all the very best. Any closing remar ks from your end?
Kunhamed Bicha: Yes. Thank you, Bhoomika. FY '26 has started strong for Avalon with robust revenue growth, solid execution and continued customer traction across key markets. The upward revision in our revenue growth guidance reflects our confidence in our business outloo k. We remain focused on scaling new programs, enhancing capabilities and investing ahead of the growth.

Our entry into semiconductor equipment space marks a key step as we expand into more advanced high potential segments. With a healthy order book, expanding customer engagement and a flexible global manufacturing model, we are well positioned to sustain mom entum through the year and deliver profitable growth.
We thank our investors for their continued support and look forward to updating you in the coming quarters. Thank you.
Moderator: Thank you, sir. On behalf of DAM Capital Advisors, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2025

"Avalon Technologies Limited
Q2 FY '26 Earnings Conference Call "
November 06, 202 5

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING DIRECTOR – AVALON TECHNOLOGIES LIMITED
MR. BHASKAR SRINIVASAN – PRESIDENT – AVALON TECHNOLOGIES LIMITED
MR. SHRIRAM VIJAYARAGHAVAN – CHIEF OPERATING OFFICER – AVALON TECHNOLOGIES LIMITED
MR. VENKY VENKATESH – CHIEF SALES OFFICER – AVALON TECHNOLOGIES LIMITED
MR. SURESH VEERAPPAN – CHIEF FINANCIAL OFFICER – AVALON TECHNOLOGIES LIMITED

MODERATOR : MR. DEEPAK AGARWAL – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Avalon Technologies Limited Q2 FY '26 Conference Call hosted by Axis Capital Limit ed. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone.
I now hand the conference over to Mr. Deepak Agarwal from Axis Capital. Thank you. And over to you, sir.
Deepak Agarwal: Thank you, Huda. Good afternoon, everyone, and a warm welcome to the Q2 FY '26 earnings con call of Avalon Technologies. To take us through the results today, we have with us from the management, Mr. Kunhamed Bicha, Chairman and Managing Director; Mr. Bhaskar Srinivasan, President; Mr. Suresh VR, Chief Financial Officer; Mr. Shriram Vijayaraghavan, Chief Operating Officer; a nd Mr. Venky Venkatesh, Chief Sales Officer.
Mr. Bicha will give us an overview of the business performance and will be followed up by Mr. Suresh's remark on the financial performance, post which we'll open the floor for Q&A. As we move forward, it is important to bear in mind that any forward -lookin g statements made during this call are subject to potential risks and uncertainties, both known and unknown.
Now without any further delay, I hand over the floor to Mr. Bicha for his initial remarks as CMD. Thank you. And over to you, sir.
Kunhamed Bicha: Thank you, Deepak. Ladies and gentlemen, on behalf of Avalon Technologies, we extend a very warm welcome to our Q2 FY26 earnings call.
I would like to begin by expressing our sincere gratitude to our investors for their continued trust and confidence in Avalon. Our growth journey would not have been possible without your steadfast support. Over the past few quarters, we have delivered con sistent sequential growth, with every quarter building upon the previous one and meeting or exceeding our guidance. This steady upward trajectory reflects the strength of our diversified business model and our disciplined approach to execution.
Our growth continues to be broad -based across verticals, geographies, and capabilities. During H1 FY26, the India business grew 44%, and the US business grew 52%. Our diversified customer profile is consistently supporting our growth. This consistency, eve n in an evolving macro environment underlines Avalon's ability to deliver sustainable and profitable growth

while maintaining financial prudence. Building on this foundation, profitability has improved, further strengthening ROCE and asset turns, supported by an expanding order book.
On the topic of tariffs, which has been widely discussed across the industry, we would like to clarify that it is not limited to a simple two or three -rate structure. We have effectively paid over 50 unique tariff rates during the last six months. Our long -standing presence in the U.S., deep understanding of the geography, and strong customer relationships have helped us maintain tariff recover ies of over 99% from customers, underscoring the trust and partnership we share with them.

With well -diversified growth, continued demand visibility and traction from new programs, we remain confident in the outlook of our business. Accordingly, we are revising our full -year revenue growth guidance upwards to 28% –30%, from the earlier 23% –25%.
Let me now move to the key financial highlights for the first half of FY26.
As of September 30, 2025, our order book stood at INR 1,863 crore with an average execution period of 14 months, reflecting a 25.4% year -on-year increase. In addition, long -term contracts with execution timelines of 15 to 36 months stood at INR 1,168 crore . This growth

has been
well balanced and diversified across industry verticals and geographies.
For H1 FY26, revenue stood at INR 706 crore, representing a 48.7% growth over the same period last year. Our core expertise in box -build and system integration solutions continues to strengthen, now accounting for 53% of total revenue.
EBITDA for H1 FY26 is at INR 68 crore reflecting an increase of 98.5% and PAT is at 39 crore an increase of 158.3% . ROCE improved to 18.4% from 8.2% a year ago, while asset turns remained healthy at 8.7x, indicating continued efficiency in capital utili zation.
Net working capital is at 131 days as of September 2025, compared with 124 days as of March 2025, mainly due to temporarily elevated inventory levels to support upcoming production and growth. On a sequential Q1 to Q2 basis, net working capital improved by 11 days, driven by a 7-day improvement in receivables, 3 -day improvement in inventory, and a 1 -day improvement in payables. We remain focused on improving working capital efficiency and expect to bring it within the 120 –130 day range over the next few qua rters.
Gross margin stood at 34.9% for H1 FY26, which remains at the higher end of our guided range of 33 –35%. For Q2 FY26, gross margin was 34.3%.
India manufacturing operations, which continue to serve both domestic and global customers, accounted for 81% of total revenue in Q2 FY26, delivering healthy profitability with an EBITDA margin of 14.1% and a PAT margin of 10.9%. Revenue from our US manufa cturing operations contributed the remaining 19%. As US operations scale up further, we expect operating leverage to support margin improvement in the latter part of the year.
Avalon's dual presence in U.S. and India offers a unique advantage. Our US facility helps customers localize production and manage tariff exposure, while our India operations offer a cost-effective and scalable manufacturing base. This geographic flexibili ty positions Avalon well to support customers and adapt to changing trade dynamics. As tariff -related discussions between U.S. and India continue, we are monitoring developments closely and will stay agile and measured in any strategic adjustments we are a lso seeing increasing engagement from customers in multiple geographies for made in India products and will share more updates in the coming quarters.
Now moving on to our key growth drivers and an update on major programs. We remain encouraged by the continued momentum across our three growth engines.

1. Existing Business: This is driven by long product lifecycles, mission -critical products and steady recurring revenues. The energy storage system program is progressing well, with production ramp -up underway as planned. In the aerospace vertical, cabin sub -assemblies are currently under first article inspection and progressing in line with our plan for ramp - up in the first half of next calendar year. Despite India having the largest pending aircraft order book in the world, local manufacturing content rem ains small but is growing rapidly. Our aerospace business is benefitting from this shift — H1 FY26 revenue grew 59% over H1 FY25.

2. New Business Wins: This is built on sustained efforts over the past two years, with these programs now translating into fresh orders and production ramps across multiple verticals. Our dual -shore model and the new Chennai export facility have supported this scale -up. Product ion for locomotive engine sub -systems will begin in the second half of this year. Our railway business continues to gain momentum with new customer additions and expanded product lines , notably, H1 FY26 rail revenue grew 58% over the sam e period last year. At the same time, we are making steady progress in advanced technology segment. As mentioned last quarter, our partnership with a leading global semiconductor company for bo

x -build manufacturing is progressing well, with volume ramp -up expected in FY27. Meanwhile, the railway Kavach system has completed testing and is on track for commercial production in the second half of next year. These programmes strengthen our market position and extend our reach .

3. Opportunity Pipeline: We continue to see a diverse and expanding set of opportunities progressing towards finalization, with encouraging potential in both size and scope. During the quarter, we onboarded three large U.S. -based customers across the industrial and defence vertica ls. We will share more details over the next few quarters as these programs progress from prototyping to production. Manufacturing will initially commence in the U.S., followed by a transition to India, leveraging our dual -presence advantage.
With all three growth engines at different stages, we have continued to front -load investments in capabilities, manpower, and inventory to stay ahead of expected growth. On the infrastructure front, our export -focused Chennai plant has commenced production and is ramping up steadily. To meet rising domestic demand, we are also progressing well to complete Phase 2 of our brownfield expansion in Chennai by the end of Q3 FY26. These investments are aimed at ensuring readiness for the next phase of growth, and we remain confident that operating leverage will begin to take effect in the latter part of the year.
Avalon stands on a strong foundation to capitalise on the vast potential emerging across our end markets. With a healthy order book, expanding capacities, and a culture rooted in operational discipline, we are well positioned to deliver sustained growth an d long -term value for our shareholders.

To summarize, Avalon has started FY '26 on a strong note with a broad -based revenue growth, a larger order book, improved operational metrics, and healthy capital efficiency. Our diversified business model, dual -shore presence, and expanding customer base provide both visibility and resilience. We are ramping up new projects across multiple industries, and our entry into the semiconductor equipment space marks a key step toward high -potential, advanced technology segments. With a stronger growth outlook and disciplined execution, Avalon is well positioned to sustain its momentum and remains focused on building long -term, profitable growth rather than short -term gains.
With this, I will now hand over to our CFO, Suresh Veerappan, for a detailed overview of our financial performance.
Suresh Veerappan: Thank you, KB, and good afternoon, everyone. Thank you for joining the call today.
During Q2 FY26, our revenues were ■382 crore, reflecting a 39% year -over-year increase from ■275 crore in Q2 FY25 and an 18% sequential growth from ■323 crore in Q1 FY26. For the first half of FY26, revenues stood at ■706 crore compared to ■474 crore in H1 FY25, representing a year-on-year growth of 49%. The growth was well diversified across verticals, geographies, and customers, driven by steady execution and strong traction in both our India and US operations.
It also marks our fifth consecutive quarter of sequentially good performance, underscoring the consistency of execution across business segments. Over the past few quarters, our growth has remained broad -based and disciplined, supported by customer diversification and focused operational delivery. T his sustained momentum, together with stronger demand visibility and a healthy order pipeline, positions us to raise our FY26 revenue growth guidance to 28 –30%, from the earlier range of 23 –25%.
Gross margin for Q2 FY26 was ■131 crore, representing a margin of 34.3%. For the first half of FY26, gross margin stood at ■246 crore, with a margin of 34.9%, which is at the upper end of our guided range of 33 –35%. This refl

ects a year -on-year growth of 4 7%.
EBITDA for Q2 FY26 was ■39 crore, a 28% increase from ■30 crore in Q2 FY25, at a margin

of 10.1%. For the first half of FY26, EBITDA stood at ■68 crore, reflecting a year -on-year growth of 98.5%. PAT for Q2 rose to ■25 crore, a 42.9% year -on-year increase from ■17 crore in Q2 FY25. We continue to invest in talent, capacity, and inventory to support upcoming growth in new programs. These initiatives strengthen our foundation for long -term growth and are expected to enhance operating efficiency as volumes ram p up in the second half of the year, with this impact becoming more visible towards the end of FY26 and carrying into FY27.

Moving on to the balance sheet, net working capital days improved by 11 days — from 142 days in June 2025 to 131 days in September 2025. Net inventory days improved by 3 days, from 104 to 101. Trade receivable days improved by 7 days, from 87 to 80. Trade payable days improved by 1 day, increasing from 49 to 50.

As of September 30, 2025, total outstanding debt stood at ■128.92 crore, with cash equivalents and investments of ■68.36 crore, resulting in a net debt position of ■60.56 crore. Capex for Q2

FY26 and H1 FY26 was ■14.8 crore and ■24.4 crore, respectively. With a capex -lite model, asset turns remain strong at 8.7x, and return on capital employed stood at 18.4%.

Our growth approach is built on a balanced mix of steady core revenues, new programme ramp -ups, and a healthy pipeline of prospects. While we continue to monitor global geopolitical developments, the structural EMS growth story remains intact and continues to strengthen. With a resilient balance sheet, scalable operations, and strong customer trust, Avalon is well -positioned to capture emerging opportunities and deliver sustained long -term value to all stakeholders.

To summarize, Q2 reflects continued progress across all operating and financial metrics. Our priorities remain consistent — driving profitable growth, strengthening balance sheet efficiency, and deepening customer partnerships. As we look ahead, we remain focused on sustaining profitable growth through disciplined execution and operational efficiency.

Moderator: Can we open the floor for Q&A?

Kunhamed Bicha: Yes, please.

Moderator: Thank you very much. The first question is from the line of Tanay Shah from DAM Capital . Please go ahead.

Tanay Shah: Congratulations on a good set of numbers. Sir, my first question is on the U.S. operations, right. Sir, if you could give any sort of update on how the offtake is improving despite the tariff implications. I mean, you did mention that 99% has been recovere d in terms of tariffs. But going forward, how do we expect the U.S. clients sort of accept the tariff implications? And do we expect the manufacturing per se to improve from the current 20% in U.S., which would thereby then sort of have any sor t of impact on margins?

Kunhamed Bicha: That's a good question. So, we are seeing a lot of opportunities now with the well -sourcing model we have, where they can start in the U.S. and when the tariffs settle down the longer term, the larger customers are taking that view. Let us start in the U.S . and transfer to India when the tariff settles down because it's difficult today for customers to judge what is the tariff rate, where, but they always want to come to India.

And we are offering, I would say, initial stopover in the U.S. before they transfer, so they have consistency on revenues. And saying that some of our existing customers who always wanted to make in the U.S. are ramping up, especially our battery storage, energy storage systems customer, which we've been working for the last 4 years.

We are seeing a substantial ramp for them, which has already started and into the next 12 months. So, we're very positive because we have a solution for custome

rs to come to India because otherwise it is very difficult for customers to see how can I come t o India with a 50% tariff, right? So, this dual model helps us a great deal to make that happen.

Tanay Shah: Sir, with that happening, we don't expect any interim impact on our margins to that extent?

Kunhamed Bicha: So if you look at our gross margins, we have stood steady on the margin front, I would say, we are investing into the future as you have seen some of these larger ticket customers cutting in. We have a few more in the next few quarters. So, we are getting the team ready, especially in India, to get ready for the ramp.

Tanay Shah: Understood, sir. And sir, my second question would be on our domestic operations. Obviously, we've seen very strong growth over the last year in the domestic market. So if you could help us understand any new clients that are sort of ramping up and under w hat segments would that be and potentially if you could even list down the opportunities for our railway business? You did mention that it grew very sharp at around 57% in the first half. So apart from the Kavach opportunities should come in ne xt year, any other product categories which are also scaling up well out there? Yes, that's it.

Kunhamed Bicha: Yes. I'll answer the last part of your question first. The railway opportunity is real and it's growing. We're growing. And last year also we grew substantially. This year, we are seeing the first half growing not only with our existing customers, new cust omers, as well as new products from existing customers. So, we will continue to see this growth in the foreseeable future as India expands and as India grows in this segment.

Apart from that, the next 3 large customers, which we are kicking off are all India -based and the timing of it is perfect. So, I think our goal is always to be 50 -50, 50% exports and 50% India. And today in our exports, we have started to see a lot of acti vity and the numbers will reflect in the future. Apart from U.S., the other geographies are slowly kicking in.

Did I answer your question, Tanay, or did I miss something?

Tanay Shah: No, sir, that did help. Just wanted to understand any particular segments in which we're seeing this ramp up for the domestic operations apart from rail?

Kunhamed Bicha: So it's mostly mobility and industrial.

Moderator: The next question is from the line of Sameet Sinha from Macquarie.

Sameet Sinha: Question regarding gross margins. So, sequentially, gross margins decreased despite the fact that the revenues increased nicely. And I think you kind of hinted at it that you're investing into it. But if you can break it down between India and U.S. operati ons, seems like India operations, your gross margins improved sequentially, while in the U.S. operations it went down. So, can you explain that dynamic? Because I thought for some reason that all the investments were happening in India, but s eeing that maybe there's something in the U.S. as well.

Kunhamed Bicha: You're talking about gross margin , I believe they have not changed much. Our range has always been between 33% and 35%. And we are well within on the higher side of the range. A few quarters, we may have 36%, okay, or 37% in certain times, but our guidance always been between 33% and 35%. A nd on H1, we are at 34.9% and Q2 we are at 34.3%. So it could be because of product mix and there is no change in gross margin guidance there.

Sameet Sinha: Got it. Okay. And in terms of these -- the new business that you're seeing, kind of a broader question. So, these 3 large customers in India, can you talk about which verticals, which sectors they're coming from? And can you also kind of comment on the ave rage ASP and order size of these new customers? Is it larger ? average?

Any sort of context would be appreciated?

Kunhamed Bicha: I would just say power and industrials are the 2 key areas, and we will start seeing activity maybe late part of this quarter or next quarter and substantial, the y could be in our top 10 customers .

Did I answer your question, Sameet?

Sameet Sinha: Yes. Absolutely.

Kunhamed Bicha: And just to add the transition customers coming to U.S. first and then to India, one is in the power sector from Europe coming to U.S. first and then moving to India. Number 2 is industrial customer. That's again starting in the U.S. and third is a defense customer.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Sir, my question is related to the guidance of 28% to 30% of our revenue guidance for this year. That gives me a second half growth to be in the range of around 17 -odd percent. So, why in the back -to-back quarters in the past, we had seen a very good growt h for the last 4 quarters at least. Now, you are saying about the lower growth for the second half with your guidance. Why is it so?

Kunhamed Bicha: Yes. As you know, Praveen, I'm not sure , we are conservative . There's multi -quarter growth. We look at -- how we look at ourselves , which can we double in 3 years , which we are doing. And then can we further double 3 years from '27, okay? That's been our motto rather than looking at quarter -to-quarter.

And as you have seen in last 5 quarters, we have delivered more than 40% growth. And we intend to continue, okay . But because of when the projects will cut in, whether it will be in December of this year or March of next year, so that's the question mark. The business is there, and we intend to exceed and excel with the expectations set here. So whatever happens, we continue [inaudible 0:26:51].

Praveen Sahay: Okay. Got it. Second question related to the -- as you had mentioned about the ramping of your energy storage or battery storage clients in the U.S. do we see the contribution of the clean

energy in your business to go up from here?
Kunhamed Bicha: From year -to-year, it has grown 34%, okay? So relative to others are growing a little bit faster because some of our -- like industrial year -to-year grew 73%. Communication grew 68%. Mobility grew 59%. So related to that, it's a little bit slower. But on a year-to-year basis, it is growing at a healthy rate of 34%.
Suresh Veerappan: The growth is very well diversified across verticals. So, I think there is going to pick up in clean energy also, and we have already started seeing that happening in this quarter.
Praveen Sahay: So, we will maintain the contribution at least at what level they are in right now?

Kunhamed Bicha: Absolutely. And our intention always to have is between 20% and 25%. So, we are diversified.
Praveen Sahay: And the next question is related to the domestic and the U.S. mix. As you had been answering to the last participant, you said 50 -50, you want to be at U.S. and India l evel business to be. But right now, it's skewed towards in the U.S. Around 60% is the U.S. So, do we see a U.S. business growth to outperform in the coming quarter and year?
Kunhamed Bicha: Yes. So, both sides are growing, but we feel that it's a quarter -to-quarter thing, 3 or 4 points move. I think last quarter, it was 4 0% India . And this year, this quarter, it is 40%. But intention is to get to 50%. I think we should get there sooner than we expect, okay? We're saying that U.S. is also growing, okay? When we say U.S., it's not U.S. manufacturing when we make products for U.S. an d India. So, we categorize that also. So the 81% includes some of the manufacturing we do for U.S. in India.
Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital
Vipraw Srivastava: Last year for FY '25, our H2 was better than

H1. That's why we saw inventory buildup happening in quarter 2. This year, based on the guidance, if you do the back calculation, we'll see H2 more or less being in line with H1, slight -- maybe slight upside. T hen why is the case that the inventory days is so high and the cash from operation is negative?
Suresh Veerappan: Like what KB had mentioned earlier, some of the new programs are ramping up in Q3 and Q4. So yes, the inventory days as of June '25 was 104 and right now, it is 101. But if you look back at March '25, it was 86. But we have to upfront our investments in pe ople and in inventory before a new large program starts in.
We expect that to start some of it in Q3, some of it in Q4. What we had given as a guidance on overall net working capital for the end of the year is 120 to 130 days. I think with the way how we are looking forward the ramp -up, we are confident of getting to that range of 120 to 130 by the end of the year.
Vipraw Srivastava: Noted, sir. And sir, for full year, the cash flow from operations will be positive?
Suresh Veerappan: Definitely, the increase in revenue can help in operating leverage, creating more profits from that perspective. That, in combination of reduction in net working capital can help in cash flow from operations, but let us wait for the next 1, 2 quarters and then we will see from there. We had positive cash flow from operations in the previous 2 years. The second half did help even in the last 2 years. So, yes.
Vipraw Srivastava: Lastly, sir, on the operating leverage part, given that based on the current guidance, Q3 and Q4 will be relatively lesser than Q2. So, do you see some margin pressure happening because of operating deleverage in Q3 and Q4?
Kunhamed Bicha: Let's put it this way. You see the continued growth profile move, okay? It is when and how it cuts in, okay? So what you've seen in the last 5 quarters, you will see it going forward. The timing of it when each program kicks in is going to be the question, whether it's going to be this

quarter or next quarter. It's either going to be December or January because these delays are not controlled by us, it's controlled by the customer. But we are very confident that we'll continue our growth profile what we had in the last 5 quarters as well as the 3 -year doubling, which we have committed when we went IPO that from '24 to '27, we'll double. I think that holds true even today.
Suresh Veerappan: Most of our expenses below the gross margin line are semi -fixed or fixed in nature. And in the past also for us, operating leverage has played out. Right now, like what we have been highlighting in the last 6 months and even earlier in the call, we are upf ronting some investments in people and inventory right now for the new programs that are kicking up in the second half.

So yes, it is on the positive side of operating leverage is what we are also expecting.
Vipraw Srivastava: Got it. And sir, lastly from my end, in the first half, roughly 81% of manufacturing has happened in India based on your presentation, 19% has happened in U.S. Where do you see this number heading for the remaining 2 quarters? Do you see this heading upwar ds or remaining flattish?
Kunhamed Bicha: So, we've always guided to 80 -20. And a few quarters, there will be a couple of points up or down either way. But we still, in the next -- for the next 2 quarters, we see 80 -20.
Vipraw Srivastava: Noted, sir. And this will have no impact on margins, right, increased U.S. manufacturing?
Kunhamed Bicha: I don't believe. I think it will get better as U.S. numbers improve because our top line is increasing. So with that, the U.S. side also will increase.
Moderator: The next question is from the line of Chirag from Keynote Capital.
Chirag: Congratulations for a great set of numbers, sir. Sir, my first question is, post the

implication of
tariffs, I just wanted to understand one thing that if someone is buying from a U.S. facility, someone is buying from an Indian facility, what is the cost d ifferential as a client one is getting?
Kunhamed Bicha: Okay. That's an interesting question. So, there's not a flat increase by percentage. It all depends on the labor content. So sometimes even from a $4 per hour in India to $35 per hour in U.S. is still -- is cheaper to make in India, if you have a 5 -hour la bor content, okay? But if you have an automated project, it may not be as simple as that. So it varies by project and complexity. Some of the products, we have 200, 300 hours of labor in each part since we make complex part. So it's difficu lt to move back and forth. And these are $50 billion, $60 billion companies.
They are not going to change because like the textile industry or the leather industry because something is cheaper, something is higher because you've got 25% tariffs average across any country you go to, okay, in the cost -effective countries. So it's not going to change. We see like the consumer indust ry where it moves very quickly.
You've seen it in numbers. Customers who are Make in India continue to Make in India. And these products have a 10 - to 15 -year life cycle. So just because of a 2 - or 3-quarter change, they're not going to make the switch. And it takes a year, 1.5 years for them to make a switch

even if they decide something. So, they rather wait it out and pay the -- as you see, most of our customers have paid on the tariffs.
Chirag: Fair enough, sir. Sir, I just wanted clarification on one thing. Our earlier strategy was similar to what we are pining right now, where initial manufacturing for U.S. clients were done in U.S. and to showcase them some benefits of shifting it to the India facility where everything what we used to manufacture in U.S. is similar that we were able to do in India.
We were able to shift certain clients from U.S. to India, which benefited Avalon from a perspective that labor cost in India was comparatively cheaper than U.S. led to a significant margin improvement on EBITDA levels. So would it be correct for me to unde rstand when we are getting new orders or certain clients related to battery electricity storage are initially focusing on U.S.? Would be expecting to move to India when they have showcased the kind of quality of product we can deliver?
Kunhamed Bicha: You are right and wrong in that notion. So if you look at us 3, 4 years back, we started in U.S., then brought in India for some time. But around 1.5 years back, if I recall the timing right, we started bringing customers directly to India, okay, so to kin d of cost effectively reduce our overhead in the U.S. So, that was starting to work, and it was working t ill this tariff situation came.
So, we are back to the old model where, okay, let's start building there at a higher cost. And then when it moves to India, of course, we have to deal with the labor piece. So the customers are looking at it on the longer -term perspective, okay? If you are going to tell a customer today -- a new customer saying that I'll come to India, I'll make it cheaper, faster, better, but you've got to pay 50% tariffs.
That's not going to work. So, what we're saying is that let's start in the U.S. and then in 6 months, these are substantially large customers. You have an opportunity to move to India, and you will not waste the time in transferring the technology. So, tha t is what is working in our favor today, having the 2 -plan strategy in 2 countries.
Chirag: Fair enough, sir. Means this problematic situation is actually helping us to garner more clients compared to the peers...
Kunhamed Bicha: Absolutely. We have -- like I said, we have seen more activity now than before.
Chirag: Right, right. Sir, over the last

2, 3 years' time frame, where our revenue used to be around
INR200 crores, INR220 crores annually, we have done a phenomenal job to almost shift it to

INR400 crores roughly rate. One thing I wanted to actually understand. The earlier order inflow rate on a monthly basis in last 5 to 7 quarters used to be in the range of INR130-odd crores on monthly levels and about INR1,600 crores to INR1,700 crores -- about INR1,500 crores to INR1,600 crores on a quarterly level -- on an an nualized level.
But today also, I'm able to see that on a quarterly basis, our order inflow run rate is still around INR460 crores, INR470 crores which is monthly about INR150 crores roughly. And our revenue

has jumped from INR200 crores to INR400 crores. So, I'm able to -- is there any hindrance that you are facing to garner more orders? Or is there any capacity constraint that we have today, which is expected to unlock, and we are expecting that order book inflow on a quarterly basis is expected to jump from current levels to INR550 crores, INR600 crores on a quarter basis?
Kunhamed Bicha: So the way you need to look at it is, see, what comes as physical orders and not contracts is INR1,863 crores for the next 14 months, okay? I've got another set of orders and contracts, which is from 14 months to 36 months. So the total is around INR3,031 crores. And we've got orders past the 3 years. Some contracts are for 15 years. okay? Those we don't count. We don't -- we're just looking at the near term.
So if you are just chasing the order book, what can be shipped in the next 12 months is what we look at, okay? So we are not taking the -- our usual contracts are anywhere from 5 years to, in some cases, 15 years in the aero industry. But we're not countin g the last part of it. Did I answer your question, Chirag?
Chirag: Got it. So just to clarify one, the long -term contracts, which is more than 14 months to 3 years are separate set of numbers compared to the INR1,800 crores, INR1,900 crores order book that we have today?
Kunhamed Bicha: Absolutely, yes. So we have INR3,000 crores plus, and we've got more after that.
Chirag: Got it. Fair enough, sir. And sir, one thing . I'm so sorry...
Moderator: Sorry to interrupt, sir. But I request you to rejoin the queue for follow -up question. The next question is from the line of Neel Mehta from Equirus Securities.
Kunhamed Bicha: Neel, we can't hear you. We still can't hear you, Mr. Mehta. He drops off after the first few words. It kind of drops off, Neel.
Moderator: We can't hear you properly, Mr. Mehta. I request you to rejoin the queue. The next question is from the line of from Debashish from SVAN Investments.
Debashish : Congrats on the consistent deliveries. So I have 2, 3 questions. First one is linked to the U.S. operation. If we see the U.S. revenue growth this time has come significantly better, but it has not percolated into the EBITDA margin because my understanding is a large part of the cost is fixed and with utilization improvement, the EBITDA of the U.S. operation should improve, but that is not visible in this quarter at least. So is it more transient in nature? And going forward, we will see the U.S. manufacturing facility to improve -- I mean, contribute more in the margins? So just wanted to get some sense here.
Suresh Veerappan: Hi Debashish, Suresh here. You're absolutely right in the U.S. manufacturing operations revenue going up because we have been talking about the energy storage system program ramping up, which is what is happening now. That is one of the reasons why the revenu e is also starting there.
In terms of EBITDA -- percolation to EBITDA, a year ago, if you had looked at it, the EBITDA would have been approximately negative INR13 crores . But right now, that's not the case, where

the operating leverage with increasing and increased revenue over there is helping the U.S. operations also, which is what is the hope in the coming quarters to continue there.
Debashish : Okay. So, Q2 last year was negative INR13 crores. What is the number this year, sir?
Suresh Veerappan: EBITDA is minus.
Debashish : INR5 crores, right?
Suresh Veerappan: Correct.
Debashish : Understood. Understood. And the second question is, this is again related to the guidance. I don't want to hold you for this year number. So, this is more of a long -term question. I'm trying to get some sense. You are talking about doubling the revenue bet ween FY '24 to '27. Now if I'm just taking the run rate of the current quarter, we have almost touched the double of FY '24 and FY '26 itself, not exactly double, but close to that.

So, just trying to get some sense that you will still be maintaining that this FY '24 number will be doubling in FY '27? Or you think that because of higher traction as compared to what you initially thought that FY '27 numbers should be better than the -- I mean, the initial guidance that you were thinking of?
Kunhamed Bicha: So, what we are thinking is a little bit longer term because we think this is very much possible like you said, okay? We are looking at doubling from that point, the next 3 years. So the planning is based on the next 3 years already from '27.
Debashish : Yes. But sir, what I'm trying to get some sense is, I mean, in FY '24, we achieved around INR900 crores, INR870 crores. Now, my sense is that in FY '26 itself, we will be crossing INR1,500 crores type of run rate. So, you are still like, in FY '27, you were kind of INR1,700 crores, INR1,800 crores number that you are looking at, or you were targeting much higher numbers? Because as far as our last discussion is concerned, you were already working on some of the few large projects in railways and all. So, that is some sense I'm trying to get. I'm very much confident that post the next 3 years, you will be again doubling tha t number. There is no doubt about it. I'm just trying to understand that whether there is any preponement as compared to what you thought initially when you…
Kunhamed Bicha: We'll all be happy. We'll all be happy if it happens earlier, and we strive to do that. But as you know, we are very conservative in our approach. So, we still maintain doubling 3 years and doubling again in the next 3 years. And if it comes earlier, all o f us are happy. The investors are more happier than what we are. But our internal targets are much higher.
Debashish : Sure, sure. Understood. And if you can...
Moderator: Sorry to interrupt, sir, but I request you to rejoin the queue for follow -up question. The next question is from the line of Himanshu from Krijuna Research and Analytics.

Himanshu: Sir, congratulations on your good numbers. My first question is on the -- in your last transcript, you said you are entering in the semiconductor equipment manufacturing space and you will buy the industry 4.0 complex box -build. So in this quarter, these l ast 2 quarters, anything manufacturing you start, you can give...
Kunhamed Bicha: Sorry, Himanshu. Sorry, sorry. Go ahead.
Himanshu: Yes, you can give me a broad view that you are doing in the semiconductor equipment manufacturing space.
Kunhamed Bicha: Yes, we have already started. We have invested quite a bit into that, and we are starting to see the first set of prototypes going out this quarter, and we'll see high -level production into the next few quarters. So everything is in line, and we believe 1 year plus of work is finally going to pay dividends in the future quarters.
Himanshu: Okay, sir. And my second question is what is the synergy gain on collaboration with Zepco Private Limited?
Kunhamed Bicha: Yes.
Himanshu: What is your synergy

gain on collaboration with Zepco Private Limited?
Kunhamed Bicha: Yes, that's correct. So, we have multiple such gains and it takes time. But what we are seeing is a lot of our customers are starting to engage in design activity in the power side of things, and Zepco is one of the leaders in that today. And of course, th ey're also on a second project working on motors for drones in the India market.
That is also progressing well. But collectively, for us, the more important part is the design part, which are customers in the power and clean energy. We have a design partner now, which can take the design part of it. And of course, we are more intereste d in manufacturing it. And all that is playing out as we plan.
Himanshu: So, you started a manufacturing or you planning for this?
Kunhamed Bicha: No, no. Design usually takes a year to 18 months at least, okay? So once it starts now, the manufacturing is a long -term play. It's not something which can happen overnight.
Himanshu: And sir...
Moderator: Sorry to interrupt, sir, but I request you to rejoin the queue. The next question is from the line of Jalaj from Svan Investments.
Jalaj: Sir, my question was again in regards to the manufacturing in the U.S. facility. So at what scale of operations do we believe that this would reach to a, let's assume, at least a breakeven operations or a breakeven EBITDA level? And could you repeat what w as the EBITDA loss in the last year same time in the same quarter?

Kunhamed Bicha: Suresh, do you want to answer?
Suresh Veerappan: Yes. So Q1 FY '25 was minus INR12.7 crores. So, that was the number which I was referring to in my context.
Jalaj: What was the quarter? Q2 FY '25, what was the number, Q2?
Suresh Veerappan: It was minus INR5 crores.
Kunhamed Bicha: Yes. And you will start seeing it play out in the next few quarters, which will be a positive gain for us.
Jalaj: Okay. Some directional scale or -- and Suresh, specifically, I'm still confused. The 2Q FY '25, the losses were minus INR5 crores you are saying?
Suresh Veerappan: Approximately around that number. I think it should be around -- you're talking about Q2 FY '26 or Q2 FY '25.
Jalaj: '25. '25.
Suresh Veerappan: Q1 FY '25 is minus INR13 crores. Q2 FY '25 PAT is minus INR3.9-odd crores . Yes.
Jalaj: Okay. So if that is the number, then our EBITDA losses have rather increased in absolute terms, and our revenue has increased by almost from INR30 crores to INR72 crores. So, almost a gain of INR40 crores, but EBITDA it has not flown through. So, I'm just trying to get my head around that losses have increased in EBITDA terms in...
Suresh Veerappan: No. Right now, like what we had said earlier, we have spoken about this earlier also where we are upfronting our investments today in the people as well as in the inventory for the revenues that are yet to flow in. So today, you have the cost that is there without the matching revenues yet to flow in, okay?
So whatever revenues that you're having now, these are complex products, Jalaj, which means that you've got to train the people for a quarter or slightly more than a quarter to deliver them. So the costs, what we are incurring right now, the matching reven ues we will -- we hope to see in the coming quarters.
Jalaj: Got it. Got it. And there is...
Kunhamed Bicha: One thing, see -- Jalaj, one thing you have to understand is because we are starting there is why India is doing very well because the products are moving here. So it's something which is interrelated rather than you can't look at it separately because we start there and then move it here and all the profitability comes to India after that.
Jalaj: Got it. And then sir, because of these tariffs, are you seeing some...
Moderator: Sorry to interrupt, sir. But I request you to rejoin the queue for follow -up q

uestion. The next question is from the line of Chirag from Keynote Capital.

Chirag: Sir, my question, which I asked about the inflow of order book. I'm still after adding long -term and short -term order book, our quarterly run rate is still around INR450 crores, INR460 crores compared to INR400 crores a year back, whereas our revenue has improved from almost INR275 crores to almost INR380 crores. So, just wanted to understand the same thing again. Are we facing any headwinds in garnering more orders at this moment?
Kunhamed Bicha: Can you hear us?
Chirag: Yes, clear, sir.
Kunhamed Bicha: So in the context, see, some of -- when we have a 5 -year project, okay, where we know that this amount is given every year, sometimes certain customers release it on a 12 -week rolling, okay? I may be doing $15 million with the customer, okay? But order on the book will be only $3 million because he's giving a rolling PO, but you have a contract for 5 years. So, we only count the rolling number.
Chirag: Got it. Got it. Fair enough. So it would be incorrect for me to actually compare order book growth and revenue growth together to go align in future also. There can be a p ossibility for things to happen?
Kunhamed Bicha: Yes, you can see it in our growth itself, if you look at it 12 months back and what our numbers are today.
Chirag: Sir, last question from my side. As we have had a JV with Zepco and the collaboration that we have with Zepco, is it fair to assume for me that we are focusing from shifting from being an EMS company to an ESDM company and focusing more on design to be inc orporated on our firm from the client perspective and increasing the part of revenue from designs going forward?
Kunhamed Bicha: So just to clarify, Zepco is a small investment for us, okay? We have only invested INR7 crores. The reason for the investment is we are a manufacturing company, an EMS company. If we can

get the design element done, our interest is in the next 10 years of manufacturing, not the first
INR1 crores or INR2 crores in design.
Our interest is once it's designed, can I make this product for the next 10 years? That's a INR200 crores activity, right? So that's why Zepco and us are partner, okay, to make that possible for our power and clean energy customers. Did that answer your question, Chirag?
Chirag: Yes, sir. So, our focus still for the next 10 years would be on manufacturing side. This is just a small type of a collaboration for a certain sector -related designs that we are doing so that we can get the orders for the coming years.
Kunhamed Bicha: The expertise to do that.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Kunhamed Bicha: Thank you. FY '26 has started strong for Avalon with robust revenue growth, solid execution and continued customer traction across key markets. The upward revision in our revenue growth guidance reflects our confidence in our business outlook. We remain focused on sc aling programs, enhancing capabilities and investing ahead of our growth.
Our entry into semiconductor equipment space marks a key step as we expand into more advanced high -potential segments. With a healthy order book, expanding customer engagement and a flexible global manufacturing model, we are well positioned to sustain mom entum through the year and deliver profitable growth. We thank our investors for their continued support and look forward to updating you in the coming quarters. Thank you.
Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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“Avalon Technologies Limited
Q3 FY '26 Earnings Conference Call ”
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MODERATOR : MR. JIGNESH THAKUR – JM FINANCIALS

Moderator: Ladies and gentlemen, good day, and welcome to the Avalon Technologies Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jignesh Thakur from JM Financials. Thank you, and over to you, sir.
Jignesh Thakur : Good afternoon, everyone, and a warm welcome to the Q3 FY '26 earnings call of Avalon Technologies. To take us through the results today, we have with us from the management, Mr. Kunhamed Bicha, Chairman and Managing Director; Mr. Bhaskar Srinivasan, Presi dent; Mr. Suresh V.R., Chief Financial Officer; Mr. Shriram Vijayaraghavan, Chief Operating Officer; and Mr. Venky Venkatesh, Chief Sales Officer.
Mr. Bicha will give an overview of the business performance and will be followed up by Mr. Suresh's remark on the financial performance, post which we will open the floor for the Q&A.
As we move forward, it is important to bear in mind that any forward -looking statements made during this call are subject to potential risks and uncertainties, both known and unknown. Now without any further delay, I will hand over the floor to Mr. Bicha for his initial remarks, the CMD. Thank you, and over to you, sir.
Kunhamed Bicha: Thank you, Jignesh. Good evening, ladies and gentlemen. On behalf of Avalon Technologies, we extend a very warm welcome to our Q3 FY '26 earnings call. We thank our investors for your continued trust and support. Your confidence in Avalon has been an important contributor to our consistent progress in execution, financial performance and operational discipline.
Q3 FY '26 marks our sixth consecutive quarter of sustained growth. We delivered improved performance across key financial and operational metrics, including revenue growth, profitability, order book growth, net working capital days, asset turns, cash flow from operations, net debt to equity and return on capital employed. We have also made steady progress in new product introductions, including semiconductor manufacturing equipment and power systems.
The external environment is also supportive of our long -term growth. U.S. tariffs have reduced from 50% to 18%, benefiting our U.S. export business. In India, the government direction towards India Semiconductor Mission 2.0 with a focus on semiconductor equipment aligns well with our capabilities and recent business wins.

Our efforts to build a meaningful sales presence in Europe over the last few quarters also coincide with the India -Europe trade deal. Overall, we believe we are well positioned from both a company and market perspective.

Q3 FY '26 saw our highest ever revenue and profit after tax in the history of the company. This is supported by well -diversified growth across both verticals and geographies. With improved business visibility, a better macro environment and ongoing project ramp -ups, we are revising

our FY '26 revenue growth guidance upward to around 40% from the earlier guidance of 28% to 30%.

Moving on to the key financial highlights for 9 months FY '26. Revenue for 9 months FY '26 was at INR1,123 crores, representing a year -on-year growth of 48.7%. Our average revenue growth over the last 6 quarters has been 46%. Our focus on manufacturing complex box build systems continue to gain traction with box build contribution improving from 49% in FY '25 to 53% in 9 months FY '26.

As of December 31, 2025, our order book grew 26.5% year -on-year to INR2,016 crores with an average execution period of

14 months. In addition, long -term contracts with execution time lines ranging from 15 to 36 months is at INR1,183 crores. Order book growth remains well balanced and diversified across industry verticals and geographies. Gross margin for 9 months FY '26 was at 34.6% at the upper end of our guided range of 33% to 35%.

EBITDA for 9 months FY '26 was at INR116 crores, reflecting a growth of 59.2%. EBITDA margin improved to 11.5% in Q3 FY '26, supported by operating leverage. Profit after tax for 9 months FY '26 was at INR72 crores, an increase of 83.3% year -over-year. Profit after tax for Q3 FY '26 was INR33 crores.

India manufacturing operations, which continue to serve both domestic and global customers, accounted for 78% of our total revenue in Q3 FY '26, delivering a very healthy profitability with an EBITDA margin of 16.7% and a PAT margin of 11.9%. Revenue from our U.S. manufacturing operations contributed the remaining 22%. Net working capital continued to improve during the third quarter. On a quarter -on-quarter basis, net working capital improved by 13 days from September 2025 to December 2025.

Receivables reduced by 8 days sequentially. Inventory declined by 3 days sequentially as programs moved into execution phase. Payables also improved by 2 days sequentially. Overall, the improvement in net working capital supported a positive cash flow from operations of INR51 crores in Q3 FY '26.

We continue to follow a capex -light model. Asset turns improved from 7.5x in FY '25 to 9.5x in Q3 FY '26. Net debt remained low with a net debt -to-equity ratio of 0.04. As a result, return on capital employed improved to 18.8% from 11.3% a year ago, reflecting continued efficiency in capital utilization.

On the topic of tariffs, the long -awaited trade deal has been announced with U.S. tariffs on imports from India reduced from 50% to 18%. During this period, we were able to recover 99% of the applicable tariffs from our customers, supported by our long -standing presence in the U.S., deep market understanding and a strong customer relationships.

More importantly, this period of elevated tariffs helped us accelerate on new set of business opportunities. Alongside wins in the domestic Indian market, we accelerated new program wins in the U.S. for U.S. manufacturing, as customers look to diversify su pply chains and reduce risk.

At the same time, we have made progress in expanding exports to Southeast Asia, further broadening our geographic footprint.

With the tariff reduction now in place, another growth lever comes into play. India manufacturing for U.S. customers becomes even more attractive, strengthening one of our core competencies. As a result, domestic growth, new regions of export and U.S. -focused India manufacturing are coming together, giving us confidence in a strong and well -balanced growth journey ahead.

Now moving on to key growth drivers and an update on major programs. We remain encouraged by progress across our 3 growth drivers. One, existing business. This is driven by long product life cycles, mission -critical products and steady recurring revenues. Growth remained well

diversified across rail, aerospace, industrial, clean energy and communications.
In 9 months FY '26, the industrial vertical contributed 35% of our revenue and grew 67% year -on-year. Rail as part of our Mobility segment contributed 16% and grew 70% year -on-year, while Aerospace contributed 8% and grew 64% year -on-year. Clean Energy accounted for 19% of our revenue and grew 35% year -on-year.
Two new business wins. This is built on sustained efforts over the past 2 years with these programs now translating into fresh orders and production ramps across multiple verticals. Our dual shore model and the new Chennai export facility has supported the scale -up. The energy storage system program is fast gro

wing and ramping in line with our plan. Also, we are making steady progress in aerospace cabin subassemblies.
We have successfully completed the first tranche of prototypes for a communication customer where we are manufacturing control units for satellite antenna systems. We expect volume orders to commence from FY '27. Our prototypes catering to industrial proce ssing sector and power sector have commenced.
In the semiconductor equipment, we have completed the project readiness phase for a key customer, marking an important milestone ahead of volume production. We expect this program to begin contributing meaningfully to revenue during FY '27.
The government's ISM 2.0 focus on semiconductor equipment aligns well with our capabilities and recent wins. We are progressing steadily in this space, partnering with global major to deliver Industry 4.0 compliant complex systems.
Three, opportunity pipeline. We continue to see a diverse and expanding set of opportunities progressing towards finalization with encouraging potential in both size and scope. In recent quarters, we onboarded new customers across industrial and defense segment. Products include mission -critical power inverter platforms, critical components for an integrated battlefield command system. In what could be the first to Avalon, we are bidding on exciting opportunities in advanced metal cockpit assemblies and landing gear components in the aerospace segment.

Further, we are on the cusp of foraying into cable commodity with a major customer in aerospace. Last but not the least, we are witnessing increased interest from aerospace majors in our cable and electronics commodities. These opportunities are long term in nature, and we hope to continue our focus on developing the aerospace vertical. We will continue to provide updates as projects evolve.
In summary, Q3 FY '26 reflects a period of sustained execution and disciplined profitable growth for Avalon. We delivered our sixth consecutive quarter of sequential improvement, achieved our highest revenue and profit to date, strengthened margins, improv ed working capital, generated positive operating cash flow and enhanced return on capital, all while maintaining a capex -light balance sheet.
Our growth remains well diversified across verticals and geographies, supported by a healthy expanding order book, steady progress in new programs and multiple growth levers coming together. Recent tariff reduction announcement of ISM 2.0, progress in semi conductor equipment and expansion into new export markets further strengthens our long -term growth outlook.
With all the 3 growth drivers gaining momentum, manpower costs stabilizing and operating leverage beginning to play out, we are well positioned for the next phase of profitable growth.
We remain focused on execution and we'll share our FY '27 outlook once our budgeting exercise is completed next quarter.
With this, I would like to hand over to our CFO, Suresh Veerappan, for a detailed overview of our financial performance.
Suresh Veerappan: Thank you, KB, and good afternoon, everyone. Thank you for joining the call today. Our growth journey would not have been possible without your continued trust and support. We are delivering strong and sustainable growth, supported by improving profitabili ty, cash generation and capital efficiency.
Revenue growth was 49% year -on-year in both Q3 FY ' 26 and-9-month FY '26. This performance has been accompanied by improvement in operating cash flows, net working capital and return on capital employed.
Over the past few quarters, we have seen consistent sequential progress with each quarter building on the previous one. This reflects the strength of our diversified business model and a disciplined approach to execution capital management.
Growing domestic demand, the government's ISM 2

.0 focused on semiconductor manufacturing
equipment and recent trade developments to the U.S. are strengthening the Indian electronics manufacturing ecosystem.
Coming to our Q3 FY '26 performance. Revenue for Q3 FY '26 was INR418 crores, up 48.7% year-on-year from INR281 crores in Q3 FY '25 and 9.2% sequentially. For 9 months FY '26,

revenue from operations was INR1,123 crores, delivering a year -on-year increase of 48.7%, supported by diversified growth across industries and geographies.
In Q3 FY '26, revenue mix was 36% from India and 64% from the U.S. For a 9 months FY '26, the revenue mix was 38% India and 62% U.S. India grew 35% year -on-year, while the U.S. grew 59% year -on-year in 9 months FY '26.
Gross margin for Q3 FY '26 was INR143 crores with a margin of 34.2%. For 9 months FY '26 gross margin was INR389 crores with a margin of 34.6%, representing a year -on-year growth of 42.7%.
Margins remained within the guided range. During the period of elevated tariffs, we were able to pass on over 99% of the tariff impact to customers. As a result, there was no material impact on absolute margins, although gross margin percentage was impacte d by approximately 100 basis points during this period.
EBITDA for Q3 FY '26 was INR48 crores, up 38.5% year -on-year with a margin of 11.5%. For 9 months FY '26, EBITDA was INR116 crores, up 59.2% year -on-year with a margin of 10.4%. Margin expansion during the quarter was driven by operating leverage as revenue continues to scale. PAT for Q3 FY '26 was INR33 crores, up 35.9% year -on-year with a margin of 7.1%. For 9 months FY '26, PAT was INR72 crores, up 83.3% year -on-year. Profitability continues to strengthen, delivering sustained profitable growth.
On the new labor code, our existing practices are largely aligned with the requirements and we do not anticipate at this stage a material impact on the group's financials. The estimated incremental impact of INR33 lakh has been recognized in the quarter. Financial implications will be further evaluated as relevant rules and clarifications are notified by the government.
Moving to the balance sheet. Net working capital days improved to 118 days in December 2025 from 150 days in December 2024, a reduction of 32 days. Inventory days improved from 103 days to 97 days, while trade receivable days reduced from 94 days to 72 day s over the same period. Trade payable days increased from 46 days to 52 days.
On a quarter -on-quarter basis, net working capital days improved by 13 days from 131 days in September 2025 to 118 days in December 2025, supported by improvement across inventory, receivables and payables. In the previous call, we had guided net working capital days in the range of 120 to 130 by March 2026 and we are currently below this range as of December 2025.
Cash flow from operations was positive at INR51 crores in Q3 FY '26, supported by improved working capital management and profitable growth. As of December 31, total debt was INR143.2 crores with cash equivalents investments of INR113.4 crores, resulting in a net debt of INR29.8 crores.
Capex for Q3 FY '26 and 9 months FY '26 was INR10.7 crores and INR35.1 crores, respectively. We continue to operate a capex -light model with asset turns at 9.5x. Return on capital employed

improved to 18.8% compared to 11.3% a year ago. Avalon's dual presence in India and the U.S. provides strategic flexibility.
Our India operations offer a cost -efficient and scalable manufacturing base, while our U.S. facilities support localization and tariff management. This positions us well to support customers amid evolving trade dynamics. With improved business visibility, we have revised our FY '26 revenue growth guidance upwards to around 40% from the earlier guidance of 28% to 30%. To

summarize, Q3 FY '26 delivered strong operating and financial performance, supported by broad -based growth across segments and geographies.
We continue to see growing demand from Indian customers and increasing program activity across other geographies, including the U.S. and Southeast Asia. With our established track record, dual shore operating model and expanding capabilities, Avalon is well positioned to capitalize on the opportunities ahead and support customers through the next phase of growth.
Thank you. We request the moderator to open the floor for questions.

Moderator: Thank you very much. The first question comes from the line of Sameet Sinha with Macquarie. Please go ahead.
Sameet Sinha: Couple of questions. So first, congratulations on a good quarter. Secondly, talking about the guidance implication, 40%, that's obviously very strong. But that implies like fourth quarter revenue growth of about 20%, 21%. Is that your continued conservatism? Or are you thinking about it from a high base perspective because last year fourth quarter was also very strong? Secondly, you obviously went through a series of investments to increase your operational capacity. Are those investments done? And secondly, you're talking about your growth being much higher than probab ly expected at least externally?
What sort of -- I mean, these high asset turns, when do you need to probably reinvest to kind of continue to grow at a high pace in fiscal '27 because that seems like several new customers coming on board, large customers coming on board in fiscal '27?
Kunhamed Bicha: Thank you, Sameet, for your kind words as well as the question. I'll try to answer all of them. If I miss something, just ask me. So we have always maintained that we'll do asset turns between 7 to 10x and we'll continue to do so. We still believe there's enough capacity looking for -- apart from the 2 new facilities coming up for space.
So we still think that our capex is around INR50 crores a year, which is lower this year, but will be around INR50 crores a year for the next couple of years at least. And in the next 2 or 3 years, we may look for a larger facility or duplicating what we have in Avalon, but not in the near term or midterm.
And again, on the first part of your question is that, yes, we are conservative, okay, because the different programs cut in at different times for us. And this last 9 months has been tariffs, no tariffs, what tariff, what percentage. So we were really rel uctant to come out with a specific number because we didn't know. We didn't know what the tariffs are going to do to our business.

And I'm very happy to say the team has managed this very well and you've seen this growth in spite of the tariffs coming in, both in India as well as in our geographies. And saying that we're expanding to other geographies also so that we'll never be in th is situation again where the tariffs just in our future.
So we will have it diversified, but our focus will also be on exports, just not India. And India is very key to our larger growth. Did I answer everything, Sameet? Or is there something else I missed?
Sameet Sinha: I think there was one question about your operational investments that you started at the beginning of the year and you had said that that will end by the third quarter. So has that -- all the investments you made, maybe it was headcount, maybe it was syst ems and operations. Are those done?
Kunhamed Bicha: Yes. You can see that in our numbers itself. It's been flat quarter -to-quarter. There will be some swings as you grow at this pace. But by far, I would say, for the existing programs, we are well covered.
But our hope is that we get much larger programs in the future. So we'll have to focus on basically people -based investments to get the right person on board. So in the short term,

I think
it is going to be flat or plus or minus a few points. Suresh, do you want to add something to that?
Suresh Veerappan: I think you've covered it . So there will be a combination of existing programs, which continue to ramp up from pilot phase to ramp -up phase. And then there will always be new programs will come in parallelly as well. So I think with the kind of pilot programs that are expected to ramp up in the near term, they are covered in terms of investments, but it's going to be a combination of both.
Sameet Sinha: Got it. And one final question. In terms of this 99% recovery of tariffs, is there a rupee number that you can give us like what was the leakage? I'm just trying to understand if that goes away, that doesn't become a headwind, how much your margins could e xpand next year?
Suresh Veerappan: So typically, we have not shared a tariff absolute number , but just to give you a heads up on that, let's say, without tariffs, our gross margin percentage would have been better by 100 bps.
Moderator: The next question comes from the line of Tanay Shah with DAM Capital.
Tanay Shah: Congratulations on a great set of numbers. And so I just wanted to confirm the numbers that you spoke in the opening commentary. We said that revenues from U.S. this time was around 64%.
Is that right for the third quarter?
Suresh Veerappan: That's correct.
Tanay Shah: 64-36, right? And manufacturing was around -- can you just repeat the manufacturing number for me, please?
Suresh Veerappan: Sure. In Q3 FY '26 U.S. manufacturing is 22% and India manufacturing is 78%.

Tanay Shah: Perfect. Thanks for confirming that. Now secondly, right, in terms of areas of growth, right, while we're obviously seeing a lot of broad -based growth across applications. Across each segment, could you potentially highlight what are the particular clients which yo u're sort of working for, not in terms of names, but rather applications?
And going forward, how do we expect that? So we just spoke about how the existing base is obviously going to grow. So if you could just highlight some color on that. And further, the incremental growth, which is going to come through, what are those applic ations which your kind of looking at?
Kunhamed Bicha: So that's a tough one to answer when you are chasing broad -based growth. So we would have a time when certain parts of industrial will be split into a different vertical, let's say, when there's meaningful growth in the semiconductor equipment, we will spl it that out from the industrial vertical.
But what we are seeing is growth in a lot of our segments where we are focused and we are going to go deeper into the segments because some of the customers we have are Fortune 100 type customers where there's enough room to grow apart from the new custome rs. So whether it's a commodity or a capability, we are going to target that. Did I answer that question for you, Tanay?
Tanay Shah: Sure, sure. Sir, and obviously, the Indian margins have been -- the Indian operation margins have been extremely strong, right? And I think we're scaling up out their quarter -on-quarter. But would you sort of give some update on how we are looking to improve the U.S. burn, which we're kind of seeing right now quarter -on-quarter?
I mean, obviously, we are ramping up manufacturing out there, but any direction which you would sort of give in terms of the U.S. margin profile?
Suresh Veerappan: Sure. So with respect to U.S. manufacturing, which constituted 22% of our business for this quarter, the PAT losses are at around minus INR7 crores. If you look at the last couple of quarters, it was approximately at around minus INR9 crores each quarter. We have been talking about a possible operating leverage opportunity in U.S. manufacturing as well, alongside India manufacturing. The beginning of that is

what we see this quarter.
We believe the next year with the growth in energy storage systems and some of the new businesses that we have won in U.S. can help in that direction. So we are trending towards a direction of better profitable profile in the U.S. manufacturing as well.
Kunhamed Bicha: And you also will have to recognize that in the last 9 months, which was the best thing that we could have had where having a U.S. manufacturing. So some of the programs are getting started prototyping there.
And hopefully, in the next 6 months to a year, we may start moving some of it to India manufacturing. So it's just not a factory to factory. It is also the future of export business in India is tied to that factory.

Moderator: The next question comes from the line of Archit Shah with B&K Securities.
Archit Shah: Congratulations, sir, for a very good set of numbers. Sir, first question is regarding tariffs. Now earlier because of 50% tariff, we were planning to increase our U.S. manufacturing for some tariff -sensitive clients.
So now what is the outlook on clients, especially on the stickiness and your comfort level after being better off in terms of geographies versus our other Asian peers? Are we -- do we still stick to increasing U.S. manufacturing? Or are we keeping it at 20 % around?
Kunhamed Bicha: The ideal goal for us is 80 -20. We've always kind of said that -- I mean, but today, we have a set of customers who have come to U.S. Some of them want to stay in the U.S., do not want to take a risk for a couple of years with all these things changing on a daily basis.
So they have decided to next 2 years, they're going to make it. And the other half is going to move when things settle down, right? Because some of these programs take 6 months to a year at least to get going. And we have started on these programs. So we will not change the prototyping from our U.S. location. And when the time comes, of course, cost does matter to the customer. He will make the choice when to move.
But in the short term, we don't expect any knee -jerk reaction because these are large customers.

They have made their policy decision or I would say, strategic decision to do one year in the U.S. and then move, but they have the option to do that.
And once things settle down with these tariffs because tariffs also is very relative, right? It's one thing today and then things could change in 2 months, okay? So we just -- but the good thing is business is coming from all sides. Does that answer your q uestion, Archit?
Archit Shah: Yes. And just one thing I didn't understand was since you're recovering 99% of tariff, how do it impact your gross margin still by 100 bps when you said that if there were not tariffs, then you could have -- your gross margin would have been better by 100 bps, right?
Suresh Veerappan: Okay. I'll take that. Suresh here. So absolute gross margin doesn't get impacted. But the gross margin as a percentage because we incur tariffs and then we pass it on to the customer, so both the numerator and denominator gets expanded to that extent. So a s a percentage, optically, it could have been 100 bps better.
Archit Shah: Okay. Got it. So my second question is regarding our manufacturing margins. So firstly, despite our U.S. manufacturing base increasing to INR91 crores, INR92 crores, our EBITDA margin leans at negative 7% only yet, which was the same that earlier at INR30 crores, INR40 crores also. So are we still investing over there?
And what kind of scale do we need to achieve to start seeing the declining trend? And secondly, on India margin, 16.7% are very strong. So are those sustainable numbers? Or is it just quarterly bps and on annual basis, we should expect around 13.5% or 14% sustainable margin?

Suresh V

eerappan: Sure, Archit. So first things first, most of our business, if not all of our business are recurring type of nature, long -term businesses. So there is nothing one time or one quarter from a business perspective.
These are all long -standing customers for us. That is our key strength. With that said, our India manufacturing revenues, which constitutes 78% of our business delivered 16.7% EBITDA and 12.2% PAT.
So this significant number is something that we have been talking in the previous quarters as well where operating leverage can come and help once the revenue scales. That is what probably we are seeing in the India manufacturing side.
With respect to the U.S. manufacturing, the energy storage system business as well as some of the other new businesses started kicking in and we have been discussing about this in our calls over the last 4, 5 calls as well.
So overall, the PAT has reduced from minus INR9 crores in Q1, Q2, in the last 2 quarters to approximately minus INR7 crores now. But like you rightly said, the EBITDA is slightly higher than the previous -- EBITDA losses are slightly higher than the previous 2 quarters, primarily because of product mix. If you look at from a full year basis, let's say, give it another quarter or 2 from a full year basis, I think it should get better as well. So in a summary, I think U.S. manufacturing also in later part of next fiscal year can get much better than where it is today.
Moderator: The next question comes from the line of Vipraw Srivastava with Phillip Capital.
Vipraw Srivastava: Just quickly, sir, on the order book side, we have seen 25% growth on the order book side, whereas revenue has grown by more than that. So any reason why this slowdown or we are expecting a pickup in quarter 4?
Kunhamed Bicha: Thank you for the question, Vipraw. For me, we believe the order book has done really well in the last quarter. So it's grown 26% looking on a year -on-year basis. The business is growing faster, but the key is we're not tying all the orders, we are giving a 14-month number, okay, which is at INR2,000 crores.
And we are giving you a number, which is for 14 months to 36 months, which is INR1,183 crores. So totally, we have INR3,199 crores if you look at that for a 3 -year period, okay? We've got orders from 3 years to 15 years after that. We are not counting all that in the order book.
Suresh Veerappan: Just to add to that, KB. So Vipraw if you look at our FY '25 revenues, it was approximately INR1,100 crores. Today, we have an order book of INR2,016 crores, just to put that in perspective.
Secondly, for many of the new programs, yes, we'll be probably having prototype orders right now getting reflected in the order book. So once it ramps up, the volume PO’s can come and get added -- can come and get add in the later quarters.

Vipraw Srivastava: Sure, sir. That makes sense. And lastly, sir, on the ISM since you mentioned ISM in your introduction. So just quickly, is the company planning to go for any of these incentives in terms of goods in terms of manufacturing equipment? Or you are just optimistic that as semiconductor manufacturing comes to India, you wi ll benefit out of -- you will be benefiting as a manufacturer or you directly want to enter this ISM scheme?

Kunhamed Bicha: Yes. So to answer your question, Vipraw, there's been the OSAT piece, then there's a fab piece. Now we don't know the full details yet, but the ISM 2.0 talks about semiconductor equipment. This is exactly where we are forayed into, okay? And we believe -- let the details come out. And we believe there will be something for us to finally use some PLI / ISM scheme to get going into one of the industries of focus for us. And also remember, we have just got into one customer. There's a few hundred customers out there, to put that into.

Moderator:

The next question comes from the line of Santosh Seshadri with Avendus Spark.

Santosh Seshadri : Just wanted to ask a first question on this ISM 2.0. So what is the sort of revenue opportunity and TAM size that you're talking about with respect to your capital equipment manufacturing? That's my question number one. And is there any i mport substitution that you're seeing here? Or is it mostly an export market?

Kunhamed Bicha: So you -- I missed the first part. You're talking of semiconductor equipment or -- yes?

Santosh Seshadri : Yes.

Kunhamed Bicha: Yes. So this is primarily for the export market. So it will come back to India. It's just not for the Indian ecosystem. So that's why we are very much excited that once the approval, most of it is done and with production starting. There's the first set of equipment we are making. I mean the parts of larger machines. We anticipate seeing more parts come through as we go forward. So it's not only for India, but also primarily for the global market.

Santosh Seshadri : And on the second part of the question, is there any way to size this market opportunity in India and globally?

Kunhamed Bicha: We don't want to go there since it's -- we have our own calculation of where we need to be. But let us get the approval, the production going. And then we'll probably comment on that when we move this into a separate vertical in the near future.

Santosh Seshadri : And just one last question on this -- on the India US trade deal . So can you quantify the impact of this proposed tariff reductions? If you could give some color on the duty advantage that you have versus Mexico or other Southeast Asian countries, that would be great.

Kunhamed Bicha: So we've been in the U.S. for the last 25 to 30 years. So we understand the market well. In the last 7, 8 months, there have been a lot of customers on the fence because I can't say I can make it in India faster, better, cheaper, but you pay 50%, okay? So a lot of people have just put on hold. But today, with the 18% number, you're better than a lot of the Southeastern economies, better than China.

So I think overall, India stands to gain across the board. I'm just not talking about Avalon now, but across the board. And with the combination of having the U.S. front ending and India back ending over the future, that is, I think the dual model we have is where customers are confident as well as they know is just not set in stone on this tariffs, where somebody changes their mind every few months, like what happened with South Korea recently. So it is being in the 2 locations helps us quite a bit becaus e customers are not as concerned as just taking it out and having one country specific.

Santosh Seshadri : Yes, that does. Maybe if I may just ask one more question on the impact of commodity price increase in your business. I understand that it's a pass -through for most of the EMS companies. But can you discuss if there is any lag in the pass -through? And how should we think about the impact of commodity price increase on gross margins?

Shriram Vijayaraghavan: Shriram here. Yes, recently, we have seen some commodity price fluctuations. We've -- like how we do with the tariffs, we are very active in terms of working with our customers to recoup possible.

Obviously, a lot of this, there are puts and takes here based on different customers, different materials and scenarios. So we're actively working through that and we ensure to the best of our ability, these things are covered.

Kunhamed Bicha: And we are trying to collect in the same quarter.

Shriram Vijayaraghavan: Yes, and within the same quarter.

Suresh Veerappan: Just to add to that, we were able to maintain our gross margins within the guided range of 33% to 35%, sometimes slightly more over the last 5, 6 years. So that is something that we've been doin

g in the past.
Santosh Seshadri : So that should continue, right?
Kunhamed Bicha: Yes, that should in all ways should.
Moderator: The next question comes from the line of Karan Sanwal with Niveshaay.
Karan Sanwal: I have a couple of questions regarding our semiconductor business. So if you could broadly highlight how big is the opportunity that we are anticipating in the semiconductor space? And what exactly...
Kunhamed Bicha: Can you just repeat the question? We just lost you for some time. Can you repeat the question, Karan?
Karan Sanwal: Yes. So we wanted to understand like how big is the opportunity in the semiconductor space? And what products exactly are we targeting in that space from the customers that we have already onboarded?

Kunhamed Bicha: So what we are doing is part of their larger system. We're not making the whole equipment. These usually are $2 million - $3 million machi nes. And we are doing small parts of that, okay? So again, we don't want to give a number, the opportunity. These companies earn hundreds of billions. So we are getting our small steps in there with the hope that it's going to be a big part of what we do.
Karan Sanwal: Understood. And sir, apart from the customers that we have already onboarded, are there any advanced talks with other customers in the particular semiconductor space? And from the customers that we have already onboarded, do we have any confirmed order boo k? Or is it in a prototype stage only?
Kunhamed Bicha: So the first customer is one of the top customers in the world. But we have prototyping, we have orders, product orders and things going on. And then there's the production ramp, which is what we're waiting for, for the orders to come in and all that.
Saying that, we also have a second large customer in talks, but it's early conversations. So we hope to have -- as we have to prove ourselves with one, then I think there's a lot which will follow. Because this is a very difficult market in the sense of co mplexity in the sense of what we need to achieve because of our box build experience is where I think we are succeeding. So I believe it's a tip of the iceberg.
Moderator: The next question comes from the line of Jeetu Panjabi with EM Investco Capital.
Jeetu Panjabi : Great going, great numbers. I have 2 broad questions. One, in the context of the current environment and also you kind of talked a little bit about all the excitement that's happening in the semi chain and all the other moving parts. My question is, as a management team, what are the 2 or 3 pieces on a 12, 18 month that is most visible and exciting to execute on both in India and the U.S.? And the second -- let me -- I'll ask the second questi on after we go through this one. But what I'm just trying to get is some color on what seems visible, tractionable and growable quite well over the next 12, 18 months? And what's exciting within that?
Kunhamed Bicha: This is of course, like you mentioned, we've got the semiconductor vertical. We also, in the industrial side, have a certain set of -- how do I put this? In the transmission business, as they all go through a power super cycle, whether it's in India, U.S., wherever in the world with the data centers coming in, we are hoping to play a role in which we believe that we have started in India with one of the global majors and start in the U.S. with the other global major.
So I think that kind of excites us because this is a 10, 20 -year business. When we look for businesses, we don't look for today's orders. Is this sustainable over 5 to 10 years, right? So, some of the aero businesses are 15 -year contracts. So we can invest and reap the benefits of -- for the next 10 to 15 years to come, right? So that's -- the aero business is growing, okay, which is another exciting -- the number of planes which are com ing

out.
We have number of parts in the 2 majors through Tier 1s. And I think that number will grow because the aero, if you look at it, it has grown 60% year -over-year in this quarter. So these are -- the type of business we look at is it sustainable over a long period of time. That's why we're

not in the consumer business. That's why we are in certain businesses, which come and go, which are price sensitive . We don't get into that in the long term.
Jeetu Panjabi : Okay. And I'm fully supportive of not being in the consumer business and staying focused on the B2B side. The second question is, if we kind of hear the whole commentary so far and what

you all are talking about, would it be fair to assume that the growth rates in FY '27 sustain at the same levels they've done in '26? Like I mean, would it be fair to kind of think a 25%, 30% top line growth and sustainable margins over the next 12, 18 months?

Kunhamed Bicha: I believe that we will do that number you mentioned and more. We are conservative in our approach, but we don't just want to come out and tell the numbers. So for example, this year, we have upward revised because we didn't know how -- where the world is g oing, 3x, okay? So -- and we will continue to do that, but we are very confident of the future. And you look at us from a 3 -year period, of course, there will be one small quarter here or there where we have an issue.

But longer term, we are very confident because the number -- the business that we signed like the last time -- last question I answered, is for the next 5 or 10 years, right? So once it comes in, it stays there.

Suresh Veerappan: Suresh here. Just to add to that, the last 6 quarters our average growth has been around approximately 46%. And some of the new programs, what we are getting in have a long product life cycle and we're just in the beginning of the cusp of it ramping up, wh ich means the amount of opportunity is also exciting for us.

It is just that we are in the process of completing our budget so that we'll be able to give a better picture for FY '27 once we complete that. But just like in the past, I think the next 3 to 5 years is looking promising for us as a company.

Jeetu Panjabi : No, absolutely. And I have one -- so look, I was just trying to get color on high -level growth trajectory and I think that's a very fair comment you've given. But my last question is assuming this tariff deal doesn't happen in the same format, it's been ki nd of headlined at, 18% . But if it doesn't happen, does that in any way change your trajectory? Or is your trajectory teneted on this playing -- the tariffs playing out as articulated?

Kunhamed Bicha: That future, I think, lies in the government. We can't comment on it. When it changes, it changes. We are hoping it goes downwards and not upwards. But if you take the past, how we dealt with the last 9 months or 10 months since this tariff thing started, we have not broken our stride, okay?

We have continued growth. It was confusing to tell when we are going to grow, but we've been persistent and some amount of luck also that we have continuously grown. So I think that will continue. And if a curve ball is thrown on us, I think we will survive. It's not -- nothing has stopped because of the long -term nature of our customers and products and it takes months or even year or 1.5 year to change.

So even the customers decided let's stick and see what's going to happen, right? So it's happened in a positive way now. But through the whole process, they've been very supportive to what we're doing.

Suresh Veerappan: To add to that, the opportunities what we have are domestic, which is India for India. And over the last year or 2, we have also grown the opportunities on India for Southeast Asia ex

ports. Plus within the last 9 months, the U.S. for U.S. is also activating in a nice way. With these 3 growing, how would the tariff reduction, the fourth growth lever on India manufacturing for U.S. customers has added to that. So our growth opportunities are we ll diversified, not dependent on one geography o r one industry or one set of opportunities. It is well diversified in its true sense.

Jeetu Panjabi : Okay. And if I can sneak in one more quick question, which is this whole BESS opportunity, which we're seeing in a very significant way coming out in power solutions that people are offering end customers, does this seem -- will this over the next 2, 3 years be a significant part of your entire offering?

Kunhamed Bicha: I believe and what we -- yes, yes. So this we do because it's country for country, right? So in the U.S., they want to make in the U.S. And this we have worked on for 4 years or more, okay? Finally, the fruits of the labor has come through and it is going to be a significant play for us into the future, okay? And we've already ramped up -- and ramping up further and we are really excited on that. And the company is well positioned to execute it, not only as our customer is, well sought after product now, it's the highest end of B ESS.

Moderator: The next question comes from the line of Avinash Nahata with Parami Financial Services.

Avinash Nahata: Two quick questions. One is what is the 9 -month number for the cash flow from operations, if I would have missed out?

Suresh Veerappan: INR41 crores would be 9 months of FY '23 cash flow from operations. Q3 is INR51 crores.

Avinash Nahata: Nine months, you said is INR40 crores and...

Suresh Veerappan: Nine months is INR41, Q3 is INR51 crores.

Avinash Nahata: Okay. Got it. And with scale, what is the improvement in net working capital possible over the next 1 or 2 years? We have done so far, a very good job coming from INR160 crores -odd to INR118 crores. So what is the, I mean, fair assessment from your point of view over the next 1, 2 years?

Suresh Veerappan: In the past, we have operated even better than this. But with the current growth rate, I think what we had earlier guided was 120 to 130 days by March '26. We've already surpassed that by reaching 118 days by December '25. We hope to improve and maintain -- maintain and improve on this trajectory over the next 2, 3 years. Let's say, by another -- let's wait for the budget -- for our budget to complete. So we' ll be able to share a little better picture on FY '27, but we are in the path of i mproving the net working capital.

Shriram Vijayaraghavan: Yes. Just to add to that, Shriram here. So we've had a quarter -over-quarter improvement in net working capital across inventory, receivables and payables. This is a structural improvement that we've been working on for a while and you're seeing the fruits -- the benefits of that now. We're hoping that this continues over the next few quarters and we will keep updating you as to how we are progressing on this. We expect to continue this trajectory going forward as well.

Moderator: Ladies and gentlemen, we'll take this as the last question. It's from the line of Archit Shah with B&K Securities. Please go ahead.

Archit Shah: Just one question. In our clean energy business, one of the large portfolio is for the energy storage system in the U.S. So we manufacture one of the customers who does this for residential customers over there. So is this revenue for our customer dependent on government subsidy in U.S. for the solar products, energy storage products, battery management products? And if so yes, then what is the visibility on government policies over there? And could it be affected by any, let's say, take back t he subsidy or anything?

Kunhamed Bicha: The fastest -growing segment in clean energy in the U.S. is battery systems for storage. It's been growing in the last couple of years. And it's not impacted by the pulling out subsidy in the sense which happened in the wind and some of the other solar stuf f. This is a focus for U.S. because of the grid and with all the data centers coming in. So they're getting closer to home. And I think this is supposed to -- so -- but the only issue is that you have to make it in the U.S. And we are well positioned for that, and that's what we're doing. Though some subparts go from India.

Archit Shah: Okay. So one of the requisites is that we have to make in U.S. for those parts and you cannot transfer it to India for manufacturing?

Kunhamed Bicha: Part of it. So we do the subsystems here and then final there.

Moderator: Thank you. Ladies and gentlemen, which was the last question for today. With that, we conclude today's conference call. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

"Avalon Technologies Limited
Q4 FY26 Earnings Conference Call "
May 07, 2026

MANAGEMENT : MR. KUNHAMED BICHA – CHAIRMAN AND MANAGING
DIRECTOR – AVALON TECHNOLOGIES LIMITED
MR. SURESH V.R – CHIEF FINANCIAL OFFICER –
AVALON TECHNOLOGIES LIMITED
MR. SHRIRAM VIJAYARAGHAVAN – CHIEF OPERATING
OFFICER – AVALON TECHNOLOGIES LIMITED
MR. VENKY VENKATESH – CHIEF SALES OFFICER –
AVALON TECHNOLOGIES LIMITED

MODERATOR : MR. SUMANT KUMAR – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Avalon Technologies Limited 4Q FY26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being r ecorded.

I now hand the conference over to Mr. Sumant Kumar from Motilal Oswal Financial Services Limited. Thank you. And over to you, sir.

Sumant Kumar : Yeah. Good afternoon, everyone, and a warm welcome to Avalon Technologies 4Q FY26 Post Results Earnings Call hosted by Motilal Oswal Financial Services. To take us through the results today, we have with us from the management, Mr. Kunhamed Bicha, Chairman and Managing Director; Mr. Suresh V.R, Chief Financial Officer; Mr. Shriram Vijayaraghavan, Chief Operating Officer; and Mr. Venky Venkatesh, Chief Sale s Officer.

Mr. Bicha will give an overview of the business performance and will be followed up by Mr. Suresh's remarks on financial performance, post which we'll open the floor for Q&A. As we move forward, it is important to bear in mind that any forward -looking statements made during this call are subject to potential risks and uncertainties, both known and unknown.

Now without any further delay, I will hand over the floor to Mr. Bicha for the initial remarks, the CMD. Thank you. And over to you, sir.

Kunhamed Bicha : Thank you, Sumant. Good afternoon, ladies and gentlemen. On behalf of Avalon Technologies, a very warm welcome to our Q4 and full -year FY26 Earnings Call . I want to begin by thanking our investors for your continued trust and support. Your confidence in us has been instrumental in enabling us to execute consistently, invest with discipline and build a business that is both resilient and scalable.

FY26 has been our best year. And Q4 is our seventh consecutive quarter of growth. But what stands out is not just the growth rate, it is the quality of it, profitable, broad -based and consistent across verticals and geographies. We delivered a 46% revenue grow th for the full year, higher than our 40% guidance. On net working capital, we reported 112 days, better than our guided range of 120 to 130 days. Our ROCE improved to 20.6%.

On revenue, profitability, working capital and ROCE, we have delivered improved performance across all the key metrics. We have also made steady progress in new product introductions, especially on semiconductor manufacturing equipment and power systems. A ll 3 of our growth engines are gaining momentum together, and that is the foundation of our journey forward.

Moving to the financial highlights. For Q4 FY26 , revenue came in at INR480 crores. Gross margin was at 33.7%, within our guided range of 33% to 35%. EBITDA margins came in at 11.8%, up from 11.5% in Q3. Operating leverage is playing out as revenue scale. PAT for the quarter was INR41.2 crores.

For the full -year FY26 , revenue was at INR1,603 crores, up 46% year -on-year. Gross margin for the year was 34.3% at the upper end of our guided range. Full -year EBITDA margin was at 10.8%. Full -year PAT was INR113 crores. Our average revenue growth over the last 7 quarters has been 45%. As of March 31, 2026, our order book grew 24.7% year -on-year to INR2,196 crores with an average execution period of 14 months.

In addition, long -term contracts with execution timelines ranging from 15 to 36 months is at INR1,245 crores. Order book growth remains well diversified across industry verticals and geographies. India manufacturing operations, which continue to serve both domest

ic and global

customers accounted for 77% of our revenue in Q4 FY26 , delivering healthy profitability at an EBITDA margin of 16.7% and a PAT margin of 12.2%.

Revenue from our U.S. operations contributed the remaining 23%. Losses in U.S. manufacturing have continued to narrow, coming in at approximately INR5 crores in Q4 FY26 . We are working towards a breakeven in U.S. manufacturing in the later part of FY27 . Our presence in both India and U.S. gives customers the option to start in the U.S. and later transition to India or come directly to India. In FY26 , revenue mix was 38% from India and 62% from U.S. India business grew 29% year -on-year, while the U.S. busine ss grew 59% year -on-year.

Moving to segment -wise contribution. Industrial contributed approximately 34% of our revenue, growing at 65% year -on-year. Mobility contributed 28%, growing at 50% year -on-year. Within mobility vertical, rail accounted for 16% and aerospace for 9%. Clean e nergy stood at 20%, growing at 45% year -on-year, driven by the ramp -up of our energy storage systems. Communications contributed 8%, growing 58% year -on-year.

Our mantra to focus on mission -critical complex box builds continue to gain traction. Box build has increased from 44% 4 years ago to 56% in Q4 FY26 . This highlights the deep integration we have with our customers and drive stickiness and long -term potential. Net working capital continued to improve through the year. On a year -on-year basis, net working capital improved by 12 days from 124 days in Mar ch 2025 to 112 days in March 2026.

Receivables reduced by approximately 12 days year -on-year. Inventory improved by 2 days as programs moved into execution phase. Payable days reduced by approximately 2 days year -on-year. Overall, the improvement in net working capital delivered a positive cash flow from operations of INR57 crores in FY26 .

We continue to follow a capex -light model. Asset turns are approximately 9. 9 times . Net debt-to-equity ratio is around 0.06. Return on capital employed stands at 20.6%, a meaningful improvement from 10% 2 years ago.

Now looking at the macro environment, it continues to stay positive. The reduction in U.S. tariffs on Indian goods makes India manufacturing for customers more competitive, and we are seeing increased engagement as a result. Importantly, the period of elevated tariffs also helped us accelerate a new set of business opportunities. We added new program wins in the U.S. as customers look to diversify their supply chains and reduce risks. This is over and above the wins in the India domestic business.

We have also made progress in expanding exports into Southeast Asia, further broadening our geographic footprint. The government's focus on semiconductor equipment under ISM 2.0 aligns well with our capabilities and business we have recently won in this sp ace. Our efforts to build a meaningful sales presence in Europe over the last few quarters also coincides with the India - Europe trade deal. Taken together, domestic demand, U.S. export opportunity and new geographies, the structural tailwinds are intact.

Now, moving to our key growth drivers. Our existing business continues to provide a strong, steady foundation, long product life cycles, mission -critical programs and recurring revenues across rail, aerospace, industrial, clean energy and communications. O n new business wins, the programs we have been building over the last 2 to 3 years are now progressing well.

Our energy storage system program continues to ramp in line with plan. Aerospace cabin subassemblies have progressed, passed first practical inspection and are moving towards volume. Production of locomotive engine subsystems has commenced.
The Kavach anti -collision system has completed testing and is on track for commercial production. In semiconductor equipment, we have completed the pr

oject readiness phase with
our global partner, a meaningful milestone ahead of volume production expected in FY27 .
For our satellite communication customer, we have successfully completed the first tranche of prototypes for control units and expect volume orders from FY27 . Prototype for industrial processing and power sector customers have also commenced.
On our opportunity pipeline. We continue to see healthy and expanding set of opportunities. We are seeing increased interest from aerospace majors in various commodities. We are also pursuing opportunities in advanced metal cockpit assemblies and landing ge ar components, areas where we have not previously participated.
The 3 large U.S. customers we onboarded last quarter across industrial and defen ce are progressing from prototype towards production. And as mentioned earlier, Southeast Asia and Europe are adding new dimensions to our geographic reach. Taken together, all 3 growth engines are gaining momentum, and we expect this to increasingly reflect in our numbers through FY27 and beyond.
On revenue guidance, we have previously committed to doubling revenues from FY24 to FY27 , a target of approximately INR1,725 crores. We are almost there , a year ahead . That gives us confidence to set our sights on further doubling in the next 3 years. That is from the higher base of INR1,603 crores in FY26 to approximately INR3,200 crores in FY29. The order book is healthy, new programs are entering production and our customer base continues to expand. The foundation for the next doubling is already in place. And from a multi -year perspective, we are confident of our growth. On FY27 , we believe our growth story will sustain and continue. We always seek to be conservative and hence, guiding for a revenue growth of 24% to 27%.

In summary, FY26 has been a defining year for Avalon, strong revenues, improved profitability, better margins, a stronger balance sheet and better capital efficiency, all delivered together. Our order book is healthy. Our 3 growth engines are aligned, and the external env ironment remains supportive. We enter FY27 with clear visibility, a strong pipeline and the confidence that comes from consistent execution over 7 consecutive quarters.
With this, I will hand over to our CFO, Suresh Veerappan, for a detailed overview of our financial performance. Suresh, please .
Suresh V .R.: Thank you, KB. Good afternoon, everyone. Let me take you through the financials in detail.
Revenue for Q4 FY26 was INR480 crores, up 40% year -on-year from INR343 crores in Q4 FY25 and up 14.9% sequentially from INR418 crores in Q3 FY26 .
For the full -year FY26 , revenues were at INR1,603 crores, reflecting 46% growth year -on-year, ahead of our guided range of 40%. Gross margin for Q4 FY26 was INR162 crores at a margin of 33.7%. For the full year, gross margin was INR550 crores at 34.3%, at the upper end of our guided range of 33% to 35%.
I would like to note that during the period of elevated tariffs, we passed on substantially all of the tariff impact to customers. So, absolute gross margins were not affected. However, since both revenue and costs were grossed by the tariff pass -through, gross margin percentage was optically impacted by approximately 110 basis points. Adjusting for this, our underlying gross margin performance was better than the reported percentage suggest.
EBITDA for Q4 FY26 was INR57 crores, up 37.5% year -on-year with a margin of 11.8%, up from 11.5% in Q3 FY26 . For the full year, EBITDA was INR173 crores at a margin of 10.8%, reflecting year -on-year growth of 50.9%. The sequential margin improvement reflects operating leverage as revenue scale.
PAT for Q4 FY26 was INR41 crores, up 69.5% year -on-year with a margin of 8.4%. For the full year, PAT was INR113 crores, reflecting year -on-year growth of 78% and a margin of

6.9%.
Finance costs for the year were INR15 crores and depreciation was INR34 crores. On working capital, trade receivable days improved from 84 days to 72 days year -on-year.
Inventory days improved from 86 days to 84 days as programs moved into execution phase.
Trade payable days moved from 46 days to 45 days. Overall, net working capital improved by 12 days year -on-year to 112 days in March 2026, better than our guided range of 120 to 130 days.

On a sequential basis, net working capital improved by 6 days from 118 days in December 2025, supported by improvement in inventory. The sustained improvement in working capital supported cash flow from operations of INR57 crores in FY26 compared to INR25 crores in FY25 . As of March 31, 2026, total debt was INR183 crores, with cash and investments of INR143 crores, resulting in a net debt of INR40 crores.

Net debt -to-equity ratio stands at 0.06, a very comfortable position. Capex for Q4 FY26 was INR21 crores and INR56 crores for the full year. Asset turns are at 9.9 times , and return on capital employed improved to 20.6% from 15.7% a year ago, a consistent and meaningful improvement.

As KB mentioned, we doubled our revenues ahead of schedule. We are now committed to doubling again from the higher base of INR1,603 crores in FY26 to approximately INR3,200 crores by FY29 . The balance sheet is clean, working capital is improving and operating leverage is playing out. The financial foundation for that journey is firmly in place.

With that, I request the moderator to open the floor for questions. Thank you.

Moderator: The first question comes from the line of Tanay Shah from DAM Capital.

Tanay Shah: Congratulations on an amazing set of numbers. I think we've truly seen all our efforts translating into the growth, which we've delivered. Sir, my first question is on any potential supply chain disruptions with respect to components? I mean, order books a re strong, and we're seeing healthy growth coming into the quarters. But any sort of supply chain disruption which we're seeing?

Kunhamed Bicha : Shriram, you want to answer that?

Shriram Vijayaraghavan : Yes. Sure. Hi, Tanay. Right now, I mean, there are a few things here and there, but nothing that's adversely affecting us. As you know, we service mostly industrial mobility and clean sectors. For these, at the moment, visibility is okay.

Tanay Shah: All right. So, don't expect any major pressure on margins or anything of that sort given the supply chain problems.

Kunhamed Bicha ; We don't see any effect, oka y. Saying that, what I would say is we saw the tariffs, which was the question of last year, right? We've managed through that. So, I think our gross margins will hold between the range we have specified.

Tanay Shah: Sure. Sure. Sir, my second question is on all the incremental growth drivers, which we spoke about across sectors. Could we possibly speak a little more about them in detail as to what are we trying to do out there? I mean, just a little more on the produc t specification, if you could, and the potential size, which it can deliver for us into our revenues going forward?

Kunhamed Bicha : So, Tanay, I'll give you with our verticals, our growth, right? So, industrial is 34% of our business. It grew at 65%, and it will continue a high growth rate. Mobility is at 28% of our sales. It's growing at 5 0%. Clean energy is at 20%, growing at 45%. So, you're going to see a broad - based growth.

It's not lumpy because in our business, once the business comes in, it sustains for the next 5, 10 years. It's not which comes and goes and products don't change over a period of time. So , once it comes into production, it normally stays and these are larger Fortune 100 type companies who are working with us. So, I don't see too much of a lumpy sales. Once it comes in, it's going to stay.

Tanay Shah: Understood, sir. And sir, my last question is on the U.S. manufacturing. Obviously, it's inched up on a quarter -on-quarter basis due to the tariffs. But what do we expect it as a percentage of sales going forward? Should it be at around this 20%, 22%? Or s hould it logically inch up a little higher with the U.S. execution happening with our customer out there? And if so, then the control on margins out there? And how do we expect to breakeven and how soon would that be? Thank you.

Kunhamed Bicha : So, I'll talk about the first part of your question, and Suresh will talk about the second part. So, you're seeing growth from all side. Close to 77% to 80% is Made in India for India and for export, and that is our focus, okay? How we get customers into t his model is via the U.S. factory. That is the primary reason.

The secondary reason , you know, during these tariff times and all that, it was easier to onboard customers in the U.S. and then give them time to transfer to India. So, we anticipate this 80 -20,

78-22, that kind of range, and that is what is in our planning. The more that comes to -- for Indian manufacturing, better off we are. But this is something, which we need for our future as well as the confidence from customers on having local support.
Suresh, you want to answer the second part?
Suresh V .R.: Just to add to that, in FY26 , 79% of our business is from India manufacturing and 21% is from U.S. manufacturing. So it has been around this range of 19% to 23%, which is what we have been discussing in the earlier calls. And the operating leverage benefits are expected, both from our India manufacturing as well as from our U.S. manufacturing plants. So, that's the way forward that we are looking at.
Moderator: Our next question comes from the line of Adhiraj Singh from Amicus Capital Partners.
Adhiraj Singh : Sir, firstly, congratulations on a good set of numbers. I just had a couple of questions. First, when we look at the growth, so we have grown by 46% this year. You have added about INR500 crores of revenue this year. So, how much of this additional revenue or growth is coming from new customers programs, essentially programs, customers that you would have onboarded 1.5 to 2 years back? And how much of the growth would be from vintage pr ograms and customers?
Kunhamed Bicha : It's very broad -based and depending on the size of the customer cut -in, it could vary anywhere from 75% to 85%. Two-third – one-third is what you probably need to look at, but it varies. You may have a certain much larger customer cut -in that varies a little bit. But the next year, they become existing customers, right? We are developing and managing these programs into production at least 18 months ahead. So, that gives you a broad range on what we think it is.
Suresh V .R.: Just to add to that, Adhi, so typically, the average life cycle of a customer with us is very long and product life cycle is also long. So, a customer who is this year and new will become an existing customer and then they continue for over a period of 8 t o 10 years.

Adhiraj Singh : No, fair, that I understand. I mean, I just wanted to understand in this INR500 crores, how much would be coming in from, let's say, programs that you would have started 1, 1.5 years back and how much from the vintage programs?
Kunhamed Bicha : Around 70 will be existing and 30 will be approximately . Okay.
Adhiraj Singh : Okay. I understood. And second question, sir, a number of your peers are getting into components manufacturing, like PCB manufacturing and have gotten ECMS scheme for that. Do you have any plans to get into components manufacturing?
Kunhamed Bicha : So, we are very focused on what we do. So, we are a box build, high -end box build, complicated technology -oriented box build. We will look for further business in that segment instead of trying to do a greenfield, though there's a lot of money available fo r that. We think there's enough growth in what we do. Managing growth is what we strive on doing. And I think instead of going in multiple directions, we like to stay focused and deliver on what we say.
Moderator: Our next question comes from the line of Santhosh Seshadri with Avendus Spark.
Santhosh Seshadri: So basically, could you help us...
Moderator: I'm sorry to interrupt you, sir , Mr. Santhosh . In case you're using the speaker mode, may I request that you use your handset mode, please? Sir, your audio is not very clear, sir. Thank you.
Santhosh Seshadri: Better now?
Kunhamed Bicha : It sounds better, Santhosh.
Santhosh Seshadri: My first question is on the quarterly revenue trajectory across different verticals, maybe specifically for the clean energy as well. Given that the U.S. business is ramping up and there is a usual 1Q seasonality that we have observed historically, how sho uld we think about the dynamics, quarterly dynamics? And also if you could give some colo ur on the cadence for other divisions as well, that would be helpful.
Kunhamed Bicha : So for us, that doesn't play out as much, okay? So, we try to level load our production across -- our customers tend to do that instead of -- because -- only certain businesses, which are government -oriented could have this issue. But we have not seen that as much. So if you look at quarter -to-quarter, it's been fairly consistent, whether it's growth or whether it is -- and in clean energy, we're going to see growth, okay, for the near future or foreseeable future. So it's not seasonal for u s as far as we know.
Santhosh Seshadri: Got it. And just to be clearer, our first quarter FY or maybe like first half FY27 revenue could be sequentially higher than last year, right?
Suresh V .R.: Santhosh, Suresh here. We would request you to look at us from a 3 -year perspective. In the opening remarks, we would have highlighted that from a higher base of INR1,600 crores in FY26 , we are looking to double it in FY29 . And we generally do not give a quarterly revenue growth guidance.

Kunhamed Bicha : Saying that, we are very confident.
Santhosh Seshadri: Fair enough. And just one more question. And given our aspiration to double our revenues over the next few years and considering that our asset turns are already closer to 10 times , how should we think about the incremental capex and also about the timing of capex in capacity expansion?
Kunhamed Bicha : So it's -- at least for me, it's not aspirational. We're going to do that, okay, the doubling, okay . So saying that, see, when we started talking of doubling in '24, we're supposed to double by '27. And we are close to 1 -year ahead of that schedule. We are close to doubling already. So, we'll continue the same momentum. There may be a few quarters up or down. But if you look at a sort of 3-year time frame, we will do what needs to be there to do that, okay? Did I answer question or is the la st part which I...
Santhosh Seshadri: From a capex perspective?
Kunhamed Bicha : From a capex perspective, as far as we know, we'll continue. Our aspiration is to keep the ROCEs higher than 20% and keep the asset turns between 8 and 10 times . And we still believe that with this capex , as far as we know today, we are going to have that for this rate of growth.
Santhosh Seshadri: And any particular time line that we are contemplating to spend this capex ?
Kunhamed Bicha : Usually, we say INR50 crores to INR60 crores, maybe a little bit over, over the next year. I mean that's annually, yes.
Suresh V .R.: So Santhosh, in FY25 , our capex was INR58 crores. In FY26 , our capex is INR56 crores. And so for us to continue this trajectory of growth, we d

o not foresee any major capex in the near term that we can see.
Moderator: The next question comes from the line of Mehul Panjuani from 40 Cents.
Mehul Panjuani : Okay. Thank you so much. Sir, my first question is about how much of our future order book growth can we expect from the box build and system integration opportunities versus the traditional PCB assembly?
Kunhamed Bicha : We historically look at it. Around 3 years back, we were around 44% of box build. And our aspiration is to grow that number. And today, last quarter, we are at 56%. So, we'll continue that trajectory. And for us, that's why we are very vertically integrate d to achieve that, okay? So, we'll continue on that. And that is our goal. We may start with a certain commodity, but our goal is to do the whole box in a 2 - to 3-year period with the customer.
Mehul Panjuani : And sir, what kind of margin differential -- how much higher margins can we command for box build compared to the traditional ?
Kunhamed Bicha : Usually, it's higher because it's vertically integrated. So, I don't want to get into how much, okay, because that depends on industry, that depends on vertical, that depends on commodity. If more of a certain commodity, you'll have a better margin. So ult imately, we look at it as a box build.

Mehul Panjuani : Right. Right. Sir, I'm not sure if you have answered this one, but my question is about what is our margin aspiration? Currently, our margins stand at 11%. So, do we have any operational levers to improve our margins beyond 11%?
Kunhamed Bicha : So if you look at our 80% of our business, which is India manufacturing, EBITDA is at 16.7% and PAT is at 12.2 %. So, we are already high up there in 80% of our business. This quarter, I think it was 77% of our business. And then with U.S. breakeven and with the leverage playing out there after breakeven, we see some room to improve.
Mehul Panjuani : Right. Sir, are we expecting any capex in FY27 ?
Suresh V .R.: So, our re gular capex has been in the last 2 years in the range of INR55 crores to INR60 crores. So, we see something similar there. Nothing major at the moment.
Moderator: The next question comes from the line of Sameet Sinha with Macquarie.
Sameet Sinha: And I echo some of the sentiments. It's been a really, really strong year and great execution. I guess my first question would be in terms of your guidance for next year. I know last year, you started at 18% to 20% year -over-year growth, and you ended the year at 46%. So, that's been tremendous. Should we assume a certain degree of conservatism guidance for the guidance that you've given for fiscal '27?
The geopolitical situation is still -- is pretty fragmented right now. So, I just wanted to get some colour on that. Second question is in terms of your Make in India for India. That revenue growth slowed to about 13% year -over-year. Is that basically because of a high base? I have a follow - up question after that.

Kunhamed Bicha : Okay. On your first question, Sameet, you asked the question every time. So, we are generally conservative in nature with the things going around in the world. Every time we want to commit higher, we just -- with the macroeconomics, we want to be conservat ive. Number two is that the programs cutting in are fairly large in size.
It could cut in this quarter or a quarter from now, which we don't control as much, our customer does. So ultimately, it's all there. When it cuts in and how it cuts in at what time frame, right?
So, that's the conservative nature of what we're saying apar t from the macroeconomics.
Suresh V .R.: And in terms of the percentages that you mentioned, Sameet, if you look at FY26 as a whole, then the India manufacturing business grew by approximately 33%. The growth has been broad - based across industry verticals, across geography, across manufacturing

locations as well.
Sameet Sinha: Got it. One -- my final question from my side, and this is a real inflection that I saw in your fund generated free cash flow, right, which I define as cash flow from operations minus capex . Is that something of a goal that you want to continue to scale the positive territory with that metric?
Kunhamed Bicha : See, we always -- and I'll let Suresh get into detail of it. But from our perspective, we always want to maintain the ROCE as a number we strive for, okay, the asset turns we strive for, okay?
And unless we do this business, I think we can manage that betw een 8 and 10 times of asset turn.

With that play in mind, that's what is built into all of us. We try to grow with that, okay? And a lot of times, most of this capex is going for building and infrastructure.
Suresh V .R.: Just to add 2 points there. A couple of years ago, in FY24 , our ROCE was 10%. And then right now, it is at 20.6%. And the second aspect on the operational cash flows, FY25 , our operation cash flow was INR25 crores, and now we are at INR57 crores. So, both the working capital improvement, the focus on working capital improvement and the focus on maintaining a high asset turn are helping us get those operational cash flows and maintain and improve the ROC E.
Sameet Sinha: Sorry, sir. If I can just add on to that one. So , when you double your revenues from this year onwards, what is the expected ROCE at that point? What's your goal?
Suresh V .R.: So, we'll put it this way. In the past, we have operated at 25%. So, I would say if there is a target for us to march over a period of time, then that should be some goal.
Moderator: The next question comes from the line of Karan from Niveshaay.
Karan: Congratulations on good set of numbers. I had a few questions regarding the semiconductor business that we have onboarded. So , if you could help us understand how are we -- if you can quantitatively state how is this program expected to ramp up and what kind of competition are we doing with against and what kind of products you would be catering to in this segment?
Shriram Vijayaraghavan : Yes, hi, Karan, Shriram here. So, for the semiconductor equipment, we are building complex box build, right? Really state -of-the-art complex build. Now, this is a fairly large program with multiple sub programs, right? So, these often are very complicated to build. The first article inspe ction takes time, approvals take time. These are very sort of longer gestational programs, right?
So, we are in a journey of getting these approved and getting through deployment, right? So, this is a long journey. This is not one that cuts in, in weeks and months, right? It takes -- we've been working on this program for a fairly long period of time. So, we are on the journey. And hopefully, in FY27 , we will start to reap the benefits of this program.
Karan: Okay. Sir, these FAIs have been completed or it is ongoing for certain products, can you tell me?
Shriram Vijayaraghavan : It's in progress. So, you will have some part numbers that are done, some part numbers that are progressing, some that we are yet to start. So, you've got a spectrum of this progress.
Kunhamed Bicha : So Karan, multiple products. It's not one product. So, I would say 50%, 60% is done and waiting for production approval. The other 40%, we are in the process of doing it, and then we'll get it.
So, reasonable production will start sometime in '27.
Karan: Understood. Sir, what would be the major sector apart from clean energy, which will be contributing to our export revenue?
Kunhamed Bicha : A lot of it will be in aero and industrial, if I can answer that.

Suresh V .R.: The growth is broad -based , Karan . Even across India and in U.S., it is not just concentrated in one industry. It

's across industrial, clean energy and communication.
Karan: Understood. One last question. What would be our client concentration? Like what would be the contribution of top 5, top 10 clients for the full year?
Kunhamed Bicha : So, I'll let Suresh give the exact numbers. But as large customers cut -in, things will start moving up and down for a short period and then it moves on. Suresh, you want to give the numbers?
Suresh V .R.: So, our top 10 customers, that's the one that we shared. It is 61% in FY26 .
Moderator: Our next question comes from the line of Chirag from Keynote.
Chirag: Sir, my first question is related to the manufacturing plant of U.S. We have almost doubled the production from the U.S. now. Just wanted to understand how are we breaking even at EBITDA level for U.S.?
Suresh V.R.: Sure. So firstly, we have been discussing about increasing the revenues in U.S. manufacturing alongside our growth that we are seeing in the India manufacturing, so which is what we are seeing in the last 1 -year. The losses have significantly narrowed down. If you look at it a couple of years ago, the quarterly losses were around INR14 crores.
And if you look at Q2 of this fiscal year, it was INR9 crores. And Q3, it came down to INR7 crores. And in Q4, it has again further come down to INR5 crores. So, there is operating leverage that has started to play out.
But having said that, we expect to see ramp -up of many of the new programs, which are at various stages, some in prototype, some in commercial, some in pending to be ramped up fully. With that scale -up expected to happen in FY27 , we see this trend of losses coming down and moving towards breakeven in later part of FY27 .
Kunhamed Bicha : But Chirag, one thing I realized is that a lot of the customers, we enjoy the margins and we enjoy the profitability in India because it came through this route, where it starts in the U.S. and then it moves to India. So, you can't just look at it from a p lant-wise. There's a lot of business effectiveness for India, doing manufacturing in the U.S.
Chirag: Yes, I understand that. That's the earlier assumptions we had. It is shifting our manufacturing towards India more. And now it is like -- to gain more clients, we are now again starting to route it from U.S. and down the line, probably we would be given so me cost benefits to the client and that would again shift to India. Is my understanding correct?
Kunhamed Bicha : Correct, Chirag. I think you got it right.
Chirag: The second question is more related to back -end journey and the future perspective what we have commented related to manufacturing.
Kunhamed Bicha : Chirag, you're breaking up. You're breaking up. If I may ask you to talk a little louder.

Chirag: Am I audible now?
Kunhamed Bicha : Now, you are fine.
Chirag: Right. Sir, my next question is more related to a back -end journey what Avalon had. So let's say, we started with manufacturing and EMS and we shifted to box build. We thought from the perspective that this is a higher integrated complex product and we can serve our client a bit better. It will help us to have better return ratios down the line and growth.
And maybe, let's say, from a component to an assembly supply kind of a thought process. This is like a forward integration. Just wanted to understand -- you are remaining focused related to manufacturing box build only, even if you would have started manufacturing PCB at your end. Have you considered this fact that this is not going to be value accretive and you want to make sure that it remains an outsourced product for you and you don't want to get into the complication of manufacturing PCB because this anyhow helps us from the pe rspective that 90% of the PCB gets imported in India. And we are now from the perspective that we can control our value chain and make sure that

we keep on growing at the pace we are without any hindrance related to raw material. So, just wanted to underst and the thought process ?
Kunhamed Bicha : Okay. So as a country -- this is a personal opinion, I believe that we need to have PCB manufacturing in India because as we scale up electronics, as we scale up being a global player. How competitive can be without subsidies? I don't know, okay .
But as a country, we do need it. See, our spend on PCBs is, I would say, less than -- very, very small percentage in -- not even in the teens. So, it does not make sense for us to look at it as a vertical integration model. There are enough players coming in now where there will be enough competition to get the PCBs cheaper than what we can make. That is our thought process on this, Chirag.
Chirag: Sir, down the line, it would be correct for me to understand if the manufacturing of PCB starts happening in India itself, this can become a gross margin accretive for us because we would start sourcing it into India and even further margin profitability c an take place for Avalon?
Kunhamed Bicha : So, see, like you said, it's not even in the teens for us, the PCB buy. It's much lower because of

our vertical integration. I don't think it will be an effective change. It will be better, but it's not something which we will chase, okay? And Shriram, do you want to add something to this?
Shriram Vijayaraghavan : Yes. I think, Chirag, just to add to that, right, the way we are thinking about it is to grow in the more complex box builds, in which case, our sort of effort is going into more complex assemblies of different things, right? So, that's where the focus is not on getting into deeper down the value chain in terms of PCBs, but more up into more complex builds.
Kunhamed Bicha : And other thing, Chirag, PCB is a chemical business, okay? It's a very different type of business. And you need size and scale. And so it's something, which we don't want -- our focus is always

to do the complex box build. We want to do this $100,000 boxes, okay, which will make a lot more business sense in our focus as well as delivery.
Suresh V.R.: And we believe there is enough growth in what we do across these verticals, across geographies. We're also looking at other export geographies as well. So when there is enough growth with a higher asset turn, and we have one of the industry -leading gross m argins in what we do.
Chirag: Got it. Happy to hear that one direction focus is there. We are not disputing to start manufacturing something else where we don't have kind of an edge. Very happy to hear that. Just one last question related to semiconductor that you have mentioned to the earlier analysts. Almost -- as you said that 50%, 60% of the products have gone some acceptance by the client for now. There is some 40% is still in trials and work in processes .
So what can -- one -- and you're saying that from 2027 itself, we can start expecting some kind of a revenue to come into picture. Just a ballpark number as now -- from the perspective that it is now just 1 -year ahead for us. Just a ballpark number how big this can be in terms of order book that we can expect even if the last program is divided into sub -programs
Kunhamed Bicha : Yes. So, things are going very well. I'm not saying no, but these are slow things which kind of take time to materialize. But saying that our goal is to, in the next 2 to 3 years, I would say, 3 years, make it a vertical for us, okay? So, you can understan d the scope of it. It could be a smaller vertical and we hope it's a larger vertical, but it will become a separate vertical.
Chirag: Hello?
Kunhamed Bicha : Chirag, did you get that?
Chirag: Sir, I don't know the last part. When you said that it would become a vertical.
Kunhamed Bicha : It will become a vertical for us. So right now, it's in the indu

strial piece, and then we'll spin it off in the next 2 to 3 years as a separate vertical. So, our size of our verticals and we hope to have that whether it's a smaller or a larger vertical, we have to -- we will be there.
Chirag: Just to confirm one thing, whenever we say a new vertical, it is approximate 8% to 10% of revenue coming from that and then you divide it to another, that is correct?
Suresh V.R.: Chirag, without putting a number to that, okay, there is enough scope and scale to grow in this. We have just got into one customer right now, which means there is multiple customers there. And within each customer, we can get into multiple products. India just got into the semiconductor equipment manufacturing.
And even in the last budget, there was a mention of India Semiconductor Mission 2.0, which focus on semiconductor equipment’s . Definitely, we also hope for greater things to come here, but we do not want to put a number to that at this stage.
Moderator: The next question comes from the line of Arpit Jain with Wallfort Financial services Limited.

Arpit Jain: Congratulations on the good numbers. Am I audible?
Kunhamed Bicha : Yes, Arpit, you are.
Arpit Jain: Yes. So, I came across the recent news that the conflict in the Middle East has disrupted the supplies of raw materials at PCBs and pushed up their prices. So, I just wanted to know since regarding the tightening of the availability of PCBs, how has that i mpacted us and our inventories? And how has the pricing impacted us too?
Kunhamed Bicha : Arpit, see, most of our pricing is a pass -through, okay, passed through to our customers. There has been some increases, but it will always be passed through. So , it's not something, which will affect. If you look at over a 5 -year period, our gross margins have averaged between 33% and 35% or sometimes even higher. So, we always aspire to keep that. So even if some of this price increase, we pass it through to our customers. Did I answer your question, Arpit?

Arpit Jain: No. And regarding the inventory thing -- so regarding the shortening of the availability of PCBs, so, I mean, how did you hold those in our inventory? And what's our outlook on that?
Kunhamed Bicha : You want to answer that?
Shriram Vijayaraghavan : Yes. So I'll take that, Arpit. So, we manage this actively with the help of our customers. So, we work very closely with them as to what kind of inventory we should hold for their products, right? We are always -- we keep our eye out. So , where we feel it's getting tight, we will hold more inventory. And where we feel the lead times are good, right, we don't have to do so. So, this is actively managed across programs, across commodities, whether it's PCB, metals, wire harness, whatever it is, right? So, these are fluctuations that we manage day -to-day, Arpit. But at the moment, nothing that we see is critical. Obviously, the re are things that are long lead times and things are moving around, but we're always actively managing them.
Kunhamed Bicha : But saying that, this changes on a daily basis, okay? So as of now, we don't see a material impact, but you never know whatever happens geopolitically.
Arpit Jain: Okay. So, my next question was, I see a growth in PAT year -on-year higher than the growth in EBITDA. So , correct me , if I'm wrong. So, I believe with depreciation and with the tax and with interest and all being stable across the year, so there is a component of other income that has increased substantially. So, I just wanted to know what does this other income comprise of?
Suresh V.R.: So see, major part of our business is in exports. So, with currency depreciation, there is a benefit on forex income as well, which is part of the other income. It won't be part of EBITDA, but it will be part of other income.
Moderator: Our next question comes from the line of

Mehul Panjuani with 40 Cents.
Mehul Panjuani : All my questions have been answered. Thank you.
Moderator: Our last question for the day comes from the line of Achuth , who is an Active Investor .

Achuth : I have a question on order book. Like I've seen that the current order book is around INR2,000 plus crores. What is the timeline to execute this?
Kunhamed Bicha : So, Achuth , the order book is around INR3,441 crores. Out of that, INR2,196 crores is executable in 12 to 14 months and INR1,245 crores is executable between 14 months to 36 months. And we have got orders further than 3 years, which we don't count in the order book.
Achuth : Okay. And my second question is regarding EBITDA margin. I remember that in previous con calls somewhere we have mentioned that the operating margins will increase from Q4 of FY26 . So, I just wanted to understand if operating margins are going to increase going forward.
Suresh V.R.: So, I can talk about the past. In Q4 FY26 , like you also rightly highlighted, the EBITDA percentage is 11.8%. And if you look at our India manufacturing, which is approximately 79%, that has generated 16.7% EBITDA. So, you can see a consistent increase in EBITDA percentage over the last few quart ers now. With increase in sales expected in FY27 , we believe there is a further scope of operating leverage in both India plant as well as U.S. plant. So, there is a little bit more scope as well.
Achuth : Okay. Can you give any long -term guidance on EBITDA margins? I mean, because if you see, other EMS players are able to make around 16%, so I think we have still room just to make much more margins from EBITDA ?
Suresh V.R.: We generally do not provide guidance on the EBITDA margin percentage, Ach uth. This is what I can say. There will be operating leverage and scope for us to play out.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Kunhamed Bicha : FY26 was a great year for Avalon, with robust revenue growth and solid execution. We remain focused on scaling new programs, enhancing capabilities and investing ahead of our growth. Our entry into semiconductor equipment space marks a key step as we expand in to more advanced high -potential technologies and segments.
With a healthy order book, expanding customer engagement and a flexible global manufacturing model, we are well -positioned to sustain momentum through the year and deliver profitable growth. We thank our investors for their continued support and look forward to updating you in the coming quarters. Thank you very much.
Suresh V.R.: Thank you.
Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.